FamiCord

MORE THAN A STEM CELL BANK

ANNUAL REPORT 2025



KEY FINANCIAL FIGURES

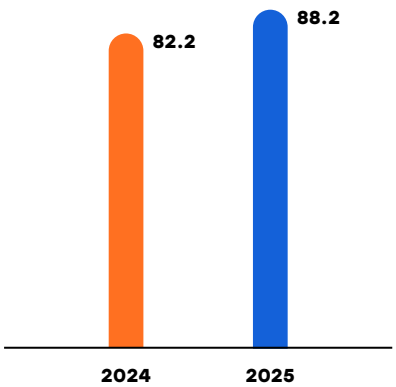
Income Statement		**01/01/2025-12/31/2025**	01/01/2024-12/31/2024
Sales revenue	EUR thousand	88,173	82,181
Gross profit	EUR thousand	47,026	38,541
EBITDA from continuing operations	EUR thousand	10,599	9,440
EBITDA margin from continuing operations	%	12.0	11.5
EBIT	EUR thousand	-2,681	-8,483
Result from continuing operations	EUR thousand	-5,018	-11,588
Result of the period	EUR thousand	-6,715	-12,299
Earnings per share from continuing operations	EUR	-0.26	-0.66
Earnings per share	EUR	-0.36	-0.70

Balance Sheet		**12/31/2025**	12/31/2024
Balance sheet total	EUR thousand	161,760	152,737
Equity	EUR thousand	5,417	12,907
Equity ratio	%	3.3	8.5
Liquid funds	EUR thousand	11,878	16,823

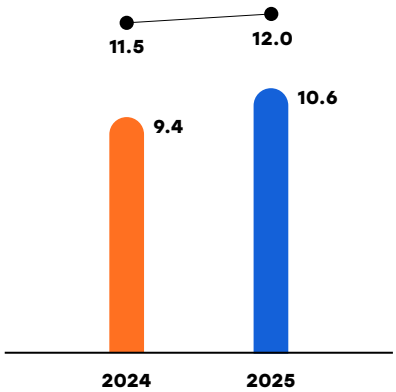
Cash flow		**01/01/2025-12/31/2025**	01/01/2024-12/31/2024
Cash flow from investing activities	EUR thousand	-12,381	-3,080
Depreciation and amortization	EUR thousand	13,278	17,923
Cash flow from operating activities	EUR thousand	3,595	8,655

Employees		**12/31/2025**	12/31/2024
At the reporting date	Number	742	771

Sales revenue in EUR million



EBITDA in EUR million
EBITDA margin as a percentage of sales in %





FAMICORD – ABOUT US

FamiCord (formerly Vita 34) was founded in Leipzig in 1997 and today is one of the largest cell banks in Europe and among the leading providers worldwide (based on stored samples, internal estimates). As the first private umbilical cord blood bank in Europe and a pioneer in cell banking, the company has since offered the collection logistics, processing and storage of stem cells from umbilical cord blood, umbilical cord tissue and other perinatal tissues as a full-service provider for cryopreservation. The donor's own cells may serve as a starting material for medical cell therapy and are cryopreserved in the vapor phase of liquid nitrogen. Customers from around 50 countries have already taken steps to safeguard their families' health by storing more than one million units of biological material with FamiCord. Furthermore, the Company is active in the areas of Cell & Gene therapies and CDMO.

FROM BANKING TO THERAPIES: HOW CELL BANKING SUPPORTS ESTABLISHED TREATMENTS AND THE DEVELOPMENT OF FUTURE CELLULAR THERAPIES

Over the past three decades, advances in stem cell science and regenerative medicine have expanded the therapeutic potential of cells collected at birth. Umbilical cord blood, cord tissue, and other perinatal tissues represent valuable biological resources that can be preserved and potentially used in future medical treatments.

Professional cell banking infrastructures ensure that these cells are processed under controlled laboratory conditions, tested, and cryopreserved for long-term storage. This infrastructure supports both established medical treatments and the development of future therapies.

FamiCord Group, one of Europe's leading stem cell banking networks, plays an active role in this ecosystem by enabling clinical applications, supporting research programs, and developing advanced therapy capabilities. Through its integrated platform – including biobanking, clinical programs, and advanced therapy manufacturing – FamiCord supports its mission of expanding access to cellular therapies.



1. ESTABLISHED MEDICAL USE OF CORD BLOOD

Umbilical cord blood is an established source of hematopoietic stem cells capable of rebuilding the blood and immune system. These cells are used in hematopoietic stem cell transplantation (HSCT), a standard therapy for a number of serious diseases.

Cord blood transplantation has been used clinically for more than three decades in the treatment of:

- Hematological malignancies such as leukemia and lymphoma
- Bone marrow failure syndromes
- Inherited blood disorders including sickle cell disease and thalassemia
- Immune and autoimmune deficiencies
- Certain inherited metabolic disorders

Because cord blood stem cells are immunologically less mature than adult stem cells, they may tolerate partial donor-recipient mismatch, expanding access to transplantation for patients who cannot find a fully matched donor.

Long-term cryopreservation is a key element of cord blood banking. Research led by Gesine Kögler demonstrated that cord blood units stored for up to 29 years retained viable hematopoietic stem cells capable of proliferation and differentiation after thawing. This research provides evidence supporting the long-term stability and potential usability of properly cryopreserved cord blood units.

Within this therapeutic landscape, FamiCord Group has accumulated significant clinical experience, releasing cord blood units for transplantation in established medical indications and supporting physicians in accessing stored units when required. With the recent approvals of technologies based on expanded cord blood stored units can be lifelong reserve of naïve stem cells for transplantation.

2. RESEARCH AND EMERGING APPLICATIONS

Beyond transplantation, researchers are exploring whether cord blood and other perinatal cells may contribute to regenerative medicine and next-generation immune therapies.

Neurological conditions and brain development

Cord blood therapies are being investigated for neurological conditions such as cerebral palsy and certain developmental brain injuries. Rather than replacing neurons directly, cord blood cells may influence repair processes through immune modulation, anti-inflammatory signaling, and stimulation of endogenous repair pathways.

Evidence supporting this approach has been summarized in the guidelines for cerebral palsy management developed by a group of experts led by Iona Novak. In these guidelines, infusions of stem cells from cord blood have been listed as one of the recommended interventions, indicating supportive evidence within specific clinical contexts. These findings have been confirmed by meta-analyses published in 2025.

Expanded access programs enabling children to receive cord blood therapies have been established in several regions in the United States and Australia. In Europe, FamiCord supports this field through its program for cord blood administration supporting brain development conducted together with a partner university clinic.

Immunotherapy and engineered cell therapies

Cord blood may also play an important role in the next generation of immune cell therapies. Cord blood cells may serve as source of cells for further engineering. Specifically, it can be a source for natural killer (NK) cells and further engineered using chimeric antigen receptor (CAR) technology to create CAR-NK therapies targeting cancer.

Researchers (MD Anderson Cancer Center for example) have highlighted cord blood as a promising starting material for manufacturing standardized “off-the-shelf” CAR-NK therapies. These approaches are currently under early clinical investigation.

Regenerative medicine research

Cells derived from cord tissue, particularly mesenchymal stromal cells (MSCs), are being studied for their regenerative and immunomodulatory properties. Researchers are exploring their potential applications in inflammatory diseases, cardiovascular conditions, and musculoskeletal disorders. Most of these uses remain in early clinical or preclinical research stages. Some types of MSC-based medicines have been approved by regulatory agencies in the US, Japan, South Korea and Australia.



3. BIOLOGICAL BASICS: SOURCES OF PERINATAL CELLS

Different perinatal tissues collected at birth contain distinct cell populations.

Cord blood

- Blood remaining in the umbilical cord and placenta after delivery
- Rich in young and potent hematopoietic stem cells
- Used clinically since 1988 in transplantation

Cord tissue

- Connective tissue of the umbilical cord, called Wharton's jelly (WJ)
- WJ is rich mesenchymal stromal cells (MSCs)
- Widely studied in regenerative medicine applications

Placenta

- Temporary organ connecting mother and fetus during pregnancy
- Contains multiple progenitor and immune cell populations
- Increasingly studied as a potential source for advanced therapies

4. FAMICORD'S ROLE IN THE THERAPY ECOSYSTEM

FamiCord Group contributes to the development of both established and emerging cell therapies through its integrated platform:

- Collection and processing of perinatal tissues (cord blood, cord tissue and placenta) using validated laboratory procedures and advanced cryopreservation and long-term storage preserving cell viability for decades
- A proven track record of releasing cord blood units for transplantation in established indications as well as emerging therapeutic programs including neurological applications
- Development of advanced therapy capabilities through its biotechnology subsidiary Bramble Bio, an ATMP contract development and manufacturing organization (CDMO)
- Support for the translation of innovative cell and gene therapies from research to clinical manufacturing

By combining biobanking, clinical programs and advanced therapy manufacturing, FamiCord supports the development of a global ecosystem in which responsibly stored biological materials can contribute to both current life-saving treatments and future cellular medicines.





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LETTER FROM THE MANAGEMENT BOARD

DEAR SHAREHOLDERS,

Throughout 2025, FamiCord AG successfully reinforced its financial turnaround and maintained a positive growth trajectory, demonstrating remarkable resilience in a persistently challenging macroeconomic environment. Although general economic conditions in Europe remained volatile and birth rates stayed at comparatively low levels, we achieved solid operational development across the year.

Our positive performance in 2025 was driven by a renewed strategic focus on the specific strengths of our core business, supported by product innovations such as placenta banking and a highly successful expansion into the GCC region. At the same time, we implemented strict cost discipline and optimized our contract and price structures, which significantly improved our profitability and EBITDA margins.

A central strategic milestone in 2025 was the decision to fully concentrate our management and financial resources on our core family stem cell banking business. Consequently, we are no longer prioritizing our own CAR-T cell therapies at the Group level. We furthermore successfully consolidated our market position in Eastern Europe by increasing our ownership stakes in our subsidiaries in Slovakia and the Czech Republic to 95% and acquiring a competitor in Poland.

Throughout the year, we observed a sustained shift in customer preference from prepaid contracts towards subscription models. While this transition naturally results in a lower short-term operating cash flow compared to previous years, it is a generally welcome development from a risk perspective as it supports the long-term stability, predictability, and resilience of our financial base.

However, while we look back on a successful 2025, the Management Board assesses the economic environment for the upcoming year with increasing caution. Despite the historical resilience of our business model, business development in the first quarter of 2026 has already shown increased pressure and subdued performance in new customer acquisitions. Cash generation has further weakened as customers continue to opt against prepayment contract structures and are beginning to view long-term contracts with reluctance amidst a gloomy economic environment.

This reluctance is driven by a multitude of new and ongoing macroeconomic headwinds. Foremost, the continuation of the war in Ukraine continues to act as a burdening factor, causing noticeable uncertainty among potential customers. Furthermore, political changes observed since the US elections have led to significant macroeconomic uncertainties and a tendency towards an increase in global political crises, which has further deteriorated overall consumer sentiment. For the fiscal year 2026,



Members of the Management Board from left to right: Thomas Pfaadt, Jakub Baran, Dr. Cornelia Wittke-Kothe, Tomasz Baran

the war in Iran has also emerged as a significant new uncertainty factor. It is to be expected that rising energy prices across Europe resulting from this conflict will lead to further consumer reluctance and have a dampening effect on demand for the Group's services. Beyond geopolitical instability, technological developments are fundamentally altering customer behavior. The increasing use of Large Language Models (LLMs) directly impacts how consumers seek information, leading to the need to rapidly adapt our marketing strategies. At the same time, the rise of artificial intelligence is creating anxieties regarding job security, which in turn leads to a reluctance among consumers to commit to long-term contracts, as mentioned before.

To strengthen our business development in 2026, we are planning to introduce further strategic cost-saving measures in selected markets and possess scalable instruments to support our short-term liquidity if necessary.

Under our current planning assumptions, we forecast consolidated revenues in the range of EUR 80 to 90 million and an EBITDA in the range of EUR 9 to 11 million for the fiscal year 2026. We want to communicate transparently that, in light of the current headwinds, this guidance reflects a phase of consolidation and implies a flat to slightly declining development in our revenues and earnings. Nevertheless, despite this difficult market environment, we continue to expect moderate full-year growth in our operational base from new customer contracts and the prolongation of existing contracts.

We extend our deepest gratitude to all our employees for their outstanding commitment throughout the past year. To our shareholders, customers, and partners: thank you for your continued loyalty and trust in FamiCord AG on this important journey.

Leipzig, in April 2026
The Management Board of FamiCord AG



Jakub Baran
Chief Executive Officer



Thomas Pfaadt
Chief Financial Officer



Dr. Cornelia Wittke-Kothe
Chief Commercial Officer



Tomasz Baran
Chief Medical Officer

SUPERVISORY BOARD REPORT

DEAR SHAREHOLDERS,

In the reporting year 2025, the Supervisory Board performed the duties incumbent upon it in accordance with the law, the articles of association and the rules of procedure. The Supervisory Board constantly monitored the work of the Management Board and provided advice. This was based on the written and verbal reports submitted by the Management Board, the information provided by the Management Board at Supervisory Board meetings and regular consultations between the Management Board and the Chairman of the Supervisory Board. Between the regular Supervisory Board meetings, the Chairman of the Supervisory Board regularly exchanged information with the Management Board in order to ensure a comprehensive exchange of information between the boards. Within the Supervisory Board, the Chairman of the Supervisory Board also regularly exchanged information with members of the Supervisory Board on current company issues.

The Supervisory Board was informed about the intended business policy, strategy, corporate planning, the risk situation and risk management, compliance, the current development of the business situation and significant business transactions as well as the situation of the company and the Group as a whole.

The Supervisory Board held seven Supervisory Board meetings in the fiscal year 2025. Three of these meetings were held in person with the possibility of participation by means of video conference, while the remaining four meetings were held by video conference. At regular intervals, the Management Board provided the Supervisory Board with comprehensive information on the economic and financial development of the company, including the risk situation, at the Supervisory Board meetings and provided additional information on request.

All members of the Supervisory Board attended all seven Supervisory Board meetings. In accordance with the recommendations of the German Corporate Governance Code, the Supervisory Board also met regularly without the Management Board.

The Supervisory Board maintained two permanent committees in the reporting year, namely an Audit Committee and a Personnel and Remuneration Committee. The committees are responsible primarily for preparing the decisions to be taken by the Supervisory Board. The Audit Committee held five meetings in the fiscal year 2025. All five meetings were held as video conferences. In the fiscal year 2025, the Personnel and Remuneration Committee held one ad-hoc meeting, as a result of which written recommendations for the Supervisory Board were prepared. The Committee operated on an ongoing basis, performing the tasks within its remit through continuous coordination and consultations involving all of its members.

CHANGES TO THE SUPERVISORY BOARD

The Supervisory Board mandate of Florian Schuhbauer ended at the close of the Annual General Meeting on June 25, 2025. Therefore, a new member of the Supervisory Board had to be elected. It was resolved to appoint Dr. Tobias Silberzahn for a period from the end of the Annual General Meeting on June 25, 2025, until the end of the Annual General Meeting that resolves on the discharge for the fiscal year 2029.

Due to the fact that Florian Schuhbauer was serving the position of the Chairman of the Supervisory Board and the position of the Chairman of the Personnel and Remuneration Committee, it was necessary to conduct election for vacant positions. The Vice Chairman of the Supervisory Board, Dr. Peter Greiner, resigned from his position and was elected as the new Chairman of the Supervisory Board and as the new Chairman of the Personnel and Remuneration Committee. Dr. Tobias Silberzahn was appointed as the new Vice Chairman of the Supervisory Board and as the new member of the Personnel and Remuneration Committee.

CONFLICTS OF INTEREST

During the reporting period, the Supervisory Board was not informed by its members of any circumstances that could give rise to a significant and not merely temporary conflict of interest.

TRAINING AND FURTHER EDUCATION MEASURES

The company offered and conducted a training course for the members of the Supervisory Board in the fiscal year 2025. The content of the training course was the legal framework, corporate governance and key capital market law aspects relevant to a publicly listed German stock corporation.

FOCUS OF THE SUPERVISORY BOARD'S DELIBERATIONS

In addition to overarching topics, the Supervisory Board dealt with issues relating to individual areas and, where necessary, passed the necessary resolutions. During the reporting year, the Supervisory Board's deliberations focused on the following:

- Annual and Consolidated Financial Statements for the fiscal year 2024 Declaration of Conformity, Declaration of Corporate Governance, Remuneration Report and Dependency Report;
- Cooperation and coordination with the auditor;
- Economic development of the Group in the fiscal year 2025;
- Planning of the annual budget of FamiCord Group for the fiscal year 2025 and 2026;
- Management Board matters concerning the Short Term Incentive bonus for the fiscal year 2024; the allocation of Virtual Stock Options for the fiscal year 2025 and the determination and weighting of performance indicators for the Short Term Incentive bonus 2026; amendment of the Rules of Procedure of the Management Board; appointment of Dr. Cornelia Wittke-Kothe as a member of the Management Board at FamiCord AG and Chief Commercial Officer; reappointment of Jakub Baran as a Chairman of the Management Board; appointment of Tomasz Baran as a member of the Management Board for a new term with the function of Chief Medical Officer; approval of employment-related adjustments for Jakub Baran, Thomas Pfaadt and Tomasz Baran;
- Changes in the chairmanship of the Supervisory Board and changes in the Personnel and Remuneration Committee;
- Proposed resolutions for the Annual General Meeting 2025 including the proposal for the election of a member of the Supervisory Board;
- Approval of a settlement and transaction with companies of the Myrisoph Group, including the waiver of mutual claims and the acquisition of certain tangible and intangible assets;
- Approval of the conclusion of a framework agreement with PrimeCell Advanced Therapy, a.s., relating to the acquisition of an increased shareholding in Národní centrum pupečníkové krve s.r.o. and Rodinná banka perinatálnych a mezenchymálnych buniek s.r.o.;
- Approval of ceasing investment and loss of control over FamiCordTx S.A.;
- Business planning of the Management Board for the fiscal year 2026;
- Matters relating to the subsidiaries of the FamiCord Group;
- Approval of the acquisition of shares in eticur GmbH by FamiCord AG and the subsequent merger of eticur GmbH with FamiCord AG;
- Approval of the conclusion of the Share Purchase Agreement pursuant to which Polski Bank Komórek Macierzystych sp. z o.o. shall acquire shares of nOvum sp. z o.o.;
- Corporate governance and organizational matters of the Supervisory Board, including the efficiency review.

CORPORATE GOVERNANCE

The Supervisory Board dealt with the corporate governance standards practised in the company and the implementation of the recommendations and suggestions of the German Corporate Governance Code as amended on April 28, 2022. On April 30, 2025, the Management Board and Supervisory Board issued a Declaration of Conformity, which is published on the company's website in the "Investor Relations" section.

ANNUAL AND CONSOLIDATED FINANCIAL STATEMENTS, AUDIT

The annual financial statements of FamiCord AG are prepared in accordance with the provisions of the German Commercial Code (HGB), the consolidated financial statements and the combined management report of FamiCord AG are prepared on the basis of Secs. 315, 315a HGB in conjunction with the International Financial Reporting Standards (IFRS), as applicable in the European Union. The auditor, PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft (Berlin branch), audited the annual financial statements of FamiCord AG, the consolidated financial statements and the combined management report. The audit engagement was issued in accordance with the resolution of the Annual General Meeting, the legal requirements and the requirements of the GCGC.

As a result, it should be noted that the rules of the HGB and IFRS were complied with in the preparation of the financial statements. The annual and consolidated financial statements each received unqualified audit opinions. The financial statement documents were discussed in detail at the year closing related meeting of the Supervisory Board on April 30, 2026, in the presence of and following a report by the auditor. At this meeting, the auditor's representatives reported on the key findings of their audit and on the control and risk management system with regard to accounting. They also discussed the scope, focus and costs of the audit. They also stated that there were no grounds for bias; PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft exclusively provided auditing services.

The Supervisory Board has examined the annual financial statements, the consolidated financial statements and the combined management report. As a result of its own examination, there were no objections to the annual financial statements of FamiCord AG, the consolidated financial statements of FamiCord AG, the combined management report and the corresponding audit reports of the auditor. Following its own examination, the Supervisory Board approved the results of the audit, adopted the annual financial statements of FamiCord AG prepared by the Management Board and approved the consolidated financial statements at its meeting on April 30, 2026. The Supervisory Board agrees with the combined management report and, in particular, the assessment of the further development of the Company.

FamiCord AG prepared a Dependency Report for fiscal year 2025 in accordance with Section 312 AktG. The Dependency Report was also audited by the auditor appointed by the Annual General Meeting (PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft, Berlin branch) in accordance with Section 313 (1) AktG. A separate written report was submitted on the results of the audit. At the year closing related meeting on April 30, 2026, the auditor also reported on the results of this audit and confirmed that the factual information in the Dependency Report is correct. As there were no objections to the Management Board's report, the audit certificate was issued in accordance with Section 313 (3) AktG.

The Dependency Report was submitted to the Supervisory Board for review in good time before the year closing related meeting on April 30, 2026, in accordance with Section 314 AktG. The Supervisory Board examined the Dependency Report in detail at its meeting. The Supervisory Board determined that, based on the final results of its review, there were no objections to the declaration by the Management Board at the end of the report on relationships with affiliated companies and approved the Dependency Report at its meeting on April 30, 2026.

AUDITOR'S REPORT

PricewaterhouseCoopers GmbH Wirtschaftsprüfungs-gesellschaft issued the following unqualified audit opinion on the Dependency Report in accordance with Art. 313 par. 3 of the German Stock Corporation Act (AktG):

In accordance with our engagement, we have audited the report of the Management Board pursuant to Section 312 AktG on relationships with affiliated companies (Dependency Report) pursuant to Section 313 AktG for the fiscal year 2025. As the final results of our audit do not give rise to any objections, we issue the following auditor's report in accordance with Section 313 (3) sentence 1 AktG:

Following our dutiful audit and assessment, we confirm that

1. the actual information in the report is correct,

2. the consideration paid by the company for the legal transactions listed in the report was not unreasonably high,

3. there are no circumstances regarding the measures set out in the report that would justify an assessment substantially different from that of the Management Board.

Berlin, April 30, 2026
PricewaterhouseCoopers GmbH
Wirtschaftsprüfungsgesellschaft

Susanne Riedel	Dr. Kay Lubitzsch
Wirtschaftsprüferin	Wirtschaftsprüfer

The Supervisory Board would like to thank the Management Board and the employees for their work during the fiscal year.

April 30, 2026
For the Supervisory Board



Dr. Peter Greiner
Chairman of the Supervisory Board

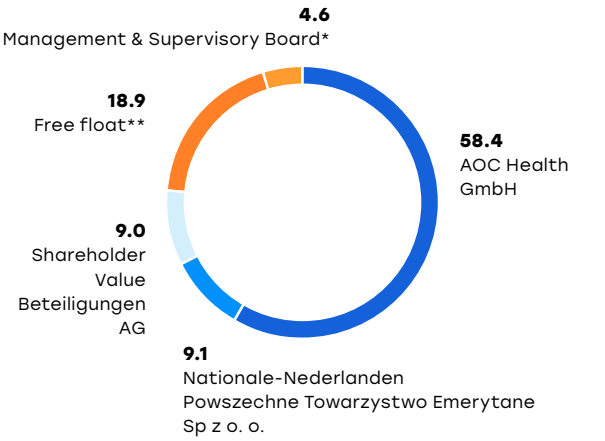
FAMICORD AG SHARES

Key share figures 2025

Ticker symbol/Reuters symbol	V3V / V3VGn.DE
Securities identification number / ISIN	A0BL84 / DE000A0BL849
Initial listing	03/27/2007
Market segment	Prime Standard
Indices	CDAX, Prime All Share, Classic All Share, DAXsector Pharma & Healthcare
Price on 01/02/2025*	EUR 4.22
Price on 12/31/2025*	EUR 6.10
Highest/lowest price	EUR 7.30 / EUR 3.80
Market capitalization on 12/30/2025	EUR 107.6 million
Designated Sponsor	mwb fairtrade Wertpapierhandelsbank AG

* Closing prices Xetra trading system of Deutsche Borse AG

Shareholder structure as of December 31, 2025 in %



* The members of the Management Board hold the following numbers of shares: Jakub Baran 628,153 and Tomasz Baran 122,800.

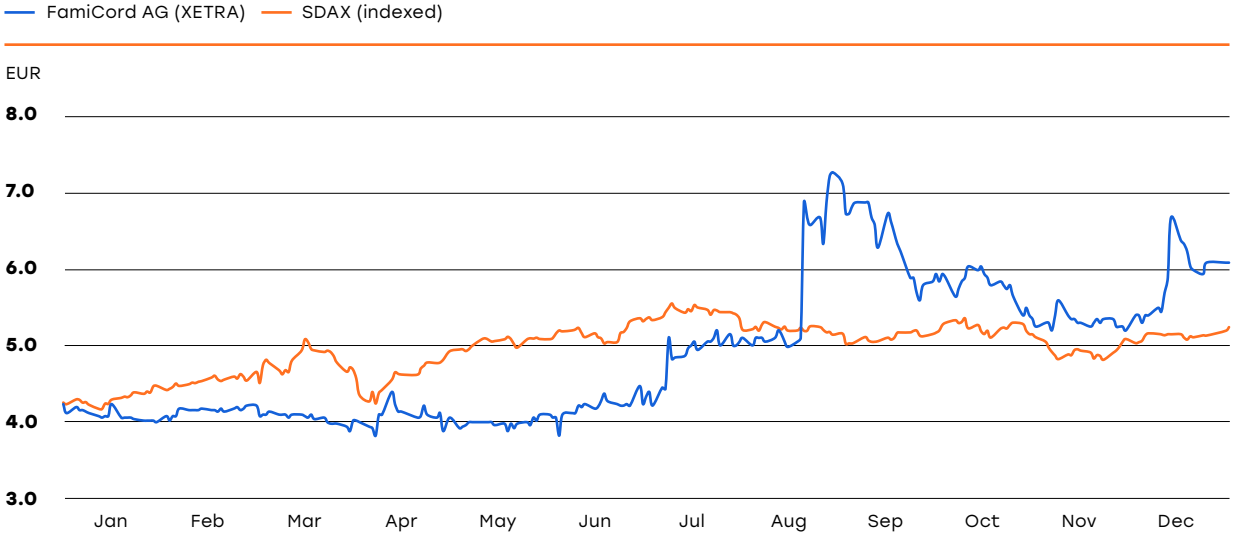
** Thereof 208,342 treasury shares.

The stock market year of 2025 was a surprisingly positive one for equity investors, ending with consistently strong stock performance despite significant volatility along the way. The year was primarily marked by two contrasting phases: a sharp decline in April due to global trade tensions and a broad recovery rally in the second half of the year. Germany's leading index, the DAX 40, demonstrated remarkable resilience and ended the year at 24,490 points–an increase of around 23% compared to the previous year. In a global context, the upward trend of previous years continued with remarkable momentum in 2025, although the performance profiles of the major indices showed a significant shift. The MSCI World ended the year at 4,618.75 points, a 21% increase over the previous year. The leading U.S. index, the Dow Jones Industrial Average, also proved robust but lagged behind the momentum of technology-oriented markets. It closed the year at 48,883.04 points, representing a 14.9% increase compared to the end of 2024.

Particularly noteworthy is the SDAX's outperformance relative to these global benchmarks. While small- and mid-cap stocks had still suffered significantly from investor caution in 2024, this picture changed fundamentally in 2025. With an annual gain of 25.2%, the SDAX outperformed both the Dow Jones and the MSCI World. This rally was driven by the fundamental integration of Artificial Intelligence (AI) into industrial processes as well as a special economic boom in the defense sector.

At the same time, tangible assets experienced a renaissance: While gold shone with a gain of 65% to over USD 4,300, silver emerged as the top performer among commodities with a price jump of around 144%. Cryptocurrencies also held their ground. Bitcoin consolidated its position near the USD 100,000 mark after hitting a record high of over USD 124,000 in October.

Share price development 2025 of FamiCord AG shares compared to the SDAX



In the first full fiscal year following the change of name, FamiCord shares benefited significantly from the positive sentiment toward small-cap stocks. Following a subdued start and an annual low of EUR 3.80 during the market turmoil in April, a dynamic upward trend began. Supported by positive quarterly results and successful expansion in the European stem cell market, the shares reached an annual high of EUR 7.30 in August. The shares closed the year at around EUR 6.10. This represents an impressive annual performance of 53% compared to the previous year's closing price of EUR 4.00.

The research firm Montega continued to closely monitor FamiCord AG in 2025. In his reports, analyst Tim Kruse highlighted the accelerated profitability and the improved visibility of revenues. As a result of operational progress, the price target was significantly raised.

Institution	Analyst	Recommen-dation	Target price
Montega	Tim Kruse	Buy	EUR 7.50

Status: 12/31/2025

The company's Annual General Meeting was held on June 26, 2025, in Berlin, for the first time under the new name FamiCord AG. At the time of the vote, the percentage of share capital represented stood at 67.5% (2024: 75.9%), which was a good level. The resolutions included the annual resolutions on the appropriation of the balance sheet profit, the discharge of the Management Board and Supervisory Board, as well as the election of the auditor and the approval of the remuneration report. In addition, an amendment to the Articles of Association regarding the company's purpose was approved, and Tobias Silberzahn was elected to the Supervisory Board as a new member. All agenda items were approved by a large majority.

No capital measures took place in the fiscal year 2025. As of December 31, 2025, the number of outstanding shares remained unchanged at 17,640,104.

The company's name change took effect on January 31, 2025. As part of the name change, the price history was fully retained under the existing identification codes (WKN and ISIN), ensuring transparency for investors.



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COMBINED MANAGEMENT REPORT

for the fiscal year 2025 of FamiCord AG, Leipzig

Preliminary remark

FamiCord AG, Leipzig, is the parent company of the FamiCord Group and is also referred to accordingly below. The Group parent company and the Group operated under the name Vita 34 AG until January 31, 2025, and operate under the name FamiCord AG since January 31, 2025, after the company was renamed accordingly on the basis of the resolution passed by the Annual General Meeting on June 28, 2024. The "FamiCord Group" (hereinafter "FamiCord" or "FamiCord Group") was formed effective November 8, 2021 from the merger of the former Vita 34 AG and its subsidiaries (hereinafter "subgroup Vita 34") and Polski Bank Komórek Macierzystych Sp. z o.o., Poland, and its subsidiaries (hereinafter "subgroup PBKM") and comprises the business activities of these two subgroups, divided into the two corporate segments "subgroup Vita 34" and "subgroup PBKM". The subgroup Vita 34 comprises the business activities of the direct subsidiaries of FamiCord AG with the exception of the subgroup PBKM. If the following refers exclusively to the interests of the parent company or one of the subsidiaries, this is explicitly stated.

In June 2025, the Management Board decided to discontinue the company's own CAR-T therapy activities, which had until then been predominantly carried out by FamiCordTx S.A. Following the loss of control over FamiCordTx as of December 31, 2025, the company was deconsolidated in 2025 and presented as a discontinued operation in the consolidated financial statements in accordance with IFRS 5. As of December 31, 2025, the remaining interest was accounted for as an at-equity investment. This does not result in a reduction in revenue but does lead to a decrease in R&D expenses. The comparative information for the prior-year period has been adjusted accordingly. Unless stated otherwise, all financial information provided hereinafter refers exclusively to continuing operations.

Fundamentals of the Company and the Group

This combined management report reports on the business development of FamiCord AG ("the Company"), Leipzig, and the Group ("FamiCord" or "FamiCord Group") for the fiscal year from January 1 to December 31, 2025. The Company prepares its financial statements in accordance with the provisions of the German Commercial Code (HGB) and the German Stock Corporation Act (AktG). The Group prepares its financial statements in accordance with the International Financial Reporting Standards (IFRS) as applicable in the European Union pursuant to § 315e HGB. The composition of the consolidated group is listed in the notes to the consolidated financial statements under Note 4 "Composition of the Group".

BUSINESS MODEL

The **core business** of FamiCord AG and the Group is the collection, preparation and long-term storage of stem cells from umbilical cord blood, umbilical cord tissue and placenta tissue. Stored samples can be released for the therapy if needed ("Family Banking"). This business represents the Group's primary revenue and earnings driver and forms the economic backbone of FamiCord.

Complementary activities such as contract manufacturing and selected development projects in the field of advanced therapies are pursued selectively and subject to strict economic evaluation criteria. These activities are intended to support and strengthen the core business, while capital allocation remains clearly focused on sustainable profitability and cash generation within Family Banking. In addition, the Group is increasingly implementing selected other cryopreservation-related activities, in

particular the storage and cryopreservation of sperm and oocytes for use in reproductive medicine.

Medical potential. The first transplantation of stem cells from umbilical cord blood took place in 1988. Since then, more than 60,000 umbilical cord bloods have been used therapeutically in patients in the Western world. Worldwide, more than 800,000 umbilical cord blood units are now stored in public cord blood banks and more than six million are available in private cord blood banks.[1] Today, according to Cord Blood Association, the use of stem cells is still primarily associated with the already established treatment of diseases of the hematopoietic system and immune system, such as leukemia or lymphoma. While this is the main area of applications of umbilical cord blood from public banks, the applications of privately stored cord blood units have clearly shifted to the field of regenerative medicine in recent years. Encouraging results are currently being recorded in clinical studies in the treatment of cerebral palsy and certain forms of ASD. The increasing use of stem cells in clinical practice and the inclusion of cord blood stem cells and stem cells derived products in medical guidelines for the treatment of cerebral palsy or autoimmune diseases, for example, can also be observed.[2, 3]

For FamiCord, these medical developments are economically relevant primarily because broader therapeutic applications support long-term demand for private stem cell storage. This is reflected in higher customer awareness, improved conversion rates for comprehensive storage packages (including tissue and placenta) and increasing contract renewals. The Group's strategy therefore focuses on translating medical progress into sustainable recurring revenues within its core business of Family Banking.

FamiCord intends to participate in the growth of Cell & Gene therapies. This is done by providing support for third parties (biotech companies, universities, clinicians) to use stem cells in clinical applications. Such applications are financed by third parties funds, public grants or crowdfunding. By expanding its business activities in the Contract Development & Manufacturing Organization (CDMO) segment, FamiCord intends to strengthen its perception as an important partner in the field of Cell & Gene therapies. Bramble.bio is FamiCord's dedicated brand in this field. CDMO activity also helps to increase the awareness of the usefulness of various cell and tissue therapies in today's medicine.

Cooperation with maternity clinics and gynecologists. In order to collect the youngest and most vital stem cells immediately after birth, FamiCord works together with numerous maternity facilities in Europe, the Middle East and Hong Kong. The company regularly trains clinic personnel in the professional collection of umbilical cord blood and tissue, as well as related obligations in accordance with legal requirements in order to ensure the highest possible process quality.

Storage process for further release. After collection in one of the partner clinics, the biological material is transported as quickly as possible to one of the national or international FamiCord laboratory locations according to documented specifications. There, it is processed, tested, cryopreserved and stored in accordance with the corresponding manufacturer's licenses. The stem cells from umbilical cord blood and other postnatal tissues are thus preserved for therapeutic applications for many decades. Storage gives parents access to current and future stem cell therapies for their child and, if applicable, their family members.

Quality assurance. FamiCord stands for compliance with the highest industry standards set by local and international bodies (such as AABB). FamiCord is able to set and maintain these standards through consistent quality assurance and a continuous improvement process. To this end, FamiCord has the necessary certifications for the collection, processing, cryopreservation and storage of umbilical cord blood and tissue.

The Group's main areas of activity remain primarily the collection, processing, cryopreservation and storage of umbilical cord blood, umbilical cord tissue and, since 2022, placenta. In 2025, FamiCord began to introduce placenta banking in other markets, for example in Portugal. Other activities mentioned are also expected to play a greater role in the medium to long term.

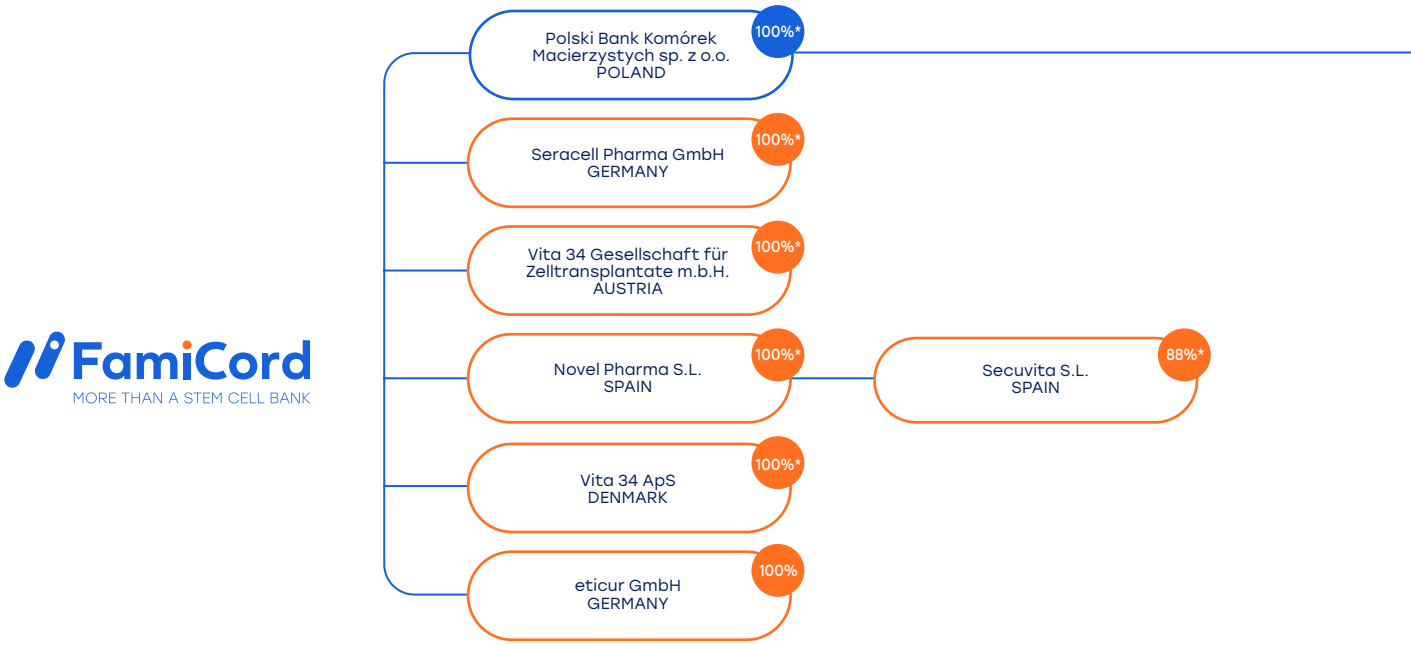
PRODUCT PORTFOLIO

As a result of the merger of the present-day subgroups Vita 34 and PBKM, the FamiCord Group has a broad portfolio of cell-oriented service offerings. In addition to the storage of umbilical cord blood, FamiCord also offers the storage of umbilical cord tissue, placental tissue and, in some countries, amnion. Umbilical cord and placenta tissue can be stored as processed tissue fragments or as isolated cells.

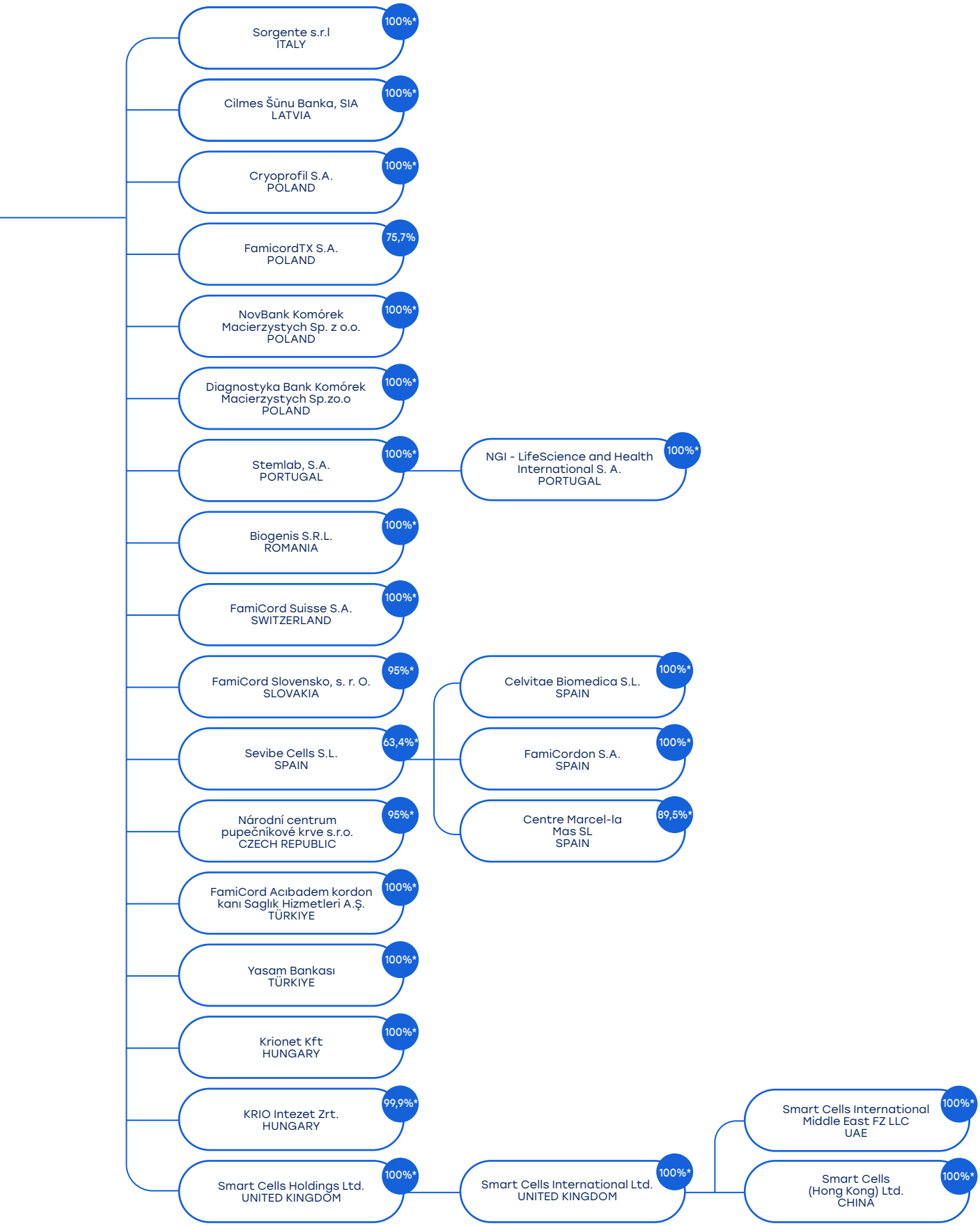
Other fields and activities include contract manufacturing for classic transplants or contract manufacturing of ATMPs for cell and gene therapies. In the first case, samples from bone marrow and/or mobilized peripheral blood stem cells are tested, processed and delivered to transplant clinics. In the second case, cell and gene drugs (ATMPs) are produced either for individual patients or in larger batches for clinical trials.

At present, CDMO including ATMP-related activities represent a complementary business area and do not materially contribute to Group revenues. Investments in this field are subject to strict economic evaluation and are aligned with the Group's overall capital allocation discipline.

Corporate structure and shareholdings



* Full consolidation


Sorgente s.r.l
ITALY
100%*
Cilmes Šūnu Banka, SIA
LATVIA
100%*
Cryoprofil S.A.
POLAND
100%*
FamicordTX S.A.
POLAND
75,7%
NovBank Komórek Macierzystych Sp. z o.o.
POLAND
100%*
Diagnostyka Bank Komórek Macierzystych Sp.zo.o
POLAND
100%*
Stemlab, S.A.
PORTUGAL
100%*
NGI - LifeScience and Health International S. A.
PORTUGAL
100%*
Biogenis S.R.L.
ROMANIA
100%*
FamiCord Suisse S.A.
SWITZERLAND
100%*
FamiCord Slovensko, s. r. O.
SLOVAKIA
95%*
Sevibe Cells S.L.
SPAIN
63,4%*
Celvitae Biomedica S.L.
SPAIN
100%*
FamiCordon S.A.
SPAIN
100%*
Centre Marcel-la Mas SL
SPAIN
89,5%*
Národní centrum pupečníkové krve s.r.o.
CZECH REPUBLIC
95%*
FamiCord Acıbadem kordon kanı Saglık Hizmetleri A.Ş.
TÜRKIYE
100%*
Yasam Bankası
TÜRKIYE
100%*
Krionet Kft
HUNGARY
100%*
KRIO Intezet Zrt.
HUNGARY
99,9%*
Smart Cells Holdings Ltd.
UNITED KINGDOM
100%*
Smart Cells International Ltd.
UNITED KINGDOM
100%*
Smart Cells International Middle East FZ LLC
UAE
100%*
Smart Cells (Hong Kong) Ltd.
CHINA
100%*

The publicly traded FamiCord AG is the parent company of the FamiCord Group, which is active in Europe, the Middle East and Hong Kong. In the reporting year, certain measures were carried out to simplify the Group structure. FamiCord AG purchased the company eticur GmbH (Munich, Germany) from its Polish subsidiary PBKM with the purpose of its further and now on-going merger into FamiCord AG. The Group acquired in full stem cell bank "nOvum" Sp. z o.o. (Warsaw, Poland) and increased its stake in Národní centrum pupečníkové krve s.r.o. (NCPK) (Ostrava, Czech Republic) and Rodinná banka perinatálnych a mezenchymálnych buniek s.r.o. (RBPMB) (Bratislava, Slovakia) from 26% to 95% in each case. Another measure to simplify the Group structure relates to Vita 34 Slovakia s.r.o. (Bratislava, Slovakia), which was liquidated in 2025. In 2025, FamiCord AG decided not to invest further in CAR-T product development and entered into contractual arrangements in connection with a capital increase and changes in governance rights, including the loss of a majority of votes on the Supervisory Board despite its 75% ownership interest in FamiCordTx S.A. (Warsaw, Poland). The FamiCord Group will take additional steps to further simplify its entire structure, for example in Spain or Poland.

FAMICORD ON THE INTERNATIONAL MARKET

FamiCord operates internationally with a clear focus on selected core markets. In 2025, the most important markets in terms of revenue were Poland and Germany, followed by Switzerland due to its significant share of international business. In addition, the Group continues to expand selectively in high-growth regions such as the GCC countries. While FamiCord serves clients from around 50 countries, management resources and investments are primarily concentrated on markets with sustainable growth potential and attractive profitability profiles.

GOALS AND STRATEGIES

The Group's strategic priorities are clearly defined:

(1) strengthening and expanding the core business of Family Banking,
(2) rolling out placenta storage in all possible markets,
(3) pursuing selective geographic expansion where sustainable profitability can be achieved, and
(4) development of CDMO activities is expected to contribute to group revenues and drive indirect growth in the family banking sector through increased involvement in cell and gene therapies.

The primary objective remains to increase market penetration and market share within existing core markets, thereby enhancing recurring revenues and long-term contract stability.

FamiCord wants to increase awareness of stem cell-based therapies and thus increase both the size of the market, and the number of services offered. For example, the Group is in the process of rolling out placenta storage in new countries where comparable offers are not yet available. The strategic focus in this area was further strengthened in 2025, and corresponding measures were implemented or prepared. At the same time, FamiCord wants to increase its market share in coming years in selected countries, particularly but not limited to UAE and other GCC countries, UK, Romania and Italy. There are also several ongoing campaigns to win over as many customers as possible whose prepayment contracts are expiring for longer storage of the samples. The existing client base represents a key stabilizing factor for the Group. It generates substantial recurring revenues from annual payments and extensions of long-term contracts. A significant number of contracts originally concluded for 20 to 25 years are currently reaching maturity. Based on historical experience, a substantial portion of these customers extend their contracts, thereby contributing to predictable future revenues and cash inflows. In addition, the average annual storage price has shown a gradual upward trend due to a combination of few factors, particularly indexation of price because of inflation, and offering more products because of roll-out of placenta tissue banking.

As for the achievement and implementation of growth, FamiCord made further progress in 2025. Particularly worthy of mention is the expansion of the product range to include the introduction of placenta banking. After the first positive customer response to this new service in Switzerland, FamiCord also implemented the market launch in Poland, the GCC countries, Romania, Italy in 2024 and in Portugal in 2025. Also in 2025, FamiCord AG obtained necessary licenses for placenta banking in Germany with a plan to start commercialization in 2026. The Group is preparing the introduction of placenta banking in additional markets. The timing of commercialization depends on the completion of regulatory approval procedures and administrative processes in the respective countries.

Based on internal analyses and available market data, FamiCord maintained or expanded its market position in the majority of its core markets during the reporting year. Intensive marketing and sales efforts continued to serve this purpose in 2025. The goal achievement of this organic expansion of the market position can usually only be measured in the medium term. In addition, nationally adapted contract designs, which were increasingly implemented in several countries in 2025, supported the expansion of the company's own market position. The positive storage and revenue figures in the GCC countries underscore the successful measures in developing new international markets. In contrast, despite significant efforts sales results in Germany and Portugal stay below expectations due to market-specific factors.

In 2025, AI-supported search functionalities gained relevance in several core markets. As digital information channels represent an important touchpoint in the customer acquisition process, the Group continuously monitors developments in AI-generated search results and

large language model outputs. Management is observing that AI-based search functionalities may increasingly influence early-stage customer information behavior and acquisition metrics, which may over time also affect revenue development and operating cash flow. The long-term impact on demand patterns is still evolving. The Group is therefore adapting its digital communication strategy to support the availability of up-to-date, evidence-based information across relevant online channels.

EXPANSION OF THE CORE BUSINESS

FamiCord relies on a combination of organic and inorganic growth within the scope of its corporate strategy. With the merger of the present-day subgroups PBKM and Vita 34, today's FamiCord has been able to increase its market coverage in Europe. The Group is represented in all economically attractive markets from the perspective of FamiCord, primarily in Central and Southern Europe. Exceptions to this are markets such as France and Belgium, in which special circumstances or legal restrictions de facto do not allow market entry. In the medium term, the Group aims to further consolidate its market position in Europe and strengthen its competitive standing in the majority of the countries in which it operates. FamiCord's extremely strong position in the core European markets it already serves will prove to be a decisive success factor. In addition, the Group aims to further develop markets outside Europe, particularly in the GCC region.

Organic growth will be driven primarily by new business from the storage of umbilical cord blood and umbilical cord tissue. The storage of placental tissue is also expected to make a gradual contribution. In the coming years, significantly more revenues are also expected from prepayment contracts that were concluded usually 5, 10, 18, 20 or 25 years ago and are likely to be extended by customers. Based on historical data, depending on the market, on average 40% to 60% of customers whose long-term prepayment contracts expire decide to extend storage; there are some markets with even higher ratios. This renewal behavior represents an important component of the Group's recurring revenue base.

INORGANIC GROWTH

FamiCord inorganic growth strategy is traditionally focused on horizontal (development of new markets) acquisitions in Europe, which are intended to strategically strengthen the market position according to clearly defined parameters and develop additional synergies, particularly in the areas of marketing and sales, as well as production and administration. FamiCord has already successfully acquired and integrated a whole series of companies since 2006. Overall in its history, including the year 2025, FamiCord conducted around 30 transactions of M&A nature in several countries. The most important transaction took place in the year 2021: the merger of the present-day subgroups Vita 34 and PBKM was another very significant step in the Company's history. From this position, FamiCord intends to further participate in the consolidation of the European market while selectively evaluating expansion opportunities outside Europe. In 2025, FamiCord continued this strategy of inorganic growth with two majority acquisitions and a complete company takeover.

The majority of the aforementioned transactions brought the expected results; however, several did not contribute well enough to Group results despite an initial positive outlook. While integration processes were managed very well in the majority of cases, top line performance did not always meet expectations. Future acquisitions will be subject to strict financial and strategic criteria, including profitability, integration capability and sustainable cash generation. The Group places particular emphasis on disciplined capital allocation and post-merger integration performance.

ONGOING COST EFFICIENCY

Projects to optimize group-wide processes were already implemented in past years including 2025. The focus was on the markets in Germany, Italy, Switzerland, Spain, Portugal and Poland as further cost-reduction potential was identified here in particular. Specific measures were taken here to ensure the best possible coordination of logistics, administration and laboratory and storage capacities, from which efficiency gains can be derived in the long term. Synergies were also achieved in the areas of sales, marketing and customer service. For example, some of the marketing or HR activities of subsidiaries were bundled centrally in Leipzig or Warsaw, which led to savings in personnel and material expenses. Moreover, optimized resource management in the entire Group strengthens the negotiating position of FamiCord vis-à-vis suppliers. This has reduced the dependence on external service providers, and lower purchase prices have been negotiated. The goal of the Management Board is to continue to advance the orientation of the Group-wide organizational and process structure towards cost efficiency.

MANAGEMENT SYSTEM AND PERFORMANCE INDICATORS

The key financial indicators revenue and EBITDA (= earnings before interest, taxes, depreciation and amortization) and the non-financial key figure of the number of storages are the central control parameters of FamiCord AG and the FamiCord Group. The development of the control parameters with regard to defined target values is constantly monitored internally, as well as reported on a quarterly, semi-annual and annual basis.

The key figures for financial corporate management of the Group are as follows:

REVENUE

Revenue represents the equivalent value of operating activities. Remuneration received for storage services to be provided over several periods is distributed over the period in which the corresponding storage is provided.

EBITDA

EBITDA (= earnings before interest, taxes, depreciation and amortization) is the key performance indicator of FamiCord and serves as an important measure of the Group's operating profitability.

In addition to revenue and EBITDA, management closely monitors cash generation, liquidity development and the renewal rate of expiring storage contracts, as these factors are essential for assessing the sustainability of the Group's results of operations and financial position.

In addition to these key performance indicators, management also uses further operational KPIs, including the number of new customer contracts signed (defined as the total number of contracts concluded with new customers within the reporting period, regardless of the payment model) and the net amount of invoiced services (representing the total value of services invoiced to customers in the reporting period before revenue deferrals in accordance with IFRS 15). These KPIs are not considered primary control parameters but support the assessment of sales performance and future business development and provide a clearer picture of the purely operational performance before the deferral of revenue in accordance with IFRS.

The precise development of these performance indicators and other important key figures is explained in the chapters "Revenue and results of operations", "Financial position" and "Net assets". The other financial key figures are reported to provide a corresponding picture of the position and performance of FamiCord. However, they do not serve as a basis for management or control decisions.

The number of new storages is a key non-financial performance indicator and control parameter:

NUMBER OF NEW STORAGES B2C

The development of the number of new stem cell storages (deposits) especially in the B2C channel is used to evaluate the market acceptance of FamiCord's products and services and, in particular, to measure the effect of marketing and sales activities. The number of new storages is determined based on already signed customer contracts that have resulted in childbirth, collection of biological material and completion of the preparation process, irrespective of the number of biological materials collected. Each such contract corresponds to one new storage and one client for reporting purposes. These figures are adjusted for destroyed samples, for retrievals of primary B2B samples and for so-called transfer samples, which are recorded twice in the Group. The number of new stem cell storages in the B2C channel is one of the key parameters of the Management Board's annual bonus scheme.

RESEARCH AND DEVELOPMENT

Research and development activities are conducted selectively and with strict economic discipline. Investments are focused on projects with a clearly defined business case and a reasonable risk-return profile. In the short term, R&D efforts are primarily directed at strengthening and expanding the core business of Family Banking, in particular the rollout of placenta storage across Europe. In the fiscal year 2025, research and development expenses amounted to EUR 0.8 million (2024: EUR 4.0 million), which corresponds to 0.9% (2024: 4.7%) of revenues. As of December 31, 2025, FamiCord employed a total of 10 (2024: 27) employees involved in Research and Development. The significant decrease in research and development expenses is attributable to the discontinuation of the CAR-T business. Any costs related to CAR-T may arise as part of the company's preparations to manufacture this type of product for a third party as part of its CDMO operations.

EMPLOYEES AND QUALIFICATIONS

FamiCord has an international team of qualified employees. They are the foundation for long-term positive development, as well as for the successful acquisition and integration of new companies. FamiCord promotes cross-team cooperation and joint ventures.

As of December 31, 2025, FamiCord had a total of 742 employees (December 31, 2024: 771 employees).

FamiCord employee structure as of December 31, 2025

	Number of employees 2025	Number of employees in 2024
Total employees*	**742**	**771**
thereof Management Board	4	3
thereof employees in management positions	160	141

* Based on headcount excluding temporary staff and trainees, part-time employees and employees on parental leave

The staff of FamiCord is characterized by a high percentage of women of around 79%. 64% of employees in management positions are female. Offers for the compatibility of family and career are accepted by the employees. In addition to part-time employment, these include in some countries the flexible distribution of shift work, individual parental leave, additional cash benefits for childcare in daycare centers and kindergartens, as well as flexible working hours. The preventative measures offered to employees as part of health management, the range of foreign languages offered, and group life insurance also met with great interest in the reporting year.

Economic report

MACROECONOMIC ENVIRONMENT

Despite ongoing geopolitical tensions and trade policy uncertainties, the global economy proved resilient overall in 2025. According to estimates by the International Monetary Fund (IMF), global economic growth stood at 3.3% in 2025. This would represent a slight acceleration compared to 2024 (3.2%).[4] Growth dynamics remained regionally heterogeneous. While the United States in particular benefited from robust investment activity, including in the technology sector, and several emerging economies again recorded above-average growth rates in 2025, developments in the euro area were more subdued. The IMF attributes the overall stable global performance to countervailing factors. Accordingly, headwinds from trade tensions and geopolitical uncertainties are offset by positive drivers, including technology-driven investments and, in some areas, economic policy conditions that remain supportive. At the same time, global inflation is projected to decline in 2025 but remain elevated at 4.1% compared to the long-term average, which will accordingly affect real economic development and purchasing power. Global financing conditions remained supportive overall despite rising government debt and increased market volatility. Nevertheless, downside risks persisted, particularly due to potential new trade conflicts, geopolitical tensions, and heightened fiscal vulnerabilities.[5]

For Germany, however, only very weak macroeconomic development is expected in 2025. According to the latest winter forecast by the Kiel Institute for the World Economy (IfW), real gross domestic product will have grown by a mere 0.1% in 2025, after having actually declined by 0.5% in 2024.[6] Economic activity thus remains close to stagnation and is likely to have once again lagged behind the eurozone average, for which moderate expansion is projected overall. The structural weakness of the German economy, which has been evident for several years, is concentrated particularly in the manufacturing sector. Although industrial production stabilized at a low level, capacity utilization was well below the long-term average and, according to the IfW, reflected structural competitiveness issues. At the same time, exports remained subdued, with a slight increase of 0.9%. Private consumption showed a moderately positive annual average (+0.8%) after losing momentum over the course of the year. In the labor market, the economic weakness was reflected in a rising unemployment rate of 6.3% in 2025, up from 6.0% the previous year. Employment stagnated, while further job cuts were made, particularly in the industrial sector. In addition to intense global competition, particularly from Asia, high location costs, regulatory frameworks, and economic policy uncertainties continued to dampen investment and production decisions.

The nominal purchasing power of the European population developed positively in 2025. According to calculations by the market research firm NIQ, average per capita purchasing power in Europe is expected to rise to EUR 20,291 in 2025. This corresponds to a nominal increase of 4.0% compared to the previous year. In Germany, per capita purchasing power stands at EUR 29,566, which is approximately 46% above the European average. Purchasing power disparities within Europe remain significant. While countries such as Liechtenstein, Switzerland, and Luxembourg achieve multiples of the European average, some Eastern European nations continue to have significantly lower incomes. For consumption-oriented business models, the development of disposable income remains a key influencing factor. The nominal growth in purchasing power in 2025 is likely to have generally supported consumer demand, subject to price trends. However, the development of real purchasing power remains dependent on inflation trends as well as the consumption and savings behavior of private households. [7]

The FamiCord Group continues to assume that general purchasing power trends have a significant influence on demand for the services it offers. Since these services do not constitute daily necessities, particularly for young families, experience shows that demand reacts sensitively to changes in disposable income as well as to general consumer confidence.

Overall, the macroeconomic environment in 2025 is characterized by moderate global expansion alongside structural challenges in Germany. Economic development thus remains subject to uncertainties but simultaneously shows a stable trend.

INDUSTRY-RELATED FRAMEWORK CONDITIONS

Annual birth rates are always subject to certain fluctuations, which tend to play a minor role for the industry. This is because, within this population, there remains enormous potential for growth in the proportion of storages. However, birth rates in most European countries have declined significantly over the past few years. In Germany, for example, the birth rate fell from 1.58 children per woman in 2021 to 1.35 in 2024. Experts see one possible explanation for the relatively abrupt decline in births in the current phase of multiple crises, during which many people are postponing their plans to have children.[8] This trend continued in 2025, when, according to preliminary data, approximately 598,000 children were born between January and November. That was 4.3% fewer births than in the same period of 2024.[9] Against this background, the sharp decline in birth rates must be classified as a special factor that is, at the very least, temporarily highly detrimental.

The estimated storage rate (penetration) of umbilical cord blood in private cord blood banks (the number of stored cord blood samples relative to the number of annual births) is at a very low level overall in Europe, particularly in Germany. In comparison, storage rates are higher in Eastern and Southern European countries. In the past, a positive correlation between targeted marketing activities and revenue has also been observed. Therefore, in attractive markets, focusing on targeting potential customers will help unlock market potential.

It should be emphasized that the growth potential for penetration in Europe, where it currently stands at less than 2%, is significant. There are already countries with a penetration rate of over 5%, such as Portugal, Romania, and Hungary. In some developed economies in Asia, there are countries with even higher rates, such as Taiwan, South Korea, and Singapore.[10]

BUSINESS PERFORMANCE

The FamiCord Group remained firmly on a growth trajectory in fiscal year 2025. The sustainability of this development was underscored by the fact that growth was achieved over several consecutive quarters. At the same time, the turnaround already completed in 2024 was sustainably consolidated, and the Group's profitability was further increased. This applied to all key performance indicators, particularly new storages, revenue, and EBITDA. Revenue rose to EUR 88.2 million, representing a 7.3% growth compared to the previous year's figure of EUR 82.2 million. EBITDA increased substantially in 2025 versus 2024 as the result of higher prices charged, more clients paying annual subscription and cost control.

The main drivers of this positive development were, in particular, a favorable product mix with a higher proportion of more comprehensive service packages, as well as the price adjustments implemented in previous periods. At the same time, the Group succeeded in continuing to manage its cost base efficiently, thereby translating the operational leverage of revenue growth into improved earnings quality. This is all the more positive given that the challenging market environment did not improve noticeably during the reporting year. In particular, the continuing decline in birth rates in key markets, such as Germany, as well as ongoing consumer uncertainty, were so significant that their effects were clearly felt in the business performance. The combination of geopolitical tensions, particularly the Russia-Ukraine war in the immediate vicinity of FamiCord's key markets, along with inflation directly felt by consumers, persistently high energy prices, a high level interest rates, and concerns about the economy and employment led to reluctance among expectant parents in many markets to make additional expenditures.

Against this background, the Group's business performance in 2025 can be assessed as positive overall. FamiCord expects to have further expanded its market position in Europe in terms of market share.

STORAGE FIGURES AND CUMULATIVE STORAGE STOCK

The total number of storages increased in 2025 from approximately 1.06 million to approximately 1.134 million. The cumulative storage stock of stem cell preparations, excluding the samples previously stored by the insolvent Cryo-Save AG, Switzerland, developed as follows:

Cumulative storage stock

Figures in thousand	2021	2022	2023	2024	**2025**
Total	886[1]	931	1,006[1]	1,060[1]	1,134[1]

1 Adjusted for corrections of the databases, churn, B2B contracts status and destruction of samples

The growth in cumulative storage stock was attributable in particular to new contracts, acquisitions of new companies, the introduction of placenta banking in individual countries, the extension of expiring storage contracts, and the continued stability of the storage business.

DEVELOPMENT IN NEW STORAGES

The number of new biological material added to storage in the FamiCord Group in 2025 was 68.0 thousand, approximately 11.1% higher than the previous year's level of 61.8 thousand, and thus above expectations. FamiCord AG beat the previous year's figure of 4.3 thousand with 6.66 thousand new storages and was thus also above expectations.

DEVELOPMENT IN CONTRACT RENEWALS

The renewals remained below the prior-year figure. This was primarily due to the fact that a very high rate of activation of existing customers with short remaining contract terms had already been achieved in 2024. Regardless, the renewal rate remained at a high level. The customer churn rate was unchanged at less than 1%. The FamiCord Group thus continued to achieve very good results in renewing expiring contracts.

EFFECTS FROM CHANGES IN PRICE AND CONTRACT STRUCTURES

The wide range of payment options remained tailored to customers' individual preferences. The focus continued to be on the options for prepayment for processing and storage over a defined period, as well as the offering of annual payment contracts with annual billing. This approach is intended, in particular, to reduce barriers to entry and tap into market potential as effectively as possible.

The price adjustments implemented in 2025 also provided additional revenue momentum. Furthermore, the positive trend in contract structures continued. The share of subscription models increased further in all quarters. In the medium term, this increases the predictability of recurring revenue, but in the short term it leads to visibly lower cash flows from prepayments. At the same time, the share of prepayment contracts gradually returned to the long-term average level.

NEW PRODUCTS AND SERVICES

Demand for placenta tissue storage continued to develop positively in Switzerland, the GCC region, Italy, Poland, and Romania, where this service is already available. Overall, there was a clear trend toward more comprehensive and higher-margin service packages.

ACQUISITIONS AND INTEGRATION

In September 2025, PBKM acquired 100% of the shares in the stem cell bank "nOvum" Sp. z o.o. (Warsaw, Poland). "nOvum" offers services comparable to those of other companies in the FamiCord Group. The agreed purchase price corresponds to a mid-single-digit million-euro amount, net of debt as of the closing date in November 2025 and is payable in cash in several installments within 18 months of closing. The transaction is financed through credit lines available to FamiCord AG, which provide PBKM, as the acquirer, with the necessary liquidity.

In addition, in June 2025, PBKM has acquired a further 69% of the shares in Národní centrum pupečníkové krve s.r.o. (Ostrava, Czech Republic) as well as a further 69% of the shares in Rodinná banka perinatálnych a mezenchymálnych buniek s.r.o. (Bratislava, Slovakia). As a result, PBKM increased its stake in both companies from 26% to 95% each. At the same time, there is an option to acquire the remaining 5% of the shares in each company at a previously agreed fixed price. Both companies offer services comparable to those of other companies in the FamiCord Group. The agreed purchase price for the acquired shares was in the mid-single-digit million-euro range and was paid in cash.

The Group-wide integration projects following the merger of the current sub-groups Vita 34 and PBKM were already completed in many areas by 2024. In 2025, integration measures were advanced in specific areas, such as the integration of additional Group companies into the financial software. A strong focus was placed on maintaining and enhancing growth synergies.

In addition to individual cost-cutting and cost-shifting measures, it was a deliberate strategic decision to generally maintain marketing activities at a high level in selected national markets or to expand them in a targeted manner. In Germany in particular, additional sales and marketing efforts were initiated again in 2025 to strengthen the reach and sustainable awareness of stem cell preservation.

BUSINESS DEVELOPMENT IN THE REGIONS

As in previous years, 2025 saw a sometimes highly uneven trend across individual national markets. Many markets suffered from a significant decline in birth rates. While Eastern Europe and the GCC region demonstrated certain growth momentum, conditions remained challenging in parts of Western and, above all, Southern Europe.

COMPARISON OF ACTUAL RESULTS WITH THE FORECAST 2025

Group

The revenue range of EUR 85 to 95 million forecast in the forecast report of the consolidated financial statements as of December 31, 2024, was achieved at EUR 88.2 million. The EBITDA forecast, which ranged from EUR 8.7 million to EUR 10.3 million, was even slightly exceeded at EUR 10.6 million. Higher EBITDA was driven by cost-side effects, mainly strict cost discipline and operating leverage, together with a structural reduction in expenses following the discontinuation of CAR-T activities. The development of the purely operating result was thus generally in line with or slightly above expectations.

For 2025, moderate growth in new storages compared to 2024, at 61.8 thousand, had been expected both at the FamiCord AG level and for the Group as a whole. With a figure of 68 thousand, this expectation was met. Growth had also been anticipated in new customer contracts and the total number of storages despite the challenging market environment. With 33.6 thousand new customer contracts and a cumulative storage stock of 1.134 million, this forecast was also met.

FamiCord AG standalone

FamiCord AG generated revenue of EUR 11.8 million, thus slightly below the forecast range of EUR 12 to 14 million. However, new storage figures fell slightly short of expectations, meaning the target of a moderate increase was not achieved. This was primarily due to the overall decline in birth rates and overall poor consumer sentiment.

EBITDA stood at EUR -5.8 million, below the forecast range of EUR -5.0 to -3.0 million. The main reasons for this were the lower-than-expected number of new storages and the resulting weaker revenue development, as well as higher expenses, particularly for consulting and deliberately increased marketing and sales activities.

REVENUE AND RESULTS OF OPERATIONS OF THE GROUP (IFRS)

As part of the correction of accounting under IFRS, adjustments were made at the subsidiary PBKM to the cost items “cost of sales”, “marketing and selling expenses”, and “administrative expenses”, including retroactively for 2024. Consequently, the figures reported for 2024 differ from the prior-year comparative figures used in this combined management report. In the prior year, marketing and selling expenses of EUR 12,905 thousand and administrative expenses of EUR 3,817 thousand were incorrectly classified as cost of sales. The effects of the correction are presented in detail in the Notes to the consolidated financial statements under note 6.2. In addition, the prior-year comparative figures were adjusted due to the presentation of FamiCordTx as a discontinued operation in accordance with IFRS 5 (Note 4.2.2). At the EBITDA and EBIT levels, these reclassifications have no impact.

EUR thousand	**2025**	2024
Sales revenue	88,173	82,181
Cost of sales	-41,147	-43,640
Gross result	**47,026**	**38,541**
Marketing and selling expenses	-25,777	-24,153
Administrative expenses	-22,873	-21,539
Other income less expenses and impairment on financial and contract assets	-1,057	-1,332
EBIT	**-2,681**	**-8,483**
Financial result	-422	-1,056
Income tax expense	-1,895	-2,049
Result for the period from continuing operations	**-5,018**	**-11,588**
Result of discontinued operations	**-1,697**	**-711**
EBIT	**-2,681**	**-8,483**
Depreciation for the period	-13,278	-17,923
EBITDA	**10,598**	**9,440**

In 2025, the FamiCord Group increased its revenue to EUR 88.2 million. This represents a 7.3% growth compared to the previous year's figure of EUR 82.2 million. Cell banking accounted for approximately 88% of consolidated revenue. Recurring revenue from the storage of cell material amounted to EUR 22.7 million in 2025, up from EUR 21.2 million in 2024.

Of the absolute revenue growth of EUR 6.0 million, pricing effects amounting to EUR 1.0 million had a significant positive impact. The corresponding revenue share, which resulted from contract liabilities on an accrual basis and was therefore not cash-effective, increased by approximately EUR 5.5 million compared to the previous year. This significant increase mainly reflects the higher share of subscription contracts in the business mix. At the same time, growth in new prepayment contracts was somewhat lower than in 2024.

The net volume of invoiced services in the B2C business developed positively, rising by 1.5% in 2025 to EUR 74.6 million, up from EUR 73.6 million in the prior year. Within this volume, annual recurring payments grew even more dynamically, growing by approximately 7.0% to EUR 22.7 million, up from EUR 21.2 million in the previous year. This development underscores the increasing importance of subscription-based revenue within the business model.

Cost of sales fell by 5.7% from EUR 43.6 million to EUR 41.1 million in 2025 on a restated basis, despite revenue growth. This figure included goodwill impairments of approximately EUR 9.4 million in 2024 and EUR 5.0 million in 2025. Excluding these impairments, cost of sales would have risen by 5.5%, a rate significantly lower than the increase in revenue. The increase mainly reflected higher material, service and personnel costs. At the same time, the cost of sales ratio improved due to the favorable revenue mix, particularly the higher contribution from contract extensions, which do not incur direct cost of sales. As a result, revenue growth more than compensated for the moderate increase in operating costs, and the cost of sales ratio fell to 46.6%.

Gross result amounted to EUR 47.0 million, compared with EUR 38.5 million in the prior year. This corresponds to a gross margin of 53.4%, compared with 46.9% in 2024. In the prior year, goodwill amortization in Portugal in the amount of approximately EUR 2.1 million and for FamiCord AG in the amount of EUR 6.6 million had a negative impact. In 2025, however, goodwill adjustments for FamiCord AG and Stemlab Group in the amount of EUR 5.0 million were recognized.

Other income decreased from EUR 2.7 million to EUR 1.7 million. The main reason for this was the absence of a one-time special effect from 2024 amounting to EUR 1.1 million resulting from the agreement with the U.S. licensor of CAR-T technology. At EUR 0.8 million, other operating expenses were slightly below the prior-year level of EUR 0.9 million. Net impairment on financial and contract assets remained broadly in line with the prior-year level at EUR 1.1 million in 2025, compared with EUR 1.2 million in 2024.

Marketing and selling expenses amounted to EUR 25.8 million in 2025, exceeding the prior-year level of EUR 24.2 million. Despite the continuing challenging market environment, marketing and sales activities were deliberately maintained at a comparable level, which was made possible, among other things, by the expansion of the sales team. At the same time, marketing and sales budgets were and are being adjusted regionally, depending on the respective situation in the individual national markets. The ratio of marketing and selling expenses to revenue was thus 29.2%, compared to 29.4% in the prior year. In 2025, the focus remained particularly on intensive outreach and product-specific information for gynecologists and midwives as key multipliers in the sales process. In addition, online marketing of the products to the target group of expectant parents continued.

Administrative expenses also increased at a lower-than-proportional rate, from EUR 21.5 million to EUR 22.9 million. The increase is primarily attributable to higher personnel expenses, including remuneration for the now four members of the Management Board, as well as higher legal and advisory fees, particularly in connection with M&A activities. Overall, strict cost discipline was maintained across all business units.

The dynamic revenue growth, combined with continued cost discipline, led to a strong increase in EBITDA from EUR 9.4 million to EUR 10.6 million. This corresponds to 12.3% growth. The EBITDA margin improved from 11.5% to 12.0%. When comparing with the previous year, it should be noted that EBITDA in 2024 was positively impacted by a one-time special effect of EUR 1.1 million resulting from the new agreement with the U.S. CAR-T licensor.

EBIT improved to EUR -2.7 million after EUR -8.5 million in the prior year. Total depreciation and amortization amounted to EUR 13.3 million in 2025, compared to EUR 17.9 million in the prior year. In the prior year, EUR 9.4 million of this amount was attributable to goodwill amortization, while goodwill adjustments totaling EUR 5.0 million had to be recognized in fiscal year 2025.

The financial result improved from EUR -1.1 million in the prior year to EUR -0.4 million in 2025. The improvement was mainly driven by higher financial income, particularly from the gain on remeasurement of a previously held equity interest, while higher costs associated with the increased use of interest-bearing liabilities and less favorable foreign exchange effects had an offsetting impact.

In fiscal year 2025, income tax expense amounted to EUR 1.9 million. This consisted of current tax expense of EUR 0.4 million and deferred taxes of EUR 1.5 million. Despite the Group's overall loss before taxes, tax expense was recognized because taxation is determined at the level of the individual Group entities and tax jurisdictions rather than on the basis of the consolidated result alone. In addition, deferred tax expense arose from temporary differences. In contrast, in 2024, income tax expense of EUR 2.0 million was recognized in profit or loss, consisting of actual income tax expense of EUR 0.3 million and deferred taxes of EUR 1.7 million.

The result for the period from continuing operations thus improved from EUR -11.6 million to EUR -5.0 million. Earnings per share from continuing operations, taking into account minority interests, amounted to EUR -0.26 for 17,431,762 shares, compared to EUR -0.66 in the prior year.

SEGMENT REPORT

In the consolidated financial statements 2025, the FamiCord Group reports for the last time on the two segments subgroup Vita 34 and subgroup PBKM. The reason for this is that, as part of the ongoing development of the Group's management approach, internal steering is increasingly aligned with the "Core Business" and "Other Activities". These particularly include CDMO and Research and Development, which play different roles in terms of value creation and growth. Against this background, external segment reporting in accordance with IFRS 8 is expected to be adjusted during the course of the fiscal year 2026, and the budgeting process has already been aligned with this new segmentation. Therefore, the anticipated new segmentation is already taken into account in the forecast report.

SUBGROUP VITA 34 SEGMENT

In the subgroup Vita 34 segment, revenue in 2025 was slightly below the previous year's level, decreasing from EUR 18.7 million to EUR 18.0 million. This development is attributable in particular to the core DACH market. Slightly weaker-than-expected demand for new storage contracts was offset by positive pricing effects and the sale of more comprehensive service packages.

Due to the stated goal of leveraging potential in storage rates, a high level of marketing and sales remains essential. Marketing expenses in the subgroup Vita 34 were therefore increased by 4.3%. The additional funds were primarily allocated to marketing and sales materials as well as PR measures. In contrast, administrative expenses decreased by 6.4% compared to 2024. In particular, costs for Group functions provided by the subgroup Vita 34 on behalf of the entire Group were reduced.

As a result of the cost development, the segment's EBITDA stood at EUR -1.9 million in 2025, compared to EUR -3.0 million in the previous year. Depreciation and amortization amounted to EUR 6.5 million in 2025. This figure includes an impairment loss on goodwill of EUR 3.4 million. Against this background, earnings before taxes were significantly burdened by depreciation and amortization.

SUBGROUP PBKM SEGMENT

In the subgroup PBKM segment, revenue increased by 10.7% in 2025, from EUR 64.6 million to EUR 71.5 million. The number of new B2C cord blood storages, at 27,371, was higher than the previous year's figure of 26,748. Revenue growth was achieved primarily in the core business of cell banking and in a market environment that remained challenging. In addition to the increase in customers, price effects, the sale of more comprehensive service packages, and rising revenues from contract renewals had a particularly positive impact.

The cost of sales ratio in the subgroup PBKM, which is typically higher on a segment comparison, was further improved or narrowed to the level of 40.1%, mainly due to disciplined cost management, operational efficiencies implemented in recent periods, and a higher share of contract renewals, which generate revenue with limited direct cost impact.

In previous periods, the subgroup PBKM had implemented extensive restructuring measures to respond to the difficult revenue development in individual country markets. Fixed costs were reduced, the workforce was downsized, and marketing expenses were also cut back. This trend largely continued at this level in 2025. Only administrative expenses increased due to costs for the subgroup's headquarters as well as legal consulting fees, partly in connection with a licensing dispute in the U.S. At the same time, significant revenue growth was achieved in certain national markets, particularly in Poland.

The segment's EBITDA increased by 19.9% in 2025 from EUR 10.4 million to EUR 12.5 million. In the previous year, 2024, EBITDA was additionally influenced by a one-time effect related to the settlement with iCell, which did not occur in 2025.

FINANCIAL POSITION OF THE GROUP

Financial management is directly assigned to the Management Board, and focuses on the management of the capital structure, liquidity management, interest rate and exchange rate hedging, as well as the procurement of funds. Numerous subsidiaries of the subgroup Vita 34 are integrated into the Group liquidity management. A standardized liquidity and financial management system is being implemented for the entire Group.

Within the FamiCord Group, liquidity for financing growth as well as for investments and acquisitions is primarily secured through internally generated cash flows and bank loans. Bank liabilities at the level of FamiCord AG were restructured as early as 2023, and their terms have remained largely unchanged since then. The company has an overdraft facility of EUR 10 million, of which EUR 6.0 million had been utilized as of December 31, 2025. Investments and acquisitions are financed through a dedicated investment credit facility, which was utilized in the amount of EUR 5,998 thousand (maximum amount: EUR 7,142 thousand) as of the balance sheet date due to the acquisitions made in 2025, such as the full acquisition of nOvum in Poland. Over the term of this credit agreement until 2027, the credit terms provide for a maximum net debt-to-EBITDA ratio of 3.0.

The solid revenue and earnings performance in 2025 was generally reflected in the development of operating cash flow. At the same time, this development was influenced by structural changes in the contract mix as well as by the absence of one-time positive effects from the previous year. The structural shift toward more annual payment contracts leads to a significant dampening of current cash inflows while simultaneously shifting cash inflows into the future, which is reflected in significantly increased contract assets.

The primary driver of operating cash flow development was the positive cash-generating effects from prepayment contracts. Accordingly, contract liabilities increased. This is offset by non-cash revenue from prepayment contracts in prior periods, which is recognized in income and offset against contract liabilities. At the same time, contract liabilities increased to a lesser extent than in the previous year, which is reflected in a slightly lower cash flow from contract renewals with prepayment. In addition, the annual-payment pricing model was further promoted in several countries. This lowers the barrier to entry for customers but leads to less cash flows in the short term. Over future periods, this effect will reverse, resulting in higher overall cash flows. While pricing effects were immediately reflected in operating cash flow, the positive revenue effects from the accounting for subscription contracts under IFRS 15 are not cash-effective.

The decline in operating cash flow is primarily attributable to the continued increase in the proportion of subscription contracts chosen by customers and, consequently, to a deferral of cash inflows from advance payments to later periods. This trend enhances the predictability and stability of recurring revenue but results in lower cash flows from advance payments in the short term. In addition, a significant portion of the prepayment contracts scheduled for renewal in 2025 were brought forward and renewed in a bundled manner as early as 2024, resulting in fewer one-time payments from contract renewals during the reporting period. Since an increasing proportion of the contract portfolio is due for renewal in the coming years, it can be assumed that this trend will reverse.

Overall, cash flow from operating activities decreased from EUR 8.7 million to EUR 3.6 million in 2025. Moreover, the previous year was characterized by a favorable development in the income tax burden due to a tax refund received in the amount of EUR 1.3 million, which, as expected, was of a one-time nature and did not recur in 2025.

Within the FamiCord Group, a net total of approximately EUR 12.4 million was invested during the reporting period. In the prior year, the investment level had amounted to only EUR 3.2 million. Investments in property, plant, and equipment, particularly in cryotanks and laboratory equipment, accounted for EUR 4.1 million and were a key focus. Another significant area of investment was the majority acquisitions in the Czech Republic and Slovakia, as well as the acquisition in Poland, totaling approximately EUR 8.0 million.

Financing activities resulted in a cash inflow of EUR 3.9 million, following a cash outflow of EUR 6.1 million in the prior-year period. While FamiCord primarily repaid bank loans as scheduled in 2024 without taking on new debt, additional financial loans were drawn down in 2025 as part of the investment loan and the overdraft facility.

As of December 31, 2025, the FamiCord Group had cash and cash equivalents of EUR 11.9 million, compared to EUR 16.8 million as of December 31, 2024. The change is primarily attributable to the cash-financed acquisitions. Accordingly, cash outflows from investing and financing activities exceeded cash inflows from operating activities.

Based on current planning, the Management Board continues to expect that it will be able to ensure the Group's ability to operate through cash inflows from its operating activities. In addition, internal financing measures are available to address potential liquidity risks. For further details, please refer to the subsection "Liquidity Risks" in the Risk Report.

NET ASSETS OF THE GROUP

Assets EUR thousand	**12/31/2025**	12/31/2024
Non-current assets	122,442	112,207
thereof goodwill	32,637	30,664
Current assets	39,318	40,529
thereof cash and cash equivalents	11,878	16,823
Balance sheet total	161,760	152,737

Equity and liabilities EUR thousand	**12/31/2025**	12/31/2024
Equity	5,417	12,907
Non-current liabilities	98,724	84,669
thereof contract liabilities	69,818	65,019
Current liabilities	57,619	55,161
thereof contract liabilities	12,230	10,012
thereof potential repayment obligations	27,345	27,015
Balance sheet total	161,760	152,737

As of the balance sheet date, net assets showed a shift toward higher non-current assets, accompanied by a slight decline in current assets. In total, non-current assets increased by 9.1% from EUR 112.2 million to EUR 122.4 million. The rise was primarily related to the majority acquisitions in the Czech Republic and Slovakia, as well as the acquisition in Poland, and was reflected in a corresponding increase in goodwill.

Property, plant, and equipment increased slightly to EUR 26.2 million from EUR 24.8 million as of December 31, 2024. Scheduled depreciation and targeted investments, particularly in cryotanks and laboratory equipment in Poland, resulted in moderate growth. Right-of-use assets decreased by EUR 1.7 million, as the positive effects from the modification of leases amounting to EUR 0.7 million were offset by depreciation of EUR -3.2 million. Non-current contract assets increased significantly, rising by EUR 8.0 million, or 46.4%, to EUR 25.3 million, thereby accounting for nearly half of the growth in non-current assets. On the one hand, this reflects successful contract signings and renewals mainly in form of subscription models, in which future service entitlements arising from long-term customer relationships are recognized on the balance sheet. This development was particularly pronounced in Poland, Romania, and Switzerland, where corresponding contract models were specifically promoted. On the other hand, it reflects the effects of the acquisition of controlling stakes in companies in the Czech and Slovak markets, along with their respective contract portfolios. Contract assets comprise the higher receivables from annual payment contracts with multi-year terms, which become due for payment on a pro-rata basis over the respective contract terms.

Deferred tax assets rose slightly from EUR 10.7 million to EUR 11.6 million, primarily due to a corresponding trend in tax loss carryforwards at individual Group companies.

By contrast, current assets declined slightly overall from EUR 40.5 million to EUR 39.3 million. This development was characterized by opposing effects. Trade receivables rose from EUR 13.7 million to EUR 15.6 million as a result of the higher business volume. In addition, current contract assets recorded a noticeable increase from EUR 3.7 million to EUR 5.2 million, mainly reflecting the higher share of subscription models introduced in recent years compared to earlier periods. The slight rise in inventories from EUR 2.9 million to EUR 3.2 million is attributable to inventory levels adjusted to the quality and availability of supply chains, as well as a normalization of inflationary effects. The main driver behind the decline in current assets was the decrease in cash and cash equivalents, which is primarily attributable to the cash-financed majority acquisitions as well as the purchase of cryotanks.

On the equity side, the Group's capital structure was particularly influenced by effects from impairments, while on the debt side, the positive business performance was reflected in higher contract liabilities and potential repayment obligations on the balance sheet. Equity amounted to EUR 5.4 million as of December 31, 2025, compared to EUR 12.9 million as of December 31, 2024. Part of the decline is attributable to currency effects, which were reflected in other reserves. In particular, goodwill impairments resulting from the impairment test, amounting to EUR 5.0 million, weighed on the significantly improved operating earnings situation. Consequently, equity declined by a net amount of EUR 7.5 million in 2025. Due to the increased balance sheet total, the equity ratio decreased from 8.5% at the end of 2024 to 3.3% as of December 31, 2025. The balance sheet total assets rose to EUR 161.8 million from EUR 152.7 million in the prior year. Information on the Company's treasury shares as required by Section 315 (2) sentence 2 HGB in conjunction with Section 160 (1) no. 2 AktG is provided in the Notes to the consolidated financial statements under Note 7.2.1.

The continued high level of debt is primarily attributable to non-current and current contract liabilities as well as potential repayment obligations, which together account for 70.0% of debt equity, compared to 73.0% in the prior year. These items result from the specific structure of storage contracts in individual country subsidiaries with termination options, as well as from the accrual-based recognition of revenue and obligations. Here, changes in contract terms for annual payers and the associated accounting under IFRS 15 may lead to noticeable shifts within these items without significantly altering their overall significance within total equity. The current repayment

obligations are of a rather theoretical nature, which is also reflected in the fact that, in the past, they could largely be allocated to non-current contract liabilities.

In total, the items non-current and current contract liabilities as well as potential repayment obligations rose from EUR 102.0 million to EUR 109.4 million. Non-current liabilities increased from EUR 84.7 million to EUR 98.7 million as of December 31, 2025. The main causes were the sharp rise in non-current contract liabilities due to increased prepayment contracts, particularly in certain Eastern European markets, as well as an increase in bank liabilities from EUR 3.8 million to EUR 11.1 million, resulting from new loan drawdowns, scheduled repayments, and reclassifications based on the maturity or revolving nature of individual loan components. Non-current lease liabilities decreased from EUR 9.3 million to EUR 7.5 million. Deferred tax liabilities rose from EUR 5.6 million to EUR 8.4 million, primarily due to IFRS 15 effects and the increased contract portfolio resulting from the acquisitions.

Current liabilities grew from EUR 55.1 million to EUR 57.6 million and were primarily driven by higher current contract liabilities. These increased from EUR 10.0 million to EUR 12.2 million. Potential repayment obligations rose slightly to EUR 27.3 million from EUR 27.0 million in the prior year. They include obligations to fulfill storage contracts arising from acquisitions as well as storage fees received in advance from customers, which would have to be refunded in the unlikely event that existing termination rights are exercised in individual country markets. Nevertheless, no significant negative cash flows are expected from these items in the subsequent period. The storage fees received in advance are recognized as revenue on a step-by-step basis over the respective contract term. In addition, small amounts of current bank loans were repaid as scheduled during the year.

OVERALL STATEMENT ON THE ECONOMIC SITUATION OF THE GROUP

In the opinion of the Management Board, the economic situation of the FamiCord Group at the time of publication of the annual report remains stable and has improved in 2025 compared to the previous year. Despite a challenging environment, the Group has succeeded in maintaining its growth trajectory and increasing its operating profit.

The Group's equity ratio remains under pressure. This is primarily attributable to the development of net income, the extension of the balance sheet resulting from the increase in external loans and the recognition of contract liabilities and potential repayment obligations, as well as impairments.

So far in 2026, business performance has shown signs of slowing, partly due to geopolitical tensions and rising energy prices, which could dampen private household spending. Against this background, the Management Board is closely monitoring further developments in demand and the liquidity situation.

Nevertheless, the combination of organic and inorganic growth remains a key component of the corporate strategy. At the same time, integration measures and efficiency improvements across the Group are being further advanced.

The company's financing was largely restructured in 2023 and continues to serve as the foundation for financing its operating activities. This stable foundation was also utilized in 2025 for investments and acquisitions. To ensure financial stability, the Management Board is implementing a package of measures that includes, in particular, strictly earnings- and liquidity-oriented management as well as additional measures as needed.

RESULTS OF OPERATIONS, FINANCIAL POSITION AND NET ASSETS OF FAMICORD AG (HGB)

The annual financial statements of FamiCord AG were prepared in accordance with the accounting regulations for corporations, taking into account the German Stock Corporation Act (AktG) and the German Commercial Code (HGB).

EUR thousand	**2025**	2024
Sales revenue	11,869	12,311
Cost of sales	-5,809	-6,455
Gross result	**6,060**	**5,856**
Selling expenses	-6,083	-5,641
Administrative expenses	-6,427	-6,906
Other operating income less expenses	41	63,550
EBIT	**-6,409**	**56,859**
Financial result	-15,949	429
Income tax income/expense	0	0
Result for the year	**-22,358**	**57,288**
EBIT	-6,409	56,859
Depreciation and amortization / write-ups for the period	572	-60,842
EBITDA	**-5,837**	**-3,983**

Revenue for the fiscal year 2025 was EUR 11.9 million, slightly below the previous year's level of EUR 12.3 million. Weaker demand in the German market, particularly for new storage contracts, was nearly offset by positive business performance in the renewal of expiring contracts. Cost of sales decreased from EUR 6.5 million to EUR 5.8 million. This development is primarily attributable to lower

impairment losses recognized in the reporting period. In the prior period, cost of sales included impairment losses on prepayments for intangible assets (EUR 699 thousand), as the related projects were no longer considered economically viable. This resulted in a higher gross result of EUR 6.1 million, compared to EUR 5.9 million in the prior year. This corresponds to a gross margin of 51.1% after 47.6% in the prior year. Excluding the impairment loss on prepayments for intangible assets recognized in 2024, the prior-year gross margin would have amounted to approximately 53.2%. On this adjusted basis, the gross margin was therefore slightly below the prior-year level.

In the combined management report for the previous year, revenue in the range of EUR 12 to 14 million was forecasted for 2025. Actual revenue was slightly below this target range. This was primarily due to new storages falling short of expectations, which prevented higher revenue in fiscal year 2025.

Selling expenses rose from EUR 5.6 million to EUR 6.1 million as a result of additional marketing and sales measures. In contrast, administrative expenses decreased from EUR 6.9 million to EUR 6.4 million. Here, increased personnel expenses, including Management Board costs, were more than offset by continued strict cost discipline, particularly consulting activities, where expenses were reduced through more efficient use of external advisors.

Other operating income amounted to EUR 0.8 million in the reporting period, compared to EUR 63.9 million in the prior year. The prior-year figure was significantly driven by one-off write-ups on financial assets (EUR 63.4 million), in particular relating to the PBKM and Seracell investments, which did not recur in 2025. In the reporting period, other operating income mainly comprised miscellaneous income (EUR 0.8 million), including income from the reversal of provisions and valuation allowances (EUR 0.4 million), intra-group recharges, as well as smaller items such as reimbursements, non-cash benefits and foreign exchange gains.

Other operating expenses increased to EUR 0.7 million (prior year: EUR 0.4 million). This increase is primarily attributable to higher additions to individual value adjustments on receivables (EUR 0.7 million; prior year: EUR 0.3 million). In the prior year, expenses also included losses from disposals of fixed assets, which did not recur in 2025.

As a result of the effects described above, EBITDA for the fiscal year 2025 was EUR -5.8 million, compared to EUR -4.0 million in the prior year. Thus, EBITDA fell outside the range of EUR -5.0 to -3.0 million forecast in the combined management report for the prior year. This was also due to lower actual storage figures at AG level, coupled with higher expenses.

The prior year's EBIT of EUR 56.9 million was heavily influenced by the write-ups recorded on the PBKM and Seracell investments. However, in fiscal year 2025, significant write-downs were made on these investments, resulting in an EBIT of EUR -6.4 million.

The result for the year fell to EUR -22.4 million from EUR 57.3 million in the prior year. The sharp decline was primarily due, on the one hand, to the absence of the write-ups from 2024 and, on the other hand, to the write-downs required in 2025 on the same investments. Excluding these valuation effects, the result for the year would have amounted to EUR -4.6 million in 2025, compared with EUR -5.4 million in the prior year. Despite the decline in revenue, the adjusted result therefore improved year on year, mainly due to cost savings. In addition, the development of operating earnings and a slightly lower financial result, characterized by marginally lower income from profit transfer agreements, had a negative impact.

Financial position of FamiCord AG (HGB)

EUR thousand	**2025**	2024
Cash flow from operating activities	-4,550	-3,391
Cash flow from investing activities	-3,144	3,897
Cash flow from financing activities	7,249	-2,695
Total	**-445**	**-2,189**

Cash flow from operating activities amounted to EUR -4.6 million, compared to EUR -3.4 million in the previous year. The decline was mainly attributable to the weaker business development, reflected in lower revenues, a higher share of subscription contracts and increased headquarters costs.

Cash flow from investing activities resulted in a net cash outflow of EUR -3.1 million, following a cash inflow of EUR 3.9 million in the prior year. The significant decline was mainly attributable to loans granted to affiliated companies in the amount of EUR 5.9 million. Offsetting a cash outflow of EUR -0.2 million for the acquisition of property, plant, and equipment, profit transfers received in the amount of EUR 1.6 million and repayments of loans granted had a positive effect on cash flow from investing activities.

The cash inflow from financing activities of EUR 7.2 million, following a cash outflow of EUR -2.7 million in the prior year, was primarily influenced by the raising of financial loans.As of December 31, 2025, cash and cash equivalents amounted to EUR 0.5 million, compared to EUR 1.0 million as of the prior-year reporting date. Within the FamiCord Group, both FamiCord AG and PBKM, as the parent company of the subgroup PBKM, perform intra-group financing functions. As of the balance sheet date, FamiCord AG had undrawn credit lines totaling EUR 4.0 million. Based on the operating cash flows generated during the reporting period, as well as the available credit lines and financing

capacity, FamiCord AG's liquidity was secured during the reporting period and, based on current planning assumptions, is expected to remain sufficient in the foreseeable future, subject to the development of operating cash flows and the macroeconomic environment as described in the forecast report.

Net assets of FamiCord AG (HGB)

Assets EUR thousand	**12/31/2025**	12/31/2024
Property, plant and equipment and other intangible assets	5,167	5,474
Financial assets	166,205	180,175
Cash and cash equivalents	493	939
Other assets and prepaid expenses	9,909	8,496
Balance sheet total	**181,774**	**195,084**

Equity and liabilities EUR thousand	**12/31/2025**	12/31/2024
Equity	143,328	165,686
Loans	11,998	4,321
Other liabilities and provisions	8,574	8,457
Deferred income	17,874	16,621
Balance sheet total	**181,774**	**195,084**

Property, plant, and equipment and intangible assets amounted to EUR 5.2 million as of December 31, 2025, compared to EUR 5.5 million in the previous year. The decrease is attributable to scheduled depreciation of property, plant, and equipment, offset by lower investments in fixed assets.

Financial assets decreased from EUR 180.2 million to EUR 166.0 million, mainly due to write-downs on the carrying amounts of PBKM and Seracell amounting to EUR 17.8 million. In contrast, loans to affiliated companies rose by EUR 3.9 million.

Other assets amounted to EUR 9.9 million as of December 31, 2025, compared to EUR 8.5 million in the prior year, and consisted primarily of trade receivables of EUR 4.3 million (previous year: EUR 3.8 million), with the increase partly attributable to contracts with multi-year notice periods, and receivables from affiliated companies of EUR 3.1 million (previous year: EUR 2.6 million). The increase in receivables from affiliated companies is primarily attributable to short-term intra-group loans granted to PBKM. Prepaid expenses remained at the previous year's level of EUR 1.5 million.

Cash and cash equivalents amounted to EUR 0.5 million as of the balance sheet date, compared to EUR 0.9 million in the prior year.

On the liabilities side, equity decreased from EUR 165.7 million to EUR 143.3 million. This was due to the net loss of EUR -22.4 million, which, like the net profit of EUR 57.3 million in the previous year, was influenced by one-time effects. As a result, the equity ratio dropped from 84.9% to 78.8% as of December 31, 2025.

Bank liabilities increased from EUR 4.3 million to EUR 12.0 million. This development primarily reflects higher drawdowns on existing credit facilities amounting to EUR 6.0 million as well as an increase in investment loans of EUR 1.7 million, which are due in September 2027. The credit facility is structured as a revolving facility and does not require fixed-term amortization during the contractual term. Outstanding amounts are repayable in full upon termination of the facility. The revolving credit facility is granted on a revolving basis without a fixed repayment schedule and can be terminated by the lending bank in accordance with the contractual provisions. At the reporting date, it was primarily utilized through short-term drawings, typically referenced to variable market rates (e.g. EURIBOR) plus an agreed margin, resulting in a floating interest rate structure. Other liabilities and provisions amounted to EUR 8.6 million at the end of 2025, compared with EUR 8.5 million in the previous year. Liabilities also included liabilities to affiliated companies of EUR 5.4 million (previous year: EUR 5.6 million), the special item for grants and subsidies of EUR 0.2 million (same as the previous year), and provisions of EUR 1.8 million (previous year: EUR 1.9 million). The slight decrease in provisions was primarily due to lower personnel-related provisions.

Deferred income increased from EUR 16.6 million to EUR 17.9 million as of the balance sheet date. This includes storage fees paid by customers as a one-time advance payment and recognized on a straight-line basis over the agreed storage period.

OVERALL STATEMENT ON THE ECONOMIC SITUATION OF FAMICORD AG

The economic position of FamiCord AG in the fiscal year 2025 was characterized by a stabilized operational development in a still challenging environment. The earnings position was affected by non-recurring effects as well as the changed market conditions. The financial and liquidity position was influenced by higher utilization of credit facilities, while liquidity remained dependent on the further development of the operating business. Overall, the Management Board assesses the economic position of FamiCord AG as orderly as of the reporting date.

EMPLOYEES OF FAMICORD AG (HGB)

In 2025, an annual average of 106 employees, or 102 full-time equivalents, were employed by FamiCord AG, excluding members of the Management Board, temporary staff, part-time employees, and employees on parental leave. In the previous year, the figure was 112.

Corporate Governance

CORPORATE GOVERNANCE DECLARATION IN ACCORDANCE WITH § 289F AND § 315D HGB

The corporate governance declaration in accordance with § 289f and § 315d HGB can be viewed on the FamiCord AG website at https://ir.famicord.com/declaration-on-corporate-governance/.

TAKEOVER-RELATED DISCLOSURES (IN ACCORDANCE WITH § 289A AND § 315A HGB)

COMPOSITION OF THE SUBSCRIBED CAPITAL

As of December 31, 2025, the company's share capital amounted to EUR 17,640,104. The subscribed capital is divided into 17,640,104 no-par-value ordinary shares. Each share has one voting right. The shares are fully paid up. All shares carry the same rights and obligations. The rights and obligations of shareholders are set out in detail in the provisions of the German Stock Corporation Act (AktG), in particular §§ 12, 53a ff., 118 ff. and 186 AktG. The share capital remained unchanged during the fiscal year 2025.

Direct or indirect shareholdings in the company's capital as of December 31, 2025, that reach or exceed 10% of the voting rights are as follows:

- AOC Health GmbH, Frankfurt am Main, Germany: 58.4%

Further direct or indirect shareholdings in the company's capital as of December 31, 2025, in accordance with publicly available data are as follows:

- Nationale-Nederlanden Powszechne Towarzystwo Emerytalne S.A., Warsaw, Poland: 9.1%
- Shareholder Value Beteiligungen AG, Frankfurt am Main, Germany: 9.0%
- Management Board and Supervisory Board: 4.6% (thereof Jakub Baran, Poland: 3.6%; Tomasz Baran, Poland: 0.7%; Frank Köhler, Czech Republic: 0.3%)
- Free float: 18.9%

The information is based on voting rights notifications received, information from the share register and voluntary disclosures by shareholders (as of December 31, 2025).

STATUTORY PROVISIONS AND PROVISIONS OF THE ARTICLES OF ASSOCIATION ON THE APPOINTMENT AND DISMISSAL OF MEMBERS OF THE MANAGEMENT BOARD AND AMENDMENTS TO THE ARTICLES OF ASSOCIATION

The appointment and dismissal of members of the Management Board is governed by §§ 84 and 85 AktG and § 31 of the German Co-Determination Act (MitbestG). In accordance with § 9 (1) of the Articles of Association, the Management Board consists of at least two persons; the number of Management Board members is determined by the Supervisory Board. The members of the Management Board are appointed and dismissed by the Supervisory Board. The Supervisory Board may appoint one member of the Management Board as Chairman or Spokesman of the Management Board and another member as Deputy Chairman.

Any amendment to the Articles of Association requires a resolution by the Annual General Meeting in accordance with § 179 AktG. The authority to make amendments that only affect the wording is transferred to the Supervisory Board in accordance with § 29 of the Articles of Association.

By resolution of the Annual General Meeting on June 25, 2025, the Articles of Association were amended. The company's purpose was expanded to include "the storage and cryopreservation of sperm/eggs for use in reproductive medicine".

In accordance with § 25 of the Article of Association, resolutions of the Annual General Meeting require a simple majority of the votes cast and, where required, a simple majority of the share capital represented, unless a higher majority is required by law or the Articles of Association. In accordance with § 179 (2) AktG, resolutions by the Annual General Meeting to amend the Articles of Association require a majority of at least three quarters of the share capital represented at the time the resolution is passed, unless the Articles of Association stipulate a different capital majority.

AUTHORIZATIONS OF THE MANAGEMENT BOARD TO ISSUE SHARES

By resolution of the Annual General Meeting on June 28, 2024, the Management Board is authorized, with the approval of the Supervisory Board, to increase the company's share capital by up to EUR 8,820,052.00 by issuing up to 8,820,052 new no-par value ordinary registered shares against cash or non-cash contributions on one or more occasions until June 27, 2029. This Authorized Capital was newly created by resolution of the Annual General Meeting 2024 so that the company once again has an authorization that can be fully utilized. The Authorized Capital 2024 was not utilized in 2025.

Opportunity and risk report

COMPLIANCE SYSTEM, OPPORTUNITY AND RISK MANAGEMENT AND ACCOUNTING-RELATED INTERNAL CONTROL AND RISK MANAGEMENT SYSTEM

1. COMPLIANCE SYSTEM

FamiCord AG has had a Code of Conduct since 2017, as well as a set of rules with a series of process standards and work instructions that define and ensure compliant behavior. Following the merger of the subgroups, a new Code of Conduct entered into force on January 1, 2024. Against the background of the continued growth of the FamiCord Group, increasing operational complexity and evolving legal and regulatory requirements, the Management Board of FamiCord AG adopted a further updated Code of Conduct on June 5, 2025. The updated Code ensures that the Group's values and expectations remain clear, consistent, and uniformly applied across all FamiCord Group entities.

The Code forms a comprehensive framework for legal regulations and guidelines and obliges all employees to behave accordingly. It covers topics such as fair competition, prevention of corruption and bribery, lobbying, data protection, environmental protection, human rights, equal opportunities, diversity, fair working conditions and social commitment. The Code serves as a guideline for ethical behavior and helps to safeguard corporate values. Numerous local training courses, particularly for sales employees, are already being offered to translate compliance and anti-corruption guidelines into practice. The 2025 updated Code introduces further specifications and guidance, inter alia on conflicts of interest, gifts and hospitality, data protection and IT security, and the handling of confidential information. In addition, it explicitly addresses insider information requirements relevant for a listed company.

A major milestone in FamiCord AG's compliance efforts was the introduction of a whistleblowing system, which has been operational since January 1, 2024 and was updated in January 2025. This system is implemented in companies where the introduction of a whistleblowing system is mandatory, i.e., where the number of employees has reached the applicable legal threshold. To date, it has been implemented in the following entities: FamiCord AG, Polski Bank Komórek Macierzystych sp. z o.o., Diagnostica Bank Komórek Macierzystych sp.z o.o., KRIO Intezet Zrt and Stemlab S.A. Similar reporting rules have also been introduced in other Group companies, adapted to their local setup. The whistleblowing system provides secure, confidential, and mostly anonymous reporting channels for employees and third parties to report suspected misconduct or irregularities via an online platform, email, postal mail, or directly to the compliance officer, ensuring protection for whistleblowers from retaliation. Implementing this whistleblowing mechanism significantly advanced the Group's broader anti-corruption efforts. It demonstrated FamiCord Group's proactive approach to ethical business conduct, transparency, and accountability.

Since fiscal year 2024, all FamiCord Group companies have applied an Anti-Corruption Code, emphasizing the Group's commitment to maintaining a corruption-free environment. The Code sets forth clear guidelines for mitigating corruption risks, enhances employee awareness, and strengthens procedures for reporting unethical practices. Notably, it also ensures that reports of misconduct, including corruption-related offenses, can be made even in Group companies not legally obligated to maintain formal whistleblowing systems.

In 2025, all FamiCord Group companies also introduced a Policy on Diversity, Equity & Inclusion (DEI), adopted by the Management Board of FamiCord AG and effective as of April 1, 2025. The Policy sets out Group-wide rules on diversity, equity and inclusion, establishes zero tolerance for discrimination, harassment and bullying, and defines responsibilities and reporting channels for DEI-related concerns.

Additionally, ongoing efforts are underway to introduce further procedures within the Group, aimed at strengthening and developing a robust corporate governance and compliance framework.

PURPOSE AND CONTEXT OF THE OPPORTUNITY AND RISK REPORT

The Risk and Opportunity Report forms an integral part of the combined management report. It describes the material risks and opportunities of FamiCord Group and their potential impact on the Group's net assets, financial position, and results of operations and is closely linked to the Group's strategy, corporate management framework, and the Forecast Report.

2. RISK MANAGEMENT SYSTEM AND OPPORTUNITY CONSIDERATIONS

2.1 METHODOLOGICAL FRAMEWORK, GOVERNANCE AND RISK POLICY

RISK MANAGEMENT METHODOLOGY

FamiCord has implemented a comprehensive, group-wide Risk Management System (RMS) designed to proactively identify, assess, and manage factors that could impact the company's ability to achieve its strategic, operational, financial, legal, and compliance objectives. The RMS serves as a strategic enabler of corporate resilience, regulatory alignment, and long-term value creation.

The methodology is based on leading international standards, including ISO 31000:2018 and COSO ERM, and complies with relevant German legal requirements such as the Aktiengesetz (AktG), the German Commercial Code (HGB), and the Supply Chain Due Diligence Act (LkSG).

The system is managed by employees in the Group's Center of Expertise (CoE) in Hungary, ensuring consistency, transparency, and alignment across all majority-owned entities of FamiCord AG, and is complemented by designated Risk Management Officers at the Group entities level to ensure effective local coordination and implementation.

RISK POLICY AND RISK APPETITE

The Group follows a conservative risk appetite, prioritizing business continuity and regulatory compliance over short-term profit maximization. Risk tolerance levels are determined so as to ensure that the Group's material risks remain within its risk-bearing capacity.

GOVERNANCE AND RESPONSIBILITIES

The Management Board of FamiCord AG bears ultimate responsibility for establishing and maintaining an effective Risk Management System. The Supervisory Board monitors the system's adequacy and effectiveness in accordance with § 91 (2) AktG. Risk management functions within business units operate under the "three lines of defense" model, ensuring that risk identification, control, and independent oversight are properly segregated.

PRINCIPLES, OBJECTIVES, AND SCOPE

The RMS framework is mandatory for all active entities under FamiCord AG's control. Its core objectives are to:

- Enable early detection of risks and opportunities;
- Promote a proactive, risk-conscious culture across the organization;
- Support operational continuity and strategic agility;
- Ensure regulatory compliance and accountability;
- Standardize risk assessment and reporting throughout the Group.

In accordance with DRS 20, a risk is defined as a potential negative deviation from defined targets, while an opportunity is seen as a potential positive deviation. While every risk is expected to have a corresponding opportunity, only risks are formally assessed and scored using the Group's risk management tools.

Risks are organized into a standardized taxonomy comprising 79 risk categories. While the total number of categories remained unchanged compared to the prior year, the taxonomy was refined in 2025 through the removal, consolidation and introduction of categories to reflect changes in the risk landscape. This classification supports a consistent, holistic view of risk across local and Group levels and enables a standardized approach to risk assessment and aggregation.

RISK MANAGEMENT LIFECYCLE

The RMS operates as a cyclical, integrated process comprising identification, analysis, evaluation, treatment, and monitoring. It is applied semi-annually, with additional ad hoc updates in response to emerging risks.

INTERNAL CONTROL AND EARLY-WARNING SYSTEM

Internal controls form an integral part of the Group's Risk Management System. Controls are embedded within core business processes and continuously monitored by the controlling functions.

Potential deviations from target values and emerging risks are identified through regular management reviews, ongoing financial monitoring, and the continuous exchange of information between operational units and the risk management function. Identified deviations may trigger ad hoc risk assessments where appropriate.

IDENTIFICATION, ANALYSIS AND ASSESSMENT OF RISKS

Risk identification at FamiCord AG is embedded in a structured, documented, and repeatable Risk Management Lifecycle designed to ensure the reliable and comprehensive identification of material risks in accordance with DRS 20 (GAS 20) para. K144.

Risks are identified through a standardized dual-track "countercurrent" approach combining bottom-up and top-down perspectives. At entity level, designated Risk Management Officers coordinate structured bottom-up risk identification workshops and surveys involving risk owners, control owners, functional managers, and relevant experts. This process is supported by a Group-wide standard risk catalogue, mandatory risk reporting templates, and defined assessment criteria, ensuring consistency and completeness across all Group entities.

In parallel, Group-level management performs top-down strategic risk assessments focusing on strategic, financial, regulatory, and systemic risks, including emerging risks that may not yet be visible at operational level. The results of bottom-up and top-down processes are consolidated, reviewed for plausibility, completeness, and interdependencies by the Group Risk Management Officer, and validated in coordination with the Management Board.

The regular risk identification and assessment process is performed semi-annually, in line with the Risk Management Lifecycle.

Each identified risk is subsequently analyzed and assessed using a standardized methodology. Risks are evaluated with regard to:

- Probability or frequency of occurrence;
- Quantified financial impact across "good", "expected" and "bad" scenarios;
- Potential multiple occurrences and interdependencies with other risks.

Risks are assessed both on a gross basis (before mitigation measures) and a net basis (after implemented or ongoing controls). Quantitative aggregation of risks is performed using a validated Monte Carlo simulation model, which incorporates dependencies between risks and supports the determination of the Group's risk-bearing capacity. The aggregated results provide management with insight into cumulative and systemic risks and whether they could threaten the Group's continued existence.

Based on likelihood and quantified impact, risks are classified into four exposure levels: Low, Medium, High, and Critical, which determine reporting obligations, escalation requirements, and management attention.

The effectiveness and proper functioning of the risk identification, assessment, and monitoring processes are subject to regular internal monitoring. This includes process-integrated monitoring coordinated by the Group Risk Management Officer and process-independent internal audits performed by independent audit teams, with results reported to the Management Board. Where deficiencies are identified, corrective measures are defined, implemented, and tracked to ensure continuous improvement of the Risk Management System.

Risk Exposure Rating Tool

		Impact Rating						
	Risk Exposure matrix	Negligible 0–10,000	Minor 10,000–50,000	Moderate 50,000–100,000	Major 100,000–250,000	High 250,000– 500,000	Severe 500,000–1,500,000	Extreme > 1,500,000
Likelihood Rating	High (Min once per year)	Medium	Medium	High	High	Critical	Critical	Critical
	Medium (Every 1.5 years)	Low	Medium	Medium	High	High	Critical	Critical
	Lower Medium (Every 5 years)	Low	Medium	Medium	Medium	High	High	Critical
	Low (Every 15 years)	Low	Low	Medium	Medium	Medium	High	High
	Unlikely (Every 50 years)	Low	Low	Low	Low	Medium	Medium	High

- **Low**
  Low risks represent risk exposures that, based on the combination of likelihood of occurrence and quantified impact, result in a low overall risk level in the risk exposure matrix. These risks are not expected to have a material effect on the Group's net assets, financial position or results of operations and are managed within regular operational processes and controls.

- **Medium**
  Medium risks represent risk exposures that, based on the interaction of likelihood and impact, result in a moderate overall risk level. These risks may affect operational performance or financial results if they materialize but remain within the Group's defined risk appetite and do not threaten its continued existence.

- **High**
  High risks represent elevated risk exposures resulting from certain combinations of likelihood and impact in the risk exposure matrix, including scenarios with low likelihood but high potential impact. If realized, these risks could materially affect the Group's financial position, liquidity, results of operations or compliance status.

- **Critical**
  Critical risks represent the highest level of risk exposure in the matrix and arise from combinations of very high impact and/or elevated likelihood. These risks could, individually or in aggregation, threaten the Group's continued existence or exceed the defined risk-bearing capacity.

DEPENDENCIES OF RISKS

Risks often interact rather than exist in isolation. The occurrence of one risk may influence or trigger others, potentially increasing overall exposure. Recognizing these dependencies is essential to ensure that risk assessments reflect the broader impact landscape. This integrated view supports more effective mitigation and strengthens the resilience of the FamiCord Group's Risk Management System.

Treatment and control

For each risk, tailored treatment plans are developed based on a cost-benefit evaluation. Treatment strategies include risk avoidance, reduction, transfer (e.g. insurance), or acceptance within the defined risk appetite.

Monitoring and reporting

Confirmed risks are recorded in a central, secure RMS platform that ensures traceability, auditability, and consistent documentation.

The RMS includes structured reporting processes:

- Semi-annual reports summarizing standard risk updates;
- Ad hoc reports for emerging or significantly changed risks;
- Monthly KPI reporting highlighting top and tail end risks using standardized templates.

Workshops and trainings are organized to ensure methodological consistency, promote knowledge sharing, and cultivate a culture of continuous improvement across all organizational levels.

FamiCord AG's Risk Management System (RMS) methodology is based on a structured and consistently applied framework that was further strengthened and formalized during the reporting year 2025. In line with the expectations communicated in the prior-year report, key procedural and governance-related documents were implemented and became effective in 2025. These include an updated organizational chart clearly defining roles and responsibilities in risk management, a formal procedure governing process-integrated and process-independent monitoring of the Risk Management System, and a guideline for plausibility checks designed to ensure the completeness, consistency and accuracy of the Group's risk inventory. Together, these documents establish a clear governance structure, formalize monitoring responsibilities, and introduce standardized quality assurance mechanisms across all majority-owned Group entities.

This revised and fully implemented approach enhances transparency, comparability and reliability of risk information and supports management in identifying, prioritizing and managing material risks within the defined risk-bearing capacity of the Group.

Aggregation and overall risk position

Based on Monte Carlo simulations aggregating equity- and liquidity-related risks, the Group's overall risk exposure is evaluated against its risk-bearing capacity. As of the reporting date, the aggregated net risk remains below the defined risk-bearing capacity. Accordingly, no risks have been identified that, individually or in aggregation, would threaten the Group's continued existence. Macroeconomic and regulatory developments, including those affecting the German market, are continuously monitored; however, as of the reporting date, these factors do not give rise to a going concern risk.

1. EXPLANATION OF RISKS

This Risk Report provides a structured overview of the key risks faced by FamiCord AG, based on the Group's standardized risk catalogue. The analysis is organized around the main thematic categories – strategic risks, operational risks, and compliance risks – in line with the Group's risk management framework.

This Risk Report provides a structured overview of the key risks faced by FamiCord AG, based on the Group's standardized risk catalogue. The analysis is organized around the main thematic categories – strategic risks, operational risks, and compliance risks – in line with the Group's risk management framework. The report includes those risks that were classified as High or Critical based on the Group's risk exposure matrix as part of the latest risk assessment. In addition, risks that were previously classified as High or Critical are also included in order to provide transparency on year-on-year developments and changes in the risk profile. Furthermore, selected risks may be presented irrespective of their current risk exposure where they are considered to be of particular importance to the Group's business activities, strategic objectives or operating environment. Within each risk category, the selected risks are described, assessed and discussed in detail.

In the current reporting year, risk disclosures have been enhanced by explicitly reporting both the probability or frequency of occurrence and the net risk value, which represents the risk exposure, defined as the probability-weighted net impact of a risk. This enhancement allows for a more granular and transparent analysis of risk developments over time.

Unless explicitly stated otherwise, the risks and opportunities described in this report relate to the foreseeable future within the Group's strategic planning horizon and reflect management's assessment as of the reporting date. The report also outlines the treatment plans and mitigation measures applied to each risk, demonstrating how FamiCord AG proactively manages its exposures while aligning with regulatory requirements, market expectations, and strategic objectives reflecting the current risk profile.

1.1 STRATEGIC RISKS

Sector-related risks

The European family stem cell banking sector, though well-established, is currently undergoing a period of considerable transition and challenge. FamiCord AG, having pioneered the industry in 1997, now stands as the market leader across Europe. However, a combination of demographic shifts, regulatory complexity, and uneven scientific progress is shaping a complex risk landscape for the company and the sector as a whole.

One of the most fundamental structural risks is the slower-than-expected progress in the development and commercialization of cell and gene therapies including those based on stem cells. While expectations were high two to three decades ago, the actual pace of innovation and clinical approvals has been modest. As scientific understanding of disease mechanisms deepens, paradoxically the complexity of therapeutic development increases. This has a direct impact on the justification for private stem cell banking: without a growing number of validated therapeutic applications, market penetration remains heavily reliant on proactive education rather than organic demand. While there is promise in the rise of AI tools and large language models that may accelerate R&D, these advances are unlikely to yield commercially relevant therapies in the mid- to long-term (3 to 10 years).

At the same time, Europe is witnessing a persistent demographic decline. The number of newborns continues to fall, exacerbated by macroeconomic uncertainty, the aftermath of the COVID-19 pandemic, and the ongoing war in Ukraine. Immigration may partially alleviate this trend, but it will not fully restore the addressable market, especially given the typically lower disposable income among immigrant populations. However, an important counterbalance to this trend is the growing tendency of parents with a single child to invest more in high-quality, personalized healthcare. This supports potential higher average revenue per customer and willingness to pay for premium services such as stem cell storage.

Europe continues to experience a sustained decline in birth rates: In 2024, the number of live births in the European Union fell to 3.55 million – a decline from 3.67 million in 2023 and 3.88 million in 2022 – consistent with longer-term fertility trends well below replacement level.[11] In several EU Member States, natural population change remains negative and net migration only partially offsets this trend.[12] In this context, **population decline** is no longer treated as a risk that FamiCord mitigates, but rather a structural issue that the Group must face on a lasting basis.

Another critical challenge is the changing structure of the industry itself. Market consolidation through mergers, acquisitions, ceased banking activities and bankruptcies has substantially reduced the number of players, leading to a situation where the burden of market development and public education increasingly falls on the shoulders of dominant companies like FamiCord AG. While this raises promotional costs disproportionately compared to the past, it also presents a valuable opportunity to shape the narrative of the sector in a responsible and scientifically grounded way. In contrast to earlier years, when some "bad actors" damaged the industry's reputation with overpromising and misleading tactics, today's market is more stable and professionalized.

Accordingly, **the risk associated with potential new market entrants** has been reassessed from a previously unlikely probability of occurrence and a medium net risk value to a low probability of occurrence and a high net risk value.

Trust remains a cornerstone of the stem cell banking industry. Unfortunately, the legacy of past scandals – including bankruptcies and lost samples – continues to affect public and institutional perception. In some regions or countries, such as Austria or the Netherlands but not limited to them, distrust remains entrenched, leading to practical obstacles in market access and cooperation with local medical professionals. From a therapeutic standpoint, there is also reputational risk caused by "unscientific" operators in the field of commercial stem cell therapies, whose activities can taint the perception of legitimate research and clinical work. In addition, some of the past and current competitors continue to erode overall trust in the industry and weigh negatively on market perception.

Rebuilding and maintaining trust, therefore, remains an ongoing challenge, requiring transparency, regulatory rigor, and scientific integrity.

In addition to the general industry-wide reputational factors described in the report, brand reputation risk is assessed with a specific focus on FamiCord-related aspects. Given that the FamiCord brand is used across multiple Group entities and jurisdictions, there is a theoretical exposure to reputational impacts arising from local circumstances, operational incidents, regulatory findings, communication issues or non-compliant behavior at entity level.

In practice, no brand-specific reputational risks were identified during the reporting period. On the contrary, the strong stability of the FamiCord brand, its transparent operations and consistent compliance standards across the Group continue to significantly mitigate potential adverse effects.

For the reporting year 2025, the **brand reputation risk** is assessed with a low probability of occurrence and a medium net risk value. Compared to the prior-year report, in which the overall assessment was presented as low, this difference reflects a refined risk assessment approach rather than a change in the underlying risk profile.

Economically, the fragility of household budgets in several "Old EU" member states such as Germany, Denmark, the Netherlands and Austria represent a relevant external factor influencing consumer spending behavior.

Sluggish economic growth, high costs of living, and societal resistance to real globalization (or in other words competition with BRIC countries or Korea) may depress further consumer confidence and reduce spending on optional medical services. Nevertheless, FamiCord AG is well positioned to navigate this environment by offering flexible payment models, emphasizing value-based packages, and focusing on clients with higher disposable income. The relatively low annual cost of storage – typically EUR 100 to 150 – remains within reach for most middle-class families.

Accordingly, the **risk related to customer demand and market penetration** due to the economic environment has been reassessed. Compared to the previous assessment period, the probability of occurrence has increased from low to lower-medium, reflecting the increasing persistence of macroeconomic pressure across several core markets.

At the same time, the net risk value has increased from medium to high, driven by the potential cumulative effect of these developments on market penetration across multiple countries, despite the continued effectiveness of existing mitigating measures.

An additional area of sensitivity is customer retention or churn. A substantial portion of FamiCord's revenues is derived from existing clients, including those paying annual storage fees, those switching between annual and prepaid plans, and those who made long-term pre-payments two decades ago and are now renewing. While churn remains stable in terms of % measured against the base of existing clients, any future increase in contract resignations could negatively affect cash flow. Strategic pricing adjustments have proven effective in mitigating inflationary pressure, and FamiCord's loyal client base – especially among higher-income families – is generally resilient to modest price increases.

Accordingly, **the risk that inflation-driven price increases, in combination with potential constraints in customer purchasing power, could negatively affect customer demand**, is assessed for the reporting year 2025 with a lower-medium probability of occurrence and a high net risk value.

The **strategic risk related to the implementation of the Group's growth and acquisition strategy**, highlighted in the prior-year report, is not presented as a separate risk in the current reporting year, as its underlying drivers are reflected in several strategic risks discussed above. In conclusion, stem cell banking remains a very niche, specialized and highly sensitive sector. Most risks facing the industry are identifiable and, importantly, manageable. FamiCord AG, as the market leader in Europe, is exposed to all of these risks, but also uniquely equipped to navigate them through scale, experience, operational excellence, and trust. Maintaining a strong position will require careful stewardship, sustained investment in credibility, and strategic agility in adapting to demographic, regulatory, and scientific changes.

MEDICAL AND SCIENTIFIC RISKS

The primary purpose of storing cord blood in family banking is its potential therapeutic use if needed in the future. At present, cord blood stem cells are applied as standard transplantation material in hematological, metabolic, and immune disorders. In these indications, cord blood is considered an alternative to bone marrow and peripheral blood stem cells. Its key advantage lies in the fact that cord blood stem cells are biologically younger than those derived from other sources.[13]

There is a certain risk that the growing use of alternative stem cell sources could diminish the relevance of cord blood banking – the core business of FamiCord. From the Company's perspective, however, this scenario remains unlikely, given that cord blood is already used relatively infrequently compared to other stem cell sources (data indicates only around 1% to 3% of all transplants involve cord blood). In Europe, FamiCord's primary market, this share has been consistently lower than in other regions for more than a decade. This underlines the Company's belief that cord blood will continue to play a valid role in standard stem cell applications.

Other innovative technologies – such as CAR-T cells, iPSC-derived therapies, and gene therapies – could become competitors in overlapping therapeutic areas. Yet, these approaches remain far from standard practice and, importantly, many of them require raw cellular material at the outset. Young cord blood stem cells are widely regarded as a particularly promising input for such technologies. Similarly, expanded cord blood stem cells are showing encouraging data, with some evidence suggesting that modified cord blood may prove the most effective transplant option.

Beyond cord blood, FamiCord also preserves cells from cord tissue and placenta, which offer potential for non-standard therapies. While most of these applications are still experimental, their importance is expected to grow as societies seek innovative solutions for regeneration, anti-aging, and the treatment of difficult diseases. Notably, perinatal tissue-derived cells have recently received approval in indications such as GvHD, cerebral palsy, and wound healing, highlighting their increasing clinical relevance.

At the same time, the experimental nature of many current applications entails the risk that certain customers may perceive the immediate medical benefits as limited, which could negatively influence contract retention or the willingness of potential customers to enter into new storage agreements. This aspect is taken into account within the assessment of related risks, in particular those concerning customer demand and market penetration.

Finally, while new therapeutic approaches not relying on stem cells may appear as potential threats to the banking model, full displacement of stem cell-based therapies is highly unlikely within the next decade. The development and regulatory approval of such novel treatments remain long and complex, even when assisted by AI. More realistically, these therapies will evolve alongside stem cell applications, potentially reinforcing demand rather than undermining it.

Accordingly, for the reporting year 2025, the **risks related to emerging and new therapy trends** are assessed with an unlikely probability of occurrence and a medium net risk value. Compared to the prior-year report, in which the overall assessment was presented as low, this difference reflects a more precise estimation of the potential loss associated with these developments rather than a change in the underlying risk profile.

1.2 OPERATIONAL RISKS

Operational risks related to transportation and storage

As in the prior-year report, operational risks related to the handling and storage of human biological material remain relevant to the Group's activities.

One such **risk concerns the transportation of collected biological material from hospitals and collecting clinics to FamiCord's laboratories.** Delays or failures during transportation could, in adverse cases, lead to quality deterioration or loss of individual samples, potentially resulting in financial losses and reputational damage. Based on the experience of recent years and the effectiveness of established logistics processes, controls and quality assurance measures, this risk continues to be assessed with an unlikely probability of occurrence and a low net risk value in the reporting year 2025, unchanged compared to the prior-year assessment.

With regard to **potential storage failure**, no specific risk event associated with a material impact was identified during the reporting year 2025.

FINANCIAL RISKS

Cash flow and liquidity

FamiCord AG relies on adequately covering its financing requirements. A potential liquidity risk exists if the company is unable to secure necessary capital through raising funds or obtaining financing at reasonable terms, which could have significant consequences on the Group's business activities, earnings, financial position, and assets.

In the fiscal year 2025, the FamiCord Group predominantly financed itself internally and through the Group financing arrangement established in 2023. While these measures provided a solid foundation in the short- and medium-term, the Group's effective liquidity position decreased significantly during the year due to acquisitions, settlement payments, and increased working capital requirements. As of year-end 2025, available cash is at EUR 11.7 million after deduction of trapped cash in local entities. Free headroom under the existing credit facilities is limited to

EUR 4 million, which is at a lower level for the Group's size and restricts strategic flexibility.

Furthermore, the Net Debt/EBITDA covenant is at 1.2x versus the 3.0x limit, leaving a reduced buffer. While compliance is maintained, the limited covenant headroom requires strict monitoring and proactive liquidity planning.

The **financing of the subsidiary FamiCordTx** was conducted independently from the rest of the Group. In the prior-year assessment, **the associated financing risk** was classified as medium. As of the reporting date, this risk no longer exists, as FamiCordTx has been deconsolidated and is financed independently with no financial exposure remaining at Group level.

Through strengthened liquidity management, improved collection processes, and strict cost control, the overall exposure has been stabilized. Nevertheless, given the limited liquidity reserves, and narrowed covenant headroom, **the cash flow and liquidity risk** is now assessed with a lower medium probability of occurrence and a medium net risk value, reflecting a more balanced view of the Group's risk exposure compared to the previous year.

The integration measures risk reported in the prior year is no longer identified as a relevant risk in the current reporting year, as the underlying integration activities have been completed.

The risk of increased financing costs resulting from potential rises in interest rates continues to be monitored and, for the reporting year 2025, is assessed with an unlikely probability of occurrence and a low net risk value.

Risks related to investments, impairment of goodwill or brand names

For goodwill, brand names, and investments recognized in the financial statements, there is a risk that their carrying amounts may no longer be recoverable, requiring the recognition of impairment losses. FamiCord AG conducts at least an annual review, based on the underlying cash-generating units, to determine whether the value of goodwill or brand names may have become impaired. The recoverability of investment book values is also subject to regular assessment.

The outcome of impairment tests for goodwill and acquired brand names largely depends on management's estimates of future cash inflows and on the discount rates applied. Given uncertainties such as demographic developments, geopolitical tensions, or regulatory changes, these factors must be carefully considered when projecting future developments. Estimates are inherently subject to risk and may be revised if circumstances change.

Potential effects are reflected in the Group's medium-term planning and are incorporated into the derivation of future cash flows as part of impairment testing. If objective evidence indicates that the recoverable amount of an asset is lower than its carrying amount, the Group recognizes a non-cash impairment loss. Such impairments may be triggered, for example, by rising interest rates or a decline in expected cash inflows from individual markets.

In 2024, impairments were already recognized on selected financial assets in the standalone financial statements of FamiCord AG, while significant reversals were recorded on investments such as PBKM and Seracell. This illustrates the sensitivity of carrying amounts in the standalone financial statements to updated assumptions regarding the future development of the respective investees. In 2025, the concentration on the core business and the deconsolidation of FamiCordTx reduce the risk of major new impairments in the short term. Nevertheless, structural sector challenges – such as demographic decline, uneven scientific progress, and tighter regulatory requirements – remain relevant risk drivers.

Customer-related risks

Reputational and marketing-related risks include the potential influence of negative, misleading or factually incorrect media coverage relating to umbilical cord blood storage or stem cell applications. Such media coverage may, in adverse cases, affect customer behavior and lead to reduced demand in individual markets. As in the prior-year report, this risk is considered country-specific and is not expected to materialize simultaneously across all target markets.

In addition, reputational risks may arise in situations where communication with customers is perceived as insufficiently transparent or incomplete. Due to past misconduct by certain competitors in the private cord blood banking sector, some customers may hold negative preconceptions, such as the assumption that all collected material is stored regardless of quality. Such perceptions could, in adverse cases, affect customer trust if expectations are not adequately managed.

The Group applies ongoing media monitoring and maintains active communication with media representatives to ensure accurate and transparent information and to respond appropriately to potentially negative reporting. Furthermore, FamiCord places strong emphasis on precise and consistent customer communication and is working on the standardization of Group-wide quality specifications to further mitigate reputational risks. While the described scenarios do not reflect current practices at FamiCord, they represent theoretical risks that require continuous management.

Accordingly, **the risk related to customer demand and market penetration** due to the economic environment has been reassessed. Compared to the previous assessment period, the probability of occurrence has increased from low to lower-medium, reflecting the increasing persistence of macroeconomic pressure across several core markets.

At the same time, the net risk value has increased from medium to high, driven by the potential cumulative effect of these developments on market penetration across multiple countries, despite the continued effectiveness of existing mitigating measures.

The treatment plan focuses on risk reduction and includes the resumption of regular communication with existing customers, continuous employee training on market developments, and market research to better understand customer expectations. These measures also support customer retention by reinforcing the value proposition and mitigating potential negative effects of price adjustments.

Accordingly, **the risk associated with customer interaction and satisfaction** has improved year on year, with the probability of occurrence decreasing from high to low and the net risk value from medium to low.

Customers are increasingly inquiring about new applications for cord blood and cord tissue. In this context, consistent and proactive communication plays a critical role. Since providing services requires multiple touchpoints with clients, it is essential to understand expectations and manage them effectively in order to strengthen trust and long-term satisfaction.

Suppliers and availability of critical materials

The Group's operations depend on the continuous availability of certified materials. For certain categories, in practice only a single qualified supplier exists, which increases the vulnerability of supply chains. Any disruption in supply could lead to significant additional costs for sourcing replacement materials or, in the worst case, a temporary halt in processing activities.

To mitigate this risk, FamiCord has implemented a structured risk reduction plan. This includes systematic analysis of the supplier and material portfolio, identification of critical suppliers and materials, and definition of specific countermeasures. Such counter-measures include securing second-source suppliers where possible and maintaining safety stocks of key materials to ensure continuity of operations. Having long lasting experience in the industry, FamiCord believes this risk is fully addressable, however, potentially related with some temporary increase of costs.

Compared to the prior-year report, the presentation of this risk has been refined following enhancements in the risk assessment methodology. In the prior year, the risk was presented using an overall classification of low. Under the current, more granular approach, the risk is characterized as a typical tail-end risk, with an unlikely probability of occurrence but a high net risk value reflecting its potential impact. This refinement improves the transparency of the risk assessment and does not indicate a change in the underlying risk profile of the Group.

IT-related risks

IT service provider risk

The Group's operations rely heavily on the performance of external IT service providers, particularly with regard to the Service Level Agreements (SLAs) that define the expected response and resolution times for critical systems. Risks may arise if SLAs are not appropriately defined or if the provider fails to meet agreed standards, potentially leading to longer-than-acceptable support times and interruptions in critical processes. It particularly regards systems which are accessible via cloud. From one perspective they are usually considered being more secured but from the other side – being a subject of much bigger attention of hackers. At the same time, access to these systems depends on general access to internet where breaks may occur.

In the previous year, this risk was classified as low. Following the change of IT service provider and the implementation of improved contractual arrangements, the risk exposure has further decreased.

Accordingly, the IT service provider risk has now been assessed as unlikely in terms of probability of occurrence, with a low net risk value.

IT security risk

The Group is exposed to potential risks of data leakage or data inaccessibility caused by cybercrime. To mitigate this, a comprehensive risk reduction strategy has been implemented. Measures include enhanced employee trainings and information events, system hardening against cyberattacks, the introduction of Detection and Event Response (DER) systems and log-scanning tools (e.g., SPLUNK), as well as the recruitment of additional IT security staff. Furthermore, sensitive data is stored in secure environments (avoiding public cloud services), with clear internal guidelines established for cloud usage. The IT infrastructure is continuously updated with the latest software releases, improved firewalls, and other protective measures. FamiCord considers its major Group companies to be less vulnerable or better prepared to external security risks. At the same time, due to much larger number of employees, FamiCord sees a little bit bigger risk of human errors related with security breach regulations (like clicking phishing emails).

In the opinion of the management, the ongoing AI revolution will increase the security risks as creation of malicious software is by far much easier these days than in the past. FamiCord expects growth of non-targeted attacks at its IT systems and infrastructure in coming years. At the same time, defense solutions are being developed much faster than in the past, so that its weighted risk will rather stay the same, although FamiCord may have to incur higher costs.

Accordingly, the **IT security risk** has increased from unlikely to low in terms of probability of occurrence, with a low net risk value, unchanged compared to the previous year.

Personnel risks

The availability and retention of highly qualified specialists remains of central importance for the achievement of strategic and financial corporate goals. Competition for qualified personnel remains intense. In addition, staff turnover has increased in the current financial year, which increases the risk of having to fill key positions at short notice. Failure to recruit, develop and retain suitable personnel for critical functions in the long term can have a lasting negative impact on business development.

FamiCord meets these challenges with a comprehensive personnel management approach. In addition to continuous investment in personnel marketing and employer attractiveness, the company relies on targeted measures to increase employee retention. To this end, FamiCord AG relies on improved communication measures and a respectful and appreciative working environment. These include regular staff meetings, mandatory appraisal interviews and an annual employee satisfaction survey. Systematic offboarding processes also contribute to the structured analysis of the causes of staff turnover and enable continuous improvements.

In addition, the company offers a competitive remuneration system and is prepared to make targeted adjustments to existing salary structures if necessary. Flexible working time models, team-oriented working and additional monetary and non-monetary benefits underline the company's self-image as an attractive employer.

For example, the company offers extensive incentives and training opportunities for personal development. The company also offers career opportunities by developing its own employees and – where possible – replacing them with its own employees. Through the opportunity to work on international projects, FamiCord also promotes the professional and intercultural development of its employees and at the same time strengthens internal networking.

The Group-wide HR Center of Expertise in Germany pools know-how and leverages synergies in human resources by centralizing the experience of the various locations on these topics. Against the backdrop of increased fluctuation, it has become clear how important well thought-out replacement solutions and structured knowledge management are – especially in central corporate functions. FamiCord has proactively implemented appropriate replacement models to ensure continuity in the event of personnel changes.

Accordingly, **personnel risk – including staff turnover** – is assessed for the reporting year 2025 with a lower-medium probability of occurrence and a high net risk value. In the prior-year report, this risk was presented using an overall classification of medium. The current presentation reflects a more granular application of the risk assessment methodology, while the underlying risk exposure and the Group's overall risk profile remain unchanged.

1.3 COMPLIANCE RISKS

REGULATORY RISKS

Regulatory requirements related risks

The Company's business model critically depends on licenses issued by the LDS (Landesdirektion Sachsen – State Directorate of Saxony) and the PEI (Paul-Ehrlich-Institut – Federal Institute for Vaccines and Biomedicines). These licenses must be continuously maintained through strict and ongoing compliance with applicable regulatory requirements. As the regulatory environment continues to evolve and become more stringent, additional obligations are expected to arise over time. To mitigate this risk, the Company follows a clear and structured risk reduction strategy: all findings identified during official inspections by the LDS or the PEI are systematically addressed, and new regulatory requirements – such as those arising from updated EU Directives and Good Manufacturing Practice (GMP) requirements for sterile medicinal products – are proactively implemented to ensure uninterrupted compliance and operational continuity.

In this context, EU Regulation (EU) 2024/1938 on Substances of Human Origin (SoHO), which entered into force on July 17, 2024, and will apply from August 7, 2027, represents a further tightening of the regulatory framework. The regulation introduces harmonized quality and safety standards across the European Union, including mandatory registration of SoHO entities and establishments, the use of a central EU SoHO platform, and reinforced obligations related to traceability and reporting. FamiCord is proactively preparing for these changes and aligning its processes and documentation to ensure full compliance within the applicable transition period.

Accordingly, **the risk associated with regulatory licenses**, which are critical to the Company's business and must be continuously maintained through compliance with regulatory requirements, is assessed for the current reporting year as a typical tail-end risk, with an unlikely probability of occurrence and a high net risk value reflecting its potential impact.

In the prior-year report, this risk was presented using an overall classification of low. The current presentation reflects a refined risk assessment and does not indicate a change in the underlying risk exposure or the Group's overall risk profile.

The production of pharmaceutical products operates within a highly regulated environment, where market standards are very high and continuous compliance with regulatory requirements is essential. Systemic non-compliance must be avoided in all circumstances, as changes in the legal framework could complicate compliance obligations, jeopardize the maintenance of required licenses and affect a broader range of products.

In the prior-year report, this risk was presented using an overall classification of medium. Under the refined risk assessment methodology applied in the current reporting year, the risk is assessed with an unlikely probability of occurrence and a low net risk value. This refined presentation improves the transparency of the assessment and does not indicate a change in the underlying risk profile compared to the previous year.

Litigation risk

The Company may face legal disputes with clients and partners. In the previous year, this risk was assessed with a high probability of occurrence and a medium net risk value. The chosen treatment plan – focused on training and education of medical personnel involved in the collection process – has proven effective. As a result, the probability of occurrence has decreased to lower medium, while the net risk value has remained medium, reflecting an improvement compared to the previous year.

ESG risk summary

As part of FamiCord's risk management procedure, risks related to Environmental, Social and Governance (ESG) topics have been identified and assessed by the Group. The risks considered under ESG are distributed across several categories, including corporate responsibility and sustainability, corporate governance, IT, customer care, ethics, and logistics.

The risks considered for each category take into consideration the outcome of the double materiality exercise, performed by the Group in 2024. The following is a high-level summary of the ESG-related risks identified and assessed by FamiCord:

Environmental:

Risks assessed under this topic are primarily linked to the Group's operational footprint and long-term commitments and responsibilities. Key risks are:

- Poor energy management and lack of capacity to adapt to price increases on energy-dependent processes.
- Resources scarcity and/or increase in prices from suppliers of critical goods and services.
- Potential non-compliance with stricter regulations in terms of waste management and circular economy.

Accordingly, **the risk associated with energy management**, including the Group's indirect dependency on the continuous availability of liquid nitrogen for cryogenic storage, is assessed with an unlikely probability of occurrence and a low net risk value. No change has been observed compared to the previous year.

Accordingly, **the risk associated with climate change**, including the potential impact of higher temperatures – particularly during summer periods – requiring adjustments to collection kits, is assessed with an unlikely probability of occurrence and a low net risk value. No change has been observed compared to the previous year.

Similarly, **the risk associated with resource scarcity**, particularly from suppliers of critical goods and services, has been assessed as unlikely in terms of probability of occurrence, with a low net risk value, also unchanged from the previous year.

Social:

Social risks cover risks related to employees, customers, and the wider community. Within these risks different areas of responsibility are addressed, including IT, customer care and corporate governance. In detail:

- Loss of productivity due to absenteeism caused by health issues, and lack of qualified people.
- Loss of interest among customers over the cryopreservation service.
- High prices of the service leading to the inability of families with lower income to access cryopreservation.
- Unauthorized disclosure or unauthorized access to customers, employees and other stakeholders' personal data, as well as to confidential information.

Accordingly, **the risk associated with employee satisfaction** has been assessed as low in terms of probability of occurrence, with a medium net risk value, unchanged compared to the previous year.

The risk related to employee absenteeism, errors and turnover, classified under the ESG subcategory Health and Safety, has been assessed with a low probability of occurrence and a low net risk value, remaining unchanged compared to the previous year.

Governance:

Governance-related risks identified by FamiCord are mainly associated with ethics and compliance and with logistics and suppliers' management. Relevant risks include:

- Legal risks and reputational damage due to inappropriate use of biological material.
- Delays in service provision, loss of product quality and damage in the reputation due to poor supply chain management.

2. GROUP RISK

The Group risk of the Company results from the totality of the risks of the investments of FamiCord AG and is therefore to be understood as an investment risk. The focus of the analysis is not the individual operational risk of each company, but the aggregated impact of these risks at Group level, excluding the parent company itself. The objective of the analysis is to capture the potential risk arising for the Group as a whole from the economic development of its investments.

The assessment of the Group risk is based on the aggregation of a large number of individual risks from the respective investment entities. In total, approximately 1,000 individual risks are included in the calculation. An isolated qualitative assessment of individual risks is not appropriate at this level; rather, the informative value results from the quantitative aggregation of the individual risks into an overall distribution of the investment risk.

Development since December 31, 2024

Since the reporting date of December 31, 2024, the aggregated Group risk has decreased. This change is evident both in the expected value and in adverse realizations of the risk distribution. Accordingly, both the average expected risk and the burden in weaker development scenarios have decreased compared with the previous assessment date.

The reduction in aggregated Group risk since December 31, 2024, is primarily driven by the successful mitigation and closure of a previously identified M&A-related risk, which had a significant impact on the overall risk profile. In addition, several individual risks were reassessed in the course of ongoing enhancements to the Group's risk management system and methodological refinements. This led to a more differentiated structuring of certain risks and, in some cases, to their reclassification or closure where the underlying risk drivers were no longer present.

The Group structure and the fundamental business model of the country-specific entities have not changed significantly compared with the previous assessment date.

Aggregation, dependencies, and diversification

The aggregation of individual risks at Group level is performed in accordance with the Group Risk Management Policy and takes relevant interdependencies between risks into account.

Such interdependencies arise, in particular, where risks are influenced by common operational, market, regulatory, or organizational drivers, or where the occurrence of one risk may affect the likelihood or impact of other risks. Examples include dependencies between IT security and data protection risks, between employee-related risks and fluctuation, as well as between market demand risks across different Group entities exposed to similar customer and market dynamics.

These interdependencies are reflected in the assumptions underlying the quantitative aggregation of risks at Group level in accordance with GAS 20, paragraph 152. Despite the existence of such interdependencies, diversification effects arise due to the broad range of individual risks, their differing underlying drivers, and their distribution across several legally independent investment entities, resulting in a diversified risk profile at Group level.

Overall assessment of the Group risk

Despite the high number of individual risks, the quantitative aggregation allows for a robust assessment of the Group's investment risk. In summary, the analysis shows that the Group risk has decreased overall in the period under review since December 31, 2024. Compared with the previous reporting date, the current assessment indicates a reduced risk level, both in the expected value and in adverse realizations of the risk distribution.

3. OUTLOOK AND FUTURE RISK DEVELOPMENT

Since the reporting date, geopolitical tensions in the Middle East, in particular in connection with the Iran conflict, have increased further. These developments may give rise to additional uncertainties, particularly with regard to macroeconomic conditions, international transport and supply chains, as well as energy- and cost-related market effects. At the time of reporting, the specific implications for the Group cannot yet be assessed reliably in detail. However, based on the information currently available, no material change in the overall risk situation of the FamiCord Group is expected.

The overall risk situation of the FamiCord Group is assessed as stable compared with the previous year. No material increase in the aggregated risk exposure is expected for 2026. The Group will continue to strengthen its risk culture, integrate ESG considerations into all material business processes, and enhance data-driven monitoring capabilities.

4. OPPORTUNITIES REPORT

In addition to the risks described, the Group also identifies opportunities that may positively affect its strategic and operational objectives.

Key opportunities arise from:

- Market consolidation and the potential to expand FamiCord's leading position in Europe,
- Growing demand for advanced therapeutic applications of perinatal tissues,
- Technological innovation and digital transformation in laboratory processes, and
- Improved ESG performance enhancing access to financing and reputation.

The Group systematically monitors these opportunities as part of the same framework, ensuring balanced decision-making and sustainable value creation.

4.1 OPPORTUNITIES FOR FUTURE DEVELOPMENT

Unless stated otherwise, all opportunities presented relate to the Group as a whole and therefore to both subgroups. For obvious reasons, which result from the different sizes of the respective subgroups, certain opportunities may be easier to implement in the subgroup PBKM, as it is active in a larger number of countries. On the other hand, implementation in all of the countries in which the subgroup PBKM operates is more challenging than in the subgroup Vita 34, which is de facto active in Germany, Austria, Luxembourg and Spain in the area of private customer acquisition. Unlike risks, FamiCord does not classify opportunities according to their financial impact and probability of occurrence.

4.2 PRODUCT OPPORTUNITIES

The consistent expansion of its own product portfolio creates numerous additional opportunities for the Group, which are becoming increasingly important and were therefore recorded and managed in such detail for the first time in 2024.

New era of precision medicine and stem cell-based therapies

The global healthcare industry is undergoing a transformation towards precision medicine, with cutting-edge technologies such as mRNA, CAR-T, CRISPR/Cas and various biological applications taking center stage. Approximately 5,000 clinical trials worldwide are currently looking at cell-based therapies, with around 1,000 focusing on stem cells alone.[14] As a major family stem cell bank in Europe, FamiCord believes it is well positioned to capitalize on this momentum. By securing stem cells, FamiCord provides families with access to therapeutic options that will reshape the future of healthcare.

New therapies to expand the use of stem cells

The healthcare sector's shift to personalized treatments is being driven by new technologies that are expanding the use of stem cells in a range of therapeutic applications. The recent FDA approval of cord blood expansion technologies (first from April 2023 followed by extension from December 2025) provides greater clinical utility for these cells, while recent studies confirm usefulness and viability of biological material stored for long period of time.[15] These advances underscore the long-term value of cord blood banking and make it particularly attractive to families seeking a forward-looking healthcare investment. Samples stored at FamiCord can now serve as important resources for new treatments in oncology, neurology and regenerative medicine. FamiCord, which already has several thousand stem cell products used in therapies, about half of which are for experimental applications, will be able to use this experience to become a reliable partner for clinics and hospitals. The majority of them are using so-called mesenchymal stem cells (MSC). In December 2024, the US FDA approved the first MSC-based product in the US, which shows that such therapies are reaching the market.

Placenta banking: unlocking expanded therapeutic potential

FamiCord expands its offering by introducing placenta banking to its markets. Placental tissue, a rich source of various stem cells, offers a broader therapeutic spectrum beyond cord blood and addresses specific healthcare needs that cord blood alone cannot fulfill. This expanded service not only diversifies FamiCord's offering but also strengthens the company's role as a comprehensive healthcare partner for families. Acceptance in markets such as Switzerland, Poland, Romania and the GCC underlines the high potential of placenta banking to increase revenue per customer and deepen customer loyalty. Furthermore, placenta seems to be naturally recognized as a life source by some customers and partners and therefore attractive tissue to be preserved for future. That can help to overcome hesitation to collect cord blood.

Comprehensive therapeutic partnerships as catalysts for growth

FamiCord's ongoing and developing partnerships with hospitals, clinics and universities play a key role in raising awareness and expanding the potential use of stem cells. By collaborating with healthcare providers on experimental therapies for diseases such as cerebral palsy and autism, FamiCord is demonstrating the real-world therapeutic applications of stem cells. These partnerships strengthen FamiCord's position as an important company in the field of ethical, therapeutically applied stem cell banking and promote awareness of and interest in banking options for families seeking preventative and regenerative healthcare. FamiCord believes that engaging more stakeholders in the broad topic of cell therapies will have a positive impact on the family banking sector. The positive experiences in Poland and Romania in this regard are encouraging. FamiCord has already initiated discussions with a number of new potential partners in Poland, Germany, the UK and the UAE. Independent of this, there are ongoing discussions with larger pharmaceutical companies regarding collaboration in the field of storage of CAR-T products and the first agreement has already been signed.

The Company believes that promoting the use of perinatal stem cells and enabling access to emerging therapies is the right path to foster banking interest. Several initiatives already support this approach, including the FamiCord Expanded Access Programme, participation in leading hematology and neurology conferences, collaborations with hospitals and physicians conducting experimental stem cell therapies, and the establishment of a Chief Medical Officer position at the level of the Management Board, which underlines the importance of these initiatives.

Efficient customer acquisition through digital marketing

FamiCord's digital marketing strategy enables leads to be captured and converted efficiently. With targeted outreach and AI-based tools, FamiCord can optimize customer segmentation, increase marketing efficiency and support scalable growth. This approach ensures a high return on marketing investment and also increases brand awareness, positioning stem cell banking as important decisions of future parents and positioning FamiCord as the first-choice provider. FamiCord identifies and works on projects where the use of AI can help to either save time or money or improve the outcome in terms of quality. It should be underlined that looking at the experience of companies from other industries quick pay-back of AI implementation is not so obvious.

Expansion of ATMP ("Advanced Therapy Medicinal Product") activities

FamiCord plans to expand its ATMP-related activities to provide services to early-stage biotech companies that need to manufacture their biological drug candidates, particularly cell and gene therapies, during the development process. While the company decided to divest from the development of CAR-T therapies via its related company FamiCordTx ("FTX"), it may still benefit from FTX's continued activities. Potential benefits include operational upside from providing CDMO services to FTX and receiving royalties, as well as financial upside if PBKM is able to sell its remaining stake in FTX, which has been written down to EUR 100 thousand. In order to achieve this, more sales and marketing activities are planned for 2026, which may lead to new contracts in the future. It was decided to build up a pipeline of opportunities before fully implementing the plan, which is currently already being done. Particularly, FamiCord noticed first interesting results in Q3 2025 when it signed 3 new contracts worth around EUR 1 million. In addition, FamiCord's pipeline for 2026 looks interesting in 3-5 years perspective comparing to 2025. Taking into consideration its current experience in CDMO area, winning new client takes from 12 to 18 months since initial talks, which is considered typical for B2B relationship.

Organic growth

As part of its corporate strategy, FamiCord traditionally focuses on organic growth. The company is working hard to continuously increase its market penetration in the most attractive markets through targeted marketing and sales measures in order to expand its market position and tap into underdeveloped markets. FamiCord is able to gradually increase prices for its services as well as introduce new products – particularly placenta banking which is well received by its clients.

Monetization of existing clients' base

At the moment, FamiCord monetizes the existing clients' base to a limited extent. The Group believes there is a potential which should be explored further. FamiCord's statistical client has rather high income, is better educated than average and lives in larger cities (with population exceeding 100,000 inhabitants). Usually, this kind of people are interested in buying several new services and are also open for new technologies. It should be underlined that there are several steps to be taken to monetize this base including legal, operational, administrative and more.

4.3 STRATEGIC OPPORTUNITIES

FamiCord is among the leading companies in the European family stem cell banking market. The low market penetration in Europe – less than 2% compared to 3% to 4% in the US and over 10% in some developed Asian countries – provides FamiCord with the opportunity to drive growth as awareness and demand for stem cell banking increases. Industry consolidation has streamlined competition, created high barriers to entry and strengthened FamiCord's leading position as a stable, credible provider. This advantageous position underpins FamiCord's potential for expansion as the market continues to evolve.

FamiCord's growth strategy focuses on expanding market penetration in high-potential regions such as Germany, Poland, the UK, and the GCC, where various country-specific factors such as economic growth, size, consumer power, investment in healthcare and family-oriented cultures are in line with FamiCord's offerings. New services such as placenta tissue banking and health diagnostics increase the lifetime value of customers and strengthen FamiCord's role as a comprehensive healthcare partner for families. The Hungarian market continues to be important for FamiCord; however, due to its maturity as well as FamiCord's very high market share, the Company expects to maintain its position there. The Spanish market, which used to be the largest in Europe 15 years ago, is considered important but due to activity of fierce competitor and complexity of legal environment FamiCord does not expect substantial growth there in the next 1 to 2 years. Additionally, FamiCord plans to increase its market share in the UK, UAE, Romania, Italy and more. FamiCord also works to extend its network of B2B partners, which was weakened in the past 3 years.

4.4 REGULATORY OPPORTUNITIES

In principle, FamiCord sees long-term potential for the products offered to be exempt from VAT as medical services. This would result in the Group being able to offer its customers more attractive prices and simultaneously increase its profitability. FamiCord has initiated legal actions in 2 countries and is in preparation process in Germany as well.

Market opportunities through the merger of Vita 34 and PBKM as well as further acquisitions

The merger of the present-day subgroups Vita 34 and PBKM in 2021 has significantly increased FamiCord's market share in Europe. Accordingly, the financial, personnel and technological resources within the Group have increased significantly, and the already comprehensive range of services has been further expanded. In addition noticeable revenue and cost synergies are opening up for FamiCord in the noticeable revenue and cost synergies particularly further standardization of raw materials as well as laboratory processes which for example allows to get better prices from suppliers due to combined volume of purchases.

FamiCord has recorded growth spurts in the past through targeted strategic acquisitions and has put itself in a position to sustainably strengthen its position in the European market. The merger of the present-day subgroups Vita 34 and PBKM results in certain synergy effects (although smaller than initially anticipated) and competitive advantages, which offer new opportunities for customer acquisition, particularly due to the various offerings. In addition, access to new technologies and qualified personnel will be made possible. In the past, FamiCord has been able to build up extensive expertise in planning the integration of the acquired companies, as well as implementing them quickly and successfully.

Within the scope of the increasing consolidation of the market for private stem cell banking, FamiCord regularly examines the potential to expand through opportunistic acquisitions, thereby improving its geographic market position throughout Europe.

In 2025, FamiCord concluded 3 M&A transactions: The company increased its stakes in Czech Republic and Slovakia from 26% to 95% and acquired 100% of Polish company nOvum BKM.

There are a few interesting targets left on the market. However, the next acquisitions will require an additional financing.

4.5 OVERALL ASSESSMENT OF THE MANAGEMENT BOARD

As a leading cell bank in Europe, FamiCord sees itself well positioned with regard to the opportunities and risks in order to secure the continued existence of the company in the long term and to utilize the opportunities that present themselves. The significant increase in company size and the expanded internationality as a result of the merger of the present-day subgroups Vita 34 and PBKM also have a positive effect here. After reviewing the risk situation as of the balance sheet date of December 31, 2025, there is a limited risk that due to the situation in Germany a topic of going concern may be under consideration. FamiCord still sees the macroeconomic consequences of the war in Ukraine and the associated potential effects on revenue and earnings. However, at Group level, the results of operations are considered to be good overall. Given the continued challenging sales situation in Germany, management has implemented and is further developing targeted measures to improve local performance (including sales initiatives and cost adjustments) and monitors developments closely. Based on current information and assumptions, these developments do not give rise to any material uncertainty related to going concern at Group level. In parallel, numerous opportunities for growth have been identified and the Management Board believes they will contribute to improving the financial results when implemented.

According to the Management Board's assessment, based on the analyses and estimated effects, no knowledge has arisen during the period between the balance sheet date and the preparation of the annual financial statements for 2025 that the risk-bearing capacity is not given.

5. DELIMITATION BETWEEN RISK REPORT AND FORECAST REPORT

The risks presented in the Risk and Opportunity Report describe potential negative deviations from the expectations outlined in the Forecast Report. The Forecast Report, by contrast, reflects management's assessment of the expected development of the Group under the assumption of a planned and orderly course of business.

6. INTERNAL CONTROL AND RISK MANAGEMENT SYSTEM RELATED TO THE GROUP FINANCIAL REPORTING PROCESS (§ 315 (4) HGB)

The Management Board of FamiCord AG has established appropriate controls and risk management system with regard to the Group financial reporting process. The objective of these controls and the risk management framework is to ensure the orderly, reliable and transparent preparation of internal and external Group financial reporting.

The framework comprises principles, procedures and measures designed to ensure proper Group accounting and is based on clearly defined organizational and control structures. Key elements include a uniform Group accounting manual, binding Group-wide accounting and valuation guidelines, as well as standardized reporting and consolidation processes.

Responsibility for the Group financial reporting process lies with the Management Board, in particular with the Board member responsible for finance. Subsidiaries prepare and submit their financial statements in accordance with uniform requirements and defined reporting timelines. The plausibility and completeness of the reported data are reviewed as part of the consolidation process.

To prevent and detect material misstatements, functional separation, the four-eyes principle, system-based controls and analytical reviews are applied. The Group financial reporting process is supported by appropriate IT systems, with clearly regulated access rights and change authorizations.

The Supervisory Board monitors the effectiveness of the internal control and risk management system as part of its regular supervisory activities, in particular through the review of financial reporting, risk reporting and discussions with the Management Board.

Forecast report

The assumptions underlying this forecast report are based on the Group's internal budgeted figures as well as on statements and publications from leading economic institutions. These primarily include the German Federal Ministry for Economic Affairs and Energy (BMWE), the European Central Bank (ECB), and the International Monetary Fund (IMF), along with relevant trade associations for the Company. In addition, general sentiment indicators and feedback from the sales departments regarding currently observable customer purchasing behavior are incorporated into the analysis.

As has been shown in the past, FamiCord's business model and the demand for the Group's products have historically shown a certain degree of resilience to mild to moderate economic downturns. In the Company's assessment, this relates directly to the unique significance of childbirth for most couples, which is generally reflected in a higher propensity of expectant parents to spend on related services. However, this makes it all the more evident that stronger economic upheavals in recent years have negatively impacted the Company's revenue and earnings development.

In 2025, the Company reported an overall consistently solid operational development and continued its path of increasing efficiency and focusing on the specific strengths of its business model. The Group continues to benefit from product innovations such as placenta banking and its expansion into new markets in the GCC region.

But in addition to the overall underlying trend of continuously low birth rates throughout the main markets in Europe, the business development in the first quarter of 2026 shows increased pressure and subdued performance in new customer business. The continuation of the war in Ukraine is noticeably reflected in increasing uncertainty among potential customers and correspondingly continues to act as a burdening factor on the Company's business performance. Furthermore, the political changes observed since the US elections have led to significant macroeconomic uncertainties and a tendency towards an increase in global political crises, which has further deteriorated overall consumer sentiment. For the fiscal year 2026, the war in Iran has also emerged as a significant new uncertainty factor. It is currently not yet possible to estimate the extent to which the resulting rising energy prices, specifically for petrol, diesel, and heating oil in Europe, will lead to further reluctance among consumers regarding their willingness to spend, which is likely to have a dampening effect on demand for the Group's services. However, it is to be expected that consumer reluctance will tend to increase. Furthermore, technological developments, including the increasing use of artificial intelligence, seem to influence customer behavior and competitive dynamics. The use of LLMs already has a direct impact on how and from which sources consumers are seeking information, leading to the need of rapidly adapting marketing strategies to this new consumer behavior. In addition, the rise of AI starts to lead to additional uncertainties among consumers regarding job security, which in turn leads to reluctance towards long-term contract commitments.

Against the backdrop of the business development in 2025 and the existing financing structures, the Group considers itself to continue to have access to financing instruments that support its operations, subject to the development of operating cash flows. However, cash generation has recently weakened and fewer prepayments are being observed overall. The consistent business policy oriented toward earnings and liquidity will be fortified through the budget for 2026 and the medium-term planning for 2027. This includes various scalable instruments to ensure the Company's liquidity at all times, even in the event of an unforeseen, economically driven slowdown in business development. Stress tests conducted to meet the requirements of Section 252 (1) No. 2 of the German Commercial Code (HGB) and IAS 1.25 regarding the going concern assumption indicate that, based on the current planning assumptions, the available liquidity, usable credit lines, and additional liquidity-securing measures are expected to be sufficient to maintain a sustainable operational business profile. In the short term, liquidity can be supported, for example, through the adjusted management of investment activities. Furthermore, campaigns allowing existing customers to switch from annual payment to upfront payment contracts offer additional short-term liquidity potential, although overall prepayment levels have trended lower.

Given the multitude of macroeconomic challenges and the aforementioned geopolitical uncertainty factors, the Management Board assesses the economic environment in Europe with increasing caution. A weaker-than-expected development in new customer business cannot be ruled out, which may negatively impact revenue and cash flow development. The continued growth and efficiency initiatives in 2025 will help safeguard business development against the aforementioned adverse circumstances in 2026. Additionally, the Company is working on introducing further strategic cost saving measures throughout the year in selected markets. Under these current planning assumptions, consolidated revenues in the range of EUR 80 to 90 million and an EBITDA in the range of EUR 9 to 11 million are expected for 2026. This forecast also assumes largely stable exchange rates of the euro against the Polish zloty and the other currencies (HUF, RON, TRY, GBP). Any effects from potential acquisitions and associated transaction costs are not taken into account in this forecast.

As part of the ongoing development of the Group's management structure, the Company has further re-

fined its internal segmentation and now distinguishes between the Core Business and other activities, in particular CDMO and Research & Development. This structure reflects the different roles of the Group's activities in terms of value creation, growth and investment focus and forms the basis for internal management and decision-making processes. The updated structure has already been incorporated into the Group's planning and budgeting processes.

The expected business development is primarily driven by the Core Business, while the other activities contribute differently to the short- and mid-term development. For the Core Business, management expects a stable to moderately positive development, broadly in line with the overall Group's revenue and earnings trend, which will continue to represent the main contribution to the Group's revenue and earnings. The number of new storages B2C expected for 2026 for the Group is budgeted to be slightly above the level of the reporting year (single digit %) although, based on the results of the first quarter, there is an increased risk of not fully achieving this target. The other activities show a differentiated development: CDMO is expected to be a key driver of future growth, with revenue development anticipated to exceed the overall Group growth rate, although development is project-based and therefore subject to higher volatility. Research & Development activities continue to be characterized by targeted investments aimed at building future growth potential, while having a short-term dilutive effect on earnings, and are therefore expected to have a negative impact on Group EBITDA in the short term in range of EUR 0.2 – 0.3 million. Overall, the Core Business is expected to remain the primary contributor to the Group's revenue and earnings, while CDMO is anticipated to gain importance as a growth driver over time, and Research & Development will continue to represent an investment-focused area with limited short-term earnings contribution.

For FamiCord AG itself, revenues in the range of EUR 10.5 to 12.5 million and an EBITDA in the range of EUR -3 to -5 million are forecast for the fiscal year 2026. Revenues are expected to be generated primarily through higher new storages. The new storages expected for 2026 for FamiCord projected to be slightly above the level of the reporting year. Despite the difficult market environment and potential intra-year fluctuations, the Company currently expects moderate full-year growth for new customer contracts and the number of storages in 2026.

Based on current planning assumptions, the Group currently expects to maintain an overall adequate financial and asset position. This assessment is subject to material uncertainties relating in particular to macroeconomic and geopolitical developments, the evolution of new customer business and the Group's ability to generate sufficient operating cash flows. Adverse deviations from these assumptions may have a negative impact on the Group's financial position and liquidity.

NON-FINANCIAL REPORTING

The Non-financial Report prepared for the reporting year is part of the Annual Report and can be accessed on the FamiCord website under the link https://ir.famicord.com/financial-report/2025/.

FORWARD-LOOKING STATEMENTS

This annual report contains forward-looking statements. They are based on current information available to the Group at the time the annual report was prepared. However, such forward-looking statements are subject to risks and uncertainties. If the underlying assumptions do not materialize or additional opportunities/risks arise, the actual results may deviate from the estimates made. Therefore, FamiCord cannot assume any liability for these statements. Accordingly, readers are encouraged to interpret such statements with due caution and in conjunction with the risk factors described in this report.

DEPENDENCY REPORT

In fiscal year 2025, FamiCord AG (formerly Vita 34 AG) was a dependent company of AOC Health GmbH, Frankfurt am Main, Germany, within the meaning of § 312 AktG. In accordance with § 312 AktG, FamiCord AG has therefore prepared a report on relationships with affiliated companies. This report concludes with the following declaration by the Management Board:

"We declare that, with respect to the legal transactions listed in the report on relationships with affiliated companies, the Company received appropriate consideration for each legal transaction in fiscal year 2025, based on the circumstances known to us at the time the legal transactions were carried out. With regard to the measures presented in the report within the meaning of Section 312 (1) AktG, we declare that, in our assessment, the Company was not disadvantaged thereby."

Leipzig, April 30, 2026
Management Board of FamiCord AG



Jakub Baran
Chief Executive Officer



Thomas Pfaadt
Chief Financial Officer



Dr. Cornelia Wittke-Kothe
Chief Commercial Officer



Tomasz Baran
Chief Medical Officer

Footnotes

1 https://www.cb-association.org/assets/docs/Fact%20Sheet_February%202024.pdf
2 https://clinicaltrials.gov/ct2/results?cond=cord+blood&term=&cntry=&state=&city=&dist=&recrs=a
3 https://www.cb-association.org/future-of-cord-blood-banking-webinar
4 https://www.imf.org/-/media/files/publications/weo/2026/january/english/text.pdf
5 https://www.imf.org/-/media/files/publications/weo/2026/january/english/text.pdf
6 https://www.kielinstitut.de/fileadmin/Dateiverwaltung/IfW-Publications/fis-import/340fec67-1430-46ca-86b9-ec247a6470f2-KKB_129_2025-Q4_Deutschland_DE.pdf
7 https://nielseniq.com/global/de/news-center/2025/kaufkraft-der-europaeer-steigt-2025-auf-20291-euro/
8 https://www.bib.bund.de/DE/Presse/Mitteilungen/2025/20-25-07-30-Geburtenrate-sinkt-aber-gewuenschte-Kinderzahl-bleibt-auf-konstant-hoeherem-Niveau.html
9 https://www.destatis.de/DE/Themen/Gesellschaft-Umwelt/Bevoelkerung/Geburten/geburten-aktuell.html
10 https://celltrials.org/maps-cell-and-gene-therapy/percentage-of-births-banking-cord-blood/
11 https://ec.europa.eu/eurostat/statistics-explained/index.php?title=Fertility_statistics
12 https://ec.europa.eu/eurostat/statistics-explained/index.php?title=Population_and_population_change_statistics
13 https://www.nature.com/articles/s41409-022-01691-w
14 https://clinicaltrials.gov/
15 https://parentsguidecordblood.org/en/news/cured-his-own-cord-blood-19-years-later; https://futurehealthbiobank.com/clinical-updates/stored-cord-blood-stem-cells-viable-after-27-years/; https://fightcancer.org.au/news-and-media/research-news/bmdi-cord-blood-bank-20-years-of-saving-lives; https://pubmed.ncbi.nlm.nih.gov/37913777/; https://academic.oup.com/stcltm/article/13/1/30/7344334?login=false



NON-FINANCIAL GROUP REPORT 2025

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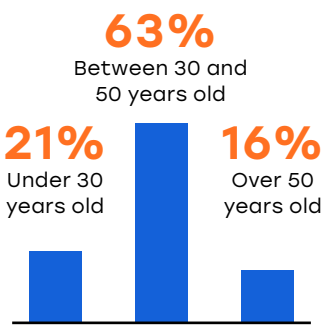
A YEAR IN REVIEW

Key non-financial figures

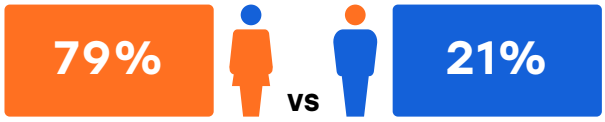
Employees



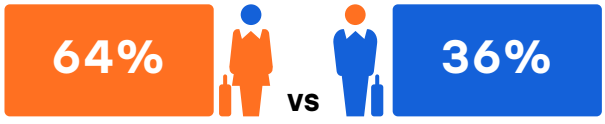
employees



Age distribution



women vs. men



women vs. men on top management level



Employee satisfaction



incidents of discrimination registered

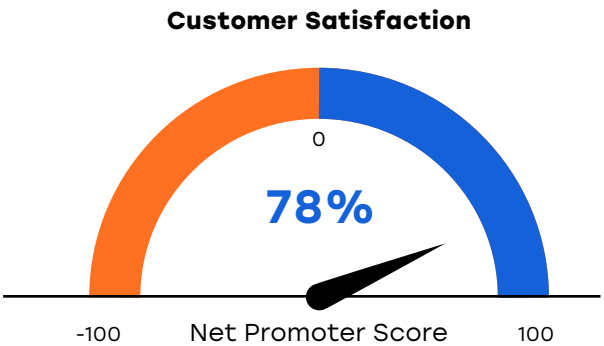
Services and clients



B2C Annual recurring revenues

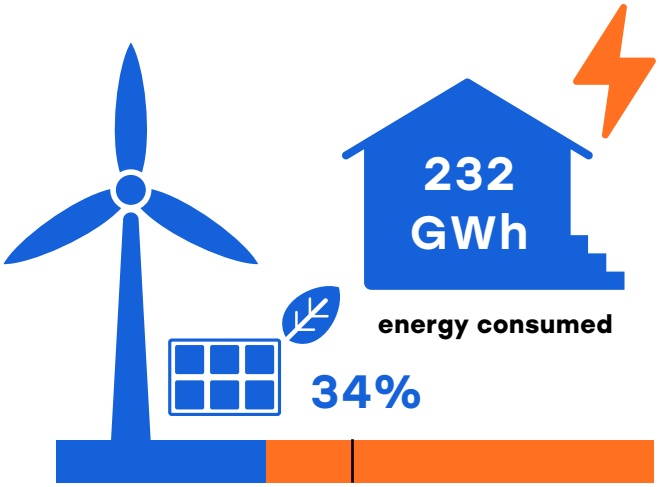


B2C Prepaid prolongations



FamiCord
MORE THAN A STEM CELL BANK

Environment



energy consumed

of renewable sources in total energy consumption

CO_2 1,033 t

scope 1 GHG emissions

CO_2 1,712 t

scope 2 GHG emissions – location based

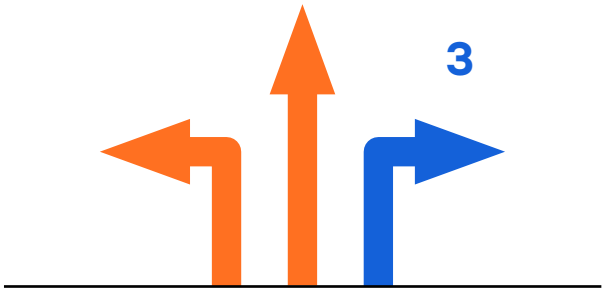
CO_2 1,746 t

scope 2 GHG emissions – market-based

CO_2 442 t

scope 3 GHG emissions

Business conduct



of new policies



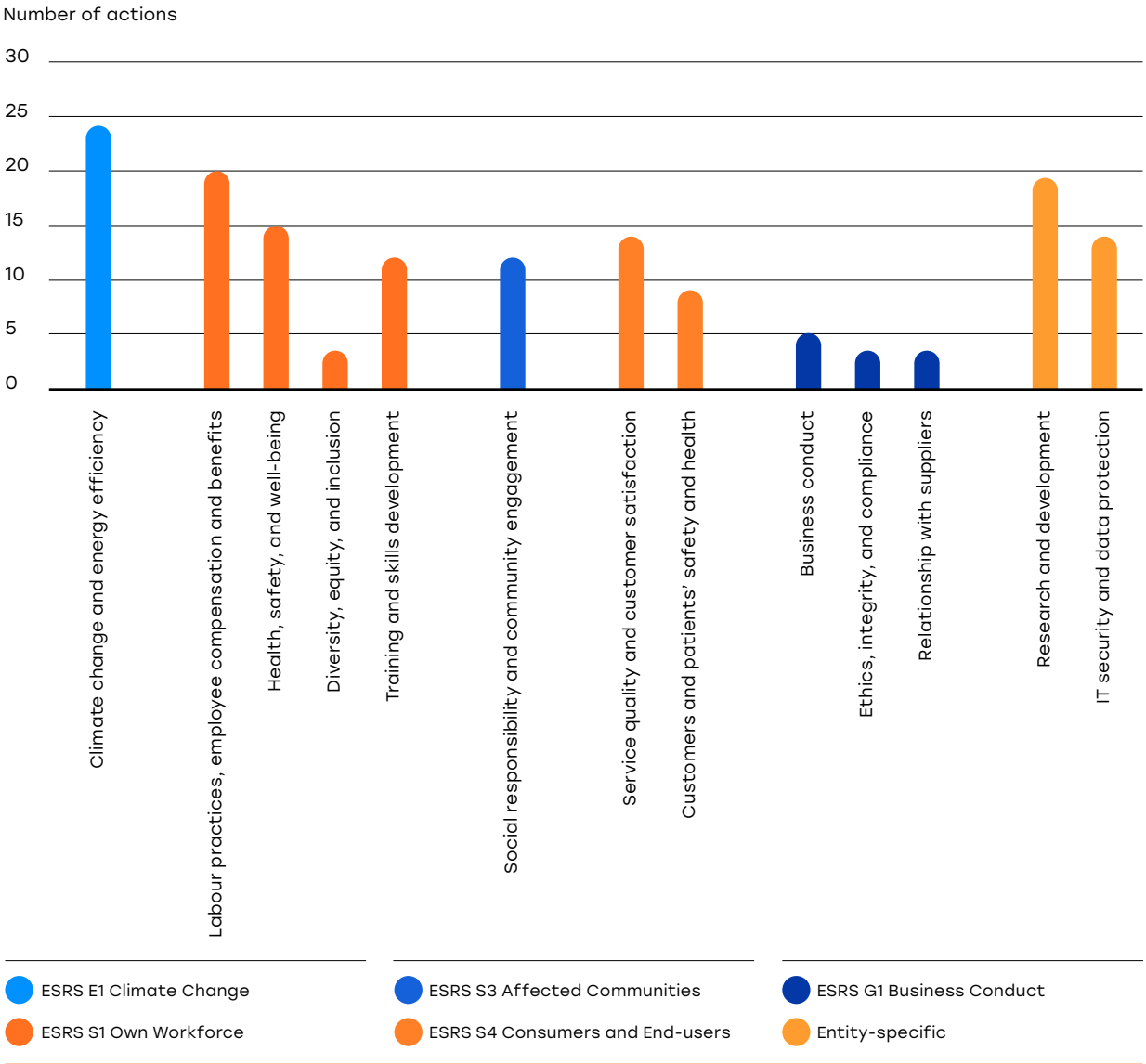
cases of bribery and corruption registered



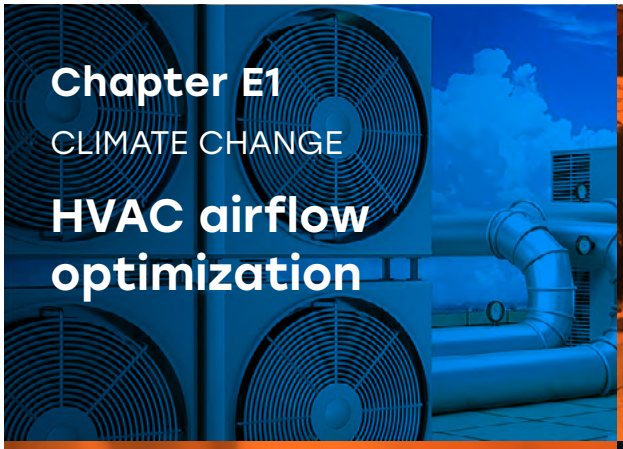
Actions highlighted

Throughout 2025, FamiCord Group subsidiaries progressed in the implementation of actions aligned with the Group's sustainability strategy and agenda. Approximately **150 individual actions** were carried out across the Group by different subsidiaries, addressing a broad range of environmental, social and governance topics, reflecting the Group's commitment to responsible and sustainable business practices. These actions addressed a diverse set of priorities, ranging from initiatives focused on **employees and workplace conditions, patients, customers** and **communities, business conduct** and **relationship with suppliers**, to actions related to **climate change and energy efficiency**, as well as **research and development** and **IT**-related areas. Together, they illustrate how sustainability considerations are being progressively integrated into day-to-day activities across the Group.

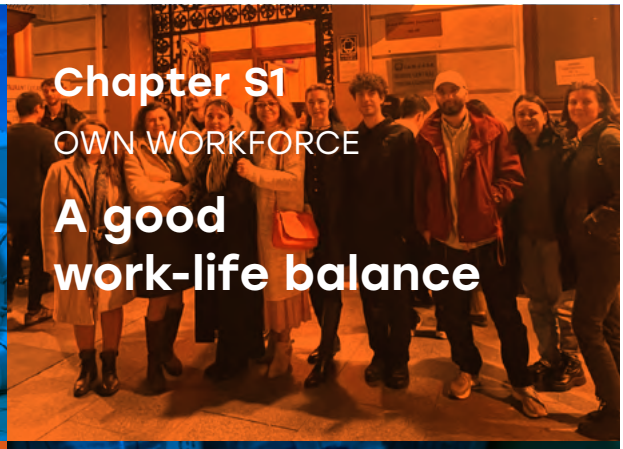
2025 FamiCord Group Actions



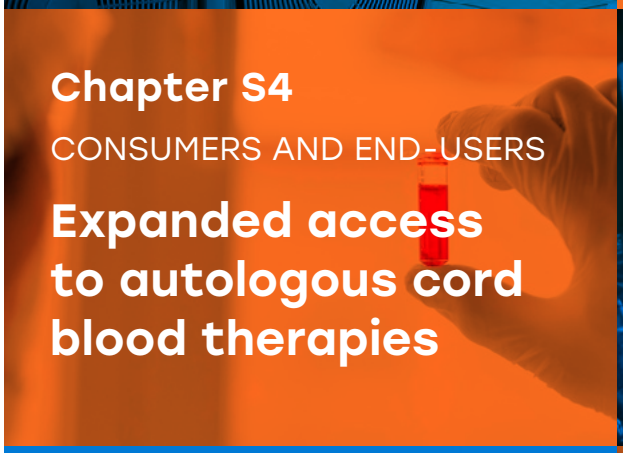
Many of these actions are described throughout the report within the thematic chapters and their respective action plans, where their scope, objectives, results and implementation status are further detailed. In addition, **7 actions have been selected and are highlighted throughout the chapters** for particular emphasis due to their significant impact on the Group - either because of their relevance, scope of application, or the meaningful positive outcomes they delivered.
These efforts demonstrate FamiCord's ongoing dedication to embedding sustainability throughout its operations and creating value for all stakeholders.



Chapter E1
CLIMATE CHANGE
HVAC airflow optimization



Chapter S1
OWN WORKFORCE
A good work-life balance



Chapter S4
CONSUMERS AND END-USERS
Expanded access to autologous cord blood therapies



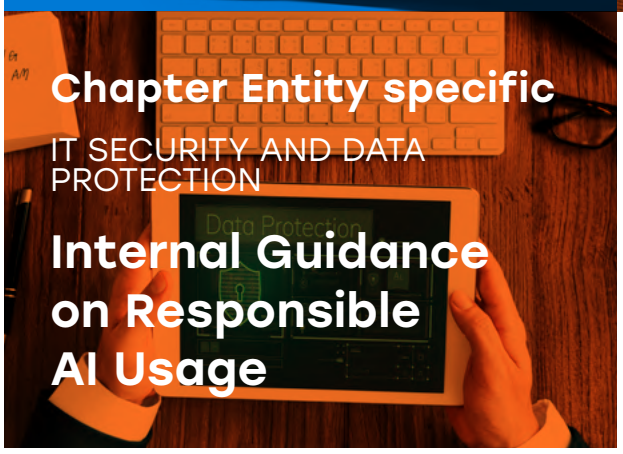
Chapter S4
CONSUMERS AND END-USERS
Community Partnership: Material Support Initiatives



Chapter G1
BUSINESS CONDUCT
Responsible supply chain management



Chapter Entity specific
RESEARCH AND DEVELOPMENT
REPAIR: development of innovative post-stroke therapies



Chapter Entity specific
IT SECURITY AND DATA PROTECTION
Internal Guidance on Responsible AI Usage



Sustainability at FamiCord

Our Sustainability Agenda

The **FamiCord Group's Sustainability 2030 Agenda: Advancing Healthcare Solutions Across Generations** defines the Group's structured approach to sustainability over the coming years. Rooted in FamiCord's core activity in stem cell treatment solutions, the Agenda reflects the long-term nature of the Group's business and the responsibility to consider both present and future impacts when shaping decisions, practices and investments.
Developed in 2025 following the completion of the Group's Double Materiality Assessment (DMA), the Agenda is informed by the identification of the most relevant environmental, social and governance topics for FamiCord and its stakeholders. The DMA results provided the basis for prioritisation, ensuring that the Agenda responds to the Group's material impacts, risks and opportunities.
FamiCord Group's Sustainability 2030 Agenda is structured around four strategic axes, inspired by the Group's signature - **"More than a stem cell bank"** - understood as a reflection of the Group's commitment to generating greater value for customers, society, and the healthcare sector. These axes group related sustainability material topics and provide a clear framework to guide actions, targets and decision-making across the organisation.
Aligned with the **United Nations (UN) 2030 Agenda for Sustainable Development**, FamiCord Agenda reflects the Group's ambition to generate positive outcomes for both current and future generations, recognizing that its actions - from innovation in healthcare to its sustainability performance - have a tangible impact on people's lives today, while also helping to shape a healthier, more resilient future. Through this Agenda, FamiCord aims to progressively integrate sustainability considerations into its operations, innovation processes and relationships, in line with its business context and long-term objectives.

More Value for the Environment

Optimizing resource use, improving waste management, and cutting energy consumption and emissions through efficiency, while addressing environmental impacts.

Topics
- Climate change and energy efficiency



More Value for our Customers and Communities

Fostering a strong social license by building trust with customers, patients, and communities through responsible practices, high service standards, and proactive engagement.

Topics
- Social responsibility and community engagement
- Service quality and customer satisfaction
- Customers and patients' safety and health



More Value for a Culture of Integrity and Innovation

Upholding high standards of ethics, transparency, and accountability in all business practices, while fostering responsible innovation through research and development, leading to new opportunities in stem cell treatment.

Topics
- Business conduct
- Ethics, integrity, and compliance
- Relationship with suppliers
- Research and development
- IT security and data protection



More Value for our People

Promoting a positive social impact by valuing our people through a safe, fair, and inclusive work environment, with a focus on well-being, work-life balance, professional growth, and equal opportunities for all.

Topics
- Labour practices, employee compensation and benefits
- Health, safety, and well-being
- Diversity, equity, and inclusion
- Training and skills development



Our Sustainability Roadmap and SDGs alignment

FamiCord's Sustainability 2030 Roadmap

To support the implementation of the Sustainability 2030 Agenda, the FamiCord Group has developed its **Sustainability 2030 Roadmap in 2025, which is currently under approval**. The Roadmap translates strategic priorities into a set of clearly stated commitments and measurable targets, which contribute to the **Sustainable Development Goals (SDGs)**, providing a practical framework to guide implementation over time and to support a consistent approach across the Group's subsidiaries. Through this Roadmap, FamiCord seeks to operationalize global sustainability principles within its business context, translating them into concrete corporate objectives, supported by defined actions. The Roadmap is scheduled to be officially launched in 2026, promoting a long-term approach to value creation, while contributing - within the scope of the Group's activities - to broader sustainable development objectives. As a management tool, the Sustainability 2030 Roadmap is not static. It is expected to evolve over time, reflecting changes in the Group's activities, regulatory context and external environment. Periodic reviews may therefore be undertaken to support continuous improvement and ongoing alignment with the Group's strategy and sustainability priorities.

The following commitments were identified as priorities to be adopted within each of the strategic axes:

Culture Of Integrity and Innovation

Commitments

- Foster internal alignment with the Group's mission and vision
- Promote a culture of integrity and responsibility
- Ensure supply chain resilience for critical materials
- Ensure robust data protection and cybersecurity systems



Customers and Communities

Commitments

- Expand access to stem cell preservation and therapies
- Foster trust through responsible, science-based marketing with families and healthcare professionals
- Ensure the highest standards of product and service quality



Our People

Commitments

- Promote employee satisfaction
- Promote physical and mental well-being
- Strengthen workforce qualification and adaptability
- Ensure equal career opportunities regardless of gender



Environment

Commitments

- Improvement of data collection and monitoring of Scope 1 and 2 emissions for the all group



FamiCord's contribution to the SDGs

The **SDGs** provide a common reference framework for addressing global sustainability challenges and for understanding how different actors can contribute to sustainable development objectives.
As part of the development of the Sustainability 2030 Agenda and Roadmap, FamiCord carried out an internal review of how its commitments relate to the SDGs. This analysis aimed to identify where the **Group's activities are aligned with and contribute to specific SDGs**, within the scope of its operations and value chain.

FamiCord has organised the SDGs to which it contributes into three levels of contribution, reflecting the nature and extent of the Group's influence:

Core: SDGs that are most closely associated with FamiCord's material topics, commitments and targets, representing areas where the Group's activities can generate the most direct, consistent, and measurable contributions.

Supportive: SDGs that are indirectly influenced by FamiCord's activities or supported through specific initiatives, practices or partnerships, and which remain relevant to the Group's sustainability priorities.

Other: SDGs that are addressed in a more complementary manner through broader initiatives, reflecting the extended positive effects of FamiCord's activities and partnerships.

This classification supports a structured understanding of how FamiCord's sustainability approach relates to the SDG framework, helping to prioritise those goals most closely connected to the Group's material impacts, risks and opportunities, while maintaining a holistic perspective on sustainable development.



SDG 3 (Good Health and Well-Being), **SDG 8** (Decent Work and Economic Growth) and **SDG 9** (Industry, Innovation and Infrastructure) have been identified as Core SDGs, reflecting the relevance of these goals to the Group's activities, particularly in the areas of healthcare solutions, workforce-related practices, sustainable infrastructures, research and innovation.
In addition, FamiCord's initiatives also support **SDG 5** (Gender Equality), **SDG 10** (Reduced Inequalities), **SDG 12** (Responsible Consumption and Production) and **SDG 13** (Climate Action). These goals are addressed through specific initiatives related to people management practices, adoption of sustainable practices and climate-related considerations.

Finally, recognising the interconnected nature of the 2030 Agenda, FamiCord has identified **SDG 4** (Quality Education), **SDG 7** (Affordable and Clean Energy), **SDG 16** (Peace, Justice and Strong Institutions) and **SDG 17** (Partnerships for the Goals) as Others SDGs to which the Group contributes in a more complementary manner, including training and skills development, energy-related initiatives, governance practices and collaboration with external partners.



General Information

ESRS 2 – General disclosures

BASIS FOR PREPARATION GENERAL BASIS FOR PREPARATION OF THE NON-FINANCIAL STATEMENTS (BP-1)

Scope of consolidation

FamiCord's non-financial Group statements (hereinafter referred to as the "non-financial statements") have been prepared on a consolidated basis and include the Group's subsidiaries. The reporting period is the financial year from January 1 to December 31, 2025. The scope of consolidation is the same as that of the financial statements (see Fundamentals of the Company and the Group, section Corporate structure and shareholdings, of the Combined management report), unless otherwise stated throughout the text **[BP-1_01; §5 a i | BP-1_02; §5 b i]**.

FamiCord used the appropriate mechanism under MAR in terms of disclosure of impending developments or matters in course of negotiation **[BP-1_06; §5 e]**.

Value chain

The non-financial statements cover the Group's upstream and downstream value chain as the related impacts, risks, and opportunities have been identified and assessed in the Double Materiality Assessment (DMA). Selected policies, actions, and targets extend to the Group's value chain, where relevant **[BP-1_04; §5 c]**.

External review

The non-financial statements were not subject to an external review besides support of experts hired by

DISCLOSURES IN RELATION TO SPECIFIC CIRCUMSTANCES (BP-2)

Time horizons

The time horizons adopted for the preparation of the non-financial statements are in line with those defined in ESRS. The time horizons are: short-term (<1 year), medium-term (from 1 to 5 years) and long-term (>5 years). **[BP-2_01; §9 a]**.

Value chain, sources of estimation and outcome uncertainty

Regarding the value chain, FamiCord presents scope 3 greenhouse gas emissions data in these non-financial statements. Additionally, there are data related to own operations that incorporate estimates and conversions, namely: Scope 1 and Scope 2 GHG emissions (E1-6) . There are inherent sources of estimation and uncertainty associated with this data. This uncertainty arises from the assumptions and factors used in the calculations, as well as data gaps (see Environmental Information, section E1-6) **[BP-2_03; §10 a | BP-2_04; §10 b | BP-2_05; §10 c]**.

Information on the estimates, where applicable, has been provided in context in the respective sections, in the methodological notes **[BP-2_07; §11 a | BP-2_08; §11 b i | BP-2_09; §11 b ii]**.

Comparative information

FamiCord provides comparative information where available for metrics relating to the previous reporting period (one year of historical data, as the preceding year corresponded to the first reporting period in orientation to the ESRS).

Changes in preparation or presentation of sustainability information

Overall, the metrics presented for the year 2025 have a broader scope, covering a wider range of geographies with available data. Apart from this, the only change compared to the previous year was an adjustment to the employee satisfaction survey calculation methodology. Further details are provided in the respective chapter **[BP-2_10; §13 a]**.

Reporting errors in prior periods

During the preparation of the 2025 non-financial statements, errors were identified in 2024 data related to the energy consumption for two of the Group's subsidiaries, which resulted in an understatement of total energy consumption (E1-5). Following a review of the underlying data, total energy consumption for the prior period was revised from 153,555 MWh to 265,628 MWh **[BP-2_13; §14a]**. This change is due to an error identified during the 2025 data collection process regarding electricity generation data associated with photovoltaic panels, as well as an incorrect interpretation, for one of the subsidiaries, of the consumption units, between MWh and kWh. The revised figures, including the updated 2024 emissions, are duly reflected in the comparative information presented in the current non-financial statements **[BP-2_13; §14b].**

Disclosures stemming from other legislation or generally accepted sustainability reporting pronouncements

The report was prepared in accordance with the statutory requirements pursuant to § 315b and c in conjunction with § 289b to § 289e of the German Commercial Code (HGB), as well as the CSR Directive Implementation Act (CSR-RUG), the German regulation that transposes the EU's Non-Financial Reporting Directive (NFRD), Directive 2014/95/EU of the European Parliament and of the Council of 22 October 2014, into German national law. With the approval, by the European Parliament, of the Omnibus I simplification package on December 16, 2025, FamiCord is no longer required to report in accordance to the Corporate Sustainability Reporting Directive (CSRD). The company decided, however to continue the work that was being performed and remains committed to its sustainability efforts **[BP-2_16; §15 | BP-2_17; §15]**.

No recognized framework was used in the preparation of this report.

These non-financial statements **were prepared in orientation to the European Sustainability Reporting Standards (ESRS)**, as defined in Commission Delegated Regulation EU 2023/2772 of 31 July 2023. This includes:

- Performance of the double materiality assessment in orientation to ESRS 1 - General Requirements.
- Structure of the report comprising the sections General Disclosures, Environment, Social, Governance, as well as the general presentation of policies, actions, targets and metrics in each chapter.
- Where possible, adhered to the structure of presenting information as outlined in ESRS 2 - General Disclosures, and the relevant topical standards.

As foreseen in the ESRS, it also includes the disclosures pursuant to Article 8 of Regulation EU 2020/852 of 18 June (hereinafter referred to as the "EU Taxonomy Regulation") – presented in Environmental Information – as well as a list of datapoints in cross-cutting and topical standards that derive from other EU legislation, according to Appendix B of ESRS 2 – presented in the Appendix of these non-financial statements.

The ESRS standards included in the non-financial statements cover the five sustainability aspects identified in the German Commercial Code as follows:

- Environmental matters – E1
- Employee matters – S1
- Social matters – S4
- Respect for human rights – S1-2, S1-3, S1-17
- Anti-corruption and bribery – G1.

In this year's non-financial statements, FamiCord aimed to provide the most comprehensive response possible to the ESRS requirements. In 2025, FamiCord performed a review of the materiality assessment and removed E5 - Resource Use and Circular Economy, as a material standard (see section IRO-1).
Additionally, data collection processes are still being refined across the Group's companies. While ESRS S3 – Affected Communities was identified as material through the double materiality assessment (see section IRO-1), it is not fully reported this year. Nevertheless some of the initiatives implemented under ESRS S4 – Consumers and End-Users also address community-related aspects. Where applicable, this has been explicitly identified within the report.

It is important to note that, although not reported this year, in the context of S3, several material impacts, risks and opportunities were identified during the double materiality assessment.

Regarding affected communities, FamiCord Group positively contributes to local well-being through various social responsibility initiatives (e.g., stem cells donation programmes, training and education, free services for people in urgent need of stem cells treatments). However, the high cost of services may pose a financial barrier for lower-income groups, potentially limiting access to treatments. While service costs may present a challenge for some, the Group remains committed to promoting accessibility to these treatments.

During 2025 FamiCord published an internal Diversity, Equity & Inclusion policy applicable to all subsidiaries. Moreover, FamiCord focused in developing the environment policy as well as supplier's policy. The roll out of these new policies is planned for 2026.

Incorporation by reference

FamiCord has adopted the "Incorporation by Reference" approach to enhance the narrative structure. The list of disclosure requirements incorporated by reference, along with their location in this report, can be found in Table 3 of the ESRS correspondence tables in the appendices **[BP-2_20; §16]**.

GOVERNANCE

THE ROLE OF THE ADMINISTRATIVE, MANAGEMENT AND SUPERVISORY BODIES (GOV-1)

FamiCord is structured according to the traditional two tier management system of a German stock corporation. The Board of FamiCord consists of a Management Board, composed of four executive members and a Supervisory Board, which includes six non-executive members, five of whom are independent (83%) **[GOV-1_01; §21a | GOV-1_02; §21a | GOV-1_07; §21e]**. Among these ten members, two are a woman (20%) and eight are men (80%) **[GOV-1_05; §21d]**, representing a gender diversity ratio of 0.2 **[GOV-1_06; §21d]**.

Although no member specifically represents employees and other workers, FamiCord has workers representatives at its headquarters in Leipzig. These employees meet with the Management Board regularly to discuss information and decisions impacting on the workforce, including a wide range of social matters in accordance with §87 BetrVG **[GOV-1_03; §21b]**.

The information on the experience of the board members relevant to the sector, products, and geographic locations of the Group is presented below **[GOV-1_04; §21c]**.

Management Board in 2025

Jakub Baran:
Chief Executive Officer (CEO);

Jakub Baran graduated from the Wroclaw University of Technology in 1995 with a Master of Science in Electronics. He began his career at Hewlett-Packard, where he held various positions. In 2003, he moved to IBM as sales manager for the telecommunications market.
In 2005, he joined the board of PBKM, a company he was instrumental in founding. At PBKM, he was initially responsible for sales, finance and business development.
He was appointed CEO in 2009 and successfully took the company public in 2015.
Under his leadership, PBKM became the number 1 in Europe in stem cell banking for families. Jakub Baran has extensive experience in international expansion, M&A, strategy development and corporate management. Jakub Baran has been CEO of FamiCord AG since 22 March 2022.

Thomas Pfaadt:
Chief Financial Officer (CFO);

Thomas Pfaadt trained as a banker and studied business administration at Goethe University Frankfurt am Main and the University of Southampton. He began his career in M&A and corporate finance at PricewaterhouseCoopers and DZ Bank. He then took on management roles at two leading German companies in the healthcare sector, Asklepios Kliniken and MEDIAN Kliniken. In 2018, he became CFO and Managing Director at c-LEcta GmbH, a biotechnology company for enzyme products. Thomas Pfaadt has been CFO of FamiCord AG since 1 August 2024.

Dr. Cornelia Wittke-Kothe:
Chief Commercial Officer (CCO);

Dr. Cornelia Wittke-Kothe joined the FamiCord AG as Chief Commercial Officer (CCO) in July 2025. She has over 20 years of international leadership experience – including roles as CEO and President of Tweezerman International LLC in the USA, member of the management board at the Zwilling Beauty Group in Germany, President of the textile division at the biotech company Ecovative in the USA, startup founder, and consultant at McKinsey & Company. Until the end of 2024, she also served on advisory boards for companies such as Integrus Holdings, Tweezerman, and the Zwilling Beauty Group. She studied business administration at the University of Cologne, earned a doctorate in marketing, and completed additional training in the field of artificial intelligence.

Tomasz Baran
Chief Medical Officer (CMO)

Tomasz Baran received his doctorate from the Medical University in Lublin, Poland, in 1997. He has held various positions in the pharmaceutical industry, specializing in sales, marketing, business development and pharmacovigilance.
In 2008, he completed the Executive MBA program at the University of Quebec in Montreal. During his 13 years working for domestic and international companies, he gained expertise in various therapeutic areas. In 2010, he joined PBKM as Sales and Marketing Director. In 2012, he was appointed to the Management Board and has been Executive Vice President since 2020. Tomasz Baran has participated in international executive education programs and contributes to strategic projects of the Group. Tomasz Baran has been Member of Management Board of FamiCord AG since 22 March 2022 and CMO of FamiCord AG since March 2025.

Supervisory Board in 2025

Dr. Peter Greiner:
Chairman of the Supervisory Board
Supervisory Board;

Dr. Peter Greiner is a scientist and entrepreneur, focusing on fertility and stem-cell-therapies, with over 15 years of experience in the pharmaceutical industry. He is a biochemist by training and an award-winning professor for marketing and sales at Goethe Business School by choice.
Dr. Greiner started his career at Merck KgaA, Darmstadt, Germany, where he held roles of increasing responsibility in consulting, marketing, sales and R&D. His career has included key roles such as Director Business Unit Fertility, Endocrinology & General Medicine Germany, Head of the CEO Office at Merck Group, Regional Business Lead Fertility EMEA and Global Program Lead Fertility R&D. Before starting his own company, Dr. Greiner was Senior Vice President and Head of the Global Fertility Franchise at Merck Healthcare.

Dr. Greiner is fluent in German, English, and Spanish, and has lived and worked in various countries, including the USA, Colombia, Switzerland, and the UAE.

Dr. Tobias Silberzahn:
Deputy Chairman of the
Supervisory Board

Dr. Tobias Silberzahn is a trained biochemist and immunologist and has worked in the life sciences and healthcare space for more than 15 years. The focus areas of his work have been healthcare innovation and the digital transformation of healthcare. Currently, Tobias is working as an independent advisor and board member, for example as a Senior Fellow for BSt Gesundheit, a daughter organization of the Bertelsmann Foundation, where the focus of his work is on trustworthy online health information. In addition, he is working with the Grameen organization that was founded by Nobel Prize winner Muhammad Yunus: Tobias is a supervisory board member of Grameen Healthtech Limited and advisory board member of the Yunus Environment Hub. Furthermore, Tobias works with FH Europe Foundation as a Patient Ambassador and a member of the International Lipoprotein(a) Task Force, focusing on improving health and wellbeing for people affected by inherited lipid disorders.

Tobias holds a PhD in immunology from King's College London and a diploma in biochemistry from Eberhard-Karls-Universität Tübingen (Germany).

Frank Köhler:
Member of the
Supervisory Board;

Frank Köhler was born in Pforzheim, Germany, in 1964. Mr. Köhler graduated from the University in Stuttgart in 1996 with a degree in technical economics (techn. Dipl.- Kfm.). After his studies, he worked in different management positions in merchandising such as Loriot Design GmbH. In 2000, he joint Aroma Company, a distributor of high-end beauty and perfume products.In 2005, he became co-owner and Director of the company, renamed Aroma Company Köhler, Frank und Weckesser, Frank GbR. Mr. Köhler expanded this business and founded Aroma Beauty and co-founded Aroma Company GmbH in the following years. Both companies are developers of perfume brands and distributors of high-end beauty and perfume products to leading perfumeries and life-style shops throughout Europe. Mr. Köhler is an expert for branding and marketing in the luxury sector. Since 2017, he has also been managing director of the perfume brand HUMIECKI & GRAEF GmbH. He has been member of the Supervisory Board since the establishment of Shop Apotheke Europe N.V. in 2016 and was elected to the Supervisory Board of FamiCord AG by the 2017 Annual General Meeting.

Supervisory Board in 2025

Dr. Ursula Schütze-Kreilkamp:
Member of the Supervisory Board;

She has a doctorate in medicine, is a specialist in gynecology and midwifery, a specialist in psychological medicine. 14 years she worked as a practicing physician, therapist, coach and supervisor, and also as an assistant lecturer at the Clinical psychology at the University of Cologne. From 2012 to 2018, she was head of human resources and executive development at Deutsche Bahn. As Head of Human Resources Group Executives KFK, OFK 1 in the Strategy Division of Deutsche Bahn is she responsible for the support and development of top executives. Prior to that, from 2006 to 2012, she was with Rewe Group as head of HR and executive development from 2006 to 2012. She built up PE Holding and was significantly involved in the development of the HRD strategy. She also built up the Executive Development department and the Rewe Campus. From 1992 to 2006 she worked in her own practice and as a docent. In addition, she is a co-founding member of the RHAP state training institute for psychologists and medical professionals.

Konrad Miterski:
Member of the Supervisory Board;

Konrad Miterski graduated from the University of Economy in Katowice in 1996 with a degree in banking and finance and Advanced Management Program organized by IESE Business School. He started his career at ING Bank Śląski with positions in corporate and risk departments. In 2013 he joint Ferrum SA, steel pipes producer, where he became CEO. Since 2020, he has been Vice President and CFO of Herkules SA, one of the largest entities in Central and Eastern Europe, providing services in the field of crane rental. He is the independent member of the Supervisory Boards and audit committees in several companies listed on the Warsaw Stock Exchange including PBKM SA, where he was appointed as Vice Chairman of the Supervisory Board in 2017.

Paul Owsianowski:
Member of the Supervisory Board;

Paul Owsianowski is Partner of Active Ownership Capital S.à r.l and Active Ownership Corporation S.à r.l. (AOC). He has more than 10 years of investment experience and has held different board seats during this time. Mr Owsianowski holds a Master degree in Financial Mathematics (distinction) from Durham University and a German Diploma in International Business from Berlin School of Economics and Law.

He started his career with Evercore's M&A team in London where he worked on a variety of transactions as well as strategic advisory mandates, mostly in the healthcare and technology space. He then joined a London based technology focused private equity fund as part of the founding team where he was involved in a number of transactions in the IT services and software space. Mr Owsianowski is part of AOC since 2017.

The Supervisory Board, through its interdisciplinary Audit Committee, is responsible for risk monitoring. For this purpose, the Supervisory Board receives periodic information from the Management Board regarding all issues related to the Risk Management System that are relevant to the Group. In turn, the Management Board, elected by Supervisory Board by mandate, bears overall responsibility for an effective Risk Management System **[GOV-1_08; §22a | GOV-1_12; §22c ii]**.

The role of each individual and/or group of individuals responsible for the Risk Management System is described in the FamiCord Procedure on the organization, roles and responsibilities in Risk Management System **[GOV1_09; §22b]**. Within the Group Management Board, the CFO is responsible for the Risk Management System, for organizing risk management within the Group, including internal monitoring processes and proposing the Group Risk Management Officer. The CFO is also responsible for overseeing sustainability-related risks and opportunities **[GOV-1_08; §22a | GOV-1_10; §22c]**. The Group Risk Management Officer holds executive authority over the risk management system, reporting directly to the Management Board. This individual, along with the Group Risk Management Team, gathers information about the Group risks through the risk owners in each of the Group companies, guarantees the implementation of the risk management procedures and works together with the CFO who oversees the entire Risk Management System **[GOV-1_11; §22c i]**.

FamiCord's procedure regarding the organization, roles, and responsibilities within the risk management system is implemented across all Group companies, with General Managers ensuring its proper execution, including appointing those responsible for identifying impacts, risks, and opportunities in each area of activity. As risk owners, the General Managers update this information biannually in the Group's Risk management platform, which is managed by the Group Risk Management Officer and periodically monitored by the Management Board **[GOV-1_13; §22c iii]**.

On a monthly basis, the Management Board meets with the General Managers to monitor the overall performance of the Group, including the targets set for each company and the most relevant aspects of impacts, risks, and opportunities **[GOV-1_14; §22d]**.

Currently, there are no internal guidelines to determine the necessary sustainability skills and expertise for FamiCord Group. The CFO and member of the Management Board is actively participating and engaged in all the meetings and workshops done with the external advisors on sustainability matters as a process for the development of the main skills **[GOV-1_15; §23]**.

The Management Board, responsible for executing the strategy and overseeing integration of sustainability matters in the daily operations, rely on internal expertise as well as in the support by external advisors on sustainability.

In September 2025 the Group hired a ESG Specialist to oversee FamiCord sustainability initiatives **[GOV-1_16; §23a]**. The different members of the Management Board have different skills and different areas of expertise in such a way that they complement each other in the capacity of identifying and managing material impacts, risks and opportunities, namely in what relates to social and governance dimensions across the value chain. In terms of environmental dimension, the Management Board relies on the expertise of the ESG Specialist, as well as external advisors **[GOV-1_17; §23b]**.

Alongside their risk-related functions, both the Supervisory Board and the Management Board operate under established Rules of Procedure and oversee the Group's Code of Conduct. The Supervisory Board includes three committees – Audit, Personnel, and Remuneration – with their roles detailed in the Rules of Procedure available on the FamiCord Investor Relations website **[G1.GOV-1_02; §5b]**. The Management Board is also responsible for business conduct, approving the internal Code of Conduct, and managing the Group's impacts, risks, and opportunities **[G1.GOV-1_01; §5a]**. General Managers of each Group company ensure compliance, identify and report risks, and maintain direct communication with the Management Board through monthly and exceptional meetings as needed **[GOV-1_12; §22c ii]**.

INFORMATION PROVIDED TO AND SUSTAINABILITY MATTERS ADDRESSED BY THE UNDERTAKING'S ADMINISTRATIVE, MANAGEMENT AND SUPERVISORY BODIES (GOV-2)

At FamiCord there is still no regular and systematic procedure for informing the Management Board of all the sustainability matters on a regular basis. In 2025, the CFO of the Group, as the responsible Management Board member for sustainability, participated in the regular meetings with the ESG specialist and external advisors, following the status of sustainability topics, as well as drafting the sustainability Agenda and Roadmap for 2025-2030 **[GOV-2_01; §26a | GOV-2_03; §26c]**.

The FamiCord Risk Management System was reviewed in 2025 to better reflect the identified sustainability material risks and opportunities that are evaluated by the Group's subsidiairies on a regular basis. This ensures that they are monitored on a more detailed level by the General Managers in each company of FamiCord Group, that are responsible to report according to the existing Risk Management System during the monthly meetings with the Management Board **[GOV-2_02; §26b | GOV-2_04; AR6]**. Similarly, the integration of material topics into the Group's strategy and the definition of specific targets will be completed in 2026 **[GOV-2_03; §26c]**.

INTEGRATION OF SUSTAINABILITY-RELATED PERFORMANCE INCENTIVE SCHEMES (GOV-3)

Currently, FamiCord Group does not have sustainability related performance incentive schemes applicable to members of the administrative, management and supervisory bodies **[GOV-3_01; §29]**.

STATEMENT ON DUE DILIGENCE (GOV-4)

For information on the statement on due diligence, please refer to the ESRS correspondence tables (Table 4) in the appendices **[GOV-4_01; §30/§32]**.

RISK MANAGEMENT AND INTERNAL CONTROLS OVER SUSTAINABILITY REPORTING (GOV-5)

In 2025 FamiCord strengthen its internal management of sustainability matters by internalizing a new position for ESG Specialist who is coordinating all the process of data collection and data integrity as a source of information for internal decisions as well as for the reporting process. By taking this initiative, the Group was capable of gathering more complete and accurate information from all subsidiaries on sustainability topics. Continuous improvement on this topic is expected in the coming year with the continuity of the measures in place to mitigate any risks related to sustainability reporting process **[GOV-5_03; §36c]**.

STRATEGY

STRATEGY, BUSINESS MODEL AND VALUE CHAIN (SBM-1)

Key elements of the Organisation's general strategy that relate to or affect sustainability matters

The core business of the FamiCord Group is the cryopreservation of stem cells from perinatal tissues, for clinical applications when stem cell treatment is needed. In this area of activity, the Group provides expectant parents with the possibility of storing, for long periods of time, the umbilical cord blood and umbilical cord tissue samples collected at the birth of the child. During 2025, the FamiCord Group extended the offer of placental tissue cryopreservation in Portugal, through its laboratory in Cantanhede **[SBM-1_01; §40a i]**.

In addition to the cryopreservation services, the FamiCord Group also offers to the customers other services to support future treatments, such as transplant assistance plans, as well as diagnostic platforms, specifically in genetic testing and others **[SBM-1_01; §40a i]**.

In the Hungarian market, the Group maintains a leading position in the field of sperm banking, offering these services not only for autologous purposes, meaning for the sole use of the owner of the gametes, but also from donations for distribution to clinics performing fertilization treatments **[SBM-1_01; §40a i]**.

In parallel the FamiCord Group is also focused on bringing new stem cell therapies to the market, dedicating small part of its activity to research and development, as well as manufacturing of drugs for cell-based therapies. Some of the therapies developed within the FamiCord Group are being applied in patients under experimental treatment regulated procedures, such as clinical trials and hospital exemption procedures **[SBM1_01; §40a i]**.

Under the scope of the manufacturing of drugs for cell-based therapies, FamiCord launched in 2025 a new brand - bramble.bio - focused in the activity as CDMO (Contract Development and Manufacturing Organization). The mission of bramble.bio is to bring FamiCord's expertise in cell manipulation, storage and banking to the market, for GMP cell therapies outside of our stem cell bank capabilities, and to develop the necessary tools required to bring cell therapies to our client's patients in an effective, safe and timely manner **[SBM1_01; §40a i]**.

The FamiCord Group is represented, as a stem cells bank, in 36 countries across Europe and the Middle East, either directly or through partners. The Group holds 15 laboratories in 11 countries, aiming to provide a service of proximity and deliver the best quality possible for its customers and end-users **[SBM-1_02; §40a ii]**.

By the end of 2025, the Group had 742 employees, mostly in geographical areas of Poland, Germany, Portugal, Spain, Turkey and Hungary (see more information in Chapter Social Information, section S1-6) **[SBM-1_03; §40a iii]**.

Business model and value chain

FamiCord focuses on the collection, preparation and storage of umbilical cord blood and umbilical cord tissue, as well as other perinatal tissues, for stem cells treatments across the world. The stem cells that the Group distributes and/or manufactures are used in medical treatments that may be either a standard therapy or an advanced therapy still under development in clinical trials. Furthermore, the Group provides diagnostic tools and is developing a new business area as a Contract Development & Manufacturing Organization (CDMO), which will lead the Group to become a reference partner for healthcare professionals and organizations in the development of their own treatments and therapeutic products in the field of cell and gene therapy **[SBM-1_25; §42]**.

The inputs for the Group's activity are mainly the samples that are collected at the birth of the child. For this the Group needs to engage with the best practices available for the safe collection of the samples and with the necessary quality. Hospitals performing the delivery of the babies are the Group's partners in guaranteeing this important input, being one of the relevant stakeholders with whom FamiCord engages periodically.
Also, for the services provided by the Group, it is necessary to guarantee quality materials and reagents from its suppliers, as well as quality supporting services from its subcontractors. Extremely relevant for FamiCord's operations are also its business partners, who engage directly with the parents and the collection sites in some countries where the FamiCord Group is not directly present, providing FamiCord's laboratory services to these families **[SBM-1_26; §42a]**.
The main outcome of FamiCord's activity is the treatments performed with the products that are stored and/or manufactured by the Group. This is the main goal of storing the cells and tissues collected at birth and the ultimate benefit for its customers and for the health care professionals treating their own patients. By providing access to an increased number of stem cells treatments and developing new business areas, namely in the field of CDMO activity, FamiCord is increasing the value proposition for other stakeholders such as its shareholders, suppliers and investors **[SBM-1_27; §42b]**.

Further information on the business model can be found in Fundamentals of the Company and the Group, section Business model, of the Combined Management Report.

To achieve its goals, FamiCord counts on different stakeholders in its value chain **[SBM-1_25; §42 | SBM1_28; §42c]**:

- **Upstream Value Chain:** Suppliers of material and reagents for laboratory procedures; hospitals performing the collection of the biological samples; donors of biological material; logistics companies transporting the biological samples from the collection site to the Group's laboratories; subcontractors supporting its operations, such as IT providers, organizations developing clinical trials and research institutions **[SBM-1_25; §42 | SBM-1_28; §42c]**.

- **Own Operations:** FamiCord's employees; workers from its suppliers and/or subcontractors; FamiCord´s shareholders, the Supervisory Board and the Management Board. Within its own operations FamiCord receives the biological materials collected at birth, tests and processes them according to the quality standards established for each type of cells and tissues, stores the products obtained for therapeutic use in cryopreservation containers and finally distributes them for treatment when the need arises. The Group also counts on its scientific, medical, customer care and marketing teams, to deliver the most reliable, clear and complete information about stem cells, either to the future parents and to the healthcare professionals performing the collection and also those performing the application of the stem cells **[SBM-1_25; §42 | SBM-1_28; §42c]**.

- **Downstream Value Chain:** FamiCord's clients, namely the parents or legal guardians of the children from whom the biological samples were collected; the users of the distributed stem cells, who may be the donor of the cells and tissues or a compatible person, usually family related; suppliers and subcontractors, namely those involved with resources outflow procedures, the clinics and hospitals performing the stem cells treatment and the logistics companies transporting the biological material from the Group's laboratories to the treatment center **[SBM-1_25; §42 | SBM-1_28; §42c].**

Sustainability-related information

FamiCord aims to empower families and healthcare professionals with secure, accessible and advanced healthcare solutions, enhancing the health and quality of life of its customers. The trust and credibility that FamiCord has built over the years is one of FamiCord Group's main values and, for that, it has professionals dedicated to collecting and providing reliable scientific information about its products and services. The Group is actively partnering with the scientific and medical fields to enlarge the available treatment options for its customers **[SBM-1_21; §40e | SBM-1_22; §40 f].**

FamiCord is proud to have achieved, in 2025, more than 8,000 patients treated with stem cells (or advanced therapy medicinal products (ATMP) based on stem-cells) provided by its laboratories. To ensure the best possible quality in its products and services, FamiCord operates 15 own laboratories in 11 different countries. All its laboratories operate according to the quality standards for its activities, either with international accreditation certificates for cells and tissues storage and/or manufacturing of stem cell-based medicines or by following internal quality standards established at the Group level **[SBM1_21; §40e | SBM-1_22; §40 f].**

Within its mission of providing accessible healthcare solutions to families, FamiCord managed to implement, in Poland, through its central laboratory in Warsaw, an approved experimental therapy using autologous cord blood for children with cerebral palsy and autism. This will make this option available in Europe in a more affordable way and with less effort for families that would normally need to travel to other continents, such as North America **[SBM-1_21; §40e | SBM-1_22; §40 f].**

All these achievements are possible thanks to a strong, resilient and committed team, as the Group's employees are at the base of FamiCord's strategy. FamiCord Group has a team of more than 700 professionals who are committed and motivated with FamiCord's purpose, working daily to make it possible **[SBM-1_21; §40e | SBM1_22; §40 f]**.

At FamiCord, the value of its employees and what they enable the Group to achieve is recognized by promoting a culture of mutual respect and dialogue. Within the Group's companies, the level of employee satisfaction is monitored and the growth of those who stand out within the teams is promoted. The Group promotes its employees' well-being through dedicated initiatives such as flexible working hours, sports and physical exercise, medical appointments, health insurance, and group meetings **[SBM-1_21; §40e | SBM-1_22; §40 f]**.

The main challenge for the FamiCord Group is to increase the use of the stored cells and tissues, delivering more treatment options, enhancing the lives of more and more families and thereby increasing the Group's value for its several stakeholders. At the same time, the Group aims to provide its services in an accessible way, increasing the number of families with additional treatment opportunities while avoiding additional and unnecessary negative impacts on the environment. To achieve this, the Group aims to establish a sustainability agenda and roadmap for the coming years, applicable across all its companies, using 2025 as a starting point **[SBM1_23; §40g]**.

Revenues

In 2025, the Group generated total revenues amounting to 88,172,755 EUR **[SBM-1_06; §40b]**. The Group has no revenue from the fossil fuel sector **[SBM-1_09, §40d i]**, chemicals production **[SBM-1_15, §40d ii]**, controversial weapons **[SBM-1_17, §40d iii]** or cultivation and production of tobacco **[SBM-1_19, §40d iv]**.

Revenues		
[SBM-1_06; §40b]	**2024**	**2025**
Total revenue (EUR thousand)	82,184	88,173

The following information is incorporated by reference to other parts of the Combined management report:

- Characteristics of the undertaking's employees: ESRS 2 SBM-1, §40a iii: Chapter Social information, S1, section S1-6
- Business model: ESRS 2 SBM-1, §42 – Fundamentals of the Company and the Group, section Business model.

Interests and views of stakeholders (SBM-2)

The FamiCord Group interacts with several stakeholder groups, both internal and external. The perspectives, needs and expectations of its stakeholders are highly relevant to the Group, as they may affect its activities either positively or negatively. It is of utmost importance for FamiCord to be trusted by its stakeholders, especially given the sensitive nature of its field of operation – the health sector **[SBM-2_01; §45a]**.

As a result of the stakeholder mapping exercise carried out during the Double Materiality Assessment (DMA) conducted in 2024 and revised in 2025, twelve stakeholder groups were identified: Employees, Customers, Healthcare Community, Shareholders, Regulatory Organizations, Financial Institutions, Partners, Suppliers & Subcontractors, Management Board, Supervisory Board, Multipliers and General Society (which includes local communities) **[SBM-2_03; §45a i]**.

In this analysis, the Group aimed to reassess, rename, and/or identify new stakeholder groups, incorporating contributions from a core Sustainability team comprising members from different FamiCord Group companies. This internal discussion also led to the identification of differentiated levels of relevance among the stakeholder groups, with the employees, customers, the healthcare community and shareholders being recognized as key stakeholders. These key groups represent those in which FamiCord concentrates its efforts and engages more actively and closely.

The communication and engagement methods vary depending on the stakeholder group. FamiCord Group strives to ensure that the channels used, as well as their frequency, are appropriate to meet both the Group's needs and those of its stakeholders **[SBM-2_01; §45a]**.

With each key stakeholder group, FamiCord interacts periodically to share information about its activities and to receive feedback from diverse perspectives. This ability to gather feedback and gain insight into how stakeholders perceive the Group is essential for improving its services and products, better addressing the needs of customers, delivering expected value to shareholders and the healthcare community, and, most importantly, fostering a strong, positive, and innovative corporate culture. This culture aims to ensure that employees feel engaged with FamiCord's purpose and are motivated to grow alongside the Group **[SBM-2_01; §45a | SBM-2_02; §45a i | SBM-2_03; §45a ii]**.

During the engagement process conducted as part of the 2024 DMA process, both internal and external stakeholders were involved. Stakeholders' perspectives on the sustainability topics deemed relevant for FamiCord were assessed through an online questionnaire, while workshops involving internal subject matter experts within the Group were held to assess the impacts, risks and opportunities (IRO) identified within each of FamiCord's sustainability topics. The questionnaire responses served as informative input, allowing the Group to validate whether its material IRO align with stakeholders' views and expectations **[SBM-2_07; §45b]**.

The results from the internal workshops and from the stakeholders' questionnaire were shared with FamiCord's Management Board via email and through a dedicated meeting between the Management Board members and the Sustainability team **[SBM-2_12; §45d]**.

Stakeholder group	**How engagement is organized**	**Purpose of stakeholder engagement**	**How outcome of stakeholder engagement is taken into account by the Organization**
	[SBM-2_04; §45a iii]	**[SBM-2_05; §45a iv]**	**[SBM-2_06; §45a v]**
Employees	Engagement with employees occurs across the Group, within each of the Group's companies, through several different initiatives. One of the main engagement initiatives aimed at assessing employees' needs and views, which is consistently implemented across all FamiCord Group companies, is the annual satisfaction questionnaire. Besides this formal engagement moment, engagement with this group includes: • Newsletters • Periodic meetings (e.g. townhall meetings, feedback meetings and team building activities, depending on the companies/ departments) The Group does not have a centralized channel for reporting irregularities; however, such mechanisms are in place at the company level for PBKM and FamiCord. At the Group headquarters there is also a workers council who meet periodically with the FamiCord Management Board.	Proper engagement with employees is highly relevant for FamiCord, as they provide valuable insights into daily operations and offer improvement suggestions. This group of stakeholders has significant interest and influence over the Group's activities and is critical to the successful implementation of its strategy and the achievement of its goals.	Besides the regular meetings with the workers council at FamiCord AG, the annual satisfaction questionnaire results are shared with the FamiCord Management Board, which is responsible for establishing targets regarding global satisfaction and defining necessary measures for improvement, either globally or locally in a specific geography. The employee satisfaction target is one of the performance indicators shared across all companies within the Group and may influence the bonuses of general managers.

Stakeholder group	**How engagement is organized**	**Purpose of stakeholder engagement**	**How outcome of stakeholder engagement is taken into account by the Organization**
	[SBM-2_04; §45a iii]	**[SBM-2_05; §45a iv]**	**[SBM-2_06; §45a v]**
Customers	Within this group, different sub-groups are included: **Potential clients**, referring to prospective parents that could benefit from the storage of the stem cells collected at the birth of their child. For this group, the ways of engaging are: • Digital channels • Events for pregnant women • Outbound contacts • Articles/publicity in Media • Hospitals/Birth Preparation Centers **Clients of the cryopreservation service**, referring to parents/ legal guardians who decided to store their child's stem cells collected at birth and for that celebrated a storage contract with FamiCord. For this group, engagement is carried out in the following ways: • Digital channels • Newsletter for clients • Phone calls • Article/publicity in Media • Client satisfaction questionnaire **Recipients of the stored stem cells**, referring to end-users of the therapeutic products stored and/or manufactured by FamiCord. In this case, engagement is primarily related to the treatment and the several moments of interaction with the patient or his representative, before and after treatment through the company's Patient Navigator (when available), and/or the customer service and the medical director. Engagement methods may include phone calls, emails and in-person meetings.	Regarding potential clients, this group is usually the first point of contact with the company in relation to its services and products. The prospective parents may have never heard about the possibility of storing their child's stem cells and need to be educated about it, or they may have already been informed and are in the process of making a decision and choosing the stem cells bank to provide the service. It is important for FamiCord to understand the views and perspectives of the new generations, especially regarding sustainability matters, as these generations tend to be more sensitive to such topics. The clients of the cryopreservation service represent a group with high level of interest and influence in FamiCord's activity. They have already interacted with the company in several moments, may have complaints, suggestions or compliments and can potentially become FamiCord's ambassadors and advocates for family and friends. Therefore, it is of extreme importance for FamiCord to engage periodically with this group of stakeholders, not only to assess their satisfaction and needs, but also to keep them informed about the sector and the Group's achievements. Finally, in terms of the end-users of the products, this group is the most critical and sensitive. They have experienced all stages of the service and may have additional perspectives and inputs about it. Moreover, and most importantly, they are the reason for FamiCord's existence. FamiCord works every day to improve the life of people in need of a stem cells treatment and interactions with these stakeholders may occur in life-saving moments, making it crucial to understand how FamiCord's activities are impacting them.	The outcomes of the several points of interaction with these stakeholders are shared periodically through meetings between the commercial teams and the general managers in each company. The general managers are responsible for sharing these outcomes with the management team, especially if there are deviations that may pose a risk to the company, or, conversely, improvements that constitute an opportunity. In terms of client satisfaction, this is a performance indicator evaluated through NPS (Net Promoter Score), both pre- and post-sales, across the Group. It is evaluated quarterly, and the results are shared by each company with the Management Board in the monthly KPI follow-up meetings. In the case of complaints, they are managed by each general manager in the respective companies and shared with FamiCord Management Board in case of a larger risk or deviation with significant impact on the Group's activity and/or reputation.

Stakeholder group	**How engagement is organized**	**Purpose of stakeholder engagement**	**How outcome of stakeholder engagement is taken into account by the Organization**
	[SBM-2_04; §45a iii]	**[SBM-2_05; §45a iv]**	**[SBM-2_06; §45a v]**
Shareholders	Engagement with shareholders is promoted by the Management Board and Supervisory Board of FamiCord, particularly during: • Regular management meetings • General assembly of shareholders.	This group has high interest, power, and influence in FamiCord's activities and they need to be kept informed about the Group's performance and strategy.	The Management Board of FamiCord is responsible for integrating any changes or decisions resulting from interactions with shareholders into the Group's strategy and procedures.
Healthcare Community	**Hospitals** • Training sessions on sample collection • Regular visits to the main hospitals • Celebration of agreements for samples collection • Semi-annual communication of collection results **Clinical centers** • Contacts in case of treatment of a client • Celebration of agreements **Healthcare professionals** • Newsletter • Regular visits to doctors and midwives • Annual event for midwives • Presence in congresses with booths and/or talks	• FamiCord's activity depends on the collection sites • Stakeholders in this group have low interest but high influence capacity • Clinical centers must feel confidence over the products FamiCord may supply to them • Advocates are important to keep engaged and satisfied • Opponents may get different perspectives from FamiCord's activity • Both have a certain degree of influence and may have little to no interest	The information collected from these stakeholders is brought into the Group and shared with the general managers in each company. The outcomes of these interactions may lead to changes and improvements in internal procedures.
Regulatory Organizations	**Legislators:** • Authorizations/ Licenses requests • Inspections • Reply to notifications • Annual activity reports (if applicable) • Certification bodies: • Annual audits • Reply to audits reports/ document requests	The legislators are considered a group of stakeholders with high power and influence, but low interest in the Group's activities. It is crucial for FamiCord to understand their perspectives and expectations. The certification bodies are focused on ensuring compliance with the highest quality standards, which aligns with FamiCord's interests.	The outcomes of the i nteractions with both legislators and certification bodies, particularly the outcomes of inspections and audits, are analyzed within the Group's quality management system, contributing for continuous improvement of products and services.
Financial Institutions	**Banks:** • Bank accounts management • issuing bank guarantees • Annual financial report • Semi-annual balance sheet (if applicable) • Loans negotiation **Insurance institutions:** • Insurance negotiation • Risk evaluation • Reporting events	Financial institutions, in general, are interested in having their clients compliant with ESG and the FamiCord Group is interested in being well rated.	Receiving feedback and partnering with these institutions may allow FamiCord to improve its own corporate management systems, but also to make investments that create value for the future for different stakeholders.

Stakeholder group	**How engagement is organized**	**Purpose of stakeholder engagement**	**How outcome of stakeholder engagement is taken into account by the Organization**
	[SBM-2_04; §45a iii]	**[SBM-2_05; §45a iv]**	**[SBM-2_06; §45a v]**
Partners	**Commercial Partners:** • Visits to partners • Training of partners personnel • Sharing information related to sales performance **Trading Partners:** • Contracts • Training • Reports on the services provided • Visits to partners and/or visits from partners to the company **Research Institutions & Scientific Institutes:** • Establishing partnerships • Developing projects • Reporting conclusions	The commercial partners of FamiCord, as representatives of the brand, must be aligned and engaged with all specifications of the products and services provided by FamiCord, being interested in improving their own performance. Trading partners are interested in contracting quality service and quality products from FamiCord to better serve their own customers. On the other hand, FamiCord is interested in keeping these B2B clients satisfied. Research and Scientific institutions are interested in developing their own R&D projects and they support FamiCord on its own mission to increase access to stem cells treatments.	Feedback from commercial partners helps FamiCord to understand the expectations and perceptions of families who may become customers of FamiCord's products and services, contributing to continuous improvement. Trading partners challenge FamiCord to enhance its value proposition through new and/ or improved services and products and contribute to expanding FamiCord's presence both within and outside Europe. Similarly, research partners help increase FamiCord's value proposition through the development of innovative products in the field of cell and gene therapy.
Suppliers & Subcontractors	• Contracts/Orders • Supplier qualification and delivery evaluation • Annual communication of supplier performance	This group has interest and influence capacity over FamiCord's activity and business continuity. Moreover, they will have to cooperate with FamiCord to ensure compliance with ESG requirements.	Suppliers and subcontractors play a crucial role in the company's activities, both upstream and downstream in the value chain. The careful selection of suppliers, along with close engagement with these stakeholders, is key for delivering quality products and services, as well as ensuring the continuity of operations.
Management Board	• Monthly follow-up meetings (minimum) • Annual townhall meetings • Emails with relevant information • Newsletters	This group of stakholders has high interest and power over the companies' activity. They must be kept informed, as they are responsible for the decision-making process.	Besides the FamiCord Management Board, most of the subsidiaries have a board of directors working alongside the Management Board to deliver the best value for different stakeholders and to comply with their expectations. Effective engagement between these bodies and FamiCord's stakeholders leads to better decisions and creates more positive impacts and opportunities.

Stakeholder group	**How engagement is organized**	**Purpose of stakeholder engagement**	**How outcome of stakeholder engagement is taken into account by the Organization**
	[SBM-2_04; §45a iii]	**[SBM-2_05; §45a iv]**	**[SBM-2_06; §45a v]**
Supervisory Board	• Regular meetings with the Management Board to review the company's development and important decisions. • Exchange of information via calls, video-calls and e-mails.	This group of stakeholders has high interest and power over the companies' activity. They must be kept informed and supervise the activities.	The Supervisory Board engages with the Management Board and with external stakeholders such as investors, financial institutions and the media. The Supervisory Board, including the Audit Committee and the Remuneration Committee, monitors the management and ensures that the strategy and financial performance are in line with the interests of the shareholders. They are the ultimate responsible for compliance and decision-making processes.
Multipliers	**Media:** • Press releases • Publicity • Interviews/articles • Presence on TV/radio **Analysts:** • Conference calls • One-on-one meetings	The Media has the capacity to influence FamiCord's activity and brand reputation and is interested in following ESG topics within their country. Analysts may influence FamiCord's compliance goals and help the Group achieve a high corporate rating.	FamiCord views these stakeholders as a voice to the outside, providing indirect representation. These are indirect vehicles for communicating FamiCord's activities and achievements.
General Society (including local communities)	**Local Communities:** • Digital channels • Emails with relevant information • Social responsibility projects in the community • Presence at local events **NGOs (Patients and Industry Associations):** • Annual society meetings • Congresses • Newsletters	Local communities have interest and expectations regarding compliance with EGS and the impact of the Group's activity locally. NGOs may act as advocates or opponents with varying degrees of influence over the Group's activity.	Interacting with these stakeholders periodically enables FamiCord to better understand the needs and expectations of the communities it integrates and also to share how its activity can positively impact society.

MATERIAL IMPACTS, RISKS AND OPPORTUNITIES AND THEIR INTERACTION WITH STRATEGY AND BUSINESS MODEL (SBM-3)

In 2023, the FamiCord Group conducted its first DMA in accordance with the CSR-RUG directive. In 2024, in preparation for the CSRD reporting obligations and in orientation to the European Sustainability Reporting Standards (ESRS), the previous DMA was revised and redone. This process incorporated insights from the 2023 exercise, as well as benchmarking analyses and stakeholders' views and perspectives on sustainability topics, gathered through questionnaires and internal workshops. While most of the sustainability topics identified as material in 2023 remained material in 2024, the two assessments are not fully comparable. As a result, the Group considers 2024 the first year of FamiCord's implementation of the DMA under the CSRD.
In 2025, FamiCord reviewed the DMA and concluded that E5 - Resource Use and Circular Economy is not material to the Group **[SBM-3_11; §48g]**.

As a result of the DMA process, updated in 2025, a total of 42 material Impacts, Risks and Opportunities (IRO) were identified and consolidated into 13 material topics, as outlined in the following table. These topics are categorized by ESG area (environmental, social and governance) and assigned to the respective materiality dimension based on the final assessment.

Results of the Double Materiality Assessment [SBM-3_12; §48h]

Impact materiality	Financial materiality	Double materiality
Diversity, equity, and inclusion (S1)		Climate change and energy efficiency (E1)
Social responsibility and community engagement (S3/S4)		Labor practices, employee compensation and benefits (S1)
Ethics, integrity, and compliance (G1)		Health, safety, and well-being (S1)
		Training and skills development (S1)
		Service quality and customer satisfaction (S4)
		Customers and patients' safety and health (S4)
		Business conduct (G1)
		Relationship with suppliers (G1)
		Research and development*
		IT security and data protection*

	Environmental topic
	Social topic
	Governance topic

Legend: **ESRS Topical Standards:** E1 - Climate Change; S1 - Own Workforce; S2 - Workers in the Value Chain; S3 - Affected Communities; S4 – Consumers and end-users; G1 - Business Conduct
* Entity-specific disclosures

Material impacts

After completing the DMA process, updated in 2025, (see section IRO-1), the FamiCord Group ended up with a list of 22 material impacts, which are further detailed throughout the non-financial statements under the corresponding topical standards. Most of the material impacts are located in the Group's own operations and affect all geographies, though several also occur downstream in the value chain due to the nature of the Group's activities **[SBM-3_01; §48a | SBM-3_07; §48c iv]**.

FamiCord provides services and therapeutic products aimed at improving the life and health conditions of the people who may benefit from stem cells treatments. Additionally, the Group focuses on enabling healthcare professionals to access advanced therapeutic products in a more affordable and sustainable way. These activities may generate both positive and negative impacts, particularly in areas such as consumer and end-user health and safety, IT security and data protection - given the sensitive personal data processed -, social responsibility and community engagement, ethics and integrity, research and development (R&D) and several impacts related to FamiCord Group's employees. Regarding environmental impacts, the most significant are related to CO2 emissions **[SBM-3_01; §48a | SBM-3_04; §48c i]**.

The material impacts identified are fully aligned with the Group's business model and strategy. In the laboratories of the FamiCord Group, therapeutic products for cell and gene therapies are prepared, tested, stored and manufactured. These products are released and distributed upon request to hospitals and clinics that perform these treatments. To achieve its vision and execute the strategy behind it, the Group prioritizes the well-being, training and safety of its employees, as they are fundamental to overcome the negative impacts and leverage on the positive ones. Additionally, the Group is committed to improving the health and safety of its consumers and end-users when they access its services and products. It also fosters a strong corporate culture based on ethics and integrity throughout its operations. Innovation is also a strategic pillar for the Group, so it has a dedicated R&D activity to improve and develop its own products and methodologies. Furthermore, the Group aims to be a partner to other organizations, leveraging its internal capacities to support them in launching new and innovative therapies through its CDMO activities **[SBM3_05; §48c ii]**.

Material risks and opportunities

In terms of material risks and opportunities, the outcome of the DMA resulted in 12 risks and 8 opportunities. Of these 20, only 1 is related to the environment, while 8 are related to social dimension, which is not surprising, as the Group's activities are more influenced by the social dimension than by the environmental one. Within the social dimension, most of the risks and opportunities relate to the Group's own workforce. From the governance dimension, 11 risks and opportunities were identified as material, with 3 of them related to the entity-specific topic of research and development and 3 related to the entity-specif topic of IT security and data protection. The majority of the risks and opportunities are financial, with reputational risks and opportunities coming second in terms of magnitude. The material risks and opportunities are further detailed throughout the nonfinancial statements under the corresponding topical standards **[SBM-3_02; §48a]**.

Effects of material impacts, risks and opportunities on business model, strategy and value chain

In the short-term, the operations are not being affected by the material IRO identified during the DMA exercise, as they are aligned with the Group's business model and strategy. These IRO have already been addressed and awareness has been raised among the Management Board of FamiCord regarding them. Nonetheless, in 2025 the Group developed a strategy designed to mitigate impacts and risks, as well as to take advantage of the opportunities identified **[SBM-3_03; §48b | SBM-3_10; §48f]**.

Financial effects of material risks and opportunities

The Group has not yet established a direct link between the material risks and opportunities identified and the financial statements **[SBM-3_08; §48d]**.

The following information is incorporated by reference to other parts of the non-financial statements, specifically the sections of the topical standards:

- Description of the material IRO resulting from the materiality assessment: ESRS 2, §48 a.
- Expected time horizons of material impacts: ESRS 2, §48 c iii.
- Specification of the impacts, risks and opportunities covered by ESRS Disclosure Requirements: ESRS 2, §48 h.

IMPACT, RISK AND OPPORTUNITY MANAGEMENT

Description of the processes to identify and assess material impacts, risks and opportunities (IRO-1)

As previously explained (see section SBM-3), a first DMA process was conducted in 2023. However, since this exercise was carried out in accordance with the CSR-RUG directive, as part of the Group's preparation for this year's non-financial statements, a new DMA process was conducted in 2024, in line with the CSRD requirements and EFRAG's Implementation Guidance – Materiality Analysis. In 2025, the DMA was revisited with a specific focus on the re-evaluation of the IRO related to ESRS E5 – Resource Use and Circular Economy. During this review, the same assessment criteria applied in the 2024 DMA process were used; however, the classification of these IRO was revised and adjusted to better reflect the Group's operational reality. This reassessment resulted in the determination that this topic is not material to the Group.

ESRS E5 – Resource Use and Circular Economy is not considered material because FamiCord operates in a highly regulated sector, where resource use is already tightly controlled and monitored under established quality, biosafety, and ethical frameworks. Raw materials and consumables are specialized and used in small quantities, with strict protocols for handling, reuse, and disposal. Furthermore, there are no significant dependencies on scarce or critical raw materials, nor are there substantial opportunities to apply large-scale circularity principles typical of manufacturing sectors. In addition, there is currently no existing or expected regulation specifically addressing the flow of materials used by FamiCord. Given these characteristics, resource use and circular economy aspects do not represent a material impact, risk, or opportunity for the Group **[IRO-1_15; §53h]**.

The 2024 DMA process comprised three main stages: A. Understanding the context; B. Identification of IRO and assessment; and C. Determination of material IRO. Various forms of stakeholder engagement, both internal and external, were integrated throughout each stage of the process **[IRO-1_01; §53a | IRO-1_02; §53b | IRO-1_05; §53b iii | IRO-1_07; §53c]**.

The DMA covered all ESRS standards, using the same methodology and criteria to determine, identify, and assess the IRO within each topical standard.

A. Understanding the context

FamiCord's activities and business model

To understand the context of FamiCord, the following key elements were considered:

- FamiCord's business model;
- The activities, products/services, and geographies in which FamiCord operates;
- FamiCord's relevant legal and regulatory framework;
- FamiCord's value chain, including nature and type of business relationships.

In addition to the internal analysis, global trends and industry benchmarking were utilized to further understand FamiCord's context. Additionally, several meetings were held with FamiCord's sustainability team and internal experts to enrich the analysis.

Knowledge of the Group's activities and value chain enabled the identification of impacts across its own operations, as well as its upstream and downstream value chain, considering not only the Group's activities but also its business relationships in all geographies **[IRO-1_03; §53b i | IRO-1_04; §53b ii]**.

Stakeholder mapping

As part of the context analysis, a stakeholder mapping exercise was also conducted with the FamiCord sustainability team to review and prioritize FamiCord's stakeholder groups. The starting point for this mapping exercise was the stakeholder groups identified in the Group's 2023 Annual Report. Throughout the process, it was ensured that **[IRO-1_05; §53b iii]**:

- The most relevant stakeholders were identified and later included in the engagement process;
- The engagement would encompass a diversity of perspectives provided by different stakeholder groups;
- The prioritization of stakeholder groups was aligned with the current reality of FamiCord.

B. Identification of Impacts, Risks and Opportunities

The identification of IRO began with the selection of the most relevant sustainability topics for FamiCord, conducted in collaboration with its sustainability team. The evaluation of each topic's relevance was based on a comprehensive understanding of FamiCord's context, including its activities, business model, and the results from the 2023 DMA exercise **[IRO-1_14; §53g]**.

The topics associated with the ESRS topical standards served as the starting point but were not the only source of information. The relevant sustainability topics were identified from three main sources **[IRO-1_14; §53g]**:

- ESRS Standards (ESRS 1 – AR16, considering the full list of topics, sub-topics, and sub-sub-topics);
- Benchmarking analysis of peer companies;
- FamiCord's previous DMA.

Following the identification of the most relevant sustainability topics (19 topics), the respective IRO across FamiCord's own operations and value chain were identified. In addition to the sources of information listed above, inputs from FamiCord's sustainability team and subject matter experts who participated in the validation and IRO's assessment workshops were also considered **[IRO-1_14; §53g]**.

The impacts, dependencies, and relationships within the value chain were analyzed as potential sources of risks and opportunities **[IRO-1_08; §53c i]**.

As a result of this stage, 54 impacts, 39 risks, and 15 opportunities were identified as of 108, forming the basis for further assessment and analysis in subsequent steps.

C. Assessment and determination of material Impacts, Risks and Opportunities

Stakeholder engagement

During this stage, both internal and external stakeholders were involved. The consultation process considered the representativeness of different companies within the Group and the various geographies where FamiCord operates. Two types of engagement were conducted **[IRO-1_05; §53b iii]:**

- An online questionnaire was widely distributed to relevant internal and external stakeholders to evaluate the relevance of each topic based on their perception of FamiCord's potential impacts in the environment and society – this was done at the topic level.

- Internal workshops were held to assess the impact and financial materiality of the IRO previously identified within each sustainability topic – this was done at the IRO level.

The questionnaires were sent to selected stakeholders based on criteria defined during the stakeholder mapping. The results were used as an additional source of qualitative information for the materiality assessment.

For the internal workshops (conducted online), internal experts from different areas within the Group companies were involved to provide insights and assess the materiality of the IRO. Each participant had the opportunity to discuss and make a qualitative assessment of each IRO, in group, followed by an individual quantitative assessment.

After these workshops have been conducted, and following recommendations from the external verifier, identified IRO were reviewed by the project team and reassessed by subject matter experts, based on updated criteria. When more than one expert was involved in the assessment of IRO for a specific topic, their evaluations were discussed and agreed among them to ensure that the representativeness and knowledge of all experts involved were considered. The results were then calibrated and validated by FamiCord's sustainability team.

In total, 28 internal experts participated in the IRO assessment and 649 stakeholders responded to the questionnaire.

Criteria for assessment of Impacts, Risks and Opportunities

The assessment of the impact and financial materiality of the IRO was based on the criteria defined in the EFRAG IG 1 – Materiality Assessment – Implementation Guidance. This was performed using an Excel tool, customized by the external consultancy team.

For the assessment of impacts, the following criteria were used:

IRO typology	Severity (average)			Likelihood
	Scope	Scale	Irremediable Character	
Actual positive impact	x	x		
Actual negative impact	x	x	x	
Potential positive impact	x	x		x
Potential negative impact	x	x	x	x

For actual negative impacts, materiality was based on the severity (scale, scope and irremediable character) of the impact, while for positive impacts, it was based on the scale and scope. For potential impacts, materiality also includes consideration of their likelihood. Each potential impact assessed was also mapped onto the relevant time horizon. All impacts were assessed in terms of their location in the value chain.

For the assessment of risks and opportunities, the following criteria were used:

IRO typology	Magnitude (maximum)					Likelihood
	Regulatory	Reputational	Financial	Market	Business continuity	
Risks	x	x	x	x	x	x
Opportunities	x	x	x	x	x	x

For each risk or opportunity, all five subcriteria – regulatory, reputational, financial, business continuity, and market – could be evaluated (if applicable) separately to facilitate richer discussions among subject matter experts. By default, the overall magnitude reflected the highest evaluation among the individual subcriteria, but experts could review and adjust this assessment as appropriate. Each risk and opportunity assessed was also mapped onto the relevant time horizon **[IRO-1_09; §53c ii]**.

Heat maps with thresholds were used to determine the materiality of the IRO. On a scale of 1 to 25, those scoring above 12 were considered material, while those below 6 were deemed non-material. IRO with scores between 6 and 12 were subject to further discussion and validation during calibration sessions **[IRO-1_06; §53b iv]**. According to the EFRAG guidelines, in the case of a potential negative human rights impact, the severity of the impact takes precedence over its likelihood. In these cases, the thresholds were adjusted accordingly.

The calibration sessions were attended by FamiCord's sustainability team, who have a broad understanding of the Group's business and ESG areas. The results were subsequently presented to the Management Board for validation **[IRO-1_11; §53d]**.

Results and conclusions

Double materiality results from the combination of impact materiality and financial materiality. A topic meets the double materiality criteria if it is material from an impact perspective, a financial perspective, or both. As a result of the 2024 DMA process and the revision performed in 2025, the following outcomes were identified:

- 22 material impacts;
- 12 material risks;
- 8 material opportunities;
- 13 material topics.

The FamiCord Risk Management System was reviewed in 2025 to better reflect the outputs of the DMA and a strategy was also designed to mitigate impacts and risks, as well as to pursue identified opportunities **[IRO-1_12; §53e | IRO-1_13; §53f]**.

The correspondence of the 13 material topics and the ESRS topical standards can be found in the table below.

Dimension	ESRS Topical Standards	Material topic
Environmental	ESRS E1 – Climate change	Climate change and energy efficiency
	ESRS E2 – Pollution	Not material
	ESRS E3 – Water and marine resources	Not material
	ESRS E4 – Biodiversity and ecosystems	Not material
	ESRS E5 – Resource use and circular economy	Not material
Social	ESRS S1 – Own workforce	Labour practices, employee compensation and benefits
		Health, safety, and well-being
		Diversity, equity, and inclusion
		Training and skills development
	ESRS S2 – Workers in the value chain	Not material
	ESRS S3 – Affected communities	Social responsibility and community engagement
	ESRS S4 – Consumers and end-users	Customers and patients' safety and health
		Service quality and customer satisfaction
		Social responsibility and community engagement
Governance	ESRS G1 – Business conduct	Business conduct
		Ethics, integrity, and compliance
		Relationship with suppliers
	Entity specific	Research and Development
		IT security and data protection

It is worth noting that regarding standards E2 – Pollution, E3 – Water and marine resources, E4 – Biodiversity and ecosystems, ESRS E5 – Resource use and circular economy and S2 – Workers in the value chain, IRO were identified and assessed, however, they scored below materiality threshold.

DISCLOSURE REQUIREMENTS IN ESRS COVERED BY THE UNDERTAKING'S SUSTAINABILITY STATEMENT (IRO-2)

The materiality of the information was determined on the basis of the material IRO resulting from the Group's DMA. After identifying the material topical standards, materiality was assessed at the level of the disclosure requirements and datapoints. The materiality assessment process and the use of thresholds are described in the previous section (IRO-1) **[IRO-2_13; §59].**

For information on disclosure requirements in ESRS covered by these non-financial statements **[IRO-2_02; §56]**, as well as the list of datapoints in crosscutting and topical standards that derive from other EU legislation **[IRO-2_01; §56]**, please refer to the ESRS correspondence tables (Table 1 and Table 2, respectively) in the appendices.

Environmental Information

EU Taxonomy

INTRODUCTION

In the context of increased focus on environmental sustainability issues, framed within the United Nations' 2030 agenda and the Paris Agreement on climate change, the European Union developed its own action plan for sustainability. The main objective of the action plan is the reorientation of capital flows toward sustainable investments. In the execution of this ambition, the approval of the EU Taxonomy by Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 emerged as a central element in the development of environmental sustainability.

This instrument allows the transition of sustainability information from mostly subjective assessments to a classification of economic activities based on scientific technical criteria, aiming at qualifying each activity as environmentally sustainable or not, thus allowing an effective comparison between activities and companies. It is more than just a step towards eliminating greenwashing; it represents an entirely new system with significant impacts on how economic agents are evaluated and funded.

This legal framework does not impose any obligation to comply with the technical criteria for qualifying an activity as sustainable, but it requires some companies - such as FamiCord - to disclose whether their activities align with these criteria and to determine the total proportion of the company's alignment or sustainability.

GENERAL OPERATIONAL FRAMEWORK

The general mechanics of the taxonomy are based on the definition of the following six major environmental objectives:

a) Climate change mitigation;

b) Climate change adaptation;

c) The sustainable use and protection of water and marine resources;

d) The transition to a circular economy;

e) Pollution prevention and control, and

f) The protection and restoration of biodiversity and ecosystems.

The alignment or sustainability of activities depends on the simultaneous verification of three factors:

(i) The "Substantial Contribution" of the activity to at least one of the six environmental objectives;

(ii) The inexistence of "Significant Harm" caused by the activity to the remaining five environmental objectives (The "Do No Significant Harm" or "DNSH"), and

(iii) The company's respect for Minimum Safeguards.

The first two factors must be assessed based on specific technical criteria for each activity in relation to the environmental objective it aims to contribute to.

The third factor depends on the existence of procedures that ensure the company's alignment with the OECD Guidelines for Multinational Enterprises and the United Nations Guiding Principles on Business and Human Rights, including the principles and rights established in the eight fundamental conventions identified in the International Labour Organization's Declaration on Fundamental Principles and Rights at Work, and the International Bill of Human Rights.

As the alignment verification can only take place for activities for which technical criteria are available, there is a preliminary step to this verification which consists of determining Eligibility - activities without available technical criteria are not eligible for the taxonomy.

POSITIONING OF FAMICORD

The main activity of FamiCord is not eligible for the Taxonomy, which considerably affects the company's strategic positioning with respect to this instrument.

The European construct of this taxonomy mechanism has a progressive dynamic for including and evolving the technical criteria of various economic activities. Prioritization was given to certain activities with a higher impact on the climate transition process, leading to the exclusion, to date, of FamiCord's main activity.

Nonetheless, because some secondary or complementary activities can be considered, an assessment was made of these activities, and the results are presented here, referring to the fiscal year 2025.

Similar to the report for fiscal year 2024, in the cases where eligibility is possible, there is no alignment for this exercise.

TURNOVER, CAPEX, AND OPEX

The assessment of alignment or sustainability for each activity is binary: activities are either aligned or not aligned. The Taxonomy information system, however, is more ambitious and requires the overall status of the company's various activities to be projected into a global alignment proportion.

This proportion is determined using three distinct weighting factors from a consolidated perspective: Turnover, CapEx, and OpEx.

The Turnover and CapEx considered for the quantitative information correspond to the same indicators used in the financial statements, which were calculated on the basis of International Financial Reporting Standards (IFRS). Therefore, the denominator is 88,172,755 EUR for Turnover and 2,482,613 EUR for CapEx.

For OpEx, a more restrictive concept resulting from applicable legislation is used. It includes direct non-capitalised costs that relate to research and development, building renovation measures, shortterm lease, maintenance and repair, and any other direct expenditure related with the day-to-day servicing of assets of property, plant and equipment by the undertaking or third party to whom activities are outsourced that are necessary to ensure the continuous and effective functioning of such assets. A total amount of 6,661,049 EUR was considered for the OpEx denominator.

ELIGIBILITY

Full understanding of eligibility depends on integrating the activity (i) within the relevant environmental objective and (ii) the filter resulting from each of the three mentioned KPIs. In the first case, because eligibility is always viewed in terms of a specific objective for which an activity may contribute. In the second case, because not all activities are relevant for all the company's KPIs, and because, for CapEx and OpEx, there are special cases where alignment is possible even if the company's activity is not eligible or is eligible but not aligned.

One case that may be relevant to FamiCord, involves the acquisition from third parties of output from their aligned activities, which accounts as aligned CapEx, even if these assets are integrated by FamiCord into non-eligible or non-aligned activities. These cases are marked as "Type C_CapEx."

Within the scope of Turnover, similar to previous year, only one activity was considered, the "Manufacture of medicinal products", which is eligible for the Pollution Prevention and Control objective and respects to an independent economic activity within FamiCord's overall operations.

Within the scope of CapEx, only one activity was found relevant: Manufacture of electrical and electronic equipment. This activity is a "Type C" CapEx eligible for the 'transition to a circular economy' objective.

In comparison to previous year's report, three activities that are eligible to the Climate Change Mitigation and Adaptation objectives are now considered not relevant as no investment was made by FamiCord Group during the fiscal year of 2025. These activities are:

a) Transport by motorbikes, passenger cars, and light commercial vehicles;

b) Acquisition and ownership of buildings;

c) Freight transport services by road;

Five different activities were included for the OpEx KPI:

a) Transport by motorbikes, passenger cars and light commercial vehicles;

b) Freight transport services by road;

c) Acquisition and ownership of buildings;

d) Repair, refurbishment and remanufacturing, and

e) Manufacture of medicinal products.

The first three are eligible both to the Climate Change Mitigation and Adaptation objectives, 'Repair, refurbishment and remanufacturing' is eligible for the 'transition to a circular economy' objective and the 'Manufacture of medicinal products' for the objective of 'Pollution Prevention and Control'.

The eligibility ratios were calculated using the proportion of the KPI eligibility for the fiscal year (numerator) in relation to the total amount of the KPI for the same fiscal year (denominator). This resulted in eligibility ratios of 31% for Turnover, 60.9% for CapEx and 100% for OpEx.

Regarding the category "Manufacture of electrical and electronic equipment – Type C", similar to previous year's report, it was determined that this investment was relevant and appropriate to disclose under taxonomy-eligible activities, even though the associated operations are not yet taxonomy-aligned.

ALIGNMENT

There is no alignment to report for the fiscal year 2025. Alignment depends on verifying technical criteria which involves various complexities for the activities in question. In some cases, this is due to demanding criteria for assets and activities predating the taxonomy itself, and in others, due to challenges in obtaining data that would confirm compliance with an acceptable level of confidence. This situation is particularly noticeable in some cases of "Do No Significant Harm" verification, such as concerning Pollution Prevention and Control.

Considering a significant review process of Taxonomy Regulation is underway as part of the European Commission's Omnibus initiative, and that the primary activity is not eligible, FamiCord's alignment efforts will depend on strategic choices that can only be made once there is a greater visibility on the taxonomy's evolution.

REPORTING PROCESS

For the fiscal year of 2025, FamiCord took into consideration the exercise performed in the previous reporting period and the final list of activities considered eligible activities for all environmental objectives and according to any of the three relevant KPIs.

This list was reviewed with the conclusion that there were no additonal activities to be included, neither activities to be removed from the list of elegibility.

The corresponding values for each KPI were determined by the financial area.

ADDITIONAL INFORMATION

1. There was no need to apply any procedures to avoid double-counting, considering the distinct nature of the various activities and the categories used in constructing the quantitative tables.

2. There are no CapEx Plans relevant for taxonomy.

3. The road freight transport services considered are only those carried out by FamiCord itself and not those subcontracted with third parties. The latter only have relevance in non-relevant OpEx for taxonomy purposes.

4. The determination of OpEx for “Repair, refurbishment, and remanufacturing” was done by, firstly, compiling all amounts associated with the OpEx definition as presented in “TURNOVER, CAPEX and OPEX” and, afterward, allocating them to the each category, including “Repair, Refurbishment and remanufacturing.

5. FamiCord does not have activities related to fossil gas or nuclear energy that need to be reported under Annex XII of Regulation (EU) 2021/2178, as evidenced in the attached tables.

DISCLAIMER

FamiCord takes great care to ensure the correctness of the published information. Nevertheless, no guarantee can be given regarding the correctness, accuracy, up-to-dateness, reliability and completeness of this information. Liability claims against FamiCord for damages of a material or immaterial nature resulting from the access, use or non-use of the published information are excluded.

TURNOVER

Economic Activities	Code	Turnover	Proportion of turnover year 2025	Substantial contribution criteria: Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity
		in €	%	Y; N; EL/N/EL	Y; N; EL/N/EL	Y; N; EL/N/EL	Y; N; EL/N/EL	Y; N; EL/N/EL	Y; N; EL/N/EL
A. Taxonomy-eligible activities									
A.1. Environmentally sustainable activities (Taxonomy-aligned)									
Turnover of environmentally sustainable activities (Taxonomy-aligned) (A.1)	**0**	**0%**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Of which enabling	-	-	-	-	-	-	-	-	-
Of which transitional	-	-	-	-	-	-	-	-	-
A.2. Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities)									
Manufacture of medicinal products	PPC 1.2	2,748,587	3.1%	N/EL	N/EL	N/EL	EL	N/EL	N/EL
Turnover of Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)		2,748,587	3.1%	0%	0%	0%	2,748,587	o%	0%
A. Turnover of Taxonomy-eligible activities (A.1+A.2)		**2,748,587**	**3.1%**	**0%**	**0%**	**0%**	**2,748,587**	**0%**	**0%**
B. Taxonomy-non-eligible activities									
Turnover of Taxonomy-non-eligible activities		**85,424,167**	**96.9%**						
Total (A + B)		**88,172,755**	**100%**						

	DNSH criteria ("Do No Significant Harm")									
	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Minimum Safeguards	Proportion of Taxonomy aligned (A.1) or eligible (A.2) Turnover year 2024	Category enabling activity	Category transitional activity
	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	C	T
	-	**-**	**-**	**-**	**-**		**-**	**0%**	**-**	**-**
	-	-	-	-	-	-	-	-	C	-
	-	-	-	-	-	-	-	-	-	T
	-	-	-	-	-	-	-	1.2%	-	-
	-	-	-	-	-	-	-	1.2%	-	-
	-	**-**	**-**	**-**	**-**	**-**	**-**	**1.2%**	**-**	**-**

CAPITAL EXPENDITURES (CAPEX)

				Substantial contribution criteria						
Economic Activities	Code	Capex	Proportion of turnover year 2025	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	
		in €	%	Y; N; EL/N/EL	Y; N; EL/N/EL	Y; N; EL/N/EL	Y; N; EL/N/EL	Y; N; EL/N/EL	Y; N; EL/N/EL	
A. Taxonomy-eligible activities										
A.1. Environmentally sustainable activities (Taxonomy-aligned)										
CapEx of environmentally sustainable activities (Taxonomy-aligned) (A.1)		**0**	**0%**	**-**	**-**	**-**	**-**	**-**	**-**	
Of which enabling	-	-	-	-	-	-	-	-	-	
Of which transitional	-	-	-	-	-	-	-	-	-	
A.2. Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities)										
Transport by motorbikes, passenger cars and light commercial vehicles	CCM 6.5; CCA 6.5	-	0%	EL	EL	N/EL	N/EL	N/EL	N/EL	
Freight transport services by road	CCM 6.6; CCA 6.6	-	0%	EL	EL	N/EL	N/EL	N/EL	N/EL	
Acquisition and ownership of buildings	CCM 7.7; CCA 7.7	-	0%	EL	EL	N/EL	N/EL	N/EL	N/EL	
Manufacture of electrical and electronic equipment – Type C	CE 1.2	1,512,162	60.9%	N/EL	N/EL	N/EL	N/EL	EL	N/EL	
CapEx of Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)		**1,512,162**	**60.9%**	**0%**	**0%**	**0%**	**0%**	**1,512,162**	**0%**	
A. CapEx of Taxonomy-eligible activities (A.1+A.2)		**1,512,162**	**60.9%**	**0%**	**0%**	**0%**	**0%**	**1,512,162**	**0%**	
B. Taxonomy-non-eligible activities										
CapEx of Taxonomy- non-eligible activities		970,451	39.1%							
Total (A + B)		**2,482,613**	**100%**							

		DNSH criteria ("Do No Significant Harm")									
	Biodiversity	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Minimum Safeguards	Proportion of Taxonomy aligned (A.1) or eligible (A.2) Turnover year 2024	Category enabling activity	Category transitional activity
	Y; N; EL/N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	C	T
	-	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**0%**	**-**	**-**
	-	-	-	-	-	-	-	-	-	C	-
	-	-	-	-	-	-	-	-	-	-	T
	-	-	-	-	-	-	-	-	18.3%	-	-
	-	-	-	-	-	-	-	-	0%	-	-
	-	-	-	-	-	-	-	-	22.2%	-	-
	-	-	-	-	-	-	-	-	43.2%	-	-
	-	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**83.7%**	**-**	**-**
	-	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**83.7%**	**-**	**-**

OPERATING EXPENDITURES (OPEX)

				Substantial contribution criteria						
Economic Activities	Code	Opex	Proportion of turnover year 2025	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	
		in €	%	Y; N; EL/N/EL	Y; N; EL/N/EL	Y; N; EL/N/EL	Y; N; EL/N/EL	Y; N; EL/N/EL	Y; N; EL/N/EL	
A. Taxonomy-eligible activities										
A.1. Environmentally sustainable activities (Taxonomy-aligned)										
CapEx of environmentally sustainable activities (Taxonomy-aligned) (A.1)		**0**	**0%**	**-**	**-**	**-**	**-**	**-**	**-**	
Of which enabling		-	-							
Of which transitional		-	-							
A.2. Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities)										
Transport by motorbikes, passenger cars and light commercial vehicles	CCM 6.5; CCA 6.5	430,839	6%	EL	EL	N/EL	N/EL	N/EL	N/EL	
Freight transport services by road	CCM 6.6; CCA 6.6	2,699,515	41%	EL	EL	N/EL	N/EL	N/EL	N/EL	
Acquisition and ownership of buildings	CCM 7.7; CCA 7.7	1,081,780	16%	EL	EL	N/EL	N/EL	N/EL	N/EL	
Repair, refurbishment and remanufacturing	CE 5.1	2,304,605	35%	N/EL	N/EL	N/EL	N/EL	EL	N/EL	
Manufacture of medicinal products	PPC 1.2	144,310	2%	N/EL	N/EL	N/EL	EL	N/EL	N/EL	
Opex of Taxonomy-eligible but not environmentally sustainable activities (not Taxonomyaligned activities) (A.2)		**6,661,049**	**100%**	**4,212,134**	**4,212,134**	**0%**	**144,310**	**2,304,605**	**0%**	
A. Opex of Taxonomy-eligible activities (A.1 + A.2)		**6,661,049**	**100%**	**4,212,134**	**4,212,134**	**0%**	**144,310**	**2,304,605**	**0%**	
B. Taxonomy-non-eligible activities										
Opex of Taxonomy-non-eligibleactivities		-	0%							
Total (A + B)		**6,661,049**	**100%**							

	DNSH criteria ("Do No Significant Harm")									
	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Minimum Safeguards	Proportion of Taxonomy aligned (A.1) or eligible (A.2) Turnover year 2024	Category enabling activity	Category transitional activity
	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	C	T
	-	**-**	**-**	**-**	**-**	**-**	**-**	**0%**	**-**	**-**
	-	-	-	-	-	-	-	-	C	-
	-	-	-	-	-	-	-	-	-	T
	-	-	-	-	-	-	-	5%	-	-
	-	-	-	-	-	-	-	44%	-	-
	-	-	-	-	-	-	-	10%	-	-
	-	-	-	-	-	-	-	39%	-	-
	-	-	-	-	-	-	-	2%	-	-
	-	**-**	**-**	**-**	**-**	**-**	**-**	**100%**	**-**	**-**
	-	**-**	**-**	**-**	**-**	**-**	**-**	**100%**	**-**	**-**

E1 – Climate Change

STRATEGY

MATERIAL IMPACTS, RISKS AND OPPORTUNITIES AND THEIR INTERACTION WITH STRATEGY AND BUSINESS MODEL (ESRS 2-SBM-3)

As part of its DMA, the FamiCord Group has identified three material impacts, and one material risk related to climate change.

The negative impact of indirect energy emissions (Scope 2) arises from the high electricity consumption in offices, production laboratories, and cell and tissue banks **[I-002]**, which is essential for maintaining cryopreservation processes. Additionally, there is a negative impact from indirect emissions in the value chain (Scope 3), resulting from the logistics of transporting biological samples, employee commuting, and the procurement of goods and services, all of which contribute to GHG emissions across the supply chain **[I-003]**.

On the other hand, the Group plans on taking further steps to mitigate these impacts by promoting energy efficiency. The implementation of measures to reduce energy consumption and optimize processes brings a positive impact **[I-004]**, minimizing both emissions and operational costs in a broader scope given the geographical distribution of the Group.

During the DMA, the FamiCord Group identified and assessed a range of climate-related risks, including both physical and transition risks. These include the risk of inadequate adaptation measures, more stringent GHG regulations, operational disruptions due to extreme climatic events, potential energy supply constraints, and rising fossil fuel prices. These risks were evaluated in terms of their potential effects on FamiCord's activities, according to their magnitude and likelihood. At present, most of the identified risks were deemed not material due to the nature of the Group's activities, centered around controlled laboratory and cryogenic storage environments with limited exposure to external physical climate events. Also, the existence of several laboratories that can work as backups for each other further mitigates operational risks.

One material risk was identified in relation to the increasing cost of fossil fuels, which represents a risk that could financially impact on the Group **[RO-005]** due to its reliance on energy-intensive processes such as cryopreservation and laboratory operations. This is a medium-term transition risk linked to a potential increase in energy prices due to changes toward renewable energy sources, changes in the regulation of the sector with higher taxation for fossil sources, and the transition to new technologies **[E1.SBM-3_01; §18]**.

The assessment of the resilience of the Group's strategy and business model in relation to climate change has not yet been conducted for the FamiCord Group **[E1. SBM- 3_02; §19 a]**. However, at this stage, no significant short-term climate-related risks have been identified that would materially affect the Group's business model.
The table below presents the four climate-related IRO of the FamiCord Group, detailing their respective time horizons, location within the value chain, and associated subtheme.

Description	**Impact, Risk or Opportunity**	**Time horizon**	**Value chain location**	**Sub-topic or related sub-sub-topic**
[SBM-3_01; §48 a I SBM-3_02; §48 a]	**[SBM-3_01; §48 aI SBM-3_02; §48 a]**	**[SBM-3_06; §48 c iii]**	**[SBM-3_01; §48 a I SBM-3_02; §48 a]**	
climate change				
I-002 Contribution to climate change due to the emission of GHGs generated indirectly – Scope 2 (energy consumption in offices, production laboratories and cell and tissue banks).	Negative impact	–	Own operations	Climate change mitigation

Description	Impact, Risk or Opportunity	Time horizon	Value chain location	Sub-topic or related sub-sub-topic
**[SBM-3_01; §48 a	SBM-3_02; §48 a]**	**[SBM-3_01; §48 a| SBM-3_02; §48 a]**	**[SBM-3_06; §48 c iii]**	**[SBM-3_01; §48 a	SBM-3_02; §48 a]**	
climate change				
I-003 Contribution to climate change due to the emission of GHGs generated indirectly – Scope 3 (purchased goods and services; upstream/downstream leased assets; upstream/downstream transportation and distribution; employee commuting; etc).	Negative impact	–	Upstream, Own operations, Downstream	Climate change mitigation
I-004 Reduction of overall energy consumption and associated GHGs emissions through promotion of energy efficiency (increased employee awareness, process optimization, equipment replacement, etc.).	Positive impact	Medium-term (1 to 5 years)	Own operations	Energy
RO-005 Increasing energy prices for fossil fuels which could pose a risk for FamiCord due to its reliance on energy-dependent processes like cryopreservation and laboratory operations.	Risk	Medium-term (1 to 5 years)	–	Energy

Note: For actual material impacts there is no associated time horizon

TRANSITION PLAN FOR CLIMATE CHANGE MITIGATION (E1-1)

At this stage, the Group has not yet formalised a climate change transition plan, as it intends to conduct a more comprehensive analysis to establish its strategy related to climate change. The outcomes of this analysis will provide the necessary insights to support the potential development of a transition plan aligned with the Group's overall strategic direction **[E1-1_16; §17]**.

IMPACT, RISK AND OPPORTUNITY MANAGEMENT

POLICIES RELATED TO CLIMATE CHANGE MITIGATION AND ADAPTATION (E1-2)

FamiCord developed the Environmental Policy in 2025 and the roll out and implementation in the Group is planned for 2026 **[E1.MDR-P_01; §65 a].**

ACTIONS AND RESOURCES IN RELATION TO CLIMATE CHANGE POLICIES (E1-3)

During 2025, the Group reinforced its commitment to climate change mitigation by implementing initiatives focused on energy efficiency, resource optimization, and more sustainable operational practices. Through these actions, the Organization aims to reduce its environmental footprint and contribute to a more resource-efficient and lower-carbon business model.

The table below presents a summary of the actions implemented in 2025 and those planned for the future **[E1. MDR-A_01; §68 a]**.

Disclosure of key actions	**Status of key action**	**Scope of actions**	**Time horizon**	**Results**
[E1.MDR-A_01; §68 a]	**[E1.MDR-A _01; §68 a]**	**[E1.MDR-A _02; §68 b]**	**[E1.MDR-A _03; §68 c]**	**[E1.MDR-A_01; §68 a]**
Employee awareness and engagement on energy efficiency	Taken and planned	Implemented across the Group subsidiaries with some initiatives adapted locally	Ongoing	Reduced energy consumption through increased employee engagement and adoption of energy-saving behaviors (e.g., turn off lights and monitors, disconnect unused devices, close doors when AC is on) across the organization
Implementation of **energy efficiency measures** (e.g. Adjustment of HVAC air inlet flows supplying the LTC laboratories, Implementation of energy-efficient HVAC controls, Installation of motion-sensor lighting, Replacement of bulbs with LEDs	Taken and planned	Implemented across the Group subsidiaries with some initiatives adapted locally	Ongoing	Improvement of energy efficiency and energy consumption reduction
Digitalization and paperless operations	Taken and planned	Implemented in Germany and Hungary	Ongoing	Reduced paper consumption and improved operational efficiency, contributing to lower energy use and associated GHG emissions
Promotion of s**ustainable transport options** (e.g. bicycle leasing programs, procurement of electric and hybrid company cars, installation of electric vehicle charging stations, prioritization of train travel for business trips)	Taken and planned	Implemented in Germany and Hungary, Romania, Austria and Switzerland	Ongoing	Reduced fuel consumption and GHG emissions associated with employee commuting and company fleet operations
Extension of kit lifespan and material reuse	Taken and planned	Implemented in Turkey and Germany	Ongoing	Reducing carbon footprint



CLIMATE CHANGE

HVAC airflow optimization

In 2025, a comprehensive HVAC optimization project was implemented at FamiCord's Istanbul, Türkiye facility to enhance energy efficiency and operational resilience while maintaining strict ISO and GMP sterility standards. The initiative utilized a systematic engineering framework—moving from baseline audit and Air Change Rate (ACH) simulation to the technical recalibration of Variable Air Volume (VAV) dampers and Variable Frequency Drives (VFD) systems. A critical milestone included transforming a major motor failure into a modernization opportunity by installing a high-efficiency unit that aligns with our decarbonization goals.
The project's impact is evidenced by a 70% reduction in system alarms and the total elimination of climate-related laboratory downtime. Beyond technical stabilization, the implementation of a quarterly sustainable maintenance cycle for filter and belt replacements has extended equipment lifespans and optimized energy consumption. These interventions have not only secured the sterility and pressure balances of the laboratory environment but have also delivered significant resource savings and a safer, more stable workspace for the staff.

Turkey

TARGETS AND METRICS

Scope of consolidation

In 2025, FamiCord Group conducted a carbon footprint assessment to quantify its emissions. Based on the results of this assessment, the Group plans to define specific actions and targets **[E1.MDR-T_15; §72 / §81 a]**. Climate-related targets are planned to be set in 2026 **[E1.MDR-T_14; §72 / §81 a]**.

ENERGY CONSUMPTION AND MIX (E1-5)

The methodology used to determine energy consumption was based on data collected as part of the FamiCord Group's carbon footprint assessment. For this purpose, information was requested regarding Scope 1 and Scope 2 emissions, covering the following emission sources: stationary combustion (fuel used in heaters, furnace, and backup generators), mobile combustion (fuel consumption from company-owned, leased and long-term rental vehicles), electricity (including electric vehicles), and district heating (externally supplied heat for buildings). The collected data included the identification of the energy used, distinguishing between fossil and renewable sources **[MDR-M_02; §77 a]**.

For more information on the carbon footprint and its respective limitations, and assumptions, please refer to section E1-6.

In 2025, we expanded the scope of the locations included in the carbon footprint calculation to cover all FamiCord operations.

The table below presents the energy consumption values categorized by fossil, nuclear, and renewable sources within the companies' own operations.

In 2025, fossil energy sources accounted for 63% of the total energy consumption, nuclear sources represented 4%, and renewable sources made up 34%. The total energy consumption for the period amounted to 232,724 MWh **[BP-2_10/12; §13 a, b, c]**.

Energy consumption in own operations			
[E1-5_01; §37]	Unit	**2024**	**2025**
Total fossil energy consumption [E1-5_01; §37]	**MWh**	**144,461.2**	**145,737.8**
Share of fossil sources in total energy consumption [E1-5_15; AR34]	**%**	**54%**	**63%**
Consumption from nuclear sources [E1-5_03; §37 b]	**MWh**	**8,301.3**	**8,611.6**
Share of consumption from nuclear sources in total energy consumption [E1-5_04; AR34]	**%**	**3%**	**4%**
Fuel consumption for renewable sources, including biomass (also comprising industrial and municipal waste of biologic origin, biogas, renewable hydrogen, etc.) **[E1-5_06; §37 c) i.]**	MWh	–	–
Consumption of purchased or acquired electricity, heat, steam, and cooling from renewable sources **[E1-5_07; §37 c) ii.]**	MWh	112,799.4	78,309.2
The consumption of self-generated non-fuel renewable energy **[E1-5_08; §38 c) iii.]**	MWh	66.0	65.8
Total renewable energy consumption [E1-5_05; §37 c]	**MWh**	**112,865.4**	**78,375.1**
Share of renewable sources in total energy consumption [E1-5_09; AR34]	**%**	**42%**	**34%**
Total energy consumption	**MWh**	**265,627.9**	**232,724.4**

Note 1: The 2024 data included information from 10 companies: Cryoprofil; Diagnostica Bank Komórek Macierzystych; FamiCord AG; FamiCord Suisse; KRIO Intezet; PBKM Sp. z o.o.; Seracell Pharma; Stemlab, S.A.; NGI-Lifescience and Health International, S.A. (NGI); and VITA34 mbH.
Note 2: The 2024 energy consumption data were restated following the identification of an error in 2024 data collection **[BP-2_13; §14 a]**.
Note 3: Regarding 2025 data, two companies did not report electricity consumption data for the full year: eticur (data available from December 2024 to May 2025) and Smart Cells International Ltd. (Hong Kong) (data available from January to September 2025) **[BP-2_09; §11 b ii]**.
Note 4: In the absence of available data for 2025 at the time of reporting, the amount of electricity produced through photovoltaic panels in Germany was estimated based on 2024 figures **[BP-2_09; §11 b ii]**.

Regarding electricity consumption (including electric vehicles), the reported data came from invoices, fuel card statistics, estimates and accounting records. Additionally, for district heating, data was collected from invoices and cost accounting records. When current-year data was missing, previous years' figures were used as an estimate **[BP-2_09; §11 b ii]**.

Some of the activities carried out by the FamiCord Group are linked to sectors considered to have a high environmental impact, such as the transport of samples. However, these are predominantly subcontracted operations and do not represent the Group's core activities. Even in cases where transport is fully managed internally by FamiCord, its relative contribution to the Group's overall operations is immaterial. Therefore, the FamiCord Group does not operate in sectors of high climate impact and, as such, does not report energy intensity data for activities in these sectors **[E1-5; §38 a, b, c, d, e | E1-5_18; §40 | E1-5_19; §41]**.

GROSS SCOPES 1, 2, 3 AND TOTAL GHG EMISSIONS (E1-6)

2025 marks the second year for which the carbon footprint associated with Farmicord Group's activities has been calculated.

The first stage of the carbon footprint assessment involved identifying which companies within the FamiCord Group would be included in the calculation, considering the Group's financial statements and their current operational activities. Out of the 28 entities[1] that make up the FamiCord Group, a decision was made to include only 26 companies, while two were excluded. Krionet and Smart Cells Holdings Ltd. are technical entities that do not engage in business operations and have no employees; consequently, they were not included in the calculations. The 2024 data included information from 26 companies[2].

The second stage of the carbon footprint assessment involved updating the mapping of emission sources, with the objective of identifying new sources of greenhouse gas (GHG) emissions associated with the Group's activities and determining the activity data to be collected for calculating the carbon footprint related to the operations.

1 The FamiCord Group includes FamiCord AG and its subsidiaries (hereinafter referred to as the "subgroup Vita 34") as well as Polski Bank Komórek Macierzystych Sp. z o.o., Poland, and its subsidiaries (hereinafter referred to as "subgroup PBKM"). Together, these companies, including Vita 34 and PBKM, comprise a total of 28 entities.
2 Out of the 32 entities that made up the FamiCord Group in 2024, the following six were excluded: VITA 34 ApS, VITA 34 s.r.o., AS Imunolita, Rodinná banka Slovakia, Národní centrum pupečníkové krve s.r.o., and Sevibe Cells (Celvitae).

As a result of the mapping process, Scope 1 emissions included stationary combustion (fuel used in heaters, furnace, and backup generators), mobile combustion (fuel consumption from company-owned, leased, and long-term rental vehicles), and refrigerant gas leaks. Scope 2 emissions covered electricity (including electric vehicles) and district heating (externally supplied heat for buildings). For Scope 3 emissions, five categories were calculated: Category 1 – Purchased Goods: Non-Food Products, Category 4 – Upstream Transportation and Distribution, Category 5 – Waste Generated in Operations, Category 6 – Business Travel, and Category 7 – Employee Commuting. Categories 1 and 4 were calculated for the first time as part of the carbon footprint assessment and were determined exclusively for Stemlab, S.A. within the scope of a pilot project.

The decision to include only these five categories was based on two key factors: the simplicity of data collection and emissions calculation, and the minimization of uncertainty. However, despite calculating emissions for only these five categories, the initial emissions mapping was not limited to them. All emission sources associated with the Group's activities, including those from Scope 1, 2, and 3, were considered in the mapping process **[E1-6_26; AR 46 i | E1-6_27; AR 46 i]**.

The Greenhouse Gas Protocol establishes a comprehensive framework for measuring and managing greenhouse gas emissions. The FamiCord Group adopts the operational control approach to consolidate emissions associated with its activity **[E1-6_15; AR 39 b / §50 a | E1-6.MDR-M_02; §77 a | BP-2_09; §11 b ii]**.

The table below presents the Scope 1 GHG emissions for all the FamiCord Group which resulted in 1,033 tCO_2e in 2025. Scope 1 GHG emissions from regulated emission trading schemes are not applicable to FamiCord Group. **[E1-6_07; §48 a / §50 a | E1-6_08; §48 a, b]**.

Scope 1 GHG emissions – consolidated accounting Group [E1-5_01; §37]	Unit	**2024**	**2025**
Gross Scope 1 emissions **[E1-6_07; §48 a / §50 a]**	tCO2e	530.5	1,032.7
Scope 1 GHG emissions from regulated emission trading schemes **[E1-6_08; §48 a, b]**	%	Not applicable	Not applicable

For stationary and mobile combustion, conversion factors and emission factors specific to each country where the FamiCord Group operates were used, based on the National Inventory Reports (NIRs). Whenever this information was not available, emission factors published by the UK Department for Environment, Food & Rural Affairs (DEFRA) emission factors were applied. Regarding refrigerant gas leaks, the Global Warming Potentials (GWPs) used were sourced from AR6 - GHG Protocol **[E1-6_15; AR 39 b / §50 a | E1-6.MDRM_02; §77 a | BP-2_09; §11 b ii]**.

The table below presents the Scope 2 GHG emissions for both the location-based and market-based approaches for the consolidated accounting Group.

It is important to note that district heating emissions are reported under gross location-based emissions (Scope 2). In 2025, gross location-based emissions resulted in 1,772 tCO_2e, while gross market-based emissions amounted to 1,746 tCO_2e **[E1-6_09; §49 a / §50 a / §52 a | E1-6_10; §49 b / §50 a, b]**.

Scope 2 GHG emissions – consolidated accounting Group

Scope 2 GHG emissions – consolidated accounting group	Unit	2024	2025
Gross location-based emissions (Scope 2) **[E1-6_09; §49 a / §50 a / §52 a]**	tCO2e	1,551.5	1,711.9
Gross market-based emissions (Scope 2) **[E1-6_10; §49 b / §50 a, b]**	tCO2e	1,488.5	1,746.0

The location-based approach applied the production mix emission factor for each country where companies reported data, with emission factors sourced from Association of Issuing Bodies (AIB) (2024). The market-based approach was implemented using either the specific electricity supplier's emission factor, when available, or the location-based Residual Mix factor from AIB (2024). Supplier-specific emission factors were available for Portugal, UK, Hungary, and Poland. For district heating, since the emission factor for the supplier was not available, DEFRA's emission factor was applied to calculate emissions **[E1-6_15; AR 39 b / §50 a | E1-6.MDR-M_02; §77 a | BP-2_09; §11 b ii].**

It is important to note that some data limitations and methodological choices introduced uncertainties in the calculation of Scope 2 GHG emissions. In cases where country-specific emission factors or conversion values were unavailable, assumptions were made based on alternative sources, such as the Portuguese NIR and DEFRA emission factors [BP-2_07; §11 a | BP-2_08; §11 b i]. For more information on the limitations and methodological choices of electricity consumption and district heating, please refer to section E1-5 – Energy consumption and mix.

The increase in Scope 2 emissions (market- and location-based), despite the decline in electricity consumption in 2025, is linked to the fact that the electricity mix changed substantially between the two years, with the fossil fuel component contributing more significantly in 2025.

The table below presents the Scope 3 GHG emissions for the consolidated accounting Group, including the parent company (FamiCord AG) and fully consolidated subsidiaries (subgroup Vita 34 and subgroup PBKM), which resulted in 236 tCO_2e in 2024 and 442 in 2025 **[E1-6_04; AR 46 d].**

Scope 3 GHG emissions – consolidated accounting Group

Scope 3 GHG emissions (according to GHG protocol) **[E1-6_04; AR 46 d]**	Unit	**2024**	**2025**
Gross Scope 3 GHG emissions **[E1-6_11; §51]**	tCO2e	235.6	441.5
Category 1 – Purchased goods and services	tCO2e	-	142.3
Category 4 – Upstream Transportation and Distribution	tCO2e	-	113.4
Category 5 – Waste generated in operations	tCO2e	4.5	3.7
Category 6 – Business travel	tCO2e	160.4	82.0
Category 7 – Employee commuting	tCO2e	70.6	100.1

For category 1, which includes all products related to Stemlab, S.A.'s activities purchased in 2025, excluding VAT, upon receipt of the purchased products, each item was categorized according to its primary material whenever possible (e.g., plastic, glass, metal, etc.), and the corresponding emission factor was applied in euros **[E1- 6_29; AR 46 h | E1-6_15; AR 39 b | E1-6.MDR-M_02; §77 a |BP-2_09; §11 b ii]**.

For Category 4, which includes upstream transportation and distribution, three transport typologies were considered: (i) product deliveries from each supplier related to Stemlab, S.A.'s activities; (ii) transportation of kits between the Stemlab, S.A. laboratory and clients (families, hospitals and clinics), carried out by Rangel; and (iii) transportation of kits from clients (hospitals and clinics) to the Stemlab, S.A. laboratory, carried out by Bioexpress. For each transport typology, whether ground transport by van or air transport by airplane, DEFRA emission factors were applied to estimate the associated emissions. Under this category, only products related to Stemlab, S.A. were considered, as part of a pilot project **[E1- 6_29; AR 46 h | E1-6_15; AR 39 b | E1-6.MDR-M_02; §77 a | BP-2_09; §11 b ii]**.

For category 5, which includes all waste generated from the Group's operations, covering both hazardous and non-hazardous waste disposal methods, DEFRA emission factors were used. The calculation considered the type of waste generated and its final disposal method **[E1- 6_29; AR 46 h | E1-6_15; AR 39 b | E1-6.MDR-M_02; §77 a | BP-2_09; §11 b ii].**

For category 6 (business travel and accommodation), which includes all business-related travel by employees, such as flights, ferry, trains, and road transport, as well as their respective accommodations, DEFRA emission factors were applied. For hotel stays related to business travel, data was collected on the total number of nights spent in accommodation and the respective country of stay. The corresponding emission factor for each country was subsequently applied to estimate the associated emissions **[E1-6_29; AR 46 h | E1-6_15; AR 39 b | E1-6.MDR-M_02; §77 a | BP-2_09; §11 b ii].**

For category 7 (employee commuting and remote work), data was gathered through a commuting survey conducted among employees from the entities included in the carbon footprint assessment. The survey collected information on transport types for homeoffice commutes, round-trip distances (total per year), and other relevant commuting details. Emission factors from DEFRA were applied accordingly.

Only 41% of employees (301 out of 742) participated in the questionnaire, which can introduce potential bias, as the commuting patterns of non-respondents may differ from those of respondents. Consequently, extrapolations based on this dataset may not fully represent the commuting behaviors of the entire workforce **[BP-2_07; §11 a].**

The table below presents the total GHG emissions for the FamiCord Group. The total GHG emissions for the FamiCord Group in 2025 reached 3,186 tCO_2e (location-based) and 3,220 tCO_2e (market-based). Scope 2 was the largest contributor to total emissions **[E1-6_01; §44]**.

Total GHG emissions for the FamiCord Group in 2025

GHG emissions [E1-6_01; §44]	Unit	**2024**	**2025**
Gross Scope 1	tCO2e	530.5	1,032.7
Gross location-based (Scope 2)	tCO2e	1,551.5	1,711.9
Gross market-based (Scope 2)	tCO2e	1,488.5	1,746.0
Gross Scope 3 GHG emissions	tCO2e	235.6	441.5
Total GHG emissions (location-based) [E1-6_12; §44 / 52 a]	tCO2e	**2,317.6**	**3,186.1**
Total GHG emissions (market-based) [E1-6_13; §44 / 52 b]	tCO2e	**2,254.6**	**3,220.2**

During 2026, efforts will be undertaken to incorporate the remaining group companies into the calculation of emissions for Category 1 (Purchased goods and services) and Category 4 (Upstream transportation and distribution). In the carbon footprint calculation exercise related to 2025, emissions were calculated exclusively for the activity of Stemlab, which served as a pilot project due to the complexity and challenges associated with collecting the data required to quantify emissions in these two categories.

The table below presents the GHG intensity for the FamiCord Group in 2025. GHG intensity is calculated as the ratio of total greenhouse gas (GHG) emissions to net revenue, serving as an indicator of the carbon efficiency of business operations. This metric is determined based on the total gross emissions from Scope 1, Scope 2 (both location-based and market-based approaches), and Scope 3, along with the total net revenue expressed in kilo euros. For 2025, the GHG intensity was calculated to be 0.036 $tCO_2e/k€$ (location-based), reflecting the amount of GHG emissions associated with each unit of revenue generated **[E1-6_01; §44]**.

GHG Intensity based on net revenue

GHG Intensity based on net revenue	Unit	**2024**	**2025**
Net revenue	k€	82,183.6	88,172.8
GHG emissions intensity, location-based **[E1-6_30; §53]**	tCO2e/k€	0.028	0.036
GHG emissions intensity, market-based **[E1-6_31; §53]**	tCO2e/k€	0.027	0.037

Social Information

S1 - Own Workforce

STRATEGY

MATERIAL IMPACTS, RISKS AND OPPORTUNITIES AND THEIR INTERACTION WITH STRATEGY AND BUSINESS MODEL (ESRS 2 SBM-3)

The employees of FamiCord Group are a key factor for the Group's success. They represent FamiCord's culture and are a critical driver for the development of the Group's strategy. FamiCord is committed to the development and well-being of its employees, with a focus on fostering a good work environment, respect for work-life balance, adequate working conditions, respect for diversity and improving the health and well-being of its own workforce **[§13 a i]**.

Depending on the geography, companies across the FamiCord Group have varying levels of maturity and development regarding specific programs for employees. As a result, it is a priority for the Group to develop strategic actions focused on employee satisfaction and well-being, as well as the training and development of its own workforce. In this regard, the Group established an internal Human Resources Management Center of Expertise in Leipzig in 2024 (see section S1-4), where a works council is already in place, along with several initiatives that align with the positive actual impacts **[§13 a i]**.

The FamiCord Group conducts an annual employee satisfaction survey (see section S1-4), and the results of this survey serve as a key performance indicator for the General Manager and relevant managers in each geography. In 2025, FamiCord updated this survey in order to analyze how employees perceive FamiCord as an employer and to better design measures to improve employer branding as well as employees satisfaction, and to establish prioritized actions aligned with identified material impacts, risks, and opportunities **[§13 a ii]**. This approach not only promotes positive impacts but also anticipates future challenges, ensuring that FamiCord's employees remain aligned with the Group's evolving strategy and growth ambitions.

To ensure a comprehensive and transparent management of the impacts related to the Group's own workforce, all people in the workforce who may be materially affected by FamiCord's operations are included within the scope of these disclosures **[S1.SBM-3_01; §14]**. Across the FamiCord Group, the workforce includes employees, self-employed people, and contractors provided by a third party. Each of these individuals is considered a member of the team, working at the Group's facilities and/or using its equipment, making them subject to the impacts of FamiCord's operations **[S1.SBM-3_02; §14 a]**.

Given the nature of the activities carried out by FamiCord, certain people within the workforce may be more exposed to biological agents, either in the laboratory or during sample collection. These potential negative impacts are properly and routinely addressed through the laboratory safety procedures and, due to that, they were not considered material for the Group **[S1.SBM-3_11; §15]**.

On the other hand, initiatives related to secure working conditions **[I-017]**, work-life balance **[I-021]**, and employee well-being **[I-018 | I-022]** are resulting in positive material impacts on employees. Examples of such initiatives include open-ended employment contracts, life insurance, reduction of working hours, additional holidays, and time-out days. More directly related to employee health and well-being are sports coaches, multisport access cards, private healthcare and psychological support. The activities developed to achieve material positive impacts continue to be defined at the company level, based on the same principles for employee strategic management and corporate culture. At FamiCord, potential positive impacts are identified, for both employees and nonemployees, in areas such as training and development **[I-024]**, diversity **[I-027]** and gender equality with equal pay for equal work **[I-025]** **[S1.SBM-3_04; §14c]**.

As material risks related to the workforce, the FamiCord Group identifies risks related to lack of qualifications and/or shortage of candidates with the necessary skills for open positions within the Group's companies **[RO-015 | RO-022]**, the inability of teams to quickly adapt to operational changes **[RO-023]**, and the loss of productivity due to absenteeism caused by health and safety issues **[RO-019]**.

FamiCord recognizes opportunities related to improved health and safety for employees **[RO-020]**, leading to increased productivity, as well as the establishment of employee development programs **[RO-024]**, which contribute to enhanced employer brand recognition and a higher number of applications for open job positions **[S1.SBM-3_05; §13b/14d]**.

Within the FamiCord Group, no operations have been identified at significant risk of incidents of forced labor, compulsory labor, or child labor **[S1.SBM-3_07; §14f i to S1.SBM-3_10; §14g ii]**. Furthermore, no risks or opportunities have been identified arising from impacts and dependencies on specific groups of people within the Group's own workforce **[S1.SBM-3_12; §16]**.

Description	Impact, Risk or Opportunity	Time horizon	Value chain location	Sub-topic or related sub-sub-topic
[SBM-3_01; §48 a] [SBM-3_02; §48 a]	[SBM-3_01; §48 a] [SBM-3_02; §48 a]	[SBM-3_06; §48 c iii]	[SBM-3_01; §48 a] [SBM-3_02; §48 a]	
Labour practices, employee compensation and benefit				
I-017 Secure working conditions, improved financial security and long-term planning for retirement (e.g., open-ended employment contracts, life insurance, company pension plan), encouraging employee retention and long-term commitment to the company	Positive impact	–	Own operations	Working conditions – Secure employment
I-018 Good labor practices regarding employees (recognition of their work merits, salary, benefits and perks offered) enhancing employee well-being and increasing job satisfaction, encouraging employee retention and long-term commitment to the company	Positive impact	–	Own operations	Working conditions – Adequate wages / Working time
I-021 A positive impact is created by fostering a good work-life balance for employees, which enhances working conditions and boosts overall workplace satisfaction. This leads to improved employee well being, increased productivity, and a more engaged and motivated workforce	Positive impact		Own operations	Working conditions – Work-life balance
RO-015 Skills shortage and lack of applications (“Fach-kräftemangel”) posing a risk for operations, innovation, and competitive positioning	Risk	Short-term (< 1 year)	–	Working conditions – Adequate wages
Health, safety, and well-being				
I-022 Improved health and well-being of employees through health awareness activities and active health management programs (e.g., sports coaches, multisports access card, private health care, psychological support, surveys about mental health)	Positive impact	–	Own operations	Working conditions – Health and safety
RO-019 Loss of productivity due to absenteeism caused by health and safety issues (accidents and occupational illnesses, mental illness, among others)	Risk	Short-term (< 1 year)	–	Working conditions – Health and safety
RO-020 Improved work performance and productivity, through above average offer in terms of health programmes contributing to better physical and mental health of employees	Opportunity	Medium-term	–	Working conditions – Health and safety

Description [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Impact, Risk or Opportunity [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Time horizon [SBM-3_06; §48 c iii]	Value chain location [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Sub-topic or related sub-sub-topic
Training and skills development				
I-024 Opportunities for professional growth and the development of competencies at work, facilitated through regular training programs and personalized development plans, contribute positively to employee engagement and career progression. This fosters a skilled and adaptable workforce, aligning with organizational goals and enhancing overall performance and sustainability	Positive impact	–	Own operations	Equal treatment and opportunities for all – Training and skills development
RO-022 Lack of qualification (and consequently productivity) of the workforce leads to loss of sales/non fulfilment of strategic business objectives	Risk	Medium-term (1 to 5 years)	–	Equal treatment and opportunities for all – Training and skills development
RO-023 Inability of the teams to adapt to operational changes (e.g. related to technological advancements, market changes, or customer demands) leading to operational inefficiencies and innovation stagnation, as well as loss of competitiveness	Risk	Medium-term (1 to 5 years)	–	Equal treatment and opportunities for all – Training and skills development
RO-024 Increase of employer' attractiveness by offering individual training and development plans, empowering employees to grow while positioning the organization as a leader in talent development	Opportunity	Long-term (> 5 years)	–	Equal treatment and opportunities for all – Training and skills development
Diversity, equity, and inclusion				
I-025 Equal career opportunities, including salary practices, for both men and women contributes to a more equitative and fair society	Positive impact	Medium-term (1 to 5 years)	Own operations	Equal treatment and opportunities for all – Gender equality and equal pay for work of equal value
I-027 Diversity of points of view generates an organizational culture focused on innovation and development, with positive impacts in the society and also in the environment	Positive impact	Medium-term (1 to 5 years)	Own operations	Equal treatment and opportunities for all - Diversity

Note: For actual material impacts there is no associated time horizon

IMPACT, RISK AND OPPORTUNITY MANAGEMENT

POLICIES RELATED TO OWN WORKFORCE (S1-1, MDR-P)

As part of its commitment to promote ethical behavior, safeguard employee rights, and ensure a fair and inclusive work environment, the FamiCord Group has established a set of workforce-focused policies, namely the **Code of Conduct**, the **Whistleblowing Procedure** and the **Diversity, Equity & Inclusion Policy [S1.MDR-P_01; §65 a]**. Alongside these, FamiCord also has in place, in its subsidiaries, local workplace accident prevention management system **[S1-1_09; §23]**.

Covering FamiCord's entire own workforce, although not directly aligned with specific internationally recognized instruments **[S1-1_07; §21]**, these policies play a critical role in addressing the company's identified social impacts, risks, and opportunities by fostering a safe and respectful workplace, protecting employee rights, and ensuring compliance with ethical and legal standards. They support fair labor practices, reinforce commitments to health, safety, and well-being, and diversity, equity, and inclusion, and contribute to a culture of transparency, accountability, and trust among employees and stakeholders **[S1-1_01; §19]**.

The **Code of Conduct** (see Governance Information, section G1-1) defines the core principles, norms, and values that guide both the organization and its employees in their daily activities, reinforcing standards of integrity, respect, and responsible business conduct **[S1.MDR-P_01; §65 a]**. The FamiCord Group has not yet adopted a supplier code of conduct **[AR13]**.

The **Diversity, Equity & Inclusion Policy** was approved by the Management Board on the 28 of March 2025. The policy is aligned with international human rights standards, ensuring equal treatment and zero tolerance for discrimination, harassment, bullying or retaliation across all employment processes. The policy defines employee and leadership responsibilities, promotes awareness of unconscious bias, provides confidential reporting mechanisms with protection against retaliation, and establishes disciplinary consequences for violations, extending these standards to third-party interactions to reinforce ethical business conduct and social responsibility **[S1.MDR-P_01; §65 a | S1-1_10; §24a | S1-1_11; §24b]**.

The Group's Code of Conduct provides channels for raising concerns, including a whistleblowing portal (where available), email to a dedicated address, or postal mail sent to the Leader Compliance Expertise Centre for all FamiCord Group companies. The Code of Conduct also ensures that all reports can be made without fear of retaliation. Additionally, the Group's Anti-Corruption Code and Diversity, Equity & Inclusion Policy also refer to reporting violations in areas covered by these procedures, reinforcing the expectation that employees can raise concerns safely and confidentially **[S1. MDR-P_01; §65 a]**.

Currently, the Group does not hold a specific Human Rights Policy. Nevertheless, the Group's **Code of Conduct** reflects the compromise with Human Rights, namely through the rejection of any kind of exploitation, trafficking in human beings, forced or child labor **[S1-1_03; §20, S1-1_08; §22]**. When it comes to the rights of its employees, those are addressed across the Group companies through its policies, namely in what respects to health and safety at work, secure working conditions, wellbeing, mutual respect, non-discrimination and equal opportunities **[S1-1_04; §20a]**.

Policy	**Diversity, Equity &Inclusion**
Key contents and general objectives **[S1.MDR-P_01; §65 a]**	The purpose of the DEI policy is to establish the principles and obligations across the FamiCord group in order to foster an inclusive, diverse and equity based culture
Scope **[S1.MDR-P_02; §65 b]**	This DEI Policy encompasses all FamiCord AG Capital Group's employees and delineates the principles and obligations through which the Group will advance DEI across the organization.
Senior level accountable for the implementation of the policy **[S1.MDR-P_03; §65 c]**	General Managers in each company within the FamiCord Group.
Third-party standards or initiatives **[S1.MDR-P_04; §65 d]**	No specific third-party standards.
Availability **[S1.MDR-P_06; §65 f]**	Policy is made available through each company's website.

Depending on the company, there may be additional policies and/or procedures in place to cover more detailed sustainability matters related to own workforce. As an example, in PBKM there is a Compensation Policy, a Work Regulation and Employee Social Benefits Fund; in Stemlab there is a specific Anti-harassment code; in Famicord AG there is a Works Council who meet periodically with the Management Board of the FamiCord Group to discuss aspects with impact in the workforce.

The Group addresses employees' needs and expectations through various initiatives, including annual satisfaction surveys, feedback meetings, and, when applicable, meetings with workers' representatives. The yearly satisfaction survey covers key aspects such as well-being, working conditions, career development, teamwork, and organizational culture **[S1-1_05; §20b]**.

To foster a strong organizational culture and encourage informal interactions, companies within the Group organize team-building activities such as social gatherings, sports competitions, and charity events. Additionally, in compliance with local laws in each region where the Group operates, health and safety programs are in place to identify workplace risks and establish appropriate mitigation measures. Identified risks are communicated to affected employees, who also receive training on the necessary preventive measures **[S1-1_05; §20b | S1-1_06; §20c].**

The following information is incorporated by reference to other parts of the non-financial statements:

- Presentation of the Code of Conduct: MDR-P, ESRS 2, §65 b/c/f/e – Governance Information, section G1-1.
- Presentation of the Whistleblowing Procedure: MDR-P, ESRS 2, §65 b/c/f/e – Governance Information, section G1-1.
- Presentation of the Privacy Policy: MDR-P, ESRS 2, §65 b/c/f/e – Governance Information, Entity-specific – IT and data protection, section MDR-P.

PROCESSES FOR ENGAGING WITH OWN WORKFORCE AND WORKERS' REPRESENTATIVES ABOUT IMPACTS (S1-2)

In order to actively collect insights from its own workforce and use it in decision-making processes regarding impacts on the workforce itself, FamiCord Group has established multiple engagement mechanisms, both with its own workforce as well as workers' representatives **[S1-2_01, §27 | S1-2_02, §27a]**, to ensure continuous dialogue with employees across different geographies **[S1-2_01, §27]**.

In a centralized global feedback gathering process, the Human Resources Departments and/or the General Managers of each subsidiary conduct anonymous annual employee satisfaction surveys across the Group, allowing employees to express their concerns and make individual suggestions regarding their work and working conditions. These surveys serve as a key tool to assess employee sentiment and identify areas for improvement **[S1-2_01, §27, AR 24d]**.

In addition to the survey, depending on the geography, the Group has implemented further engagement procedures, such as townhall meetings with all employees and also individual feedback meetings between employees and the General Managers of each subsidiary and/or the Human Resources Departments and/or relevant managers. These forums provide a space for employees to voice their opinions, while management can address concerns directly and foster open dialogue **[S1-2_01, §27, AR 24d]**.

At the Group headquarters, in Leipzig, a Works Council is in place, covering all employees at FamiCord AG. This Council holds regular meetings with the Management Board of FamiCord AG. These meetings serve to discuss employee concerns, proposed measures, and workforcerelated changes, ensuring that employee voices are represented at the highest level of decision-making **[S1-2_01, §27, AR 24d]**.

Stage **[S1-2_03, 27b]**	**Type of Engagement**	**Frequency**
Board Meeting with works council (in Leipzig)	Participation, consultation, and information.	Periodically. Ad-hoc meetings are possible as well.
Employee Satisfaction Survey	Participation.	Yearly.
Meetings with Employee	Information.	Variable.

Most engagement activities take place at a local level, where General Managers gather feedback from employees and report directly to the Management Board on a monthly basis during regular follow-up meetings. This structure ensures that employee input is considered in decision-making at both local and corporate levels. The annual employee satisfaction survey, however, is managed centrally by the Human Resources Management Center of Expertise, in Leipzig, through a dedicated platform, ensuring consistency in the collection and analysis of feedback **[AR 24c]**.

Following the feedback gathering initiatives, regular employee meetings, with variable frequency depending on the company, are held where the General Manager shares updates on the company's economic situation, business performance, and employee-related topics, such as the results of satisfaction surveys and the corresponding action plans. It is therefore through these meetings that employees are informed of their feedback's influence on the Group's decision-making processes **[AR 24b]**.

It is the role of the General Managers in each subsidiary to ensure that this type of engagement with employees exists, ensuring that the results of these activities properly influence the Group's approach **[S1-2_04, §27c]**. The effectiveness of these type of engagement initiatives with own workforce is measured not only by the results of the annual survey conducted to employees, but also through the Group's turnover rate **[S1-2_06, §27e]**.

PROCESSES TO REMEDIATE NEGATIVE IMPACTS AND CHANNELS FOR OWN WORKFORCE TO RAISE CONCERNS (S1-3)

At FamiCord, negative impacts, when they occur, are systematically addressed through the organization's internal management processes for deviations, occurrences, and complaints. Efficacy of the remedies provided are assessed locally, according to each subsidiary's management system **[S1-3_01, §32a]**.

Within the Group' subsidiaries there are several channels that allow its employees to share their concerns, all established by the organization itself. In addition to the employee satisfaction survey, which allows employees to anonymously share concerns and needs, depending on the geography, further channels are provided for employee engagement and issue reporting. In Leipzig, a Works Council is in place to represent local employees' interests and facilitate dialogue with management. Furthermore, dedicated internal reporting channels are available within the Group, enabling all employees to report concerns confidentially. These mechanisms contribute to a more transparent and responsive work environment, ensuring that employees have multiple avenues for voicing their concerns **[S1-3_02, §32b]**.

Although FamiCord does not have a global grievance/complaint handling mechanism related to employee issues **[S1-3_05, §32c]**, there are mechanisms in place to deal with grievance/complaints related to employees, including a separate email inbox to receive these complaints, to which only the legal department has access.

These mechanisms are described internally in the compliance system code, the work regulations, and the whistleblowing and protection policy. Additionally, the FamiCord Code of Conduct, as well as the whistleblowing procedures, where applicable, detail how employees and/or their representatives are protected against retaliation **[S1-3_09, §33 | S1-3_06, §32d]**. Currently FamiCord does not assess if people in its own workforce are aware of, and trust, these mechanisms as a way to raise their concerns or needs and have them addressed **[S1-3_08, §33]**.

TAKING ACTION ON MATERIAL IMPACTS ON OWN WORKFORCE, AND APPROACHES TO MANAGING MATERIAL RISKS AND PURSUING MATERIAL OPPORTUNITIES RELATED TO OWN WORKFORCE, AND EFFECTIVENESS OF THOSE ACTIONS (S1-4, MDR-A)

In 2024, FamiCord established an internal Human Resources Management Center of Expertise in Leipzig. This Center oversees the management of the Group's workforce-related impacts, risks, and opportunities, ensuring alignment with the Group's strategy and fostering continuous improvement in employee well-being and development. Additionally, FamiCord Group conducts an annual employee satisfaction survey, using it as a key performance indicator, which will help the Group prioritize actions aligned with the material impacts, risks, and opportunities identified **[S1-4_03, §38c | S1-4_06, §40a | S1-4_07, §40b | S1-MDR-A_01; §68 a].**

In 2025, the Group implemented the DEI Policy, reinforcing its commitment to equal treatment, inclusion, and a respectful working environment across all entities. In parallel, the Group continued to advance a broad range of workforce-related initiatives, including flexible working arrangements and additional leave benefits, health insurance coverage for all employees, team-building and social activities to strengthen cohesion, and health and well-being promotion measures. Ongoing efforts also included risk assessments and safety training for accident prevention, participation in DEI-related team activities, the development and implementation of annual training plans, and the dissemination of regular sector updates through the Group's monthly newsletter **[S1-4_03, §38c | S1-4_06, §40a | S1-4_07, §40b | S1.MDR-A_01; §68 a]**.

Disclosure of key actions	**Status of key action**	**Scope of actions**	**Time horizon**	**Results**
[S1.MDR-A_01; §68 a]	**[S1.MDR-A_01; §68 a]**	**[S1.MDR-A_02; §68 b]**	**[S1.MDR-A_03; §68 c]**	**[S1.MDR-A_01; §68 a]**
Establishment of an i**nternal Human Resources Management Center of Expertise**	Taken and planned	The center was established in Leipzig, but it applies to the Group's own workforce across all geographies.	2024-2025 (for consolidation)	Definition of prioritized actions aligned with the Group's strategy and the IRO identified for the own workforce
Annual employee satisfaction survey	Taken and planned	Implemented in Germany, Poland, Portugal, Spain, Turkey, Hungary, Romania, United Kingdom, Switzer-land, United Arab Emirates, Italy, and Hong Kong	Ongoing (started in 2022 in some companies and planned for the coming years).	Identification of key areas for improvement in employee well-being, deeper insights into workforce satisfaction to better align actions with employees' needs, and the establishment of prioritized action plans based on survey outcomes.
Implementation of Diversity, Equity and Inclusion Policy	Taken	Implemented across all subsidiaries	2025	Strengthening of equal treatment and zero tolerance for discrimination, reinforcement of accountability across the organization, improvement of awareness of unconscious bias, and provision of confidential report-ing mechanisms with protection against retaliation
Flexible work arrangements and work–life balance initiatives, including flexible schedules, remote work options, extra days off	Taken and planned	Implemented across the Group subsidiaries with some initiatives adapted locally	Ongoing	Improvement of employee well-being and morale, enhancement of work–life balance, increased retention and engagement
Health insurance for employees (beyond regulatory requirements)	Taken and planned	Implemented in several geogra-phies, such as Portugal, Turkey, Latvia, Romania, Germany, Spain, Hungary and Poland	Ongoing	Increase employee satisfaction
Organization of **team-building activities and social events** to enhance employees' sense of belonging and strengthen team cohesion	Taken and planned	Implemented across all subsidiaries	Ongoing	Strengthening of employees' sense of belonging, improvement of teamwork and collaboration, enhancement of engagement and morale, and reinforcement of a positive organizational culture.

Disclosure of key actions	**Status of key action**	**Scope of actions**	**Time horizon**	**Results**
[S1.MDR-A_01; §68 a]	**[S1.MDR-A_01; §68 a]**	**[S1.MDR-A_02; §68 b]**	**[S1.MDR-A_03; §68 c]**	**[S1.MDR-A_01; §68 a]**
Promotion of **healthy habits and employee well-being** through initiatives such as charitable runs, free fruit provision, weekly workplace gymnastics, active breaks, etc	Taken and planned	Implemented across all subsidiaries with some initiatives adapted locally	Ongoing	Promoting physical health, encouraging employees to reflect on a shared ideal, creating opportunities to share experiences.
Risk assessment and **information sessions/training for the prevention of accidents and injuries**	Taken and planned	Implemented in several geographies, such as Portugal, Hungary, Romania, Latvia and Germany	Ongoing	Prevention of accidents and injuries, reduction of musculoskeletal and eye-related health risks, increased awareness of safety practices, and enhancement of occupational safety across all work environments.
Participation in **Brain games related to DEI**	Taken	Implemented in Latvia	2025	Strengthening of team understanding and awareness of diversity, equity and inclusion concepts, enhancement of open dialogue and mutual respect, improvement of teamwork and collaboration.
Develop and implementation of **annual training plans** for employees	Taken and planned	Implemented in several geographies, such as Portugal, Turkey, Italy, Latvia, Hungary, Poland and Romania	Ongoing	Development and strengthening of employees' skills and competencies to effectively perform their daily functions and responsibilities.
FamiCord Group's **monthly newsletter with sector updates**	Taken and planned	Implemented across all subsidiaries	Ongoing (initiated in 2023)	Improve internal communication, with knowledge sharing and employee satisfaction, with a sense of belonging and ensure alignment with the group's objectives.



OWN WORKFORCE

A good work-life balance

Our Romanian subsidiary Biogenis, strengthened workforce well-being and retention through a structured, role-based flexible working model. Following employee consultation, working hours were adjusted to better align with personal needs, improving morale and reducing punctuality issues. The company shifted to an output-based management approach, introduced core hours and meeting-free practices, and implemented a "Flex-Choice Menu" ensuring equitable flexibility across operational and administrative roles. Universal measures–including a right-to-disconnect practice, birthday leave, wellness benefits and access to mental health support–further support work–life balance. Monitoring shows reduced unplanned absenteeism and lower turnover, contributing to workforce stability and engagement.

Romania

The effectiveness of implemented actions is assessed through regular monitoring and performance evaluation mechanisms. This includes the annual employee satisfaction survey, which serves as a key indicator to measure employee engagement, well-being, and alignment with workforce-related priorities. In addition, the Group monitors relevant quantitative metrics, such as the number of workplace accidents and other health and safety indicators, to evaluate the impact of preventive measures and working conditions. These monitoring tools enable the Group to identify areas for improvement and ensure continuous enhancement of workforce-related outcomes **[S1-4_04, §38 d]**.

Across the Group, there are several other different actions in place to address specific impacts, risks and opportunities related to own workforce according to each company's needs and major issues. Additionally, FamiCord ensures that its own practices do not cause or contribute to material negative impacts on its own workforce mainly by engaging with workers council, with Human Resources departments and/or directly with the General Managers, depending on the size of the company **[S1-4_08, §41].**

If potential or actual negative impacts on the workforce are identified, the situation is managed through the Risk Management System and/or existing procedures for handling deviations or occurrences. Whenever negative impacts or risks are detected, the necessary actions and measures are defined to mitigate or overcome them, including set timeline, designated responsibilities, and mechanisms to assess their effectiveness over time **[S1-4_05, §39]**.

Actions intended to mitigate material risks and to pursue identified opportunities are integrated in each company's risk management report, as applicable. On the Group level, a roadmap for sustainability was developed in 2025, to be approved by the Management Board of FamiCord in 2026, where actions dedicated to employees and considering the materail impacts, risks and opportunities are established, with the corresponding targets and timelines **[S1-4_06, §40a, S1-4_07, §40b]**.

TARGETS AND METRICS

TARGETS RELATED TO MANAGING MATERIAL NEGATIVE IMPACTS, ADVANCING POSITIVE IMPACTS, AND MANAGING MATERIAL RISKS AND OPPORTUNITIES (S1-5, MDR-T)

Following the Group's analysis of the materiality that occurred in 2024, the actions and the corresponding targets regarding material impacts, risks and opportunities for the own workforce were considered in the Group's sustainability roadmap to be approved and implemented across the Group during 2026 **[S1.MDR-T_14, §72, §81a | S1.MDR-T_15, §72, §81a]**.

At the moment the FamiCord Group measures the level of employee satisfaction through the Group's employee survey, with targets established at company level, rather than at the Group level. However, the survey is not conducted in every company **[S1.MDR-T_15, §72, §81a]**.

Despite not having yet set measurable targets across the Group, FamiCord tracks the effectiveness of its policies and actions in relation to their material sustainability-related impacts, risks and opportunities regarding their own workforce, through the FamiCord Group employees satisfaction survey **[S1.MDR-T_16, §81b, S1.MDR-T_17, §81bi]**. Progress has been measured more broadly across the Group since 2024 **[S1.MDR-T_19, §81bii, §80d]**, with a result of 68.26% employee satisfaction obtained in the reporting year, for the following geographies: Germany (excluding Eticur and Seracell), Poland (considering only PBKM), Portugal, Spain, Turkey, Hungary, Romania, United Kingdom, Switzerland, United Arab Emirates, Italy and Hong Kong **[S1.MDR-T_18, §81bii].**

General note to all the folowing tables: The 2024 data was obtained considering the five main geographies where the Group had more than 50 employees: Poland, Germany, Portugal, Spain and Hungary.
The 2025 data considered all locations, meaning that the information on the tables below cannot be directly compared with previous year.

CHARACTERISTICS OF THE UNDERTAKING'S EMPLOYEES (S1-6, MDR-M)

FamiCord operates across multiple countries and employs 742 workers. Maintaining responsible employment practices is key to creating an inclusive and fair workplace, contributing to both employee satisfaction and talent retention. The main characteristics of the Group's employees are presented below. FamiCord is working on the improvement of its data collection system in order to be able to improve the accuracy of the data reported.

The disclosed numbers have been obtained from each subsidiary, since this information is not centralized in a corporate system. Depending on the size and structure of each company, the data may be collected manually or through an internal human resources management system that automatically processes it within a defined timeframe **[S1-6_13 §50d I MDR-M_02, §77a]**. The number of employees was reported as head count, as the number of people with employment agreement in each company **[S1-6_14, §50di]**, at the end of the reporting period **[S1-6_14, §50d, S1-6_15, dii]**, that is, by the 31st of December 2025 **[S1-6_15, §50dii]**.

The total number of employees mentioned above is disclosed in Fundamentals of the Company and the Group, section Employees and qualifications, of the Combined management report **[S1-6_17, §50f]**.

Number of employees by gender [S1-6_01; §50 a]	**2024**	**2025**
Female	-	584
Male	-	158
Gender other than female and male	-	0
Gender not reported	-	0

Number of employees by country [S1-6_04, §50a] [S1-6_05, §50a]	**2024**	**2025**
Poland	249	244
Germany	131	127
Portugal	97	83
Spain	65	67
Turkey	-	60
Hungary	50	53
Romania	-	27
Switzerland	-	19
United Kingdom	-	17
United Arab Emirates	-	16
Italy	-	11
Latvia	-	7
Czech Republic	-	5
Hong Kong	-	4
Austria	-	1
Slovakia	-	1

Number of employees by contract type and gender	**2024**	**2025**
Number of permanent employees **[S1-6_07, §50bi]**	538	691
Female	423	535
Male	115	156
Gender other than female and male	0	0
Gender not reported	0	0
Number of temporary employees **[S1-6_07, §50bii]**	53	48
Female	47	41
Male	6	7
Gender other than female and male	0	0
Gender not reported	0	0
Number of non-guaranteed hours employees **[S1-6_07, §50biii]**	0	3
Female	0	3
Male	0	0
Gender other than female and male	0	0
Gender not reported	0	0
Number of full-time employees **[S1-6_19; §52 a]**	-	625
Female	-	480
Male	-	145
Gender other than female and male	-	0
Gender not reported	-	0
Number of part-time employees [S1-6_20; §52 b]	-	117
Female	-	98
Male	-	19
Gender other than female and male	-	0
Gender not reported	-	0

The rate of employee turnover is calculated by dividing the total number of exits by the total number of employees at the end of the period **[MDR-M_02, §77a, AR59]**.

Turnover	**2024**	**2025**
Number of employees who have left FamiCord **[S1-6_11, §50c]**	86	51
Rate of employee turnover in the reporting period **[S1-6_12, §50c]**	15%	6.9%

CHARACTERISTICS OF NON-EMPLOYEES IN THE UNDERTAKING'S OWN WORKFORCE (S1-7, MDRD-M)

FamiCord has non-employees in its own workforce - mainly cases of agreements with self-employed people working for the company - calculated as head count at the end of the reporting period **[S1-7_04; AR61 | S1-7_07; §55bi | S1-7_08, §55bii]**.

Non-employees in own workforce	**2024**	**2025**
Total non-employees **[S1-7_01, §55a]**	17	60
Self-employed people **[S1-7_02, §55a]**	17	52
People provided by undertakings primarly engaged in employment activities **[S1-7_03, §55a]**	0	8

Gender distribution at top management level	Unit	**2024**	**2025**
Female	Head count	35	103
	%	56%	64%
Male	Head count	27	57
	%	44%	36%
Gender other than female and male	Head count	0	0
	%	0	0
Gender not reported	Head count	0	0
	%	0	0

DIVERSITY METRICS (S1-9, MRD-M)

Since the information is not centralized within the FamiCord Group, depending on the size and structure of each subsidiary, information may have been retrieved from the HR management system (either automatic or manually) and/or the payroll system **[MDR-M_02, §77]**.

The data provided refers to the gender distribution at the highest levels of company management.
The reported figures reflect the current composition of these positions, providing insights into gender representation at the executive level. The significant increase observed between 2024 and 2025 is primarily attributable to a change in the scope and definition of the reported data. In 2024, the analysis included only large entities within the Group (i.e. subsidiaries with more than 50 employees), whereas in 2025 the scope was expanded to cover all subsidiaries. In addition, a broader definition of top management was applied in 2025. This expanded definition includes Board members, Managers, Deputy Directors, and Leaders, thereby encompassing a wider range of hierarchical levels than in the previous reporting period.
[S1-9_06; AR71].

Age distribution amongst employees	Unit	**2024**	**2025**
Under 30 years old **[S1-9_03, §66b]**	Head count	126	156
	%	22%	21.0%
Between 30 and 50 years old **[S1-9_04, §66b]**	Head count	354	469
	%	62%	63.2%
Over 50 years old **[S1-9_05, §66b]**	Head count	94	117
	%	16%	15.8%

ADEQUATE WAGES (S1-10)

At the FamiCord Group, all employees are compensated in accordance with regulations and in agreement between the employer and the employee. Each company is responsible, through its General Manager, to ensure that all employees receive fair and competitive wages aligned with the standards in each country and in the industry where the Group operates. All employees are compensated appropriately according to their roles and responsibilities, ensuring fairness and alignment with internal and external salary structures **[S1-10_01, §69]**.

HEALTH AND SAFETY METRICS (S1-14, MDR-M)

Although in some companies there may be automatic systems to calculate the working hours (e.g.: Portugal), in most of the cases the number of hours was estimated considering the total number of employees and the average expected working hours per day, according to the established employment agreements **[AR 90]**.

The data was collected by direct request to each company's General Manager or a designee. Data collected internally depending on each company's management system and not submitted to due diligence **[MDR-M_02, §77a]**.

In companies where an Health and Safety Management System is not implemented, the activities carried out within the scope of Occupational Safety and Health (OSH) result from compliance with the national legislation of the respective countries, including, for example, employee training on specific topics related to OSH and the risks to which they may be exposed according to their roles.

Health and safety metrics	Unit	2024	2025
Employees covered by the company's health and safety management system based on legal requirements and/or recognized standards or guidelines **[S1-14_01, §88a]**	Head count	592	726
	%	100%	97.8%
Total number of fatalities as a result of work-related injuries and work-related ill health of employees **[S1-14_02, §88b]**	Number	0	0
Total number of fatalities of other workers working on undertaking's sites as a result of work-related injuries and work-related ill health **[S1-14_03, §88b]**	Number	0	0
Total number of recordable work-related accidents of employees **[S1-14_04, §88c]**	Number	10	10
Rate of recordable work-related accidents of employees **[S1-14_05, §88c]**	Rate	10.36	8.49
Number of days lost to work-related injuries and fatalities from work-related accidents, work-related ill health and fatalities from ill health related to employees **[S1-14_07, §88e]**	Number	-	193

REMUNERATION METRICS (S1-16)

In 2025, the gender pay gap was calculated on a global basis, without adjusting for comparable roles or equivalent functions. This means the analysis reflects overall average remuneration differences between men and women across the entire organization, rather than pay disparities for like-for-like positions. As a result, the reported figure is influenced by workforce composition, notably the higher representation of men in senior leadership and top management roles, which typically carry higher levels of remuneration and therefore contribute to a wider overall gender pay gap indicator.
The data was collected by direct request to each company's General Manager or a designee. **[S1-16_03; §97 c].**

Remuneration metrics	2024	2025
Gender pay gap **[S1-16_01, §97a]**	-	15.9%

INCIDENTS, COMPLAINTS AND SEVERE HUMAN RIGHTS IMPACTS (S1-17)

During the reporting period, the FamiCord Group did not record any incidents of discrimination, including harassment, nor any human rights incidents connected to own workforce **[S1-17_02, §103a | S1-17_10, §104a]**.

ENTITY-SPECIFIC METRICS (MDR-M)

In 2024, overall employee satisfaction was calculated by combining both positive and neutral responses. This approach provided a broad view of general sentiment and overall acceptance.
For 2025 it was decided to focus exclusively on positive responses ("Strongly agree" and "Rather agree") when evaluating employee satisfaction. This adjustment allows for a clearer and more ambitious measurement of true engagement and active approval, rather than passive acceptance. By concentrating on positive feedback only, Famicord increases transparency, sharpen our performance benchmark, and create a more meaningful basis for continuous improvement across the Group.

The data was collected by direct request to each company's General Manager or a designee **[MDR-M_02; §77 a].**

Employees satisfaction	2024	2025
Annual employees' satisfaction	81.0%	68.3%

Note: The 2024 data was obtained from the following geographies: Germany (excluding Eticur), Poland (considering only PBKM), Hungary, Portugal, Romania, and Turkey (referring only to FamiCord Türkiye). 2025 data considered the following locations: Germany (excluding Eticur and Seracell, Poland (considering only PBKM), Portugal, Spain, Turkey, Hungary, Romania, United Kingdom, Switzerland, United Arab Emirates, Italy and Hong Kong.

S4 – Consumers and end-users

STRATEGY

MATERIAL IMPACTS, RISKS AND OPPORTUNITIES AND THEIR INTERACTION WITH STRATEGY AND BUSINESS MODEL (ESRS 2 SBM-3)

The materiality assessment identified several actual and potential impacts on consumers and end-users, all of which are closely connected to the Organization's strategy and business model. These material impacts inform and contribute to the ongoing adaptation of FamiCord's strategic direction and operational framework. Alongside these impacts, different material risks and opportunities for the business, arising from impacts and dependencies on consumers and end- users, were also identified **[§9 a i | §9 a ii | S4.SBM-3_06; §9 b / §10 d].**

The Group's activity and strategic approach focuses on making stem cell treatments more accessible to a broader population. The identified impact **[I-032]** relates to the potential barrier posed by the high price of the service for lower-income groups, affecting social inclusion and access to healthcare services. To mitigate this impact, FamiCord supports the community through training and education programs, stem cell donation programs, and the development of more accessible payment options for cryopreservation services (see section S4-4) **[§9 a i]**.

Ensuring the provision of clear, complete, and fact-based information to consumers is a strategic priority. A positive impact **[I-036]** is generated by distributing reliable information to families and healthcare professionals, enabling them to make informed decisions regarding the collection and storage of stem cells at birth. However, there is also a negative impact **[I-037]** of failing to meet customer expectations due to potential issues with sample quality, such as bacterial contamination or low cord blood volume collected. A risk **[RO-036]** related to the financial accessibility of the service, where price increases could exclude certain population groups from benefiting from cryopreservation services was also identified **[§9 a i | S4.SBM-3_06; §9 b / §10 d]**.

FamiCord is committed to improving patient health outcomes through the development and provision of advanced therapy medicinal products. A positive impact **[I-042]** arises from enabling access to innovative treatments for patients suffering from diseases with limited or no treatment options. However, a market risk **[RO-042]** has been identified due to the possibility that stored cord blood units may not be considered for therapeutic use by physicians, which could reduce the interest of families in stem cell storage services **[§9 a i | S4.SBM-3_06; §9 b / §10 d]**.

While some of these material impacts – such as data protection and customer satisfaction – are already embedded in FamiCord's strategic framework, others requiring additional actions will be addressed at a senior management level and incorporated into action plans as part of the internal decision-making process **[§9 a ii]**.

All consumers and end-users who may be materially impacted by FamiCord's operations are considered within the scope of these disclosures. These include parents-to-be, infants from whom umbilical cord blood and tissue are collected, patients receiving stem cell- based treatments with a stem cells product stored and/or manufactured by FamiCord, and healthcare professionals in need of standard or innovative treatment with umbilical cord or other sources of stem cells **[S4.SBM-3_01; §10 | S4.SBM-3_02; §10 a]**.

FamiCord places particular emphasis on ensuring that pregnant women receive accurate and non-misleading information about umbilical cord blood and tissue collection. Recognizing the sensitivity of this stage in life, marketing and commercial teams undergo training to ensure communication is factual and sourced from reliable references. In some cases, information is reviewed by the medical director or scientific department before public release **[S4.SBM-3_07; §11]**.

Material negative impacts, when present, can be either systemic, such as the limited access for lower-income groups due to the high cost of the service, or related to individual incidents, including those arising from a potential data breach or the failure to meet customer expectations regarding the storage of medicinal products for future treatments **[S4.SBM-3_04; §10 b]**.

On the other hand, collecting and storing the cells and tissues at birth of a child results in material positive impacts on the health of customers and families, as it gives them the opportunity to have this source of stem cells available for future treatment in case the need arises. To enhance these impacts, initiatives (see section S4-4) such as public stem cell donation programs and advanced cell and gene therapy developments aim to improve treatment accessibility for patients with l imited therapeutic options. Additionally, more flexible payment plans are being explored to increase affordability for young parents- to-be **[S4.SBM-3_05; §10 c]**.

Within the material risks and opportunities outlined, some affect specific groups rather than the entire consumer base. Notably, the risk associated with service price increases predominantly affects lower- income groups, where young parents-to-be may be disproportionately impacted due to financial constraints that limit their ability to invest in stem cell cryopreservation **[S4.SBM-3_08; §12]**.

By systematically addressing these material IRO, FamiCord aims to align its strategy with the needs of consumers and end-users, ensuring responsible business practices and sustainable growth.

Description	**Impact, Risk or Opportunity**	**Time horizon**	**Value chain location**	**Sub-topic or related sub-sub-topic**
[SBM-3_01; §48 a] [SBM-3_02; §48 a]	**[SBM-3_01; §48 a] [SBM-3_02; §48 a]**	**[SBM-3_06; §48 c iii]**	**[SBM-3_01; §48 a] [SBM-3_02; §48 a]**	
Social responsibility and community engagement				
I-032 High price of service may pose an access barrier to the service and its benefits to some population groups with lower income.	Negative impact	–	Downstream	Social inclusion of consumers and/ or end-users; Non-discrimination / Access to products and services

Description [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Impact, Risk or Opportunity [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Time horizon [SBM-3_06; §48 c iii]	Value chain location [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Sub-topic or related sub-sub-topic
Service quality and customer satisfaction				
I-036 Positive impact on customer satisfaction, through distribution of reliable and quality information for both families and health care professionals, which allows them not to miss the unique opportunity to store stem cells collected at birth for future treatments.	Positive impact	–	Downstream	Information related impacts for consumers and/ or end-users; Access to (quality) information
I-037 Failure to meet with the customer's expectations of storing a medicinal product for future treatments, due to inferior quality of samples collected (e.g.: due to bacterial contamination at birth or low volume of cord blood collected).	Negative impact	–	Downstream	–
RO-036 High price of service leads to excluding some population groups with lower income.	Risk	Short-term (< 1 year)	–	–
Consumers and patients' safety and health				
I-042 The Group's activity creates chances for positive impact on health of customers and families, by developing and providing advanced therapy medicinal products, giving access to cell and gene therapies for patients with diseases with limited or non-existing treatment options.	Positive impact	–	Downstream	Personal safety of consumers and/or endusers; Health and safety
RO-042 Despite the availability of cord blood, the use of the unit in the therapy is not considered by doctors, posing a market risk for the Group due to decrease in the interest of families for the stem cells storage service.	Risk	Medium-term (1 to 5 years)	–	Personal safety of consumers and/or endusers; Health and safety

Note: For actual material impacts there is no associated time horizon.

IMPACT, RISK AND OPPORTUNITY MANAGEMENT

POLICIES RELATED TO CONSUMERS AND END-USERS (S4-1)

FamiCord is committed to addressing consumers' and end-users' needs and expectations through structured policies and practices that uphold ethical standards and product quality. Each policy – **Code of Conduct** (see Governance Information, section G1-1), and **Quality Management Policy** – serves as a cornerstone for managing FamiCord's IRO. They establish clear guidelines, define responsibilities at the senior level, and ensure availability across the organization, supporting a culture of accountability and consumer-centered decision-making **[S4.MDR-P_01; §65 a | S4.MDR-P_02; §65 b]**.

Policy	**Quality Management Policy**
Key contents and general objectives **[S4.MDR-P_01; §65 a]**	The purpose of this Quality Management Policy is to specify the principles, norms and procedures that guarantee maximum quality of the medicinal products stored and/or manufactured and safety for the patients.
Scope **[S4.MDR-P_02; §65 b]**	Applicable to activities with impact in the quality of products and safety of patients, including medicinal products, manufacturing, testing, storage, collection and transportation in own operations, in countries with laboratory, and downstream value chain. It affects all consumers and end-users of the medicinal products manufactured and/or stored and released by the Group's laboratories.
Senior level accountable for the implementation of the policy **[S4.MDR-P_03; §65 c]**	General Managers in each company within the FamiCord Group.
Third-party standards or initiatives **[S4.MDR-P_04; §65 d]**	International standards, as applicable (e.g. AABB standards for cellular therapies)
Availability **[S4.MDR-P_06; §65 f]**	Policy is available for stakeholders who need to implement it, in internal documentation management systems.

The potential market risk due to limited adoption of stem cell therapies by doctors underscores the value of the **Quality Management Policy** in ensuring product efficacy and increasing awareness among healthcare professionals. Similarly, the risk of failing to meet customer expectations due to inferior quality samples emphasizes the importance of stringent quality control measures embedded within the same policy. Additionally, the positive impact on customer satisfaction through the distribution of reliable and quality information aligns with the Group's commitment to transparency, ensuring that both families and healthcare professionals can make informed decisions **[S4.MDR-P_01; §65 a]**.

The high price of services presents a dual challenge: it is both a negative impact on social inclusion and a risk of excluding lower-income population groups from accessing the Group's offerings. While no specific policy directly addresses affordability, the ethical principles outlined in the **Code of Conduct** reinforce the Group's commitment to non-discrimination and equitable access where possible. Moreover, the positive impact on consumer health through access to advanced therapy medicinal products further aligns with the Group's mission to provide cutting-edge treatments, emphasizing the role of ethical and quality frameworks **[S4.MDR-P_01; §65 a]**.

While there is no standalone Human Rights Policy at Group level, the Group's Code of Conduct – which covers all consumers and end-users - embodies a strong commitment to human rights encompassing a range of ethical and responsible practices **[S4-1_01; §15]**. In addition to explicitly rejecting any form of exploitation, forced or child labor, the Code also ensures that consumer rights are respected. The Group is committed to providing products and services that do not harm the health and safety of consumers, ensuring that its operations and products meet ethical and legal standards. Transparency in its business practices and social responsibility are part of its commitment to human rights, focusing both on consumer respect and labor conditions **[S4-1_02; §16 | S4-1_03; §16a]**.

Besides the above-mentioned policies, in each company there are additional policies and procedures addressing material sustainability topics, according to local laws and to internal organization system **[S4.MDR-P_01; §65 a]**.

Consumer insights are gathered through various channels, such as market research, satisfaction surveys, client suggestions, and feedback from healthcare professionals. The Group proactively shares quality data through product quality certificates and newsletters detailing successful treatments and key milestones. Additionally, potential adverse impacts are transparently communicated through informed consents **[S4-1_04; §16 b]**.

Despite the lack of alignment with internationally recognized instruments like the UN Guiding Principles on Business and Human Rights, no reported violations of these frameworks have occurred involving consumers and/or end-users within the Group's value chain **[S4-1_06; §17 | S4-1_07; §17]**. Complementary policies tailored to local legal requirements and the internal organizational system further strengthen consumer protection and sustainability efforts.

The following information is incorporated by reference to other parts of the non-financial statements:

- Presentation of the Code of Conduct: MDR-P, ESRS 2, §65 b/c/f/e – Governance Information, section G1-1.

PROCESSES FOR ENGAGING WITH CONSUMERS AND END-USERS ABOUT IMPACTS (S4-2)

FamiCord Group maintains an ongoing and multifaceted engagement process with consumers and end-users, recognizing the importance of their perspectives in shaping decisions and activities to manage actual and potential impacts **[S4-1_01; §20 I S4-1_02; §20a]**. Engagement occurs throughout every stage of the cryopreservation journey – from initial contact during pregnancy to post-treatment follow-ups – ensuring that consumers' voices are consistently heard and considered.

Before birth, FamiCord provides comprehensive information to parents-to-be through multiple channels, including telephone, email, chat, face-to-face meetings, and digital platforms such as websites, social media, forums, and blogs. The goal is to support informed decision-making regarding the collection and storage of umbilical cord and perinatal tissues. The frequency of engagement varies according to the period leading up to birth and the specific informational needs of each family **[S4-2_03; §20 b]**.

Once parents decide to store their baby's cells, FamiCord shares detailed information about sample collection, transport, and initial donor eligibility documentation. This stage involves continuous interaction, primarily through email, telephone, or in-person meetings, with the frequency adjusted to meet the parents' evolving needs **[S4-2_03; §20 b]**.

After birth, the Group maintains close communication with families to confirm sample reception in the laboratory, share cryopreservation results, and provide periodic updates through newsletters highlighting relevant stem cell research and company milestones. Customers can update personal data, request sample transfers, or initiate releases for medical treatments at any point during the storage period, with engagement frequency dictated by their needs **[S4-2_03; §20 b]**.

When a sample is requested for treatment, interactions intensify to ensure patient safety. The Group gathers necessary documentation and information, engaging directly with the family and healthcare professionals via telephone and email. Certain companies within the FamiCord Group provide dedicated Patient Navigators to support families throughout the treatment journey, from sample release to outcome monitoring. Post-treatment follow-ups are conducted with the family or the treating physician to assess results and address any incidents or adverse reactions related to the sample **[S4-2_03; §20 b]**.

Upon the conclusion of the storage period, FamiCord contacts the family and the sample owner to determine the sample's future. This may lead to a new agreement and updates to the customer's personal data, with the frequency of interactions tailored to the family's preferences and decisions **[S4-2_03; §20 b]**.

Throughout all these stages, customers can communicate their needs, expectations, and complaints via any interaction channel. Feedback is analyzed internally through each company's deviation/complaint management system, and insights from this analysis drive process improvements **[S4-2_01; §20]**. The Group actively monitors customer satisfaction through surveys, including Net Promoter Score (NPS) metrics, particularly after completion of laboratory procedures. Engagement during pregnancy is also evaluated through the number of service agreements finalized **[S4-2_05; §20 d].**

Depending on the size and structure of each company within the Group, customer engagement responsibilities may lie with a Commercial or Sales Director or, in smaller entities, the General Manager. In all cases, the General Manager oversees the engagement process and reports to the Management Board as necessary **[S4-2_04; §20 c]**.

This robust engagement framework ensures that consumer and end-user feedback is not only heard but actively incorporated into continuous improvements, reinforcing the Group's commitment to customer-centric practices and long-term sustainability.

PROCESSES TO REMEDIATE NEGATIVE IMPACTS AND CHANNELS FOR CONSUMERS AND END-USERS TO RAISE CONCERNS (S4-3)

When a material negative impact occurs on consumers or end-users, FamiCord initiates a structured incident reporting process. This process begins with registering the incident, describing the situation, and identifying aspects that require correction. After the initial analysis, improvement actions are defined, along with deadlines for their implementation. Once the actions are in place, their effectiveness is evaluated to ensure that the factors causing negative impacts have been eliminated and that the company's processes are better aligned with consumer and end-user needs **[S4-3_01; §25 a]**.

The Group assesses the effectiveness of remedies provided for material negative impacts, although there is no standardized procedure across all companies within the Group. Depending on each company's internal organization, different methods may be used to evaluate whether corrective actions have resolved the identified issues. For example, at Stemlab in Portugal, a formal procedure addresses incidents and non-conformances, including a mandatory effectiveness evaluation after a defined period following remedy implementation **[S4-3_01; §25 a]**.

Consumers and end-users can report complaints through various channels, which vary by company. For instance, in FamiCord AG and PBKM, the complaint procedure is outlined in client contracts, and complaints are accepted via mail, email, or phone. In Stemlab, a physical and digital Complaints Book is available, accessible at the company's headquarters or through the website. Across all companies, customers can submit feedback through satisfaction questionnaires, email, phone, or post **[S4-3_02; §25 b]**.

Certain countries also mandate national complaint platforms. For example, in Portugal, companies are legally required to provide access to a national Complaints Book, offering consumers an additional formal channel for raising concerns **[S4-3_10; AR 21]**.

Internally, complaint management systems differ across the Group's companies. For example, FamiCord AG manages complaints through a dedicated Customer Relationship Management system, PBKM maintains a Complaints Summary, and Stemlab follows a defined non-conformance and complaint management procedure **[S4-3_04; §25 d]**.

FamiCord also assesses whether consumers and end-users are aware of and trust these structures or processes. This assessment is conducted through service contracts, where the complaints procedure is explicitly outlined, and/or through satisfaction questionnaires that invite customers to share any unresolved concerns or complaints **[S4-3_05; §26]**.

This decentralized yet responsive approach ensures that negative impacts are swiftly addressed, with lessons learned feeding back into continuous process improvement, reinforcing FamiCord's commitment to protecting consumer and end-user well-being.

TAKING ACTION ON MATERIAL IMPACTS ON CONSUMERS AND END-USERS, AND APPROACHES TO MANAGING MATERIAL RISKS AND PURSUING MATERIAL OPPORTUNITIES RELATED TO CONSUMERS AND END-USERS, AND EFFECTIVENESS OF THOSE ACTIONS (S4-4, MDR-A)

The Group proactively takes action to mitigate and address material negative impacts on consumers and end-users, as well as to manage associated risks and explore opportunities for positive impact. One of the key actions implemented is offering different service access possibilities through flexible pricing models, aimed at reducing financial barriers to service access **[S4-4_01; §31 a]**. These pricing models arose from the understanding that families with lower incomes may face challenges in accessing cryopreservation services.

In addition to flexible pricing, FamiCord supports donation programs, which extend treatment opportunities not only to consumers but also to the wider community. Education programs are another strategic initiative, designed to disseminate quality information and raise awareness about stem cell treatments, preventing missed opportunities for access to potentially lifechanging therapies **[S4. MDR-A_04; §68 d | S4-4_02; §31 b]**.

Across its subsidiaries, the Group also implements complementary community- and consumer-oriented initiatives. These include structured donation procedures for community institutions and educational entities, engagement with students to promote scientific awareness, organization of educational events for families, maintenance of quality certifications to ensure high service standards, and programs to expand access to medical treatments. Through these initiatives, the Group strengthens its contribution to community support, patient access, and informed decision-making **[S4-4_01; §31 a | S4-4_03; §31 c | S4-4_08; §33 a]**.

The FamiCord Group takes deliberate steps to avoid causing or contributing to material negative impacts through its internal practices, including marketing and sales. The management board and the general managers of each subsidiary oversee these practices, ensuring that risk assessments and medical and scientific reviews of marketing materials are conducted whenever procedural changes occur. This oversight helps prevent unintended negative consequences for consumers and end-users **[S4-4_10; §34]**.

There have been no reported severe human rights issues or incidents related to consumers and end-users within the Group **[S4-4_11; §35].** Instead, FamiCord remains focused on fostering positive impacts through accessibility and education programs, reinforcing its commitment to customer well-being **[S4-4_03; §31 c]**.

The FamiCord Group closely monitors customer satisfaction through customer satisfaction questionnaires, which are in place across most subsidiaries. These surveys help assess the quality of services, identify areas for improvement, and ensure alignment with customer expectations **[S4-4_04; §31 d]**.

Material risks related to consumers and end-users are integrated into the Group's overarching risk management system **[AR40]**. Subsidiaries are required to address essential customer-related risks, such as product quality and service accessibility. Additionally, subsidiaries are encouraged to identify and manage region-specific risks relevant to their local markets. To address the risk of declining service demand, FamiCord combines its flexible pricing models with public-facing initiatives to raise awareness about stem cell treatments and their potential benefits **[S4-4_08; §33 a]**. Regarding the pursuit of material opportunities for the Organization in relation to consumers and end-users, this information is considered confidential and is therefore not publicly disclosed **[S4-4_09; §33 b]**.

This comprehensive approach ensures that the Group not only mitigates risks and addresses negative impacts but actively works toward creating long-term, positive outcomes for consumers and end-users, and the broader community.

The actions/action plan require significant operational expenditures (OpEx) which are planned in each company's annual budget **[S4.MDR-A_10; §69 b | S4.MDR-A_12; §69 c]**.

Disclosure of key actions **[S4.MDR-A_01; §68 a]**	**Status of key action** **[S4.MDR-A_01; §68 a]**	**Scope of actions** **[S4.MDR-A_02; §68 b]**	**Time horizon** **[S4.MDR-A_03; §68 c]**	**Results** **[S4.MDR-A_01; §68 a]**
Different service access possibilities through flexible pricing models: Companies offer their customers several pricing models, such as: annual payment, prepaid payment, monthly subscription (in the case of PBKM) and a specific payment model for parents under 30 years (in the case of Stemlab). In some countries, instalments through financial partners are also available.	Taken and planned	Applies across all geographies and has impact on the downstream value chain consumers that can choose how to access cryopreservation services with less financial impact to the families.	Ongoing (continuous priority)	The expected outcome is that more population can access cryopreservation services, since the implementation of the action contributes to minimize the access to the service barrier.
Donation Program: Involves operating public bank and/ or establishing partnerships with hospitals or with associations that promote blood donation, in order to make available a pool of cord blood samples to be used in R&D programs for the development of new medicines and also available for transplantation for a patient in need of a stem cell treatment.	Taken and planned	Applies in Poland, Germany and Portugal. It has impact on the downstream value chain communities.	Ongoing (renewed according to the needs of the communities)	The expected outcome is to increase the pool of stem cells to be used by the clinics performing this kind of treatment and, in this way, increase the number of patients to be treated and to have access to cell therapies.
Educational Program: Companies within the FamiCord Group foster the delivery of quality information about stem cells. This is done in several different ways, such as: regular newsletters to consumers and end-users, with recent news about stem cells applications; regular presence in events, both for health care professionals and parents-to-be; regular training sessions in hospitals to share best samples collection practices, as well as stem cells advantages.	Taken and planned	Applies across all geographies, involving both hospitals and healthcare professionals, with impact on the downstream value chain affected communities and consumers.	Ongoing (continuous priority)	The expected outcome is the increase in awareness of the population, leading to an increase in the samples stored and to the increase of the treatments performed with the stem cells stored in the Group laboratories.
Create **donation procedures**, e.g., expired laboratory materials, gloves, compresses, disinfectants, office material or office furniture (that are no longer needed) to employees or other institutions (e.g. firefighters) or for educational purposes	Taken and planned	Implemented in Germany and Portugal and planned for Spain and Hungary. It has impact on the downstream value chain communities.	Ongoing	Reduction of waste generation and promotion of the responsible use of still-valid materials, while supporting employees, local institutions, and community organizations (e.g., firefighters and educational entities) through access to useful resources.

Disclosure of key actions	**Status of key action**	**Scope of actions**	**Time horizon**	**Results**
[S4.MDR-A_01; §68 a]	**[S4.MDR-A_01; §68 a]**	**[S4.MDR-A_02; §68 b]**	**[S4.MDR-A_03; §68 c]**	**[S4.MDR-A_01; §68 a]**
Engagment with student community	Taken and planned	Implemented in Portugal, Turkey and Latvia. It has impact on downstream value chain student communities.	Ongoing	Strengthening of company brand and service awareness, enhancement of stakeholder confidence, promotion of transparency regarding organizational activities, encouragement of young people's interest in scientific careers, and provision of vocational guidance through engagement with educational institutions and relevant academic departments.
Customer satisfaction survey	Taken and planned	Implemented in subsidiaries from PBKM sub-group and planned for the other Group subsidiaries. It has impact on the downstream value chain consumers.	Ongoing	Identification of key areas for improvement in products and services, enhancement of customer experience and satisfaction, strengthening of trust and confidence in the organization, and support for data-driven decision-making to better align offerings with customer needs.
Maintanence of **quality certification** of company and laboratories	Taken and planned	Implemented in several geographies, such as Portugal, Romania, Hungary, Latvia and Germany	Ongoing	Ensuring the highest quality of services and compliance with international quality and regulatory standards.
Organization of events that address the topic of cells, but also baby car safety, breastfeeding, preparation for childbirth, etc.	Taken and planned	Implemented in several geographies, such as Portugal, Latvia, Romania, Hungary and Poland. It has impact on downstream value chain consumers and communities.	Ongoing	Promotion of public awareness about the benefits of stem cells, enhancement of knowledge among future parents regarding childcare and health, and contribution to informed decision-making and community education.
Expanded Access Program (EAP): a programme of autologous use of cord blood (placental blood) in the treatment of autism/cerebral palsy	Taken and planned	Implemented in Poland and started in Portugal. It has impact in downstream value chain patients.	Ongoing (initiated in 2024)	20 children with ASD have received treatment



CONSUMERS AND END-USERS

Expanded access to autologous cord blood therapies

FamiCord Group advanced patient access to innovative therapies through its Expanded Access Programme (EAP) for autologous cord blood use in neurological indications, including autism spectrum disorder (ASD) and cerebral palsy. The programme provides eligible clients with a structured, medically supervised pathway under strict advanced therapy medicinal products (ATMP)-compliant quality and traceability standards. Following internal quality audits and the establishment of a centralized oversight framework, the EAP was implemented in key markets, including Portugal. To date, 20 children with ASD have received treatment, supporting families facing significant unmet medical needs while ensuring high standards of safety and regulatory compliance.

CORD BLOOD FOR CEREBRAL PALSY
FAMICORD GROUP EXPANDED ACCESS PROTOCOL

Poland

LEARN MORE



CONSUMERS AND END-USERS

Community Partnership: Material Support Initiatives

In 2025, the portuguese subsidiary Stemlab S.A. implemented a donation procedure to manage expired and surplus laboratory materials in a responsible manner. Materials no longer suitable for regulated laboratory use but still fit for alternative applications were identified, verified and donated to local laboratories, educational and training institutions, and volunteer firefighter organizations.

The initiative aimed to prevent unnecessary disposal, reduce waste and support local community needs by enabling the reuse of laboratory and office materials. As a result, the program contributed to improved resource efficiency and generated positive environmental and social impacts, supporting educational activities and institutional preparedness within the communities where the Company operates.

In Germany, Famicord AG implemented a reuse and donation initiative to redirect surplus and obsolete materials – including office furniture, office supplies, and expired laboratory consumables – from disposal to socially beneficial use. In 2025, decommissioned desks and materials were made available to employees, supporting cost savings and waste reduction. In 2026, expired laboratory items will be donated to local kindergartens for educational purposes, with further efforts underway to identify charitable channels for office furniture or donate sales proceeds. The initiative supports community engagement, resource efficiency, and environmental impact reduction.

Portugal and Germany

TARGETS AND METRICS

TARGETS RELATED TO MANAGING MATERIAL NEGATIVE IMPACTS, ADVANCING POSITIVE IMPACTS, AND MANAGING MATERIAL RISKS AND OPPORTUNITIES (S4-5, MDR-T)

The establishment of targets is a key practice for measuring the Group's performance and ensuring alignment with its strategic objectives. In the context of consumer experience, a target focused on consumer satisfaction has been set. This target is aligned with the EU's 2020 New Consumer Agenda **[S4.MDR-T_09; §80 f]** and is measured through the Net Promoter Score (NPS) **[MDR-M_01; §75]**. It reflects a commitment to enhancing consumer experience and engagement, with the aim of continuously improving the quality of the services provided.

The target measures the brand promoters, i.e., consumers that are satisfied with the FamiCord service and for that reason are available to recommended stem cells cryopreservation. In this perspective, consumers are actors in educational programs that allow the community to have access to more treatment options **[S4.MDR-T_01; §80 a]**.

The target is absolute and the NPS is calculated by subtracting the percentage of detractors from the percentage of promoters and is assessed on a scale from –100 to +100 **[S4.MDR-T_03; §80 b | MDR-M_02; §77 a]**.

The Group has established an **NPS of 75 as the threshold for Excellence.** Accordingly, the target is to maintain the NPS above this level **[S4.MDR-T_02; §80 b]**. The target focuses on the downstream value chain (consumers) and applies to the PBKM subgroup, as the NPS scoring system has not yet been implemented at FamiCord AG, although the process of implementation is ongoing **[S4.MDR-T_04; §80 c]**.

The client satisfaction questionnaire is sent in two stages to evaluate both the sales process and the operational process. Each quarter, consumer data is carefully analyzed at the company level and shared with the respective teams, fostering transparency and informed decision-making. Regular evaluations ensure ongoing assessment, with quarterly reviews helping track progress and identify trends **[S4.MDR-T_13; §80 j]**. Following the approval and implementation of the FamiCord Roadmap in 2026, new customer-related targets are expected to be rolled out across all geographies.

Target and objective	**Baseline (baseline value and base year)**	**Associated metric**	**Performance**			**Results to achieve**
[S4.MDR-T_01; §80 a]	**[S4.MDR-T_05; §80 d | S4.MDR-T_06; §80 d]**	**[MDR-M_01; §75]**	**[S4.MDR-T_13; §80 j]**			**[S4.MDR-T_07; §80 e]**
			2023	**2024**	**2025**	
Evaluate client satisfaction	Baseline value: 78, which corresponds to the value achieved in the first year of measurement. Baseline year: 2022	Net Promoter Score (NPS)	78.68 (PBKM sub--group)	79.87 (PBKM sub--group)	78.30 (PBKM sub--group)	NPS above 75 (ongoing target, with evaluation performed every quarter)

Note 1: The method for calculating the target/metric has remained unchanged from the previous year **[S4.MDR-T_12, §80 i]**, with no errors identified for previous periods **[BP-2_13 to BP-2_15; §13 / §14]**.



Governance Information

G1 – Business Conduct

STRATEGY

MATERIAL IMPACTS, RISKS AND OPPORTUNITIES AND THEIR INTERACTION WITH STRATEGY AND BUSINESS MODEL [SBM-3]

At FamiCord Group, responsible business conduct is foundational to driving sustainable growth and delivering long-term value. Through a thorough assessment of material impacts, risks, and opportunities, the Group gains valuable insights into how its activities influence public health, economic stability, and societal well-being. This process enables the company to identify the areas where it can generate the most positive impact, mitigate potential risks, and seize strategic opportunities that align with its mission and business model.

For example, FamiCord's contributions to public health – through the storage and provision of cell therapy products, participation in clinical studies, and support for public cell banks – promote medical advancements and broaden access to innovative treatments **[I-043]**. Internally, fostering a positive corporate culture and promoting responsible practices through ethics and compliance training reinforces employee integrity and enhances organizational performance **[I-047 | RO-044]**.

At the same time, the identification of material risks allows FamiCord to proactively address critical vulnerabilities. These include the potential misuse of donated biological material, supply chain disruptions, or reputational risks stemming from human rights violations **[RO-045 | RO-049 | RO-050]**. By understanding these risks, the Group can implement robust governance measures and strengthen supplier relationships to ensure service continuity and protect its reputation **[G1.MDR-P_01; §65 a]**.

Furthermore, this assessment highlights opportunities to drive both business success and societal impact. Strengthening supplier collaborations not only optimizes efficiencies and leverages economies of scale but also encourages the co-development of products and services with positive environmental and social outcomes **[RO-051 | I-052]**. Timely payments to suppliers and subcontractors contribute to economic stability, while ongoing innovation enhances the Group's competitive positioning **[I-051 | RO-051]**.

By integrating the results of the impact, risk, and opportunity analysis into its overall strategy, FamiCord ensures that sustainability is deeply embedded in its approach to responsible business conduct. These insights help shape how the Group manages its relationships with stakeholders, ensures transparency, and upholds ethical standards across its operations. Within this context, the FamiCord Group's strategic pillars demonstrate a strong alignment with principles of sound governance and accountability. For example, the development of cell therapies and the commitment to improving public health through stem cell treatments reflect the Group's dedication to ethical innovation and long-term value creation. Ongoing investments in research and development are guided by stakeholder needs and managed through clearly defined internal processes, reinforcing integrity in decision-making. The presence of laboratories in multiple locations highlights the Group's focus on accessibility and client proximity, supporting responsible service delivery. The emphasis on the quality of cryopreserved biological products, backed by accreditations and certifications, underscores a commitment to maintaining high standards of reliability and compliance. In addition, initiatives that promote employee health and well-being, as well as efforts to manage resources and the supply chain efficiently, reflect an integrated approach to operational ethics, fairness, and risk management.

The following table provides a detailed overview of the material impacts, risks, and opportunities identified that are specifically related to G1 – Business Conduct.

Description [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Impact, Risk or Opportunity [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Time horizon [SBM-3_06; §48 c iii]	Value chain location [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Sub-topic or related sub-sub-topic
Business conduct				
I-043 Enhancement of public health, promoting a healthier and more resilient society, is achieved through the storage and provision of cell therapy products to healthcare professionals, contributions to public cell banks, and active participation in clinical studies. This positively impacts medical advancements and broadens access to innovative treatments.	Positive impact	–	Upstream, Own operations, Downstream	Corporate culture
RO-045 Inappropriate use of donated biological material from donors for the purposes of research and development, which can expose FamiCord Group to legal risks and reputational damage.	Risk	Short-term (< 1 year)	Own operations	Corporate culture
RO-044 Increased performance due to a positive corporate culture.	Opportunity	Medium-term (1 to 5 years)	Own operations	–
Ethics, integrity and compliance				
I-047 Contributing to a better society by promoting responsible practices by employees through training and dissemination of information on the topic of ethics, integrity and compliance.	Positive impact	Short-term (< 1 year)	Own operations	Corruption and bribery – Prevention and detection detection including training

Description [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Impact, Risk or Opportunity [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Time horizon [SBM-3_06; §48 c iii]	Value chain location [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Sub-topic or related sub-sub-topic
Relationship with suppliers				
I-051 Boosting the economy, enhancing stability and growth, through timely payments to suppliers and subcontractors	Positive impact	–	Upstream, Downstream	Management of relationships with suppliers including payment practices
I-052 Encourage the development of products and services with positive impacts (reduce resource consumption, improve patients wellbeing, etc.), through partnerships and collaboration with the suppliers	Positive impact	Medium-term (1 to 5 years)	Upstream, Own operations, Downstream	Management of relationships with suppliers including payment practices
RO-049 Inadequate supply chain risk management leads to reputational risks related to violation of human rights, supply bottlenecks, poor production outcome quality, etc.	Risk	Short-term (< 1 year)	Own operations	Management of relationships with suppliers including payment practices
RO-050 Supply failures (e.g. laboratory supplies, liquid nitrogen or packaging material for the cell collection kits) with implications on the services provided by the Group due to the impossibility of storing the biological material on time.	Risk	Short-term (< 1 year)	Own operations	Management of relationships with suppliers including payment practices
RO-051 Strengthening competitive positioning of the Group in terms of superior relative competitiveness through Group synergies, efficiencies and leveraging scale with suppliers	Opportunity	Short-term (< 1 year)	Own operations	Management of relationships with suppliers including payment practices

Note: For actual material impacts there is no associated time horizon.

IMPACT, RISK AND OPPORTUNITY MANAGEMENT

CORPORATE CULTURE AND BUSINESS CONDUCT POLICIES (G1-1, MDR-P)

To support its strategic objectives and address material impacts, risks, and opportunities, the FamiCord Group has established a set of comprehensive policies that guide business conduct and promote ethical decision-making. These policies are integral to mitigating key risks, strengthening corporate culture, and fostering trust with stakeholders **[G1.MDR-P_01; §65 a]**.

The Management Board of FamiCord established a Compliance Center of Expertise in Poland, managed by the Director of Legal & Regulatory Affairs and Compliance Officer in PBKM. Along with the establishment of this Center of Expertise, FamiCord also took a decision to organize an **International Compliance Team (ICT)**, composed of members from each subsidiary within the FamiCord Group holding the position of Board Members or, in larger companies, be individuals responsible for compliance matters, such as compliance officers or heads of human resources departments. Starting in 2025, the ICT initiated regular meetings to discuss, expand knowledge, and exchange views on corporate culture, with the primary goal of unifying and deepening ethical practices across the Organization through ongoing meetings, training sessions, and newsletters. This initiative reinforces the Group's commitment to aligning business conduct with its strategic objectives and material IRO **[G1-1_01; §9 | G1-1_10; §10 g]**.

In the specific case of PBKM, where the compliance center has been established, each employee hired by this company undergoes **comprehensive training** on business conduct, ensuring that ethical practices are ingraine from the very start of their employment. Beyond individual policies, PBKM implemented a **full compliance system** with detailed procedures covering areas such as offering and accepting gifts, contractor verification, marketing activities, and handling inspections. These structured guidelines form a robust framework to prevent misconduct, protect the company's reputation, and promote responsible practices at all levels **[G1-1_10; §10 g]**.

The **Code of Conduct**, applicable to all activities developed by the companies within the FamiCord Group, covers all consumers and/or end-users and serves as the foundation, setting clear expectations for employee behavior and promoting integrity across all operations. This directly contributes to reducing the risk of unethical practices while enhancing the Group's reputation and internal cohesion **[S4-1_01; §15 | G1.MDR-P_01; §65 a]**. Complementing this, the **Anti-Corruption Code** reinforces FamiCord's zero-tolerance stance on corrupt practices, safeguarding the Group from legal and reputational risks tied to unethical business dealings **[G1.MDR-P_01; §65 a]**.

Recognizing the importance of proactive risk management, FamiCord's **Risk Management Policy** provides a structured framework for identifying, assessing, and mitigating potential threats. This policy is essential for addressing risks such as supply chain disruptions or inappropriate use of biological material, ensuring business continuity and operational resilience **[G1.MDR-P_01; §65 a]**. Additionally, the **Whistleblowing Procedure** empowers employees to report misconduct without fear of retaliation, further strengthening the Group's commitment to transparency and continuous improvement **[G1.MDR-P_01; §65 a]**.

Together, these policies form a cohesive system that not only protects the Organization from adverse impacts but also unlocks opportunities for enhanced performance, stakeholder confidence, and sustainable growth.

The following tables provide detailed insights into each policy, outlining their purpose, scope, and contribution to the FamiCord Group's broader business strategy.

Policy	Code of Conduct
Key contents and general objectives **[G1.MDR-P_01; §65 a]**	The principles, norms and values that the Organization defends and practices in their daily activities. Serves as a guideline for responsible and ethical decisions, especially in critical situations.
Scope **[G1.MDR-P_02; §65 b]**	Applicable to all activities developed by the companies within the FamiCord Group, in all geographies, and both upstream and downstream value chain. It affects all stakeholders interacting directly or indirectly with the Group.
Senior level accountable for the implementation of the policy **[G1.MDR-P_03; §65 c]**	Management Board of FamiCord AG.
Third-party standards or initiatives **[G1.MDR-P_04; §65 d]**	Local laws and international guidelines.
Availability **[G1.MDR-P_06; §65 f]**	The policy is made available through each company's website.

Following the detailed overview of the **Code of Conduct**, which was reviewed in 2025, it is important to note its close connection to several material IRO related to business conduct, including promoting public health, mitigating legal and reputational risks, and enhancing corporate performance through positive culture **[G1. MDR-P_01; §65 a]**. To ensure ongoing alignment with these priorities, FamiCord Group monitors compliance through various mechanisms adopted by individual companies in accordance with local law, including incident tracking and claims management, enabling the Group and its companies to continuously refine their practices and uphold high standards of business integrity. **[G1.MDR-P_01; §65 a**].

Policy	Anti-Corruption Code
Key contents and general objectives **[G1.MDR-P_01; §65 a]**	The purpose of this Anti-Corruption Code is to specify the basic rules of conduct applicable in the FamiCord Group, which are to prevent any corrupt behaviors and to build an organizational culture that rejects corruption and promotes ethical attitudes among all employees.
Scope **[G1.MDR-P_02; §65 b]**	Applicable to all activities developed by the companies within the FamiCord Group, in all geographies, and has impact on administrative, management and supervisory bodies, as well as employees.
Senior level accountable for the implementation of the policy **[G1.MDR-P_03; §65 c]**	Management Board of FamiCord AG.
Third-party standards or initiatives **[G1.MDR-P_04; §65 d]**	UN Convention against Corruption of 31 October 2003 and the OECD Guidelines **[G1-1_03; §10 b]**.
Availability **[G1.MDR-P_06; §65 f]**	Policy available for stakeholders who need to implement it, in local documentation management systems and on the company's website for PBKM.

Similarly to the Code of Conduct, the **Anti-Corruption Code** plays a crucial role in addressing corruption and bribery risks, which are directly linked to promoting responsible practices **[G1.MDR-P_01; §65 a]**. Employees are encouraged to report any unlawful behavior to their direct manager, a member of the ICT, or through the whistleblower channel where available. These mechanisms are accessible to both internal and external stakeholders, ensuring transparency and accountability. The functions most at risk of corruption – including medical consultants, the marketing and sales department, and the Management Board – are closely monitored. Incidents, claims, and whistleblowing reports serve as essential tools to track policy compliance, while procedures for independent and objective investigations ensure that any misconduct is addressed promptly and fairly **[G1-1_02; §10 a | G1-1_11; §10 h | G1-1_08; §10 e]**.

Policy	**Risk Management Policy**
Key contents and general objectives **[G1.MDR-P_01; §65 a]**	The purpose of this policy is to set out the key principles and expectations to support the effective management of risks to FamiCord Group's activities, objectives and strategy, and to promote transparency and integrity in FamiCord Group's decision-making. It includes establishing a comprehensive framework for identifying, assessing, controlling, and communicating risks.
Scope **[G1.MDR-P_02; §65 b]**	Applicable to all activities developed by the companies within the FamiCord Group, in all geographies, and has impact on administrative, management and supervisory bodies, as well as employees.
Senior level accountable for the implementation of the policy **[G1.MDR-P_03; §65 c]**	Management Board of FamiCord AG.
Third-party standards or initiatives **[G1.MDR-P_04; §65 d]**	Besides local laws and guidelines, ISO 9001:2015 and ISO 31000:2018 were also considered.
Availability **[G1.MDR-P_06; §65 f]**	Policy available for stakeholders who need to implement it, in local documentation management systems.

FamiCord's **Risk Management Policy** plays a central role in managing all aspects of the material IRO, from enhancing public health to mitigating reputational and operational risks **[G1.MDR-P_01; §65 a]**. Half-year risk reports are submitted to the Management Board and the Audit Committee, with a particular focus on Top and Tail End Risks. These high-priority risks are discussed during regular business performance review meetings, ensuring that decision-makers remain informed and can take timely action. This monitoring process strengthens the Group's resilience and supports its long-term strategic goals by continuously refining risk mitigation strategies in response to evolving challenges **[G1-MDR-P_01; §65 a]**.

Policy	Whistleblowing procedure
Key contents and general objectives **[G1.MDR-P_01; §65 a]**	The purpose of this policy is to define what is considered an irregularity, the channels for submission of irregularities, and the scope of protection for whistleblowers.
Scope **[G1.MDR-P_02; §65 b]**	Applicable to all activities developed by the companies within the FamiCord Group, in Germany, Hungary, Poland and Portugal. It has impact on administrative, management and supervisory bodies, as well as employees.
Senior level accountable for the implementation of the policy **[G1.MDR-P_03; §65 c]**	Management Board in the subsidiaries applying the procedure.
Third-party standards or initiatives **[G1.MDR-P_04; §65 d]**	Local laws.
Availability **[G1.MDR-P_06; §65 f]**	Policy available in the websites of the companies where the policy exists, and also within the internal documentation management system, if applicable.

The **Whistleblowing Procedure** is a vital element of FamiCord's commitment to maintaining high standards of business conduct and integrity. Aligned with key material impacts and risks related to business conduct, legal and reputational risks, and corporate performance **[G1.MDR-P_01; §65 a]**, this procedure ensures that employees and external stakeholders can report irregularities or unethical behavior confidentially, without fear of retaliation. The reports are closely monitored, and compliance with business conduct-related policies is assessed through incident tracking and whistleblowing reports, which are submitted to the Management Board for review **[G1.MDR-P_01; §65 a | G1-1_05; §10 c | G1-1_06; §10 d | G1-1_08; §10 e]**.

Several companies within the Group, including Polski Bank Komórek Macierzystych sp. z o.o., Diagnostica Bank Komórek Macierzystychs sp. z o.o., FamiCord AG, Stemlab, SA, and Krio Intezet Zrt., maintained their own local whistleblowing procedures in accordance with the EU Directive 2019/1937, ensuring the protection of whistleblowers. A total of 474 employees were covered by this procedure by the end of this reporting year. Other companies in the Organization have established similar protocols, directing reports of irregularities to the ICT members or direct supervisors. To further support this procedure, employees are provided with training, and designated staff responsible for receiving reports are trained to handle concerns fairly and confidentially. This system strengthens FamiCord's commitment to transparency, accountability, and continuous improvement, ensuring that all reports are addressed promptly and in line with the Group's ethical standards **[G1-1_12; §11 | G1-1_05; §10 c | G1-1_10; §10 g]**.

MANAGEMENT OF RELATIONSHIPS WITH SUPPLIERS (G1-2, MDR-P)

Effective management of supplier relationships is a cornerstone of FamiCord's approach to sustainable business practices. Currently, supplier management is conducted locally within each subsidiary, where risks and opportunities related to suppliers are incorporated into the corporate Risk Management System. This localized approach ensures that the specific needs and challenges of each region are addressed while maintaining a consistent focus on the broader corporate goals of responsible sourcing, ethical business conduct, and sustainability.

Recognizing the critical importance of supplier relationships to its overall sustainability strategy, during 2025 the Group prioritized the establishment of a comprehensive corporate policy for supplier management. The rollout and groupwide implementation will take place in 2026 **[MDR-P_07; §62]**.

By focusing on strengthening supplier relationships and embedding sustainability into procurement practices, the Group is committed to creating a more responsible, resilient, and transparent supply chain that contributes to its long-term success and positive societal impact.

PREVENTION AND DETECTION OF CORRUPTION AND BRIBERY (G1-3, MDR-P)

FamiCord is committed to maintaining the highest ethical and operational standards, with robust procedures in place to prevent, detect, and address allegations or incidents of corruption and bribery. The Organization has implemented comprehensive policies, including an **Anti-Corruption Code** and a **Risk Management Policy**, to ensure that all employees and management operate with integrity and accountability **[G1-3_01; §16 | G1-3_01; §18 a]**.

The Anti-Corruption Code outlines corruption-related issues and establishes clear principles that employees must adhere to in their daily professional duties. Additionally, certain companies within the Group (Polski Bank Komórek Macierzystych sp. z o.o., Diagnostica Bank Komórek Macierzystychs sp. z o.o., FamiCord AG, Stemlab, SA, and Krio Intezet Zrt.) have introduced a dedicated **whistleblowing procedure for reporting irregularities.** In companies not legally required to implement this procedure, employees can still report instances of corruption or irregularities in accordance with the Anti-Corruption Code **[G1-3_01; §18 a]**.

The **Policy on Risk Management** is designed to identify departments most vulnerable to irregularities, including corruption and bribery, and is primarily targeted at managers. These managers receive specialized training to understand and mitigate these risks effectively **[G1-3_01; §18 a]**.

To ensure impartiality, investigations are handled by an independent investigator or committee, separate from the management chain responsible for corruption prevention and detection **[G1-3_02; §18 b]**.

The Organization has a **structured process for reporting investigation outcomes** to the administrative, management, and supervisory bodies. In cases of positive verification of a report, the Compliance Officer or Head of Compliance informs the relevant Manager and initiates investigative actions. If the violation is severe or requires high-level decision-making, the Compliance Officer escalates the case to the Board of Directors, presenting a follow-up action plan. The Board decides on the necessary actions, appoints a person responsible for implementation, and receives a final report detailing the results and any recommendations for further preventive measures **[G1-3_03; §18 c]**.

Policies on corruption and bribery prevention are **communicated** to all relevant personnel via email, newsletters, the company intranet, and dedicated training sessions, with oversight from the Management Board or the ICT **[G1-3_05; §20]**.

Furthermore, employees across the Organization are required to complete **training** in the Anti-Corruption Code and, where applicable, the whistleblowing procedure. Managers also undergo specialized training on the Risk Management Policy. Similarly, members of administrative, supervisory, and management bodies receive ongoing training, reflecting the Organization's commitment to fostering a culture of integrity, transparency, and accountability at every level **[G1-3_06; §21 a | G1-3_08; §21 c]**.

FamiCord's annual meeting - which brings together the most exposed functions, including managers and sales teams - features a dedicated compliance training session, further reinforcing awareness and adherence across the Group **[G1-3_07; §21 b | G1-3_08; §21 c]**.

Through these measures, FamiCord Group actively works to mitigate corruption and bribery risks, promoting ethical business conduct and reinforcing stakeholder trust in its commitment to responsible corporate governance.

ACTIONS AND RESOURCES IN RELATION TO MATERIAL SUSTAINABILITY MATTERS (MDR-A)

During the reporting year, FamiCord focused on strengthening compliance and ethical conduct across the Group. At the corporate level, this included the revision and implementation of the Group's Code of Conduct, as well as regular ICT meetings and newsletters to raise awareness and provide guidance on compliance matters. In addition, initiatives have been implemented across the subsidiaries to manage supplier-related risks, including auditing of suppliers, and ongoing identification of quality, regulatory, and ethical risks. These measures help ensure responsible supply chain management and maintain high operational standards **[G1.MDR-A_01; §68 a]**.

Disclosure of key actions	**Status of key action**	**Scope of actions**	**Time horizon**	**Results**
[G1.MDR-A_01; §68 a]	**[G1.MDR-A_01; §68 a]**	**[G1.MDR-A_02; §68 b]**	**[G1.MDR-A_03; §68 c]**	**[G1.MDR-A_01; §68 a]**
Regular ICT meetings to discuss, share knowledge, and exchange views on corporate culture, complemented by periodic internal **newsletters** on compliance distributed to subsidiaries.	Taken and planned	Implemented across all subsidiaries and applies to all employees across the Organization	Ongoing (initiated in 2025)	Expanded compliance knowledge across subsidiaries, strengthened internal ethical practices, and maintained employees' ongoing awareness of internal guidelines, including the Code of Conduct.
Revision and implementation of the FamiCord Group Code of Conduct, including publication of documents on the company website for upstream suppliers, Group-wide trainings (including onboarding)and ICT knowledge-sharing sessions.	Taken	Implemented across all subsidiaries and applies to all employees across the Organization. It has also direct impact on upstream value chain (suppliers).	2025	Clearer standards of behavior, reduced legal and reputational risks, stronger internal trust and morale, and greater credibility with external stakeholders. These initiatives have strengthened the Group's ethical culture and enhanced employees' awareness of compliance and inclusion principles. They have also improved transparency in decision-making and reinforced a culture of accountability across all entities. Overall, these measures have fostered a more transparent, responsible, and inclusive organizational culture.

Disclosure of key actions	Status of key action	Scope of actions	Time horizon	Results
[G1.MDR-A_01; §68 a]	[G1.MDR-A _01; §68 a]	[G1.MDR-A _02; §68 b]	[G1.MDR-A _03; §68 c]	[G1.MDR-A_01; §68 a]
Define and deploy environmental and social criteria for selecting and evaluating suppliers, collaborating with actions to improve their performance	Taken and planned	Implementation initiated in Hungary and planned for other geographies such as Portugal, Italy, Germany and Poland. It has impact on upstream value chain (suppliers).	Ongoing (initiated in 2024)	Reduced supply-chain risks, improved sustainability and ethical practices in sourcing, enhanced brand reputation, and stronger alignment with stakeholder and regulatory expectations. These initiatives will enable more comprehensive supplier assessments, better monitoring and transparency of supplier practices, and stronger partnerships with responsible suppliers, including the ability to exclude those who do not meet sustainability or ethical standards.
Auditing suppliers to ensure delivery quality and high standards, as well as to improve the service relationship between the company and its suppliers.	Taken and planned	Implemented in several geographies, such as Germany, Portugal and Poland. It has impact in upstream value chain suppliers.	Ongoing (initiated in 2010)	Reduction of supply-chain risks, improvement of sustainability and ethics in sourcing, enhancement of brand reputation, cost savings through more efficient resource use, and stronger alignment with stakeholder and regulatory expectations.
Identification of supply chain risks (e.g., quality, regulatory, ethical)	Taken and planned	Implemented Hungary and Portugal, and planned for all the other geographies. It has impact in upstream value chain suppliers.	Ongoing (initiated in 2024)	Reduced operational and compliance risks.



BUSINESS CONDUCT

Responsible supply chain management

Supplier sustainability considerations are integrated into governance framework for our Hungarian operations through a risk-based and transparent approach. While no additional requirements are imposed on existing suppliers, ISO 14001 environmental management certification is considered in the selection of new suppliers and forms part of the ongoing evaluation of our supplier base. We also place importance on understanding suppliers' products, manufacturing processes, and packaging solutions, supporting informed decision-making and responsible supply chain management.

Hungary

The Organization has introduced new policies, including the Diversity, Equity, and Inclusion (DEI) Policy, and plans to launch an Environmental Policy in 2026, both under the guidance of the ICT. Building on these initiatives, the Organization aims to further enhance its sustainability governance by extending additional procedures to all companies within the Group. This expansion will be led by the ICT, seeking to align practices across the Group and reinforce the Organization's commitment to ethical operations and sustainable growth.

TARGETS AND METRICS

TRACKING EFFECTIVENESS OF POLICIES AND ACTIONS THROUGH TARGETS (MDR-T)

Following the approval and implementation of FamiCord's Sustainability 2030 Roadmap in 2026, targets will be set across the Group to monitor the effectiveness of actions addressing material IROs.

CONFIRMED INCIDENTS OF CORRUPTION OR BRIBERY (G1-4)

During the reporting period, FamiCord Group registered no convictions, fines, or incidents related to corruption or bribery [G1-4_01; §24a I G1-4_02; §24a].

PAYMENT PRACTICES (G1-6)

FamiCord is committed to responsible payment practices, ensuring fair and timely transactions with suppliers and subcontractors to support sustainable business relationships and operational continuity. The FamiCord Group has established structured procedures to manage payments, balancing financial efficiency with ethical supplier management.

Payment practices	**2024**	**2025**
Average number of days to pay invoice **[G1-6_01, §33a]**	-	33.1
Percentage of payments aligned with standard payment terms **[G1-6_03, §33b]**	-	80.9 %
Outstanding legal proceedings for late Payments **[G1-6_04, §33c]**	-	0

For most suppliers, the standard payment term is set at 30 days after the issuance of the invoice, unless alternative terms are agreed upon or specified in the service contract. All companies within the Group prioritize on-time payments, particularly for suppliers and subcontractors critical to daily operations, where delays could impact business continuity. This approach reflects the Group's commitment to fostering trust and long-term partnerships with its supply chain [G1-6_02; §33b].

Data reported for payments aligned with standard payment terms is based on information available directly from subsidiaries. It was found in 2025 that 80.9% of payments are made in accordance with the agreed contractual conditions.

Depending on the structure and organization of each company, the data may be obtained internally or through third-party accounting providers. Despite potential variations in data collection, the majority of invoices are paid according to the deadlines and the terms agreed with suppliers. This ensures that the Organization remains aligned with its contractual obligations and reinforces a culture of financial responsibility **[MDR-M_02; §77 a I G1-6_05; §33 d]**.

Through these practices, the Organization upholds its dedication to fair supplier relations, minimizing financial risks, and supporting the broader ecosystem in which it operates.

There are no legal proceedings currently outstanding due to late payments **[G1-6_04; §33 c].**

Entity-specific – Research and Development

STRATEGY

MATERIAL IMPACTS, RISKS AND OPPORTUNITIES AND THEIR INTERACTION WITH STRATEGY AND BUSINESS MODEL [SBM-3]

In the Research and Development (R&D) realm, FamiCord focuses on leveraging innovation to drive sustainable growth while responding to evolving customer needs and market dynamics. R&D activities serve as a catalyst for introducing new technologies and refining existing solutions that not only enhance treatment opportunities–such as expanding the clinical application of stem cells **[I-053]** – but also contribute to overall patient well-being.

By aligning the Group's service offerings more closely with customer expectations, FamiCord seizes the opportunity to boost satisfaction and foster long-term loyalty **[RO-052]**. This customer-centric approach reinforces its market differentiation and strengthens its brand reputation.

Moreover, the Group's commitment to R&D fuels competitiveness across its markets, enabling cost reductions, enhanced operational efficiency, and the exploration of new business areas that create both financial gains and expanded service portfolios **[RO053 | RO-054]**. In doing so, FamiCord not only drives technological progress but also paves the way for innovative partnerships and strategic collaborations, ultimately enhancing value creation for all stakeholders **[I-054]**.

Overall, FamiCord's R&D efforts are integral to its strategy. They underpin the Group's mission to develop pioneering healthcare solutions, ensuring that innovation and sustainability remain at the forefront of its business evolution. The outcome of the IRO analysis is reflected in several strategic pillars of the FamiCord Group, including the pursuit of breakthrough healthcare solutions, investment in cutting-edge technologies, and a steadfast commitment to long-term stakeholder value.

The following table provides a detailed overview of the material impacts, risks, and opportunities identified, and their connection to the Group's strategic direction.

Description [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Impact, Risk or Opportunity [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Time horizon [SBM-3_06; §48 c iii]	Value chain location [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Sub-topic or related sub-sub-topic
Relationship with suppliers				
RO-052 Aligning services with customer needs presents a key opportunity to boost customer satisfaction, loyalty, and revenue growth. It allows for market differentiation by tailoring offerings to consumer preferences, which can enhance long-term retention. Additionally, integrating sustainability into services meets the growing demand for eco-friendly solutions, strengthening brand reputation and positioning the company as customer-centric and socially responsible.	Opportunity	Medium-term (1 to 5 years)	–	–
RO-053 Increased competitiveness of the Group in its markets through its R&D activities (expansion of clinical application of stem cells, cost reduction, efficiency gains, etc.)	Opportunity	Medium-term (1 to 5 years)	–	–
RO-054 Development of new business areas/products and offering new services to clients, bringing both financial and market opportunities	Opportunity	Medium-term (1 to 5 years)	–	–

Description	Impact, Risk or Opportunity	Time horizon	Value chain location	Sub-topic or related sub-sub-topic
[SBM-3_01; §48 a] [SBM-3_02; §48 a]	**[SBM-3_01; §48 a] [SBM-3_02; §48 a]**	**[SBM-3_06; §48 c iii]**	**[SBM-3_01; §48 a] [SBM-3_02; §48 a]**	
I-053 Expansion of clinical application of stem cells for patients, through the development of new technological resources and more efficient solutions, creating new treatment opportunities	Positive impact	–	Downstream	–
I-054 Increased value creation for stakeholders presents a significant opportunity to enhance economic value for shareholders, drive innovation through the development of new solutions for the healthcare community and foster new partnerships with key entities.	Positive impact	Long-term (> 5 years)	Upstream, Downstream	–

Note: For actual material impacts there is no associated time horizon.

IMPACT, RISK AND OPPORTUNITY MANAGEMENT

POLICIES ADOPTED TO MANAGE MATERIAL SUSTAINABILITY MATTERS (MDR-P)

The FamiCord Group's research and development activities are primarily conducted in Poland (through PBKM) and in Portugal (via Stemlab). Project development is driven by strategic decisions made by the Management Board of PBKM subgroup, which considers internal competencies, stakeholder needs, and established R&D partnerships. Currently, the Group has not implemented a dedicated Policy for R&D activities. This approach is under periodic review, with a formal evaluation planned for 2026 **[MDR-P_07; §62]**.

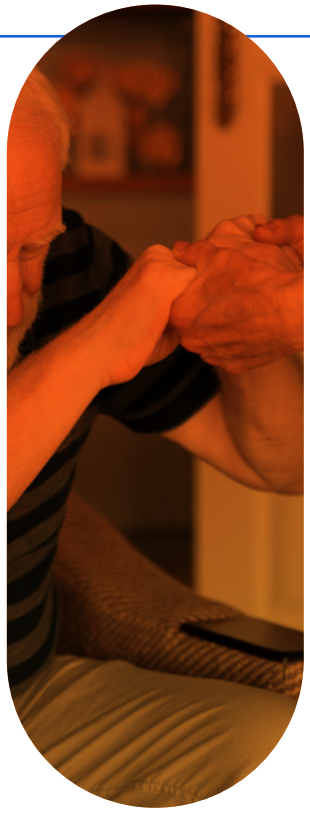
ACTIONS AND RESOURCES IN RELATION TO MATERIAL SUSTAINABILITY MATTERS (MDR-A)

Throughout the reporting year, FamiCord implemented a range of significant actions, as outlined in the table below **[MDR-A_01; §68 a]**. These initiatives and the dedicated resources supporting them underscore the Organization's commitment to integrating innovation into all facets of its operations, thereby enhancing long-term resilience and fostering stakeholder trust.

Regarding R&D, **projects identified are primarily funded internally**, with all related expenses transparently recorded in the Group's accounting systems. The **"Cord Blood NK Cells"** project was, however, subject to submission to a grant application for the funding of the clinical trial, being contingent upon a successful grant outcome **[MDR-A_06; §69 a]**.

Disclosure of key actions	Status of key action	Scope of actions	Time horizon	Results
[MDR-A_01; §68 a]	[MDR-A _01; §68 a]	[MDR-A _02; §68 b]	[MDR-A _03; §68 c]	[MDR-A_01; §68 a]
"Cord Blood NK Cells" project Within this project FamiCord intends to participate in a clinical trial sponsored by the Medical University of Zielona Góra in Poland.	Taken and planned	Implemented in Poland, covers manufacture of medicinal products within FamiCord' own operations and patients' treatment and hospitals engagement in the downstream value chain. Primarily targeted at consumers and end-users.	2024-2026	The primary objective of this project is to develop an advanced therapy medicinal product (ATMP) consisting of allogeneic NK cells, previously isolated from umbilical cord blood. This product is intended to be used in the treatment of solid tumors, with the initial therapeutic targets being gynecological cancers: cervical cancer, ovarian cancer, and endometrial cancer. With this project FamiCord intends not only to be recognized as an ATMP manufacturing facility, but also to strengthen the perception of umbilical cord blood as an extremely valuable source of cells that can be used beyond traditional hematological indications. During 2025, analytical methods for the CB-NK product were validated and Standard Operating Procedures (SOPs) were established. For 2026, manufacturing validation is planned, followed by the submission of a manufacturing authorization request under the Hospital Exemption procedure. Additionally, a joint project application with a Polish academic institution is also expected in 2026 **[MDR-A_05; §68e]**.
Implementation of procedures for placenta tissue storage in Portugal	Taken	Implemented in the Portuguese Laboratory, after Poland, Romania and Germany. Covers tissues banking in FamiCord's own operations and hospitals performing collections in the upstream value chain. Primarily targeted at consumers and end-users.	2025	The development of the new service of processing, testing and storing placenta tissue in a new laboratory within the FamiCord Group brings more value to the families across the geographies where the Group is present, making available to families a new cells and tissues banking service. Moreover, it allows for the provision of services on a B2B level across Europe, contributing to increase the footprint of FamiCord and bring new revenue sources.
Evaluation of amniotic membrane banking and storage feasibility	Taken and planned	Implemented in Poland and covers tissues banking in FamiCord's own operations and hospitals for collection in the upstream value chain. Primarily targeted at hospitals using amniotic membrane for treatment.	2024-2026	Determine whether the amniotic membrane can be effectively cryopreserved as a starting material for ATMP production. In 2025, the application for banking permission was submitted to the authorities, and SOPs for amniotic membrane processing are near their final version. For 2026, education activities in hospitals and wound healing centers are planned, and a B2B setup is expected to begin **[MDR-A_05; §68e]**.

Disclosure of key actions	**Status of key action**	**Scope of actions**	**Time horizon**	**Results**
[MDR-A_01; §68 a]	**[MDR-A _01; §68 a]**	**[MDR-A _02; §68 b]**	**[MDR-A _03; §68 c]**	**[MDR-A_01; §68 a]**
Expanded Access Program for Cerebral Palsy and Autism The treatments initiated in 2024 in the University Children's Hospital in Lublin, Poland, and is being funded by FamiCord.	Taken and planned	Accessible in all geographies. Covers cord blood banking in FamiCord's own operations and patients' treatment and hospitals engagement in the downstream value chain. Primarily targeted at consumers and end-users.	2024-2026	The goal is to have a program for the use of autologous cord blood for children suffering from cerebral palsy or autism and evaluate the safety and efficacy of the treatment. See S4 section for further details.
Development and collaboration of **R&D projects (Repair with University of Beira Interior)**	Taken and Planned	Implemented in Portugal and primarily targeted to customers	2023-2026	Find new applications for the use of stem cells in innovative and alternative therapies.
Development and **collaboration on MSC** in several hospitals	Taken and Planned	Implemented in Italy	Ongoing (initiated in 2025)	Find new applications for the use of stem cells in innovative and alternative therapies



RESEARCH AND DEVELOPMENT

REPAIR: development of innovative post-stroke therapies

The Group is advancing the R&D project REPAIR (2023–2026), aimed at developing innovative post-acute therapies for ischemic stroke based on hypoxia-preconditioned umbilical cord tissue-derived mesenchymal stem cells (MSCs). The project seeks to enhance the regenerative potential of MSCs by modulating their secretome, while ensuring clinical safety, and to explore the development of a ready-to-administer, cell-free therapeutic product. Key activities include hypoxic culture protocol development, in vitro and in vivo testing in stroke models, and proteomic analysis. Hypoxia-based MSC culture protocols have been successfully established, and preclinical animal studies are ongoing. The project is conducted in partnership with Stemlab S.A., Universidade da Beira Interior and Universidade de Coimbra.

Portugal

TARGETS AND METRICS

TRACKING EFFECTIVENESS OF POLICIES AND ACTIONS THROUGH TARGETS (MDR-T)

In the R&D area, FamiCord tracks the effectiveness of its actions through clearly defined targets and milestones. For more complex projects, specific milestones have been established to guide progress and ensure that each development phase meets its strategic objectives. In contrast, for simpler, short-term projects, the target is set as the timely conclusion of the project along with the achievement of its main goal within the expected timeframe. This structured approach enables FamiCord to accurately monitor progress and adapt its strategies as needed, reinforcing the Group's commitment to innovation and continuous improvement.

Following the approval and implementation of the FamiCord Sustainability Roadmap, additional targets related to R&D are expected to be established.

METRIC IN RELATION TO MATERIAL SUSTAINABILITY MATTERS (MDR-M)

It is important to note that for 2025, specific metrics for R&D have not been established beyond ensuring budget compliance. This approach allows the Group to monitor the financial discipline of FamiCord's R&D initiatives while still driving progress through milestone tracking.

Entity-specific – IT security and data protection

STRATEGY

MATERIAL IMPACTS, RISKS AND OPPORTUNITIES AND THEIR INTERACTION WITH STRATEGY AND BUSINESS MODEL [SBM-3]

Given the sensitive personal data managed by FamiCord, data privacy and protection are critical topics embedded in the risk management framework. The potential violation of privacy due to unauthorized disclosure of confidential and health-related data **[I-034]** is identified as a material negative impact. Additionally, the risk of data breaches or cyberattacks leading to litigation costs, regulatory fines, and reputational damage **[RO-031 | RO-034]** further emphasizes the importance of robust data security measures. Conversely, the opportunity to compile a comprehensive and diverse database **[RO-035]** could enable the expansion of FamiCord's service portfolio, providing additional value to stakeholders.

The following table provides a detailed overview of the material impacts, risks, and opportunities identified during the double materiality assessment.

Description [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Impact, Risk or Opportunity [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Time horizon [SBM-3_06; §48 c iii]	Value chain location [SBM-3_01; §48 a] [SBM-3_02; §48 a]	Sub-topic or related sub-sub-topic
IT security and data protection				
RO-031 Unauthorized disclosure of confidential company or employee data due to cyberattacks, data breaches, or misuse could result in litigation costs, regulatory fines, and reputational damage.	Risk	Short-term (< 1 year)	–	Other work-related rights Privacy
I-034 Violation of privacy due to public disclosure of confidential, sensitive information and health data of clients or other stakeholders (e.g. due to data breach).	Negative impact	Short-term (< 1 year)	Downstream	Information- related impacts for consumers and/or end- users; Privacy
RO-034 Unauthorized disclosure of confidential customer data (i.e. personal information, health information) due to cyberattacks, data breaches, or misuse could result in litigation costs, regulatory fines, and reputational damage.	Risk	Short-term (< 1 year)	–	Information- related impacts for consumers and/or end- users; Privacy
RO-035 Compilation of a very diverse (patients, partners, health community professionals, suppliers, among others, from different geographies) and complete database, which will allow to expand the portfolio of products/services offered.	Opportunity	Medium-term (1 to 5 years)	-	Information- related impacts for consumers and/or end- users; Privacy

IMPACT, RISK AND OPPORTUNITY MANAGEMENT

POLICIES ADOPTED TO MANAGE MATERIAL SUSTAINABILITY MATTERS (MDR-P)

FamiCord manages IT and data protection through established internal policies and governance structures designed to ensure compliance with applicable data protection regulations, including the General Data Protection Regulation (GDPR). The **Privacy Policy** defines the company's approach to personal data protection and GDPR compliance, outlining measures to handle data breaches, maintain confidentiality, and prevent unauthorized disclosure of sensitive company or employee data. It also describes the technical and organizational measures in place to protect confidentiality, integrity, and availability of information. The policy is communicated across the organization and reviewed periodically to reflect regulatory developments and operational needs. These practices support consistent management of data protection risks and integration of IT governance into FamiCord's broader risk management framework **[MDR-P_01; §65 a].**

Policy	**Privacy Policy**
Key contents and general objectives **[MDR-P_01; §65 a]**	The purpose of the Privacy Policy is to specify the principles and procedures for personal data protection and GDPR compliance, including data breach management.
Scope **[MDR-P_02; §65 b]**	Applicable to all activities related to Personal Data treatment, in all FamiCord Group's geographies, and both upstream and downstream value chain. It affects all stakeholders impacted by the Group's personal data treatment activities.
Senior level accountable for the implementation of the policy **[MDR-P_03; §65 c]**	General Managers in each company within the FamiCord Group.
Third-party standards or initiatives **[MDR-P_04; §65 d]**	General Data Protection Regulation, (EU) 2016/679 of the European Parliament and of the Council of 27 April 2016; Local laws.
Availability **[MDR-P_06; §65 f]**	Policy is made available through each company's website.

The Group's material IRO demonstrates the importance of this policy. For instance, the risk of unauthorized disclosure of confidential customer data and the impact of a violation of privacy due to public disclosure of sensitive health data reinforce the critical role of the Privacy Policy in safeguarding personal information, ensuring compliance with data protection laws, and maintaining consumer trust. At the same time, the opportunity to compile a diverse and comprehensive database highlights the Group's ability to responsibly expand its service offerings while upholding strict data security and ethical privacy standards **[MDR-P_01; §65 a]**.

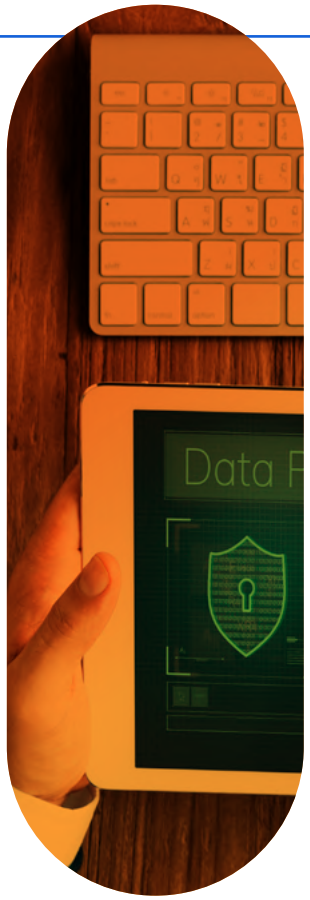
ACTIONS AND RESOURCES IN RELATION TO MATERIAL SUSTAINABILITY MATTERS (MDR-A)

The FamiCord Group takes deliberate steps to avoid causing or contributing to material negative impacts through its internal practices, including data management. The management board and the general managers of each subsidiary oversee these practices, ensuring that data protection impact analyses are conducted whenever procedural changes occur. This oversight helps prevent unintended negative consequences related to IT and data protection.

In the event of a data breach, procedures are followed in accordance with GDPR and local regulations to ensure proper reporting and response. Employees can also report other incidents through the existing whistleblowing channels.

In addition, the Group has implemented targeted IT and data protection initiatives, including the development and adoption of a policy for the use of AI tools in line with corporate guidelines, cybersecurity awareness and training activities, social engineering tests, participation in a cyberattack simulation platform, and preparatory measures for compliance with the NIS2 Directive. These measures enhance IT security, safeguard sensitive data, and strengthen the resilience of the Group's digital infrastructure **[MDR-A_01; §68 a]**.

Disclosure of key actions	**Status of key action**	**Scope of actions**	**Time horizon**	**Results**
[MDR-A_01; §68 a]	**[MDR-A _01; §68 a]**	**[MDR-A _02; §68 b]**	**[MDR-A _03; §68 c]**	**[MDR-A_01; §68 a]**
Development and adoption of a policy for the use of AI tools (following FamiCord AG guidelines)	Taken and planned	Implemented in Portugal, Italy and Poland, and planned for Latvia, Romania, Germany and Hungary.	Ongoing (initiated in 2025)	Develop a comprehensive document for establishing clear rules and guidelines for the responsible and secure use of AI tools within the organization. It will define data protection requirements, approval procedures to ensure compliance with ethical, legal, and security standards.
Cybersecurity awareness and training activities	Taken and planned	Implemented at the Group level	Ongoing	The training led to a significant improvement in employees' understanding of the main risks and threats they face in their daily activities, as well as the security practices they should adopt. Participants are now better prepared to identify and respond to potential attacks, contributing both to their own digital safety and to the overall security of the company.
Cyberattack Social Engineering Tests	Taken and planned	Implemented at the Group level	Ongoing	The test identified vulnerabilities in systems exposed to the internet, which were classified according to their criticality. A social engineering test was also conducted via phone to attempt data acquisition without prior authorization. Some vulnerabilities were detected and subsequently remediated. During the social engineering phase, attackers were unable to obtain or modify any data. The test was successfully completed.
Participation in the **development and use of the cyberattack attempt simulation platform** (pen test)	Taken and planned	Implemented at the Group level	Ongoing	The activity resulted in the identification of several vulnerabilities, which were classified according to their level of criticality and addressed based on the associated risk.
Preparation for NIS2 Compliance	Taken and planned	Implemented in Hungary	2025-2026	Ensured readiness for cybersecurity compliance.



IT SECURITY AND DATA PROTECTION

Internal Guidance on Responsible AI Usage

FamiCord Group adopted its Internal Guidance on Responsible AI Usage to support the safe and ethical use of artificial intelligence across all departments, while safeguarding customer trust and sensitive data. The guidance defines permitted non-sensitive use cases (e.g., summarizing public research, drafting generic templates, marketing ideation, and learning support) and establishes strict "red lines," including a zero-tolerance prohibition on entering customer data, medical information (PHI), or confidential company data into public AI tools. It mandates disabling chat history and data training features in external tools, requires human verification of AI-generated outputs, and restricts final decision-making in healthcare contexts to qualified professionals. The guidance distinguishes between public AI accounts and formally vetted enterprise solutions, reinforcing GDPR and HIPAA compliance, cybersecurity safeguards, and responsible innovation aligned with the Group's healthcare mission.

FamiCord Group

TARGETS AND METRICS

TRACKING EFFECTIVENESS OF POLICIES AND ACTIONS THROUGH TARGETS (MDR-T)

Following the approval and implementation of the FamiCord Sustainability Roadmap, specific targets related to IT security and data protection are expected to be established.

Appendix

Correspondence tables in accordance with ESRS 2

TABLE 1 – DISCLOSURE REQUIREMENTS IN ESRS COVERED BY THE SUSTAINABILITY STATEMENT (IRO-2)

Disclosure requirement		**Section**
ESRS 2 – General disclosures		
BP-1	General basis for preparation of sustainability statements	General Information, section BP-1
BP-2	Disclosures in relation to specific circumstances	General Information, section BP-2
GOV-1	The role of the administrative, management and supervisory bodies	General Information, section GOV-1
GOV-2	The role of the administrative, management and supervisory bodies	General Information, section GOV-2
GOV-3	Integration of sustainability-related performance in incentive schemes	General Information, section GOV-3
GOV-4	Statement on due diligence	General Information, section GOV-4 Appendix, Table 4
GOV-5	Risk management and internal controls over sustainability reporting	General Information, section GOV-5
SBM-1	Strategy, business model and value chain	General Information, section SBM-1
SBM-2	Interests and views of stakeholders	General Information, section SBM-2
SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	General Information, section SBM-3
IRO-1	Description of the process to identify and assess material impacts, risks and opportunities	General Information, section IRO-1
IRO-2	Disclosure requirements in ESRS covered by the undertaking's sustainability statement	General Information, section IRO-2 Appendix, Table 1
E1 – Climate change		
ESRS 2 GOV-3	Integration of sustainability-related performance in incentive schemes	General Information, section GOV-3
E1-1	Transition plan for climate change mitigation	Environmental Information, section E1-1

Disclosure requirement		Section
ESRS 2 SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	Environmental Information, section SBM-3
ESRS 2 IRO-1	Description of the processes to identify and assess material climate-related impacts, risks and opportunities	General Information, section IRO-1
E1-2	Policies related to climate change mitigation and adaptation	Environmental Information, section E1-2
E1-3	Actions and resources in relation to climate change policies	Environmental Information, section E1-3
E1-4	Targets related to climate change mitigation and adaptation	Environmental Information, section E1-4
E1-5	Energy consumption and mix	Environmental Information, section E1-5
E1-6	Gross Scopes 1, 2, 3 and Total GHG emissions	Environmental Information, section E1-6
E1-9	Anticipated financial effects from material physical and transition risks and potential climate-related opportunities	Not stated

Disclosure requirement		Section
S1 – Own workforce		
ESRS 2 SBM-2	Interests and views of stakeholders	General Information, section SBM-2
ESRS 2 SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	Social Information, section SBM-3 (S1)
S1-1	Policies related to own workforce	Social Information, section S1-1
S1-2	Processes for engaging with own workforce and workers' representatives about impacts	Social Information, section S1-2
S1-3	Processes to remediate negative impacts and channels for own workforce to raise concerns	Social Information, section S1-3
S1-4	Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions	Social Information, section S1-4
S1-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities	Social Information, section S1-5
S1-6	Characteristics of the undertaking's employees	Social Information, section S1-6
S1-7	Characteristics of non-employees in the undertaking's own workforce	Social Information, section S1-7
S1-9	Diversity metrics	Social Information, section S1-9
S1-10	Adequate wages	Social Information, section S1-10
S1-11	Social protection	Not stated
S1-13	Training and skills development metrics	Not stated
S1-14	Health and safety metrics	Social Information, section S1-14
S1-15	Work-life balance metrics	Not stated
S1-16	Remuneration metrics (pay gap and total remuneration)	Social Information, section S1-16
S1-17	Incidents, complaints and severe human rights impacts	Social Information, section S1-17

Disclosure requirement		**Section**
ESRS 2 SBM-2	Interests and views of stakeholders	General Information, section SBM-2
ESRS 2 SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	Not stated
S3-1	Policies related to affected communities	Not stated
S3-2	Processes for engaging with affected communities about impacts	Not stated
S3-3	Processes to remediate negative impacts and channels for affected communities to raise concerns	Not stated
S3-4	Taking action on material impacts on affected communities, and approaches to managing material risks and pursuing material opportunities related to affected communities, and effectiveness of those actions	Not stated
S3-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities	Not stated

Disclosure requirement		Section
S4 – Consumers and end-users		
ESRS 2 SBM-2	Interests and views of stakeholders	General Information, section SBM-2
ESRS 2 SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	Social Information, section SBM-3 (S4)
S4-1	Policies related to consumers and end-users	Social Information, section S4-1
S4-2	Processes for engaging with consumers and end-users about impacts	Social Information, section S4-2
S4-3	Processes to remediate negative impacts and channels for consumers and end-users to raise concerns	Social Information, section S4-3
S4-4	Taking action on material impacts on consumers and end-users, and approaches to managing material risks and pursuing material opportunities related to consumers and end-users, and effectiveness of those actions	Social Information, section S4-4
S4-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities	Social Information, section S4-5
G1 – Business conduct		
ESRS 2 GOV-1	The role of the administrative, supervisory and management bodies	General Information, section GOV-1
ESRS 2 IRO-1	Description of the processes to identify and assess material impacts, risks and opportunities	General Information, section IRO-1
G1-1	Business conduct policies and corporate culture	Governance Information, section G1-1
G1-2	Management of relationships with suppliers	Governance Information, section G1-2
G1-3	Prevention and detection of corruption and bribery	Governance Information, section G1-3
G1-4	Incidents of corruption or bribery	Governance Information, section G1-4
G1-6	Payment practices	Governance Information, section G1-6
MDR-A	Minimum Disclosure Requirements regarding actions	Governance Information, section MDR-A (G1)
MDR-T	Minimum Disclosure Requirements regarding targets	Governance Information, section MDR-T (G1)

Disclosure requirement		Section
Entity-specific disclosures – Research and development		
MDR-P	Minimum Disclosure Requirements regarding policies	Governance Information, section MDR-P (Entity-specific – Research and Development)
MDR-A	Minimum Disclosure Requirements regarding actions	Governance Information, section MDR-A (Entity-specific – Research and Development)
MDR-T	Minimum Disclosure Requirements regarding targets	Governance Information, section MDR-T (Entity-specific – Research and Development)
MDR-M	Minimum Disclosure Requirements regarding metrics	Governance Information, section MDR-M (Entity-specific – Research and Development)
Entity-specific disclosures – IT security and data protection		
MDR-P	Minimum Disclosure Requirements regarding policies	Governance Information, section MDR-P (Entity-specific – IT security and data protection)
MDR-A	Minimum Disclosure Requirements regarding actions	Governance Information, section MDR-A (Entity-specific – IT security and data protection)
MDR-T	Minimum Disclosure Requirements regarding targets	Governance Information, section MDR-T (Entity-specific – IT security and data protection)
MDR-M	Minimum Disclosure Requirements regarding metrics	Governance Information, section MDR-M (Entity-specific – IT security and data protection)

TABLE 2 – LIST OF DATAPOINTS IN CROSS-CUTTING AND TOPICAL STANDARDS THAT DERIVE FROM OTHER EU LEGISLATION (IRO-2)

The table below includes all datapoints that derive from other EU legislation, as listed in ESRS 2 appendix B. It indicates where these datapoints can be found in the report and which ones were assessed as not material to FamiCord Group.

Disclosure requirement	Datapoint	Description	SFDR reference	Pillar 3 reference	Benchmark regulation reference	EU Climate Law reference	Section	Materiality
ESRS 2 GOV-1	Paragraph 21 (d)	Board's gender diversity	x	–	x	–	General Information, section GOV-1	
ESRS 2 GOV-1	Paragraph 21 (e)	Percentage of board members who are independent	–	–	x	–	General Information, section GOV-1	
ESRS 2 GOV-4	Paragraph 30	Statement on due diligence	x	–	–	–	General Information, section GOV-4 Appendix, Table 4	
ESRS 2 SBM-1	Paragraph 40 (d) i	Involvement in activities related to fossil fuel activities	x	x	x	–	General Information, section SBM-1	
ESRS 2 SBM-1	Paragraph 40 (d) ii	Involvement in activities related to chemical production	x	–	x	–	General Information, section SBM-1	
ESRS 2 SBM-1	Paragraph 40 (d) iii	Involvement in activities related to controversial weapons	x	–	x	–	General Information, section SBM-1	
ESRS 2 SBM-1	Paragraph 40 (d) iv	Involvement in activities related to cultivation and production of tobacco	–	–	x	–	General Information, section SBM-1	
ESRS E1-1	Paragraph 14	Transition plan to reach climate neutrality by 2050	–	–	–	x		Not stated
ESRS E1-1	Paragraph 16 (g)	Undertakings excluded from Paris-aligned Benchmarks	–	x	x	–		Not stated
ESRS E1-4	Paragraph 34	GHG emission reduction targets	x	x	x	–		Not stated
ESRS E1-5	Paragraph 38	Energy consumption from fossil sources disaggregated by sources (only high climate impact sectors)	x	–	–	–	Environmental Information, section E1-5	
ESRS E1-5	Paragraph 37	Energy consumption and mix	x	–	–	–	Environmental Information, section E1-5	
ESRS E1-5	Paragraphs 40-43	Energy intensity associated with activities in high climate impact sectors	x	–	–	–	Environmental Information, section E1-5	

Disclosure requirement	Datapoint	Description	SFDR reference	Pillar 3 reference	Benchmark regulation reference	EU Climate Law reference	Section	Materiality
ESRS E1-6	Paragraph 44	Gross Scope 1, 2, 3 and Total GHG emissions	x	x	x	–	Environmental Information, section E1-6	
ESRS E1-6	Paragraphs 53-55	Gross GHG emissions intensity	x	x	x	–	Environmental Information, section E1-6	
ESRS E1-7	Paragraph 56	GHG removals and carbon credits	–	–	–	x		Not material
ESRS E1-9	Paragraph 66	Exposure of the benchmark portfolio to climate-related physical risks	–	–	x	–		Not stated
ESRS E1-9	Paragraph 66 (a)	Disaggregation of monetary amounts by acute and chronic physical risk	–	x	–	–		Not stated
ESRS E1-9	Paragraph 66 (c)	Location of significant assets at material physical	–	x	–	–		Not stated
ESRS E1-9	Paragraph 67 (c)	Breakdown of the carrying value of its real estate assets by energy-efficiency classes	–	x	–	–		Not stated
ESRS E1-9	Paragraph 69	Degree of exposure of the portfolio to climate-related opportunities	–	–	x	–		Not stated
ESRS E2-4	Paragraph 28	Amount of each pollutant listed in Annex II of the E-PRTR Regulation (European Pollutant Release and Transfer Register) emitted to air, water and soil	x	–	–	–	–	Not material
ESRS E3-1	Paragraph 9	Water and marine resources	x	–	–	–	–	Not material
ESRS E3-1	Paragraph 13	Dedicated policy	x	–	–	–	–	Not material
ESRS E3-1	Paragraph 14	Sustainable oceans and seas	x	–	–	–	–	Not material
ESRS E3-4	Paragraph 28 (c)	Total water recycled and reused	x	–	–	–	–	Not material
ESRS E3-4	Paragraph 29	Total water consumption in m3 per net revenue on own operations	x	–	–	–	–	Not material
ESRS 2 - SBM3 E4	Paragraph 16 (a) i	Activities negatively affecting biodiversity sensitive areas	x	–	–	–	–	Not material
ESRS 2 - SBM3 E4	Paragraph 16 (b)	Material negative impacts with regards to land degradation, desertification or soil sealing	x	–	–	–	–	Not material
ESRS 2 - SBM3 E4	Paragraph 16 (c)	Operations that affect threatened species	x	–	–	–	–	Not material
ESRS E4-2	Paragraph 24 (b)	Sustainable land / agriculture practices or policies	x	–	–	–	–	Not material
ESRS E4-2	Paragraph 24 (c)	Sustainable oceans / seas practices or policies	x	–	–	–	–	Not material
ESRS E4-2	Paragraph 24 (d)	Policies to address deforestation	x	–	–	–	–	Not material
ESRS E5-5	Paragraph 37 (d)	Non-recycled waste	x	–	–	–		Not material

Disclosure requirement	Datapoint	Description	SFDR reference	Pillar 3 reference	Benchmark regulation reference	EU Climate Law reference	Section	Materiality
ESRS E5-5	Paragraph 39	Hazardous waste and radioactive waste	x	–	–	–		Not material
ESRS 2 – SBM3 – S1	Paragraph 14 (f)	Risk of incidents of forced labour	x	–	–	–	Social Information, section SBM-3 (S1)	
ESRS 2 – SBM3 – S1	Paragraph 14 (g)	Risk of incidents of child labour	x	–	–	–	Social Information, section SBM-3 (S1)	
ESRS S1-1	Paragraph 20	Human rights policy commitments	x	–	–	–	Social Information, section S1-1	
ESRS S1-1	Paragraph 21	Due diligence policies on issues addressed by the fundamental ILO Conventions 1 to 8	–	–	x	–	Social Information, section S1-1	
ESRS S1-1	Paragraph 22	Processes and measures for preventing trafficking in human beings	x	–	–	–	Social Information, section S1-1	
ESRS S1-1	Paragraph 23	Workplace accident prevention policy or management system	x	–	–	–	Social Information, section S1-1	
ESRS S1-3	Paragraph 32 (c)	Grievance/complaints handling mechanisms	x	–	–	–	Social Information, section S1-3	
ESRS S1-14	Paragraph 88 (b) e (c)	Number of fatalities and number and rate of work-related accidents	x	–	x	–	Social Information, section S1-14	
ESRS S1-14	Paragraph 88 (e)	Number of days lost to injuries, accidents, fatalities or illness	x	–	–	–	Social Information, section S1-14	
ESRS S1-16	Paragraph 97 (a)	Unadjusted gender pay gap	x	–	x	–	Social Information, section S1-16	
ESRS S1-16	Paragraph 97 (b)	Excessive CEO pay ratio	x	–	–	–		Not stated
ESRS S1-17	Paragraph 103 (a)	Incidents of discrimination	x	–	–	–	Social Information, section S1-17	
ESRS S1-17	Paragraph 104 (a)	Non-respect of UNGPs on Business and Human Rights and OECD	x	–	x	–	Social Information, section S1-17	
ESRS 2 – SBM3 – S2	Paragraph 11 (b)	Significant risk of child labour or forced labour in the value chain	x	–	–	–	–	Not material
ESRS S2-1	Paragraph 17	Human rights policy commitments	x	–	–	–	–	Not material
ESRS S2-1	Paragraph 18	Policies related to value chain workers	x	–	–	–	–	Not material
ESRS S2-1	Paragraph 19	Non-respect of UNGPs on Business and Human Rights principles and OECD guidelines	x	–	x	–	–	Not material

Disclosure requirement	Datapoint	Description	SFDR reference	Pillar 3 reference	Benchmark regulation reference	EU Climate Law reference	Section	Materiality
ESRS S2-1	Paragraph 19	Due diligence policies on issues addressed by the fundamental ILO Conventions 1 to 8	–	–	x	–	–	Not material
ESRS S2-4	Paragraph 36	Human rights issues and incidents connected to its upstream and downstream value chain	x	–	–	–	–	Not material
ESRS S3-1	Paragraph 16	Human rights policy commitments	x	–	–	–	–	Not stated
ESRS S3-1	Paragraph 17	Non-respect of UNGPs on Business and Human Rights, ILO principles or and OECD guidelines	x	–	x	–	–	Not stated
ESRS S3-4	Paragraph 36	Human rights issues and incidents	x	–	–	–	–	Not stated
ESRS S4-1	Paragraph 16	Policies related to consumers and end-users	x	–	–	–	Social Information, section S4-1	
ESRS S4-1	Paragraph 17	Non-respect of UNGPs on Business and Human Rights and OECD guidelines	x	–	x	–	Social Information, section S4-1	
ESRS S4-4	Paragraph 35	Human rights issues and incidents	x	–	–	–	Social Information, section S4-4	
ESRS G1-1	Paragraph 10 (b)	United Nations Convention against Corruption	x	–	–	–	Governance Information, section G1-1	
ESRS G1-1	Paragraph 10 (d)	Protection of whistle-blowers	x	–	–	–	Governance Information, section G1-1	
ESRS G1-4	Paragraph 24 (a)	Fines for violation of anti-corruption and anti-bribery laws	x	–	x	–	Governance Information, section G1-4	
ESRS G1-4	Paragraph 24 (b)	Standards of anti-corruption and anti-bribery	x	–	–	–	–	Not stated

TABLE 3 – LIST OF INCORPORATIONS BY REFERENCE (BP-2)

Disclosure requirement	Code	Section
Characteristics of the undertaking's employees: ESRS 2 SBM-1, §40a iii	SBM-1	Social Information, section S1-6
Business model: ESRS 2 SBM-1, §42	SBM-1	Fundamentals of the Company and the Group, section Business model, of the Combined Management Report
Description of the material IRO resulting from the materiality assessment: ESRS 2, §48 a	SBM-3	Environmental Information, section SBM-3 Social Information, section SBM-3 (S1) Social Information, section SBM-3 (S4) Governance Information, section SBM-3 (G1) Governance Information, section SBM-3 (Entity-specific - Research and development) Governance Information, section SBM-3 (Entity-specific - IT security and data protection)
Expected time horizons of material impacts: ESRS 2, §48 c iii		
Specification of the impacts, risks and opportunities covered by ESRS Disclosure Requirements: ESRS 2, §48 h		
List of disclosure requirements in ESRS covered by the non-financial statements	IRO-2	Appendix, Table 1
List of datapoints in cross-cutting and topical standards that derive from other EU legislation	IRO-2	Appendix, Table 2
Presentation of the Code of Conduct: MDR-P, ESRS 2, §65 b/c/f/e	MDR-P	Governance Information, section G1-1
Presentation of the Whistleblowing Procedure: MDR-P, ESRS 2, §65 b/c/f/e	MDR-P	Governance Information, section G1-1
Presentation of the Privacy Policy: MDR-P, ESRS 2, §65 b/c/f/e	MDR-P	Governance Information, Entity-specific - IT security and data protection), section MDR-P

TABLE 4 – STATEMENT ON DUE DILIGENCE (GOV-4)

Core elements of due diligence	Sections in the sustainability statement	Section
Embedding due diligence in governance, strategy and business model	ESRS 2 GOV-2	General Information, section GOV-2
	ESRS 2 GOV-3	General Information, section GOV-3
	ESRS 2 SBM-3	General Information, section SBM-3 Environmental Information, section SBM-3 Social Information, section SBM-3 (S1) Social Information, section SBM-3 (S4) Governance Information, section SBM-3 (G1) Governance Information, section SBM-3 (Entity-specific - Research and development) Governance Information, section SBM-3 (Entity-specific - IT security and data protection)
Engaging with affected stakeholders in all key steps of the due diligence	ESRS 2 GOV-2	General Information, section GOV-2
	ESRS 2 SBM-2	General Information, section SBM-2
	ESRS 2 IRO-1	General Information, section IRO-1
	ESRS 2 MDR-P	Environmental Information, section E1-2 Social Information, section S1-1 Social Information, section S4-1 Governance Information, section G1-1 Governance Information, section G1-2 Governance Information, section G1-3 Governance Information, section MDR-P (Entity-specific - Research and Development) Governance Information, section MDR-P (Entity-specific - IT security and data protection)
Identifying and assessing adverse impacts	ESRS 2 IRO-1	General Information, section IRO-1
	ESRS 2 SBM-3	General Information, section SBM-3 Environmental Information, section SBM-3 Social Information, section SBM-3 (S1) Social Information, section SBM-3 (S4) Governance Information, section SBM-3 (G1) Governance Information, section SBM-3 (Entity-specific - Research and development) Governance Information, section SBM-3 (Entity-specific - IT security and data protection)

Core elements of due diligence	Sections in the sustainability statement	Section
Taking actions to address those adverse impacts	ESRS 2 MDR-A	Environmental Information, section E1-3 Social Information, section S1-4 Social Information, section S4-4 Governance Information, section MDR-A (G1) Governance Information, section MDR-A (Entity-specific - Research and Development) Governance Information, section MDR-A (Entity-specific - IT security and data protection)
Tracking the effectiveness of these efforts and communicating	ESRS 2 MDR-M	Environmental Information, section Targets and Metrics Social Information, section Targets and Metrics (S1) Social Information, section Targets and Metrics (S4) Governance Information, section Targets and Metrics (G1) Governance Information, section Targets and Metrics (Entity-specific – Research and Development) Governance Information, section Targets and Metrics (Entity-specific – IT security and data protection)
	ESRS 2 MDR-T	Environmental Information, section E1-4 Social Information, section S1-5 Social Information, section S4-5 Governance Information, section MDR-T (G1) Governance Information, section MDR-T (Entity-specific – Research and Development) Governance Information, section MDR-T (Entity-specific – IT security and data protection)





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Consolidated Income Statement

EUR thousand	Note	**01/01/2025 – 12/31/2025**	01/01/2024 – 12/31/2024 restated*
Sales revenues	6.1	88,173	82,181
Cost of sales	6.2	-41,147	-43,640*
Gross profit on sales		**47,026**	**38,541**
Other income	6.3	1,664	2,747
Marketing and selling expenses	6.4	-25,777	-24,153*
Administrative expenses	6.5	-22,873	-21,539* **
Other expenses	6.6	-1,667	-2,908**
Net impairment on financial and contract assets	6.7	-1,054	-1,171
EBIT		**-2,681**	**-8,483**
Financial income	6.8	1,829	647
Financial expenses	6.9	-2,271	-1,846
Result from companies accounted for using the equity method		0	143
Earnings before taxes		**-3,123**	**-9,539**
Income tax expense	6.10	-1,895	-2,049
Result from continuing operations		**-5,018**	**-11,588**
Result from discontinued operations	4.2.2	-1,697	-711
Result of the period		**-6,715**	**-12,299**
Result of the period attributable to:			
Owners of the parent company		-6,303	-12,136
Minority interests		-412	-163
		-6,715	-12,299
Result attributable to owners of the parent company arises from:			
Continuing operations		-4,605	-11,425
Discontinued operations		-1,697	-711
		-6,303	-12,136
Earnings per Share (EUR) from continuing operations Undiluted and diluted earnings per share, relating to the result for the period attributable to holders of ordinary shares of the parent company	9.4	-0.26	-0.66
Earnings per Share (EUR) Undiluted and diluted earnings per share, relating to the result for the period attributable to holders of ordinary shares of the parent company	9.4	-0.36	-0.70

* Previous year´s presentation adjusted; further details are provided in Note 6.2 Cost of sales and Note 5.2 Results of the Segments
** Previous year's presentation adjusted; further details are provided in Note 6.5 Administrative expenses

Consolidated Statement of Comprehensive Income

EUR thousand	Note	**01/01/2025 – 12/31/2025**	01/01/2024 – 12/31/2024
Result for the period after taxes		**-6,715**	**12,299**
Other result			
Difference from currency translation	2.3	-775	312
Other comprehensive income to be reclassified to the income statement in subsequent periods		**-775**	**312**
Other comprehensive income not to be reclassified to the income statement in subsequent periods		0	**0**
Total comprehensive income after taxes		**-7,490**	**–11,987**
Attribution of total comprehensive income after taxes to the			
Owners of the parent company		-7,019	–11,688
Minority interests		-471	–299
Total comprehensive income for the period attributable to owners of the parent company:			
Continuing operations		-5,746	-11,155
Discontinued operations		-1,273	-533

Consolidated Balance Sheet

Assets

EUR thousand	Note	**12/31/2025**	12/31/2024
Non-current assets			
Goodwill	7.1.1	32,637	30,664
Other intangible assets	7.1.2	14,006	13,549
Property, plant and equipment	7.1.3	26,247	24,808
Right-of-use assets	7.1.4	9,832	11,577
Shares in associated companies	4.2.2	98	747
Other financial assets	7.1.8	982	888
Other non-financial assets	7.1.9	1,534	1,766
Deferred tax assets	6.10	11,589	10,655
Contract assets	7.1.6	25,296	17,275
Trade receivables	7.1.7	219	278
		122,442	**112,207**
Current assets			
Inventories	7.1.5	3,153	2,933
Trade receivables	7.1.7	15,588	13,698
Income tax receivables	6.10	399	220
Contract assets	7.1.6	5,180	3,726
Other financial assets	7.1.8	1,205	1,641
Other non-financial receivables and assets	7.1.9	1,915	1,489
Cash and cash equivalents	7.1.10	11,878	16,823
		39,318	**40,529**
Total Assets		**161,760**	**152,737**

Equity & Liabilities

EUR thousand	Note	12/31/2025	12/31/2024
Equity			
Subscribed capital	7.2.1	17,640	17,640
Capital reserve	7.2.1	42,354	42,354
Loss carryforwards	7.2.1	–48,593	–42,292
Other reserves	7.2.1	–1,472	–755
Treasury shares	7.2.1	–2,813	–2,813
Non-controlling interests	7.2.1	–1,700	–1,228
		5,417	**12,907**
Non-current liabilities			
Interest-bearing loans	7.2.2	11,052	3,751
Leasing liabilities	8.	7,532	9,251
Deferred grants	7.2.5	576	625
Contract liabilities	7.2.7	69,818	65,019
Other provisions	7.2.3	745	424
Deferred tax liabilities	6.10	8,408	5,600
Other financial liabilities	7.2.9	593	0
		98,724	**84,669**
Current liabilities			
Trade payables	7.2.8	6,051	6,478
Other provisions	7.2.3	5	5
Income tax liabilities	6.10	180	150
Interest-bearing loans	7.2.2	1,835	1,970
Lease liabilities	8.	3,087	3,125
Deferred grants	7.2.5	83	143
Repayment obligations	7.2.6	27,345	27,015
Contract liabilities	7.2.7	12,230	10,012
Other financial liabilities	7.2.9	1,525	1,624
Other non-financial liabilities	7.2.10	5,279	4,641
		57,619	**55,161**
Total Equity & Liabilities		**161,760**	**152,737**

Consolidated Statement of Changes in Group Equity

	Equity attributable to the owners of the parent company				
EUR thousand	Subscribed capital	Capital reserve	Loss carryforwards	Reserve for financial assets measured at fair value through other comprehensive income	
Status as of January 1, 2024	**17,640**	**42,354**	**–31,329**	**–24**	
Result for the period	0	0	–12,136	0	
Other result	0	0	0	0	
Overall result	**0**	**0**	**–12,136**	**0**	
Transaction with minorities	0	0	1,187	0	
Share-based remuneration program	0	0	–14	0	
Distributions	0	0	0	0	
Balance as of December 31, 2024	**17,640**	**42,354**	**–42,292**	**–24**	
Status as of January 1, 2025	**17,640**	**42,354**	**–42,292**	**–24**	
Result for the period	0	0	-6,301	0	
Other result	0	0	0	0	
Overall result	**0**	**0**	**-6,301**	**0**	
Transaction with minorities	0	0	0	0	
Balance as of December 31, 2025	**17,640**	**42,354**	**–48,593**	**–24**	

	Equity attributable to the owners of the parent company					
	Revaluation reserve	Currency translation differences	Total equity	Treasury shares at acquisition costs	Non-controlling interests	Total equity
	–122	**–1,057**	**27,463**	**–2,813**	**-786**	**23,864**
	0	0	–12,136	0	-163	-12,299
	0	448	448	0	-136	312
	0	**448**	**–11,688**	**0**	**-299**	**-11,987**
	0	0	1,187	0	-273	914
	0	0	–14	0	133	118
	0	0	0	0	-2	-2
	–122	**–609**	**16,947**	**–2,813**	**-1,228**	**12,907**
	–122	**–609**	**16,947**	**–2,813**	**-1,228**	**12,907**
	0	0	-6,301	0	-413	-6,715
	0	-717	-717	0	-58	-775
	0	**-717**	**–7,018**	**0**	**-471**	**-7,489**
	0	0	0	0	-2	-2
	–122	**–1,326**	**9,929**	**–2,813**	**-1,700**	**5,417**

Consolidated Cash Flow Statement

EUR thousand	Note	**01/01/2025 – 12/31/2025**	01/01/2024 – 12/31/2024
Cash flow from operating activities	8		
Earning before taxes		-3,123	-9,539
Result from discontinued operations		-1,697	-711
Adjustments for:			
Depreciation and amortization		8,272	8,676
Impairments		5,007	8,698
Other impairments		0	699
Gains/losses on the disposal of non-current assets		93	-1,669
Other non-Cash expenses		-157	-733
Financial Income	6.8	-1,829	-711
Financial expenses	6.9	2,271	1,847
Changes in net working capital			
+/- Inventories		-220	472
+/- Receivables and other assets		-2,399	-630
+/- Contract assets		-9,476	-7,989
-/+ Debts		481	-359
-/+ Contract and repayment liabilities		7,348	10,063
-/+ Provisions		321	24
Interest paid		-811	-397
Income taxes paid		-486	-402
Income taxes refunded		0	1,316
Cash flow from operating activities		**3,595**	**8,655**
Cash flow from investing activities			
Purchase of intangible assets	7.1.2	-543	-1,086
Purchase of property, plant and equipment	7.1.3	-4,127	-2,113
Acquisitions of subsidiaries, net of cash acquired		-8,019	0
Purchase of non-current financial investments		-89	-83
Proceeds from the sale of property, plant and equipment	7.1.3	50	24
Proceeds from sale of financial investments		47	0
Disposal of subsidiaries, net of cash acquired		17	0
Interest received		283	178
Cash flow from investing activities		**-12,381**	**-3,080**

EUR thousand	Note	**01/01/2025 – 12/31/2025**	01/01/2024 – 12/31/2024
Cash flow from financing activities			
Transactions with non-controlling shareholders		0	-121
Dividends paid to non-controlling interests in subsidiaries		-2	-2
Proceeds from taking out financial loans	7.2.2	14,480	2,024
Payments for the repayment of financial loans	7.2.2	-7,312	-4,767
Payments for leases	7.1.4	-3,275	-3,230
Cash flow from financing activities		**3,892**	**-6,095**
Net changes in cash and cash equivalents		-4,895	-521
Cash and cash equivalents at the beginning of the reporting period	7.1.10	16,823	17,416
Cash and cash equivalents acquired from changes in the scope of consolidation		840	0
Cash and cash equivalents disposed of from changes in the scope of consolidation		-500	0
Exchange rate-related change in cash and cash equivalents		-389	-72
Cash and cash equivalents at the end of the reporting period	**7.1.10**	**11,878**	**16,823**

Notes to the Consolidated Financial Statements for the Fiscal Year 2025

1. GENERAL INFORMATION

The FamiCord AG (the "Company"), based in Leipzig (Germany), Perlickstraße 5, is registered in the Commercial Register of the Local Court of Leipzig under the number HRB 20339. The principal activities of the Company and its subsidiaries (together with the Company, the "Group") comprise the collection, processing, storage and distribution of cells, tissues, blood and blood components for medical applications. In addition, the Group is engaged in the development and manufacture of cell- and tissue-based products and pharmaceuticals, including the production of viral vectors or comparable products. Further activities include the storage and cryopreservation of sperm and oocytes for use in reproductive medicine, as well as research and development in these areas, and the manufacturing and distribution of medical devices and comparable products. Activities relating to the production of CAR-T cells were partly performed by FamiCordTx, which is presented as a discontinued operation in these consolidated financial statements.

The declaration on the German Corporate Governance Code required by § 161 of the German Stock Corporation Act was issued in April 2026 and made available to shareholders on the website www.famicord.com.

The consolidated financial statements of FamiCord AG for the fiscal year ended December 31, 2025, were released for publication by the Management Board on April 30, 2026. The approval by the Supervisory Board took place on April 30, 2026.

2. ACCOUNTING AND VALUATION PRINCIPLES

2.1 FUNDAMENTALS OF PREPARATION

The consolidated financial statements of FamiCord AG were prepared in accordance with the provisions of the International Financial Reporting Standards (IFRS) valid on the reporting date, as applicable in the EU, and the supplementary commercial law provisions to be observed pursuant to § 315e (1) HGB. All IFRSs mandatory for the fiscal year 2025 and the pronouncements of the International Financial Reporting Interpretations Committee (IFRIC) have been applied insofar as they have been endorsed by the European Union. In addition, all legal disclosure and explanation requirements of the German Commercial Code (HGB) that go beyond the regulations of the IASB have been fulfilled.

The consolidated financial statements of FamiCord AG are generally prepared on the basis of amortized cost in Euro. This does not apply to financial assets measured at fair value. Unless otherwise indicated, all values are rounded to the nearest thousand Euro (EUR thousand).

The “FamiCord Group” (hereinafter “FamiCord” or “FamiCord Group”) was created with effect from November 8, 2021, from the merger of Vita 34 AG and its subsidiaries (hereinafter “subgroup Vita 34”) and Polski Bank Komórek Macierzystych Sp. z o.o., Poland, and its subsidiaries (hereinafter “subgroup PBKM”) and comprises the business activities of these two subgroups, divided into the two company segments “subgroup Vita 34” and “subgroup PBKM”.

The consolidated financial statements were also prepared on the basis of the going concern assumption, which assumes that the Group is able to meet its liabilities, including the mandatory repayment terms of the credit lines, on time. Follow-up financing tailored to the Group as a whole was concluded in the year 2023. The Group can also manage its investment decisions in line with demand to further secure its solvency.

Potential sustainability risks, particularly those relating to climate change are analyzed by the Management Board on an ongoing basis and considered in the measurement of assets and liabilities and in the disclosures on significant discretionary decisions and estimation uncertainties in the financial statements. The Management Board has not identified any significant risks for its business model in this context. Therefore, FamiCord does not currently expect any material effects of sustainability risks on the financial statements.

2.2 CONSOLIDATION PRINCIPLES

The consolidated financial statements comprise the financial statements of FamiCord AG, its subsidiaries and associated companies as of December 31 of each fiscal year. The financial statements of the subsidiaries and associated companies are prepared as of the same balance sheet date as the financial statements of the parent company, using uniform accounting and valuation principles (“Group Accounting Policies”).

Subsidiaries

The direct and indirect capital shares of FamiCord AG in the subsidiaries also correspond to the share of voting rights, unless otherwise indicated. The contributions of the non-consolidated companies to the Group’s consolidated sales, consolidated earnings and balance sheet total were not considered material. These companies were therefore not included in the consolidated financial statements.

The consolidated financial statements include the subsidiaries over which the Company exercises control. In particular, the Group controls a company when it has all the following characteristics:

- control over the company (i.e., the Group has the ability to direct those activities of the company that have a significant effect on its returns based on currently existing rights),
- a risk exposure to, or entitlement to, fluctuating returns from its investment in the company; and
- the ability to use its executive power over the company in such a way that it affects the company’s return on investment.

If the Group does not hold a majority of the voting rights or similar rights in a company, it considers all relevant facts and circumstances when assessing whether it has control over the company. These include:

- a contractual agreement with the other voters,
- rights resulting from other contractual agreements,
- voting rights and potential voting rights of the Group.

If facts and circumstances indicate that one or more of the three elements of control have changed, the Group must reassess whether it controls a company.

Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date on which control ceases.

Associated companies

An associated company is a company over which the Group has significant influence, and which is not a subsidiary. Significant influence is the power to participate in the financial and operating policy decisions of the company in which the investment is held. This does not constitute control or joint control over the decision-making processes.

The results, assets and liabilities of associated companies are to be included using the equity method.

Under the equity method, investments in associated companies are included in the consolidated balance sheet at acquisition cost, adjusted for changes in the Group's share of profit or loss and other comprehensive income of the associated company after the date of acquisition.

An investment in an associated company is accounted for from the date on which the criteria for an associated company are met. Any excess of the acquisition cost of the investment over the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities acquired is recognized as goodwill. Under the equity method, goodwill is included in the carrying amount of the investment and is not tested separately for impairment.

The application of the equity method is terminated at the time when its investment no longer constitutes an associated company.

Business combinations under common control

For business combinations under common control, both the book value continuation method and the revaluation method can be applied. The Group decides on a case-by-case basis which method results in an accurate presentation in the consolidated financial statements. The Group also decides on a case- by-case basis whether to apply the book value continuation method retrospectively or prospectively.

To date, the Group prospectively applied the book value method for business combinations under common control.

The determination of whether an investor has joint control of the companies involved in the business combination is based on an analysis of existing voting rights, other contractual rights and other circumstances.

Under the book value accounting method, the assets and liabilities of the acquired company are not revalued. Instead, the assets and liabilities of the acquired company are carried forward. The difference between the consideration paid and the book assets received is recognized in capital reserve.

The transaction costs incurred are reflected in expenses.

Business combinations and goodwill

Business combinations are accounted for using the acquisition method if the acquired group of activities and assets meets the definition of a business and the Group has obtained control. In determining whether a particular group of activities and assets is a business, the Group assesses whether the group of acquired assets and activities comprises at least one resource input and one substantive process and whether the acquired group is capable of producing outputs. The cost of a business combination is measured as the aggregate of the consideration transferred, measured at the acquisition-date fair value of the assets given, and the non-controlling interest in the acquired company. The consideration transferred includes:

- the fair values of the assets transferred,
- the fair value of an asset or a liability arising from a contingent consideration arrangement; and
- the fair value of an existing equity interest in the subsidiary.

Acquisition-related costs are expensed as incurred within administrative expenses.

Non-controlling interests are measured at the proportionate fair value of the assets acquired and liabilities assumed. After initial recognition, profits and losses are allocated without limitation in proportion to the interest held, which may also result in a negative balance for non-controlling interests.

When the Group acquires a company, it assesses the appropriate classification and designation of the financial assets acquired and liabilities assumed in accordance with the contractual terms, economic circumstances and conditions prevailing at the acquisition date.

Goodwill is initially measured at acquisition cost being the excess of the consideration transferred over the identifiable assets acquired and liabilities assumed by the Group. In the case of an acquisition at a price below fair value, the resulting gain is recognized in other income. Before recognizing a gain on an acquisition for less than fair value, it is again assessed whether all assets acquired, and all liabilities assumed have been correctly identified and measured.

After initial recognition, goodwill is measured at acquisition cost less any accumulated impairment losses. For impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination. A cash-generating unit is defined as the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets. This applies irrespective of whether other assets or liabilities of the acquired company are allocated to these cash-generating units.

For goodwill, the Group assesses at each reporting date whether there is any indication that goodwill may be impaired. Goodwill is tested for impairment at least once a year. A review is also performed if events or circumstances indicate that the value may be impaired. Impairment is determined by assessing the recoverable amount of the cash-generating unit to which the goodwill has been allocated. If the recoverable amount of the cash-generating unit is less than the carrying amount of this unit, an impairment loss is recognized. Impairment losses recognized for goodwill may not be reversed in subsequent reporting periods.

Transactions eliminated on consolidation

Intragroup balances and transactions, and all unrealized income and expenses (other than income and expenses arising from foreign currency transactions) relating to intragroup transactions are eliminated in preparing the consolidated financial statements. Unrealized gains on transactions with companies accounted for using the equity method are eliminated against the investment to the extent of the Group's interest in the investee. Unrealized losses are eliminated in the same manner as unrealized gains, but only if there is no indication of impairment.

2.3 FUNCTIONAL AND PRESENTATION CURRENCY

The functional currency of the parent company and the reporting currency of these consolidated financial statements is the Euro (EUR). The functional currency of foreign subsidiaries is the currency of the country in which the companies operate.

In preparing the financial statements of each of the Group companies, transactions denominated in currencies other than the functional currency of the Group company (foreign currencies) are translated using the exchange rates prevailing at the dates of the transactions. At each reporting date, monetary items denominated in foreign currencies are translated using the closing rate. Non-monetary items denominated in foreign currencies that are measured at fair value are translated using the exchange rates at the date when the fair value was determined. Non-monetary items measured at acquisition or production cost are translated using the exchange rate at the date of initial recognition.

Translation differences arising from monetary items are recognized in profit or loss in the period in which they occur.

Translation differences from non-monetary items are treated differently. If gains or losses from a non- monetary item are recognized directly in other comprehensive income, the translation difference is also recognized directly in equity. If gains or losses from a non-monetary item are recognized in profit or loss, the translation difference is also recognized in profit or loss.

For preparing consolidated financial statements, the assets and liabilities of the Group's foreign operations are translated into Euros (EUR) using exchange rates prevailing at the reporting date. Income and expenses are translated at the average exchange rate for the period unless the exchange rates for the period have fluctuated significantly. In this case, the exchange rates at the date of the transaction are used. Exchange differences arising from the translation of foreign operations into the Group currency are recognized in other comprehensive income and accumulated in the foreign currency translation reserve.

On disposal of a foreign operation, all accumulated translation differences attributable to the Group from that operation are reclassified to profit or loss. The following transactions are considered to be disposals of foreign operations:

- the disposal of the entire Group interest in a foreign operation,
- a partial disposal with loss of control over foreign subsidiaries or
- a partial disposal of an interest in a joint arrangement or an associated company that includes a foreign operation.

When parts of a subsidiary that includes a foreign operation are disposed of without loss of control, the share of the amount of exchange differences attributable to the disposed interest is allocated to non-controlling interests from the date of disposal. However, in the case of a partial disposal of shares in associated companies or joint arrangements without a change in status, the corresponding share of the amount of the translation differences is reclassified to profit or loss.

The exchange rates of the foreign currencies relevant for the Group developed as follows:

Currency rates		Closing rate		Average price
EUR 1 =	**12/31/2025**	12/31/2024	**2025**	2024
PLN	4.22	4.28	4.24	4.30
RON	5.10	4.98	5.05	4.98
HUF	384.48	411.44	396.59	397.07
TRY	50.46	36.62	45.22	35.76
CHF	0.93	0.94	0.94	0.95
USD	1.17	1.04	1.13	1.08
DKK	7.47	7.46	7.46	7.46
GBP	0.87	0.83	0.86	0.85
AED	4.31	3.80	4.15	3.97
HKD	9.14	8.04	8.82	8.43
CZK	24.18	25.20	24.65	25.16

To reflect changes in purchasing power at the balance sheet date, the carrying amounts of non-monetary assets and liabilities, equity attributable to shareholders, and other comprehensive income of the subsidiaries in hyper-inflationary economies are translated into the measuring unit current at the balance sheet date. This is done based on a general price index in accordance with IAS 29 "Financial Reporting in Hyperinflationary Economies". In contrast, no translation is required for monetary assets and liabilities already measured in the measuring unit applicable at the balance sheet date, as these represent cash held, to be received or paid.

Turkey has been classified as a hyperinflationary economy since April 1, 2022. Consequently, the provisions of IAS 29 "Financial Reporting in Hyperinflationary Economies" are relevant for our subsidiary in Turkey. Accordingly, the financial statements of a company whose functional currency is that of a hyperinflationary economy, regardless of whether they are based on the historical acquisition and production cost approach or the current cost approach, must be stated in the measuring unit applicable on the balance sheet date. Certain procedures must be applied to adjust the financial statements. Amounts in the balance sheet that are not yet stated in the measuring unit applicable on the balance sheet date are adjusted using a general price index. For translation into the presentation currency (Euro), all amounts are translated at the closing rate as of December 31, 2025.

To reflect changes in purchasing power on the balance sheet date, the carrying amounts of non- monetary assets and liabilities, equity and total comprehensive income of subsidiaries in hyperinflationary economies are adjusted based on a measuring unit applicable on the balance sheet date. These are indexed using a general price index in accordance with IAS 29.

Some of these non-monetary items are carried at the amounts applicable on the balance sheet date, for example at net realizable value and fair value, and are therefore not adjusted. All other non-monetary assets and liabilities are adjusted. Most non-monetary items are carried at cost or amortized cost and are therefore recognized at the amount applicable at the time of acquisition. The adjusted or amortized cost of each item is determined by applying to the historical cost and accumulated depreciation the change in a general price index that occurred between the acquisition date and the balance sheet date. Property, plant and equipment, inventories of raw materials and supplies, goodwill, patents, trademarks and similar assets are thus adjusted from their acquisition date. Inventories of semi-finished and finished goods are adjusted from the date on which the acquisition and production costs were incurred. The adjusted value of a non-monetary item is reduced accordingly if it exceeds the recoverable amount. In such cases, the adjusted value is therefore reduced to the recoverable amount for property, plant and equipment, goodwill, patents and trademarks and to the net realizable value for inventories.

Non-monetary assets that have been adjusted in accordance with the guidelines in IAS 29 continue to be subject to an impairment assessment in accordance with the guidelines in the relevant IFRS.

Monetary items are not adjusted as they are already stated in the monetary unit applicable on the balance sheet date. Monetary items are cash and cash equivalents or items for which the company pays or receives money.

All items in the income statement must be stated in the measuring unit applicable on the balance sheet date. This means that all amounts must be adjusted using the general price index from the date on which the respective income and expenses were first recognized in the financial statements.

The application of IAS 29 is immaterial to the Group's profitability, liquidity, capital resources and financial position for the fiscal year. The specific factors used to apply IAS 29 are listed in the table below.

Consumer price index	
Index as of December 31, 2025	3,514.13
Index as of December 31, 2024	2,684.55
Index as of December 31, 2023	1,859.38
Index as of December 31, 2022	1,128.45
Adjustment factor	**1.3090**

The effects on the individual items of the consolidated balance sheet and consolidated income statement are as follows:

EUR thousand	**12/31/2025**	12/31/2024
Non-current assets	**599**	**636**
Goodwill	271	278
Intangible assets	17	17
Property, plant and equipment	310	341
Current assets	**85**	**28**
Inventories	85	28
Equity	**-128**	**-13**
Retained earnings	-34	-12
Other reserves	-95	-1
Current liabilities	**108**	**-618**
Contract liabilities	230	-484
Other liabilities	-122	-135
Income Statement	**-854**	**-35**
Sales revenue	-1,153	-810
Cost of sales	503	552
Financial income	-203	222

2.4 SUMMARY OF SIGNIFICANT ACCOUNTING AND VALUATION PRINCIPLES

2.4.1 Acquisition cost principle

The consolidated financial statements are generally prepared using the acquisition cost principle. This does not apply to certain non-derivative financial assets, which are measured at fair value.

2.4.2 Measurement of the fair value

All assets and liabilities for which fair value is reported in the financial statements are categorized in the fair value hierarchy described below based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 – quoted prices (unadjusted) in active markets for identical assets or liabilities,
- Level 2 – valuation techniques for which the lowest level input that is significant to the fair value observation as a whole is directly or indirectly observable in the market,
- Level 3 – valuation techniques for which the lowest level input that is significant to the fair value observation as a whole is unobservable in the market.

For assets and liabilities recognized in the financial statements on a recurring basis, the Group determines whether reclassifications between levels in the hierarchy have occurred by reviewing the classification (based on the lowest level input that is significant to the fair value observation as a whole) at the end of each reporting period.

2.4.3 Research and development costs

Research costs are recognized as an expense in the period in which they are incurred. Development costs incurred as part of an individual project are capitalized if they meet the recognition criteria of IAS 38.

It is the consensus view that companies conducting research on biosimilar drugs should not capitalize the expenses associated with this work until regulatory approval has been received or is imminent. In the case of development work related to the development of a new product or manufacturing process in the pharmaceutical industry, the granting of regulatory approval is appropriate evidence of the technical feasibility of completing the intangible asset and bringing it to market. As a result, only a small portion of the expenditure for the development of a new product or production process can be capitalized.

After initial recognition, development costs are carried at acquisition cost less accumulated amortization and accumulated impairment losses. Amortization commences on completion of the development phase and from the date on which the asset is available for use. They are recognized over the period of expected future benefit and are included in cost of sales. An impairment test is performed annually during the development phase.

2.4.4 Intangible assets

Individually acquired intangible assets that are not acquired in a business combination are initially measured at acquisition cost. The acquisition cost of intangible assets acquired in a business combination is their fair value at the acquisition date. After initial recognition, intangible assets are carried at acquisition cost less any accumulated amortization and any accumulated impairment losses.

Intangible assets with finite useful lives are amortized over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each fiscal year-end. If there has been a change in the expected useful life of the asset or in the expected pattern of consumption of the future economic benefits embodied in the asset, the asset is amortized over a different period or using a different amortization method. Such changes are treated as changes in an accounting estimate. Amortization of intangible assets with finite useful lives is recognized in the income statement in the expense category consistent with the function of the intangible asset

The accounting policies applied to the Group's intangible assets (excluding goodwill) are summarized as follows:

	Development costs	Patents and licenses	Acquired contracts	Customer relationships and brand names
Useful lives	Finite useful life, amortization over the expected product life cycle of 5 years	Finite useful life, amortization over the expected useful life of 2 to 15 years	Finite useful life, amortization over the expected term of the contracts, up to which the majority of the expected cash inflows will be collected (12 to 25 years)	Finite useful life, amortization over the expected term of 2 to 25 years
Amortization method used	Amortization is calculated using the straight-line method over the expected useful life			
Internally created or acquired	Internally created	Acquired	Acquired	Acquired

Intangible assets not yet ready for use are not amortized, but tested for impairment on an ad hoc basis or at least once a year.

Gains or losses arising from the derecognition of intangible assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in profit or loss in the period in which the item is derecognized.

2.4.5 Property, plant and equipment

Property, plant and equipment that is not acquired as part of a business combination is recognized at cost less accumulated depreciation and impairment losses. The cost of property, plant and equipment acquired as part of a business combination corresponds to its fair value at the time of acquisition.

Property, plant and equipment under construction is measured at the amount of the total costs directly attributable to its acquisition or construction, including financing costs, less any impairment losses. Assets under construction are not depreciated until their construction is complete and they are available for use.

Costs incurred after an item of property, plant and equipment is ready for use, such as costs for repairs, overhauls, maintenance or operating costs, are recognized in the income statement in the reporting period in which they are incurred. If it can be demonstrated that the capitalization criteria are met for costs incurred after the initial recognition of an item of property, plant and equipment, these costs increase the original value of the item of property, plant and equipment.

Depreciation begins when an asset is available for use. Scheduled straight-line depreciation is based on the estimated useful lives of the assets. Depreciation is discontinued when the asset is classified as held for sale or derecognized from the balance sheet.

Overview of the useful lives of assets:

	Useful life
Building	10 to 40 years
Laboratory equipment	5 to 20 years
Cryogenic tanks	25 years
Cryogenic tank accessories	25 years
Vehicles	2 to 7 years
Office and business equipment	3 to 20 years

The carrying amounts of property, plant and equipment are tested for impa ·ment as soon as there are indications that the carrying amount of an asset exceeds its recoverable amount.

The residual values of assets, useful lives and depreciation methods are reviewed at the end of each fiscal year and adjusted if necessary.

2.4.6 Leases

Leases are accounted for in accordance with IFRS 16 (Leases). Under IFRS 16, lessees are generally required to recognize rights and obligations arising from leases in their balance sheets. Lessees recognize the right to use a leased asset ("right-of-use asset") under non-current assets and a corresponding lease liability.

When concluding a contract, the Group assesses whether this contract contains a lease, i.e. the right to control the use of an identified asset for a certain period of time in return for payment. For all leases, the Group recognizes assets for the right to use the leased assets and liabilities for the payment obligations resulting from the leases. Exceptions to this are short-term leases and leases of low-value assets, for which the payments are recognized as an expense in the income statement on a straight-line basis using the practical expedients in IFRS 16.

Right-of-use assets

The Group recognizes right-of-use assets from leases from the date on which the asset in question is available for use. Right-of-use assets are measured at amortized cost less accumulated depreciation and impairment losses.

Changes from the remeasurement of lease liabilities are recognized in the carrying amount of the right- of-use asset. The acquisition costs include the value of the recognized lease liability plus the lease payments made prior to provision, initial direct costs and restoration obligations less lease incentives received. After initial recognition, the Group measures a right-of-use asset in a similar way to other non-current non-financial assets, i.e. it recognizes the amortization of the right-of-use asset and any impairment losses. Right-of-use assets are amortized on a straight-line basis over the lease term. In cases of changes from the remeasurement of lease liabilities, the Group uses the incremental borrowing rate at the time of the remeasurement to update the carrying amount of the right-of-use asset, unless the interest rate implicit in the lease can be readily determined.

Lease modifications are accounted for in accordance with IFRS 16. A lease modification is a change in the scope of a lease, or the consideration for a lease, that was not part of the original terms and conditions. Examples of lease modifications include extending or shortening the lease term or changing lease payments.

If a lease modification increases the scope of the lease by adding the right to use one or more underlying assets and the lease payments increase commensurately, the modification is accounted for as a separate lease.

For all other lease modifications, the Group reassesses the lease liability based on the revised lease payments, discounted using a revised discount rate. The revised discount rate is the interest rate implicit in the lease at the modification date, if it can be readily determined. If this rate cannot be readily determined, the Group uses its incremental borrowing rate at the modification date. The corresponding adjustment is recognized in the carrying amount of the right-of-use asset.

Leasing agreements exist at FamiCord as lessee, particularly in connection with real estate and transportation equipment.

Overview of the useful lives of the rights of use:

	Useful life
Buildings, premises and engineering structures	10 to 20 years
Vehicles	2 to 5 years

Lease liabilities

The Group recognizes lease liabilities from the date on which the asset in question is available for use. The lease liability is measured at the present value of the lease payments to be made over the term of the lease.

Lease payments include:

- fixed payments less lease incentives to be paid by the lessor,
- variable payments,
- expected payments from residual value guarantees,
- the exercise price of a call option (if the exercise was deemed sufficiently certain) and
- contractual penalties on termination of a lease.

Lease payments are discounted using the interest rate on which the lease is based, if determinable. Otherwise, they are discounted using the lessee's incremental borrowing rate.

The lessee's incremental borrowing rate is the sum of the risk-free interest rate and the Group companies' credit risk premium, quantified based on the range of margins available to the Group companies for investment credit facilities that are adequately secured by the companies' assets.

Insofar as leases contain extension or termination options, changes to the term resulting from these options are only taken into account if the exercise or non-exercise of such options is reasonably certain.

The carrying amount of a lease liability is remeasured if there is a change in the lease (e.g. regarding the amount of the lease payments or the term of the lease).

2.4.7 Financial assets

Initial recognition and measurement of financial assets

In accordance with IFRS 9, financial assets are classified into the following measurement categories:

(1) Financial assets at amortized cost (debt instruments)

(2) Financial assets measured at fair value through other comprehensive income (debt instruments)

(3) Financial assets measured at fair value through other comprehensive income (equity instruments)

(4) Financial assets measured at fair value through profit or loss

The classification of financial assets on initial recognition depends on the characteristics of the cash flow conditions and the business model conditions of the financial asset. When financial assets are initially recognized, they are measured at fair value. In the case of financial assets that are not measured at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset are also included. Transaction costs in connection with financial assets measured at fair value through profit or loss are recognized in the income statement. The Group determines the classification of its financial assets upon initial recognition. Financial assets are not reclassified after initial recognition unless the Group changes its business model for managing financial assets. In this case, all affected financial assets are reclassified on the first day of the reporting period following the change in the business model.

Regular way purchases and sales of financial assets are recognized on the settlement date, i.e. the date on which an asset is delivered to or by the company. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within a period established by regulation or convention in the marketplace.

Subsequent measurement of financial assets

(1) Financial assets at amortized cost (debt instruments)

The Group classifies financial assets in this category if the following conditions are met:

- The financial asset is held to collect the contractual cash flows as part of the Group's business model and is measured at amortized cost.

- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortized cost are measured using the effective interest method and assessed for impairment. Non-current non-interest-bearing receivables are discounted using a market interest rate with an equivalent term. Gains and losses from financial assets at amortized cost are recognized in the income statement.

Financial assets at amortized cost mainly include trade receivables and loans whose cash flows from these loans consist exclusively of principal and interest payments.

(2) Financial assets measured at fair value through other comprehensive income (debt instruments).

The Group classifies financial assets in this category if the following conditions are met:

- The financial asset is held to collect the contractual cash flows as part of the Group's business model and
- The contractual terms of the financial asset result in cash flows on specified dates that are solely payments of principal and interest on the principal amount outstanding.

Gains and losses from financial assets measured at fair value through other comprehensive income are recognized in other comprehensive income. This does not include impairment losses and income, interest from the application of the effective interest method and gains and losses from currency translation. If the financial asset is derecognized, the cumulative gain or loss previously recognized in other comprehensive income is reclassified to the income statement.

The financial assets from debt instruments measured at fair value through other comprehensive income include securities investments, which are reported under non-current assets.

(3) Financial assets measured at fair value through other comprehensive income (equity instruments)

On initial recognition, the Group may decide to irrevocably classify its investments as investments measured at fair value through other comprehensive income if they meet the definition of equity under IAS 32 and are not held for trading. The classification is made individually for each instrument.

Gains and losses from such financial assets are recognized in other comprehensive income and are not subsequently transferred to the income statement.

The financial assets from equity instruments measured at fair value through other comprehensive income include the other investments listed in section 4, insofar as this classification was selected.

(4) Financial assets measured at fair value through profit or loss

All financial assets that are not measured at amortized cost or at FVOCI (for example, derivative financial instruments, financial assets with cash flows that are not solely payments of principal and interest that are held for trading and those that are managed and their performance is evaluated on a fair value basis) are measured at FVTPL. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near future. Derivatives, including separated embedded derivatives, are also classified as held for trading unless they are designated as effective hedging instruments.

Financial assets in this category are recognized in the balance sheet at fair value, with the net changes in fair value being recognized in the income statement.

The financial assets measured at fair value through profit or loss mainly include derivatives and investments in shares.

Derecognition of financial assets

A financial asset is derecognized when the right to receive cash flows from the financial asset expires or the financial asset is transferred.

Impairment of financial assets

The Group recognizes an allowance for expected credit losses (ECLs) for all debt instruments that are not measured at fair value through profit or loss. ECLs are based on the difference between the agreed cash flows in accordance with the respective contract and the discounted expected cash flows.

ECLs are determined in three stages. For credit risks that have not increased significantly since initial recognition, ECLs are recognized for credit losses resulting from default events that are possible within the next twelve months (12-month ECL). For credit risks that have increased significantly since initial recognition, an allowance for expected credit losses is recognized over the remaining term of the exposure regardless of the time of default (lifetime ECL). In addition, specific findings available in individual cases are included in the measurement of credit risks.

For trade receivables and contract assets without a financing component, the Group applies a simplified approach to calculating ECLs. Therefore, the Group does not track changes in credit risk, but recognizes an allowance based on lifetime ECLs at each reporting date. The Group has created an impairment matrix based on its experience in the area of historical credit risk, adjusted for forward-looking factors that are specific to the debtors and the economic environment.

For debt instruments measured at fair value through other comprehensive income, the Group assesses at each reporting date whether the debt instrument has a low credit risk, taking into account all reasonable and supportable information that is available without undue effort or cost. In this approach, the Group reassesses the internal credit rating of the debt instrument. In addition, the Group believes that the credit risk has increased significantly if contractual payments are more than 30 days overdue.

The Group assesses expected credit losses ('ECL') associated with debt instruments measured at amortised cost and at fair value through other comprehensive income, regardless of whether there is any indication of impairment.

A financial asset is credit-impaired when one or more events have occurred that have a detrimental impact on the estimated future cash flows of that asset. This includes, in particular, significant financial difficulties of the debtor, a breach of contract, concessions granted due to the debtor's financial difficulties, or a probable insolvency or other financial reorganisation of the debtor.

The Group writes off a financial asset when there is no reasonable expectation of recovering the contractual cash flows in whole or in part. Recoveries of amounts previously written off are recognised in profit or loss.

2.4.8 Financial liabilities

Initial recognition and measurement of financial liabilities

The Group's financial liabilities include trade payables and other liabilities as well as loans and credits.

All financial liabilities are initially recognized at fair value and, in the case of loans and liabilities, less directly attributable transaction costs.

Liabilities from put options held by minority shareholders that are not traded on an active market are recognized at the present value of the repurchase amount. The initial recognition of put options of minority shareholders is made against non-controlling interests.

Subsequent measurement of financial liabilities

The measurement of financial liabilities depends on their classification as described below:

(1) Financial liabilities measured at amortized cost

After initial recognition, these liabilities are subsequently measured at amortized cost using the effective interest method. Gains and losses are recognized in profit or loss when the liabilities are derecognized and as part of the amortization process of the effective interest method.

Amortized cost is calculated taking into account any discount or premium on the acquisition and any fees or costs that are an integral part of the effective interest rate. The amortization of the effective interest method is recognized as financing costs in the income statement.

This category applies to interest-bearing loans, trade payables and other financial liabilities.

The subsequent measurement of put liabilities is based on the best possible estimate of the potential repurchase obligation as of the reporting date.

(2) Financial liabilities measured at fair value through profit or loss

Financial liabilities measured at fair value through profit or loss comprise financial liabilities held for trading and financial liabilities classified as measured at fair value through profit or loss upon initial recognition.

In the Group, this category includes derivatives and contingent considerations that are recognized as part of a business combination.

All gains or losses resulting from the measurement of these financial liabilities are recognized in profit or loss unless they are part of a designated hedging relationship.

Derecognition of financial liabilities

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the respective carrying amounts is recognized in the income statement.

2.4.9 Inventories

Inventories are measured at the lower of cost or net realizable value. The cost of inventories is based on the first-in, first-out allocation method.

The net realizable value is the realizable selling price on the balance sheet date less value added tax and excise duties, discounts, rebates and other similar items as well as the costs necessary for the sale.

In addition to production materials and production wages, the production costs for work in progress also include appropriate portions of the overheads of the production area and depreciation, insofar as they are attributable to the production area. Administrative and distribution costs as well as interest are not included.

If the reasons for a previous impairment of inventories no longer exist or if the net realizable value has increased, the impairment is reversed. The reversal is limited to the amount of the original impairment loss, so that the new carrying amount does not exceed the original cost.

2.4.10 Cash and cash equivalents

Cash and cash equivalents and short-term deposits in the balance sheet comprise cash on hand, bank balances and short-term deposits with original maturities of no more than three months. Cash and cash equivalents that are not freely available are reported separately.

For the purposes of the cash flow statement, cash and cash equivalents comprise the cash and cash equivalents and short-term deposits defined above.

2.4.11 Treasury shares

If the Group acquires treasury shares, these are recognized at cost and deducted from equity. The purchase, sale, issue or redemption of treasury shares is recognized directly in equity. Any differences between the carrying amount and the consideration are recognized directly in equity.

2.4.12 Provisions

A provision is recognized when the Group has a present obligation (legal, contractual or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the Group expects at least a partial reimbursement for a provision recognized as a liability, the reimbursement is only recognized as a separate asset if the reimbursement is virtually certain. The expense for recognizing the provision is reported in the income statement after deduction of the reimbursement. If the effect of the time value of money is material, provisions are discounted at a pre-tax rate that reflects the risks specific to the liability and market assessments of the time value of money. In the case of discounting, the increase in provisions due to the passage of time is recognized as interest expense.

2.4.13 Pension provisions

As part of a business combination in 2012, the company took over a pension agreement and the reinsurance policies concluded in this context. The company made contributions to an insurance company for this pension obligation. The amount of the pension obligation is determined using the actuarial projected unit credit method. The company recognizes actuarial gains and losses in full in other comprehensive income in the reporting period in which they occur. Actuarial gains and losses are recognized immediately in retained earnings and are not reclassified to profit or loss in subsequent years.

The amount to be recognized as a liability from a defined benefit plan includes the present value of the defined benefit obligation (using a discount rate based on first-class, fixed-interest corporate bonds; see section 7.2.4) and the fair value of the plan assets available for the direct fulfilment of obligations. Plan assets include qualifying insurance policies. The plan assets are protected from access by creditors of the Group and cannot be paid directly to the Group. The fair value is based on information about the market price. The value of a recognized asset of the defined benefit plan generally corresponds to the present value of any economic benefit in the form of refunds from the plan or in the form of a reduction in future contributions to the plan. As the plan assets comprise a qualifying insurance contract that precisely covers all promised benefits in terms of their amount and maturity, the recognition of plan assets is limited to the present value of the obligations covered.

2.4.14 Trade liabilities

The balances relate to outstanding liabilities for goods and services received by the Group before the end of the fiscal year. Trade payables and other liabilities are reported as current liabilities unless they are not due for settlement within 12 months of the reporting period. They are initially recognized at fair value and subsequently at amortized cost using the effective interest method.

2.4.15 Sales revenue

Revenue is recognized when control of a promised good or service is transferred to a customer. It is measured at the transaction price of the consideration received or receivable, taking into account variable consideration. Value added tax and other charges collected on behalf of third parties are not taken into account.

Revenue from contracts with customers

The Group generates revenue from the provision of services and the sale of goods and materials. The Group recognizes revenue when it fulfils a performance obligation by transferring a promised good or service to a customer.

Invoices to customers are issued in accordance with the contractual conditions and usually provide for payment within 14 to 30 days of invoicing. The fee to be paid by the customer does not include any variable remuneration components.

The Group has not recognised any assets from costs to obtain or fulfil contracts with customers in accordance with IFRS 15.91 or IFRS 15.95. Incremental costs of obtaining contracts are expensed as incurred, applying the practical expedient in IFRS 15.94.

Multi-component transactions

The production and storage of cell deposits represent the main part of the services provided by the Group. Both the production and storage of cell deposits are separate performance obligations of a multi-component transaction. Revenue from the production of cell deposits is recognized at a point in time after the process of collecting, preparing and storing the cells has been completed. Revenue from the storage of cell deposits is recognized over time over the contractually agreed storage period. The input-based method is used to measure the stage of completion, as it is not possible to measure the inflow of benefits to the customer (output-based method) in isolation for the performance obligation “storage of a cell deposit”. Revenue is therefore recognized pro rata temporis over the agreed storage period. Price discounts are allocated proportionately to the two performance obligations.

As a rule, the Group collects part of the fee immediately after completion of the processing. The provision of storage services can be paid annually in advance or in arrears or as a prepayment over several years. The contracts also differ within the Group in terms of minimum contract terms.

The Group first determines the period for which it has an unconditional contractual right to receive consideration. This is usually the contractually agreed non-cancellable minimum term. Some prepayment contract models do not have a non-cancellable minimum term, but a refund of prepaid amounts is excluded in the event of premature termination. In this respect, the Group has come to the conclusion that this condition acts as a contractual penalty and therefore determines the contract term based on the period for which a prepayment was made.

With respect to new contracts settled under a subscription-based payment model, the minimum period for which the Group has an unconditional contractual right to receive consideration may range from one year up to ten years. This assessment is based on the period over which termination penalties represent a significant factor in determining the contract value and the extent of enforceable rights and obligations for that portfolio. After the expiry of the period identified by the Group as the minimum contractual term, revenue from contracts paid in the subscription model is recognized solely in the amount of the subscription fee charged for the respective period.

The package prices to be paid by customers for the specified period are allocated to the two performance obligations “production of a cell deposit” and “storage of a cell deposit”. As there are no stand-alone selling prices for the performance obligations due to legal and actual hurdles, the Group allocates them using the “expected cost plus a margin” approach, whereby the same relative margin in relation to the respective production costs is taken into account for both performance obligations. If the revenue attributable to the performance obligations exceeds the prepayment made for this, this amount is recognized under contract assets in the balance sheet. If the prepayment made is higher than the revenue attributable to the performance obligations, this amount is reported under contract liabilities. If, in the case of prepayments for several years, a legally permissible right of termination during the minimum contractual term or a right of the customer to switch to a different contract model with (partial) reimbursement of the prepayment made is possible, part of the prepayment is recognized as a repayment obligation. Contract assets and liabilities are recognized in accordance with the stage of completion of the performance obligation “storage of a cell deposit”.

Existence of a financing component

In the case of prepayment for several years, the Group receives prepayments from the customer for the storage of cell deposits. In view of the nature of the service provided, the payment terms offered by the Group have been determined for reasons other than the provision of financing for the customer. The Group therefore concludes that these prepayments do not include a financing component.

The Group also offers annual payment contracts with a minimum contract term of several years without a statutory right of termination for the performance obligation "storage of a cell deposits". The transaction price for this contract is calculated taking into account all payments to be made by the customer during the contract period. In these cases, the payment received from the customer at the start of the contract is below the cost of the performance obligation "storage of a cell deposit". The Group therefore comes to the conclusion that there is a financing component for these contracts. Therefore, an adjustment for the time value of money is made for payments due in more than one year.

If the consideration for the multi-year performance obligation has already been invoiced, the outstanding payments are recognized under trade receivables in the consolidated balance sheet; if no invoice has yet been issued, the payments still to be received are shown under contract assets.

Contract assets and liabilities

The contract assets represent the Group's right to consideration for services transferred as part of a multiple-element transaction to the extent that these exceed the payment made to date. This does not apply to customer contracts for which the consideration has already been invoiced in full and is recognized accordingly in trade receivables, as described in the previous paragraph.

Contract liabilities comprise prepayments made by customers for storage services for the periods specified in the individual contracts, which are recognized as revenue on a pro rata basis over the period to which they relate. In addition, obligations to fulfill concluded storage contracts are recognized under contract liabilities. These are obligations assumed as part of business combinations for the storage of cell deposits over a contract-specific storage period.

Repayment obligations

The repayment obligations comprise prepayments made by customers for storage services to which they are entitled in the event of a possible switch to a different contract model or if they exercise a statutory right of termination before the end of the minimum contractual term.

Other revenue

Other revenue includes revenue from other medical services such as advanced therapies, genetic tests and analyses for third parties. This other revenue is realized exclusively at a point in time. Outstanding amounts are reported in the balance sheet under trade receivables.

2.4.16 Government grants

Government grants are recognized at fair value if there is reasonable assurance that the grant will be received, and the Group will comply with all attached conditions. In the case of expense-related grants, they are recognized as income over the period necessary to match them with the related expenses for which they are intended to compensate. If the grant relates to an asset, it is recognized as deferred income and released to income on a straight-line basis over the expected useful life of the asset in question. Note 7.2.5 contains further information on how the Group accounts for government grants.

2.4.17 Income taxes

Actual tax refund claims and tax liabilities

Actual income taxes are recognized in the balance sheet at the time they are incurred.

The actual tax refund claims and tax liabilities for the current period and for previous periods are measured at the amount expected to be refunded by the tax authorities or paid to the tax authorities. The amount is determined taking into account the respective local tax laws and existing case law. The calculation of the amount is based on the tax rates and tax laws that apply or will soon apply on the reporting date.

Management regularly reviews the items in the tax returns regarding situations in which the applicable tax law permits different interpretations and assesses whether it appears likely that the tax authorities will accept an uncertain tax treatment. The Group assesses the impact of the uncertainty arising from these treatments using the most likely amount or the expected value, depending on which method is more suitable for predicting the resolution of the uncertainty.

Deferred tax assets and liabilities

Deferred taxes are recognized using the balance sheet liability method on all temporary differences between the carrying amount of an asset or liability in the balance sheet and its tax base as of the reporting date.

Deferred tax liabilities are recognized for all taxable temporary differences, unless the deferred tax liability arises from the initial recognition of goodwill or the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither accounting profit before tax nor taxable profit (tax loss).

Deferred tax assets are recognized for all deductible temporary differences, unused tax loss carryforwards and unused tax credits to the extent that it is probable that taxable income will be available against which the deductible temporary differences and the unused tax loss carryforwards and tax credits can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available against which the deferred tax asset can be utilized, at least in part. Unrecognized deferred tax assets are reviewed at each reporting date and recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized, or the liability is settled. The tax rates (and tax regulations) used are those that are enacted or substantively enacted at the reporting date.

Current and deferred taxes are recognized in profit or loss unless they relate to items that are recognized directly in equity or in other comprehensive income. In this case, the taxes are also recognized in other comprehensive income or directly in equity.

Value added tax

Revenues, expenses and assets are recognized net of sales taxes. The following exceptions apply:

- If the sales tax incurred on the purchase of goods or services cannot be recovered from the tax authorities, the sales tax is recognized as part of the cost of the asset or as part of the expense.
- Receivables and liabilities are recognized together with the VAT amount contained therein.

The amount of VAT refunded by or paid to the tax authorities is recognized under receivables or liabilities in the balance sheet.

2.4.18 Financial income and financial expenses

Financial income and expenses include interest on borrowed capital, exchange rate differences on borrowed capital and losses from derivatives (interest rate swaps), which are recognized in the income statement.

Other borrowing costs are recognized in the income statement.

2.4.19 Share-based remuneration program

There is a share-based remuneration program (so-called long-term incentive or LTI program) with the members of the Management Board. The program is accounted for in accordance with the provisions of IFRS 2 on cash-settled share-based payment transactions. The obligations from the LTI program were recorded under provisions. The amount of the obligation corresponds to the fair value of the vested shares of the respective commitments as of the balance sheet date. All resulting changes in value are recognized in profit or loss. Detailed information on the structure and presentation of the program is provided in section 9.2.

Additionally for equity-settled share-based payment transactions, IFRS 2.7 requires entities to recognise an increase in equity when goods or services are received. The total amount to be recognized as an expense for the work received is determined based on the fair value of the share-based payment instrument at the grant date. However, IFRS 2 Share-based Payment does not specify where in equity this should be recognised. The Group has chosen to recognise the credit in retained earnings. In some jurisdictions, it is common to transfer amounts recognised in other capital reserves to share premium or retained earnings when the share options are exercised or expire. Such transfer is also permitted by IFRS 2.23. However, the transfer to share premium is subject to legal restrictions that are in force in each jurisdiction. The Group has elected to continue to present retained earnings separately. The number of shares granted is subject to an estimate made by the Group, which leads to adjustments in subsequent periods. For equity share-based payment program in subsidiaries the cost of the program is reclassified to minority interest on a Group level once employees exercise share options.

2.4.20 Earnings per share

(1) Basic earnings per share

Basic earnings per share are calculated by division:

- of the profit attributable to the owners of the company excluding the cost of servicing equity other than ordinary shares,
- by the weighted average number of ordinary shares outstanding in the fiscal year, adjusted for bonus shares issued in the fiscal year and excluding treasury shares (Note 7.2.1).

(2) Diluted earnings per share

In the diluted earnings per share, the figures used to calculate the basic earnings per share are adjusted to take account of this:

- the after-tax effect of interest and other financing expenses associated with the dilution of potential ordinary shares, and
- of the weighted average number of additional ordinary shares that would have been in circulation assuming the conversion of all diluted potential ordinary shares.

2.4.21 Discontinued operations

A discontinued operation is a component of the Group that has been disposed of or is classified as held for sale and that represents a separate major line of business or geographical area of operations, is part of a single co-ordinated plan to dispose of such a line of business or geographical area of operations, or is a subsidiary acquired exclusively with a view to resale.

The results of discontinued operations are presented separately in the consolidated statement of profit or loss.

If control over a subsidiary classified as a discontinued operation is lost before the reporting date and a retained interest remains, the assets and liabilities of that subsidiary are no longer presented in the statement of financial position as of the reporting date. Instead, the retained interest is recognised at the reporting date and subsequently accounted for in accordance with the applicable IFRS requirements, including the equity method where relevant.

2.5 APPLICATION OF NEW ACCOUNTING STANDARDS

New, currently valid requirements

Amendments to the standards whose application is mandatory for companies with fiscal years beginning on or after January 1, 2025:

Standard/interpretations	Contents	Endorsement	Obligation to use
Amendments to IAS 21	Lack of exchangeability	11/12/2024	01/01/2025

The amendments listed above had no material impact on the Group´s consolidated financial statements for the year ended December 31, 2025.

Standards and interpretations to be applied in the future

The International Accounting Standards Board (IASB) and the International Financial Reporting Interpretations Committee (IFRIC) have adopted or will adopt further standards, interpretations and amendments to standards that are not yet mandatory for the fiscal year 2025 and have not yet been applied to these consolidated financial statements. These include:

Standard/interpretations	Contents	Endorsement	Obligation to use
Amendments to IFRS 9 and IFRS 7	Contracts referencing nature dependent electricity	06/30/2025	01/01/2026
Amendments to IFRS 9 and IFRS 7	Classification and Measurement of Financial Instruments	06/27/2025	01/01/2026
Annual Improvements Project (AIP)	Improvements to IFRS 1, IFRS 7, IFRS 9, IFRS 10 and IAS 7	07/09/2025	01/01/2026
Amendments to IAS 21*	Translation to a Hyperinflationary Presentation Currency	pending	01/01/2027
IFRS 18*	Presentation and Disclosure in Financial Statements	04/09/2023	01/01/2027
IFRS 19*	Subsidiaries without Public Accountability: Disclosures	05/09/2024	01/01/2027

* EU endorsement still outstanding at the time of publication of the consolidated financial statements

IFRS 18 "Presentation and Disclosure in Financial Statements" will replace IAS 1 "Presentation of Financial Statements" and introduces new requirements for the presentation and disclosure of information in the financial statements. In particular, entities will be required to classify income and expenses in the statement of profit or loss into the categories operating, investing, financing, income taxes and discontinued operations. IFRS 18 also introduces a newly defined operating profit subtotal. The application of IFRS 18 is not expected to affect the recognition or measurement of assets, liabilities, equity, income or expenses, and therefore is not expected to affect the Group's net profit. However, it is expected to result in significant changes to the structure and presentation of the primary financial statements, in particular the statement of profit or loss and the cash flow statement, as well as additional disclosures.

Furthermore, management-defined performance measures will need to be disclosed in a single note to the financial statements. IFRS 18 also provides enhanced guidance on the grouping and aggregation of information in the financial statements. In addition, under the indirect method, the operating profit subtotal will be used as the starting point for determining cash flows from operating activities. The Group is currently assessing the detailed implications of IFRS 18 on the presentation of its consolidated financial statements and related disclosures. At this stage, the quantitative and qualitative effects of the first-time application of IFRS 18 cannot yet be reasonably estimated. The Group intends to apply IFRS 18 from its mandatory effective date.

Apart from IFRS 18, FamiCord has evaluated the other standards and interpretations that have already been published but have not yet come into force, will not have any significant impact on the Group's financial reporting.

FamiCord has assessed IFRS 19 "Subsidiaries without Public Accountability: Disclosures". The standard is not expected to affect the Group's consolidated financial statements, as it addresses disclosure requirements for eligible subsidiaries in their separate financial statements. Therefore, no material changes from the future application of IFRS 19 are currently expected at Group level.

3. RISKS

3.1 SIGNIFICANT ESTIMATES AND DISCRETIONARY DECISIONS

The preparation of the financial statements requires the use of accounting estimates, which by definition rarely correspond to the actual results. The application of the Group's accounting policies is also subject to various judgments made by management. Below we provide an overview of areas involving a higher degree of judgment or complexity and items that are likely to require a material adjustment if estimates and assumptions prove to be incorrect. Detailed information on these estimates and discretionary decisions is included in the other notes, together with the basis of calculation for each financial statement item concerned.

Impairment test of goodwill

Goodwill is subject to an impairment test. Impairment tests are carried out in the fourth quarter of the fiscal year and independently of this if significant events or changes in circumstances occur that indicate a need for impairment.

The goodwill acquired as part of the business combinations was allocated to the respective cash- generating units for impairment testing. To determine the need for impairment, the recoverable amount of a cash-generating unit is compared with its carrying amount.

The recoverable amount of the respective cash-generating unit is determined based on a value-in-use calculation using cash flow projections based on financial budgets prepared by the management for a period of five years. Sixth and seventh year of cash flow projections cover technical convergence phase which is a transition phase into steady phase. All known exogenous factors on the recoverable cash flows were taken into account. The recoverable amount is heavily dependent on the discount rate used in the discounted cash flow method and the expected future cash inflows. The basic assumptions for determining the recoverable amount, including a sensitivity analysis, are explained in Note 7.1.1.

Estimated useful lives

Depreciation and amortization rates are based on estimates of the expected useful lives of property, plant and equipment and intangible assets. The determination of useful lives requires management to make estimates regarding the expected period over which the related assets will generate economic benefits for the Group. These estimates are based on current knowledge and experience and are reviewed regularly. Changes in expected useful lives may result in adjustments to depreciation and amortization expense in future periods. Details of the depreciation and amortization periods are provided in Notes 2.4.4 “Intangible assets” and 2.4.5 “Property, plant and equipment”.

Current and deferred income taxes

Current income taxes are recognized on the balance sheet at the time they are incurred. The actual tax refund claims and tax liabilities for the current period and for previous periods are measured at the amount expected to be refunded by the tax authorities or paid to the tax authorities. The calculation is made taking into account the respective local tax laws and existing case law. The complexity of these regulations and possible differences in their interpretation lead to uncertainties regarding the tax treatment of individual transactions. In accordance with IFRIC 23, these uncertain tax items are measured at the most probable value of a possible claim.

Deferred taxes were capitalized on the loss carryforwards of Group companies existing on the reporting date if it can be assumed according to the planning calculations that the loss carryforwards will be utilized. Deferred tax assets for differences between the tax balance sheet values and the IFRS balance sheet values of the respective companies were offset against deferred tax liabilities. If there is a surplus of deferred tax assets, these were capitalized if it is considered probable that taxable income will be available for this purpose.

Revenue from contracts with customers

As part of revenue recognition, the package prices to be paid by customers are allocated to the two performance obligations ‘production of a stem cell deposit’ and ‘storage of a stem cell deposit’ in proportion to their stand-alone selling prices. As these stand-alone selling prices cannot be determined directly, the Group estimates them using the “expected cost plus a margin” approach, whereby the same relative margin in relation to the respective production costs is taken into account for both performance obligations.

Determination of the period for which an unconditionally enforceable claim to consideration exists:

The Group offers contracts with varying contract durations. In some subsidiaries, it is common for customers to be able to switch between contracts with different contract durations and between prepayments for several years and annual payments with the greatest possible flexibility. In some jurisdictions, there are also statutory termination rights that allow termination even during the contractually agreed minimum contract term. The contract term used for accounting purposes in accordance with IFRS 15 must therefore be derived individually for the various contract types, taking into account all possible factors, whereby estimates regarding the existence of substantial termination rights on the part of the customer are discretionary. In our opinion, the contractual bases include substantial contractual penalties as soon as the exclusion of termination is not legally permissible. On this basis, we derive the Group’s entitlement to remuneration for the service provided over the entire contract period.

The customer concludes a contract for this by taking advantage of a special offer and receives discounts on the initial or basic fee or additional packages. The customer is obliged to repay the amount of these discounts if he withdraws from the contract or terminates it before the end of the contract term. The Management Board assumes that the termination fee is substantial as long as it amounts to at least 10% of the remaining contract volume. As long as a decreasing termination penalty during the first 10 years exceeds 10% of the remaining contract volume, it is assessed as a substantial termination penalty that gives rise to an enforceable claim within the meaning of IFRS 15.

Amongst other contract types for instance for contracts that include a prepayment model with a term of 18 years, the repayment of the prepayment discount, which is reduced over 10 years, constitutes a termination penalty similar to the subscription model. In addition, if the contract is terminated, the customer must also repay a benefit included in the contract for the expired contract term. In this case, the customer loses a benefit as the storage fees are recalculated based on the subscription model for the previous years. Even if the customer is not obliged to repay the benefit and does not receive a refund because the recalculated amount exceeds the amount paid in advance, the lost benefit constitutes a contractual penalty. Thus, the customer's obligation to repay the prepayment discount and the loss of benefit resulting from the 18-year prepayment model (as long as the recalculated storage fee does not exceed the original prepaid amount) can together be considered a substantial termination penalty that creates enforceable rights and obligations.

The substantial termination penalty is an important aspect in the assessment of the contract term to be applied for accounting purposes in accordance with IFRS 15. The determination of the period for which an unconditionally enforceable right to consideration exists has an impact on the total package price of the two performance obligations and on the allocation of revenue to the production of the cell deposit.

Allocation of the transaction price for multi-component transactions:
The expected price development of future storage costs is determined on a quarterly basis. The estimate of the expected price development for storage costs for contracts with a term of up to 50 years is subject to a corresponding degree of uncertainty. The Group includes all currently available information on cost increase rates and useful lives of assets in the estimate.

Leases
Determination of the term of a lease with an extension option:
The Group defines the term of the lease as the non-cancellable term of the lease and all periods covered by an option to extend the lease if it is reasonably certain that the option will be exercised.

The Group has several leases that include extension options. The Group makes an assessment as to whether it is reasonably certain that the option to extend the lease will be exercised.

Determination of the incremental borrowing rate:
The Group is regularly unable to determine the implicit interest rate of a lease. In these cases, the lease liability is measured using the incremental borrowing rate. This is the interest rate that the Group would have to pay under similar economic conditions for a loan – with a similar term and collateral – to acquire an asset with a similar value to the right-of-use asset.

The Group determines the incremental borrowing rate based on observable data such as market interest rates, taking into account company-specific adjustments.

3.2 FINANCIAL RISK MANAGEMENT

3.2.1 Objectives and methods of financial risk management

The Group's aim is to maintain a strong capital base to maintain the confidence of investors, creditors and the markets and to ensure the sustainable development of the Group. The Management Board regularly monitors the return on capital and the level of possible dividends.

The main financial instruments used by the Group comprise interest-bearing loans as well as cash and cash equivalents and short-term investments and are therefore the focus of capital management. The main purpose of these financial instruments is to finance the Group's business activities. The Group has various other financial assets and liabilities, such as trade receivables and trade payables, which arise directly from its business activities. The main risks to the Group arising from financial instruments are explained in Note 7.2.11.

3.2.2 Liquidity risk

The Group's aim is to maintain a balance between continuously covering its cash requirements and ensuring flexibility using loans and medium-term forms of investment such as securities. The Group constantly monitors the risk of any liquidity bottlenecks. The maturities of financial assets and financial liabilities as well as expected cash flows from operating activities are analyzed on an ongoing basis.

The following table shows the contractual undiscounted cash flows relating to the Group´s primary financial liabilities:

EUR thousand	< 1 year	1 to 2 years	> 2 years
Interest-bearing loans	1,937	4,993	6,056
Leasing liabilities	3,399	2,769	5,308
Trade payables and other liabilities	7,657	0	0
Total	**12,993**	**7,762**	**11,363**

All instruments held as of December 31, 2025, and for which payments had already been contractually agreed were included. Planned figures for future new liabilities are not included. Financial liabilities repayable at any time are always assigned to the earliest time frame.

In 2023, the Management Board concluded bank financing tailored to the Group's structure. This replaced the credit lines that expired in both subgroups in 2023 and secures the Group's debt financing in the medium term. During the current reporting period, the agreed fixed-interest loan facility was fully utilized. The first actual repayment under the loan agreement occurred in December 2024.

The Group's liquidity risk is subject to a concentration as debt financing is substantially secured through a centralized bank financing structure. Continued availability of this financing and compliance with the agreed covenant requirements are therefore of particular importance for the Group's liquidity management.

Due to the refinancing completed in 2023 and the measures implemented to actively manage liquidity, including targeted cost reduction measures, active management of the contract structure with a focus on recurring revenues, and active working capital management, the short-term liquidity risk as of December 31, 2025, is assessed as manageable and therefore classified as low. Based on the current planning, compliance with applicable credit terms is expected, provided that the underlying assumptions are achieved. The medium-term planning also shows that the core business – despite a generally difficult macroeconomic environment at present and some other special effects – is developing in financial equilibrium. Furthermore, compliance with the applicable credit terms is also expected, provided that the company's planning assumptions are achieved in the short term. The Management Board therefore expects to be able to further reduce liquidity risks in the medium term.

3.2.3 Credit risk

Credit risk is the risk that a business partner will fail to meet its obligations under a financial instrument, resulting in a financial loss.

Within the FamiCord Group, credit risk primarily relates to trade receivables and contract assets. Other loans are also subject to credit risk; however, the expected credit losses for these assets are not considered significant. The credit risk for cash and cash equivalents is limited, since the Group's counterparties are banks with high credit ratings.

Contract assets are subject to credit risk in a similar manner as trade receivables, as both reflect the customers' future payment ability. As contract assets are generally not overdue, the expected credit loss is measured using the loss rates for non-overdue receivables.

For trade receivables and contract assets, the Group applies the simplified approach under IFRS 9 and recognizes lifetime expected credit losses at each reporting date. Expected credit losses are determined using an impairment matrix based on historical loss experience, adjusted for forward-looking information and differentiated by customer groups with similar risk characteristics.

For purposes of determining expected credit losses, the Group generally considers a financial asset to be in default when contractual payments are more than 90 days overdue, unless reasonable and supportable information indicates that another default criterion is more appropriate in an individual case. In addition, a financial asset may be considered to be in default where there is other objective evidence that the debtor is unlikely to pay its contractual obligations in full.

A financial asset is considered credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred. Such events may include, in particular significant financial difficulties of the debtor, a breach of contract, concessions granted for economic or legal reasons relating to the debtor's financial difficulty, the probability that the debtor will enter bankruptcy or other financial reorganisation, or the disappearance of an active market for that financial asset due to financial difficulties.

Trade receivables and contract assets are written off when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, among others, the failure of the debtor to agree to a repayment plan with the Group or the absence of realistic enforcement prospects. Write-offs do not release the debtor from its legal payment obligation.

The measurement of expected credit losses incorporates probability-weighted outcomes, the time value of money and reasonable and supportable information available at the reporting date about past events, current conditions and forecasts of future economic conditions. Key assumptions include historical default patterns, days past due, customer type, regional risk characteristics and forward-looking adjustments, including updated probabilities of default for both individual and corporate customers.

Further information on expected credit losses, including the development of valuation allowances for trade receivables and contract assets, is provided in note 7.1.7.

Trade receivables

The Group concludes transactions with both private and corporate customers. Outstanding customer receivables and the contract volume are monitored regularly. Credit checks are sometimes carried out by an external credit institution.

The Group's preferred methods of payment are bank transfers, credit cards and prepayments. Decisions on the granting of loans are made taking into account the result of the solvency assessment, the contract value, the due date and the expected outstanding balance.

An analysis of expected credit losses is carried out at each balance sheet date using an impairment matrix. The provision rates are based on days past due for groupings of different customer segments with similar loss patterns (e.g. by geographical region, customer type and coverage by collateral provided by the customer). The calculation reflects the probability-weighted result, the time value of money and reasonable and supportable information available at the balance sheet date about past events, current conditions and forecasts of future economic conditions. The Group's maximum exposure to credit risk from trade receivables corresponds to their carrying amount. There are no significant concentrations of credit risk within the Group. Further information on expected losses and the development of value adjustments can be found under 7.1.7.

3.2.4 Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate due to changes in market prices. The Group's market risk includes interest rate, foreign currency and share price risk.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate due to changes in market interest rates. Movements in market interest rates can have a negative impact on the Group's financial results.

Since the financial liabilities of FamiCord are largely at fixed interest rates as of the reporting date, there are no significant risks from changes in market interest rates. The fixed-interest loan facility concluded in 2023 have a term until 2027. Further details on the loan liabilities can be found in section 7.2.2.

Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument are exposed to fluctuations due to changes in exchange rates. The Group is exposed to increased exchange rate risks as part of its operating activities (if sales and expenses are denominated in a foreign currency). In the reporting period, the Group generated revenue and incurred expenses in Polish zloty (PLN), Romanian leu (RON), Hungarian forint (HUF), Turkish lira (TRY), Swiss franc (CHF), US dollar (USD), Danish krone (DKK), pound sterling (GBP), UAE dirham (AED), Hong Kong dollar (HKD) and Czech Koruna (CZK). The Group's foreign currency risk is concentrated primarily in PLN and CHF, and to a lesser extent in RON and AED, reflecting the significance of the Group's operations and related receivables and payables in Poland, Switzerland, Romania and the Gulf region. Additional exposure exists in TRY, HUF, GBP, DKK, HKD and CZK, but these currencies are less significant in comparison at the reporting date.

A change in the exchange rate can therefore have a fundamental impact on the consolidated balance sheet. For this reason, the effects of changes in the exchange rate are analyzed (the outcome of calculation with same parameters but with opposite sign would give the same impact in opposite direction):

EUR thousand Currency	Trade receivables	Effect increase in exchange rate +10%	Trade payables	Effect decrease in exchange rate -10%
PLN	5,624	562	781	78
RON	1,406	141	272	27
HUF	615	61	101	10
TRY	335	33	283	28
CHF	2,432	243	328	39
DKK	370	37	0	0
GBP	280	28	215	21
AED	1,307	131	321	32
HKD	125	13	21	2
CZK	76	8	57	6

In the comparative year, an analysis of the effects of changes in the exchange rate was as follows:

EUR thousand Currency	Trade receivables	Effect increase in exchange rate +10%	Trade payables	Effect decrease in exchange rate -10%
PLN	1,394	139	2,216	222
RON	1,458	146	80	8
HUF	442	44	111	11
TRY	513	51	351	35
CHF	2,529	253	0	0
DKK	796	80	1	0
GBP	525	53	277	28
AED	1,303	130	302	30
HKD	184	18	24	2

Significant exchange rate fluctuations were recorded for the Turkish currency TRY. Turkey was classified as a hyperinflationary economy during the fiscal year 2022. Therefore, since then IAS 29 “Financial Reporting in Hyperinflationary Economies” applies to our subsidiaries in Turkey. Information on the consideration and consequences on the consolidated financial statements of FamiCord AG can be found in Note 2.3.

Share price risk

The Group holds a 1% stake in NextCell Pharma AB (Stockholm, Sweden), whose shares are listed on the Nasdaq First North Growth Market, and an 8% stake in Dystrogen Therapeutics (Chicago, USA), an unlisted company. Fair value of those investments as of December 31, 2025 amounted to EUR 237 thousand and thus set maximum risk exposure value related with those assets.

The Group performed a sensitivity analysis assuming a reasonably possible change of ±10% in market prices as at the reporting date. Such a change would result in an increase or decrease of profit or loss and equity of approximately ±EUR 9 thousand, assuming all other variables remain constant.

The Group is also exposed to foreign currency risk arising from equity investments denominated in foreign currencies. A ±10% change in relevant exchange rates against EUR would result in an increase or decrease of profit or loss and equity of approximately ±EUR 21 thousand, assuming all other variables remain constant.

Further information on the investments can be found in Notes 7.1.8 and 7.2.11.

3.2.5 Environmental risks

Increased level of uncertainty due to the overall economic situation

Due to the persistently dynamic macroeconomic environment, the degree of uncertainty in the preparation of the consolidated financial statements remains high. Uncertainty factors arose in particular due to the continuing effects of inflationary pressures, the development of interest rates, geopolitical challenges and the efforts of various countries to reduce international dependencies, including related trade restrictions and sanctions.

In addition, the escalation of geopolitical tensions in the Middle East since the end of February 2026, particularly in connection with the conflict involving Iran, has further increased uncertainty with regard to future macroeconomic developments. Potential effects may arise in particular from renewed pressure on energy prices, higher volatility in financial markets, adverse effects on inflation and financing conditions, as well as weaker economic growth and disruptions to international trade and supply chains.

The ongoing war in Ukraine and the escalation of tensions in the Middle East in connection with the conflict involving Iran have not resulted in any significant direct effects on the Group's net assets, financial position and results of operations. The Group is primarily exposed to indirect effects and lower consumer confidence, in particular through higher energy and transportation costs, disruptions in international trade and supply chains, increased market volatility, inflationary pressure and weaker macroeconomic growth.

The Group continuously monitors these developments in connection with its planning, impairment testing and other accounting-related estimates and assumptions. Based on current knowledge, no material direct impact on the consolidated financial statements has been identified. At present, these indirect effects do not lead to any material changes in key accounting assumptions and estimates, nor do they affect the application of the going concern assumption. This applies in particular with regard to the recoverability of non-financial assets. Based on current knowledge, there have been no indications of significant impairments to date. Furthermore, as in previous years, there were no indications that it would have been necessary to deviate from the going concern principle when preparing the consolidated financial statements.

Effects of climate change

Overarching, direct and indirect consequences of climate change are becoming increasingly relevant for internal decision-making processes, as well as management estimates and assumptions. FamiCord anticipates structural, regulatory and technological changes in the market, as well as increased costs due to avoidance technologies or government regulation. The risks associated with climate change include extreme weather events, drought and heat waves. As a result, there are restrictions in the quality of life and potentially also a loss of prosperity in the target markets of the FamiCord Group. These long- term consequences can lead to a decline in the fertility rate and, thus, the market volume of FamiCord. To counteract this risk, FamiCord is particularly endeavoring to further increase its share of the market volume. In addition, the Management Board continuously monitors the consequences of climate change and the associated legislation. The consideration of the risk for the continuation of operations is covered by risk management and controlled operationally in the corporate units. Currently, no significant risks for our business model have been identified in the area of climate change. Therefore, FamiCord does not currently expect any significant effects of such risks on its business model, as well as on the presentation of its net assets, financial position and results of operations.

3.3 CAPITAL MANAGEMENT

The Group's capital management objectives are to ensure the Group's ability to continue as a going concern so that it continues to generate returns for shareholders and benefits for other stakeholders, and to maintain an optimal capital structure to reduce the cost of capital.

Capital comprises the equity reported in the balance sheet. The Management Board also uses various key figures to assess and monitor the capital structure. These include first- and second-degree liquidity as well as the equity and debt ratio. There are no specific targets or objectives for individual ratios or minimum capital requirements. Requirements arising from loan agreements (covenants) are also taken into account as part of capital management.

In assessing its capital structure, the Management Board also considers the current level of equity in the context of the Group's business model and balance sheet characteristics.

The Group operates a business model with long-term customer relationships and an increasing share of recurring revenues, which provides a stable and predictable basis for future cash flows. At the same time, the balance sheet is significantly influenced by accounting effects, in particular contract assets, contract liabilities and deferred revenues, which may impact the reported equity ratio without reflecting a corresponding economic change.

The Management Board continuously monitors the development of equity, liquidity and financing structure and actively manages measures to maintain financial stability and flexibility.

4. COMPOSITION OF THE GROUP

4.1 GENERAL INFORMATION

The direct parent company of FamiCord AG is AOC Health GmbH, headquartered in Germany. The ultimate parent company of FamiCord AG is Active Ownership Group Ltd., based in Cyprus. Mr. Florian Schuhbauer and Mr. Klaus Röhrig are the ultimate controlling parties of FamiCord AG.

FamiCord AG is neither included in published consolidated financial statements nor in consolidated financial statements that are not published.

4.2 CHANGES IN THE SCOPE OF CONSOLIDATION

4.2.1 Acquisitions

On May 28, 2025, PBKM, a wholly owned subsidiary of FamiCord AG, has entered into an agreement with Primecell Advanced Therapy, a.s., Czech Republic, ("Primecell") to acquire a further 69% of the shares in Národní centrum pupečníkové krve s.r.o., Czech Republic (NCP), as well as a further 69% of the shares in Rodinná banka perinatálnych a mezenchymálnych buniek s.r.o., Slovakia (RBPMB).

PBKM thereby increased its stake in NCP and respectively in RBPMB from 26% to 95%. With a 5% shareholding, Primecell remains a shareholder and strategic partner of both entities. PBKM has an option to acquire these remaining 5% of shares as well for a pre-agreed fixed price.

NCP and RBPMB are family stem cell banks focused on the collection, testing, processing and storage of cord blood and cord tissue of newborns. Both companies offer services similar to other companies of FamiCord Group. The acquisition was undertaken to expand the Group's core cell and tissue banking activities in Central Europe, strengthen its presence in the Czech and Slovak markets, and achieve operational and cost synergies through integration with the Group's existing infrastructure. The goodwill recognized arises primarily from expected synergies, access to an established customer base and know-how. Additionally, FamiCord Group and Primecell (Seller of Czech and Slovak companies) intend to cooperate to preserve cells for personalized health enhancing therapies. Further, both parties intend to cooperate in cell-based research, regenerative medicine applications and to share expertise of their R&D teams.

The conditions precedent to the closing have been fulfilled as of June 16, 2025. The acquisition has been accounted for as of June 30, 2025, and, consequently, the companies' results will be included in the consolidated financial statements starting from July 1, 2025. Although control over the acquired entities was obtained on June 16, 2025, preparing financial information from the exact date control was obtained would have required a disproportionate amount of time and effort, involving extensive manual adjustments, without resulting in information that would be materially different or more relevant for the users of the financial statements.

As of December 31, 2025, the Group had completed the purchase price allocation (PPA) process.

Prior to obtaining control, the Group held a 26% equity interest in both entities. In accordance with IFRS 3 "Business Combinations", the previously held equity interest was remeasured to its fair value at the acquisition date. The remeasurement resulted in the recognition of a gain of EUR 154 thousand, which was recognized in financial income. The fair value of the previously held interest at the acquisition date has been included in the calculation of goodwill arising from the business combination.

Non-controlling interests in the acquired companies as of the acquisition date amounted to EUR 51 thousand and were attributable to a 5% ownership interest. The value of the non-controlling interests was measured proportionally to the net assets of the companies.

Based on the final settlement, the fair value of the identifiable assets and liabilities of the companies as at the date control was obtained was as follows:

Národní centrum pupečníkové krve s.r.o. (Czech Republic)	Fair values at the acquisition date [EUR thousand]
Acquired assets	
Intangible assets – customer relations	406
Intangible assets – brand	800
Other intangible non-current assets	6
Property, plant and equipment	114
Inventories	18
Short-term receivables	366
Cash and cash equivalents	261
Other assets	196
Total Assets	**2,167**
Assumed liabilities	
Trade payables	74
Non-current provisions	13
Deferred tax liability	253
Other liabilities	19
Total liabilities	359
Net asset value	**1,808**
Acquired shares	69.00%
Shares already held	26.00%
Purchase price 69%	3,809
Fair value of the 26% share already held	1,220
Minority interests	43
Goodwill at acquisition date	**3,264**

Rodinná banka perinatálnych a mezenchymálnych buniek s.r.o. (Slovak Republic)	Fair values at the acquisition date [EUR thousand]
Acquired assets	
Intangible assets – customer relations	155
Intangible assets – brand	115
Current receivables	55
Cash and cash equivalents	78
Other assets	1
Total assets	**404**
Assumed liabilities	
Trade payables	50
Deferred tax liability	27
Other liabilities	5
Total liabilities	**82**
Net asset value	**322**
Acquired shares	69.00%
Shares already held	26.00%
Purchase price 69%	955
Fair value of the 26% share already held	185
Minority interests	4
Goodwill at acquisition date	**822**

None of the goodwill recognized in both transactions is expected to be deductible for tax purposes.

For Národní centrum pupečníkové krve s.r.o. (NCP), the gross contractual amount of the trade receivables acquired amounted to EUR 385 thousand, while their fair value recognized at the acquisition date was EUR 366 thousand. For Rodinná banka perinatálnych a mezenchymálnych buniek s.r.o. (RBPMB), the gross contractual amount of the trade receivables acquired amounted to EUR 124 thousand, while their fair value recognized at the acquisition date was EUR 55 thousand, reflecting the assessment of expected credit losses on the acquired receivables.

Total acquisition related costs amounted to EUR 476 thousand, of which EUR 184 thousand were incurred in 2024 and EUR 292 thousand in 2025. The costs relate primarily to legal and tax advisory services and were recognized as an expense in profit or loss in the periods in which they were incurred,

The following table presents the revenue and profit or loss of Národní centrum pupečníkové krve s.r.o. (NCP) and Rodinná banka perinatálnych a mezenchymálnych buniek s.r.o. (RBPMB) that have been included in the consolidated income statement since their respective acquisition dates.

EUR thousand	NCP	RBPMB
Revenue since acquisition date	479	166
Profit / loss since acquisition date	12	-66

The following table presents the pro forma revenue and pro forma profit or loss of the combined entity for the entire reporting period, as if the acquisition date had been the beginning of the reporting period. The pro forma information has been prepared for illustrative purposes only and does not necessarily reflect the results that would have been achieved if the acquisition had occurred at the beginning of the reporting period.

EUR thousand	NCP	RBPMB
Pro-forma revenue	957	332
Pro-forma profit / loss	49	-74

On September 16, 2025, PBKM, a wholly owned subsidiary of FamiCord AG, entered into an agreement with Fundacja Rodzinna Novum w organizacji (Poland) and one private individual to acquire 100% of the shares in Novum Sp. z o.o., Poland.

Novum is a family stem cell bank focused on the collection, testing, processing and storage of cord blood and cord tissue of newborns. The company offers services similar to those provided by other entities within the FamiCord Group and, through the acquisition, strengthens its presence on the Polish market, enables operational and cost synergies through integration with the Group's existing infrastructure, and broadens the customer base, supporting long-term recurring revenues.

The acquisition date, defined as the date on which the Group obtained control over Novum Sp. z o.o., was November 28, 2025. The acquisition has been accounted for as of November 30, 2025, and the company's results will be included in the consolidated financial statements starting from December 1, 2025. Based on the final settlement, the fair value of the identifiable assets and liabilities of the acquired company was as follows:

NovBank Komórek Macierzystych Sp. z o.o. (Poland)	Temporary values at date of acquisition [EUR thousand]
Acquired assets	
Intangible assest – customer relations	1,054
Property, plant and equipment	30
Inventories	10
Short-term receivables	167
Cash and cash equivalents	522
Other assets	5
Total Assets	**1,788**
Acquired liabilities	
Trade liabilties	1
Long-term provisions	0
Deferred tax liability	200
Other liabilities	38
Total liabilities	**239**
Net asset value	**1,549**
Acquired shares	100.00%
Purchase price 100%	4,712
Goodwill at date of acquisition	**3,163**

None of the goodwill recognized is expected to be deductible for tax purposes.

The gross contractual amount of the trade receivables acquired amounted to EUR 301 thousand, while their fair value recognized at the acquisition date was EUR 167 thousand, reflecting the assessment of expected credit losses on the acquired receivables.

Total acquisition-related costs amounted to EUR 40 thousand. Of this amount, EUR 8 thousand was incurred in 2024, with the remaining EUR 32 thousand incurred in 2025. The transaction costs relate primarily to legal advisory and tax consulting services and were recognized as an expense in consolidated income statement.

The following table presents the revenue and profit or loss of Novum that have been included in the consolidated income statement since its acquisition date.

EUR thousand	Novum
Revenue since acquisition date	59
Profit / loss since acquisition date	-71

The following table presents the pro forma revenue and pro forma profit or loss of the combined entity for the entire reporting period, as if the acquisition date had been the beginning of the reporting period. The pro forma information has been prepared for illustrative purposes only and does not necessarily reflect the results that would have been achieved if the acquisition had occurred at the beginning of the reporting period.

EUR thousand	Novum
Pro-forma revenue	714
Pro-forma profit / loss	333

4.2.2 Discontinued operations

In June 2025, FamiCord AG decided to discontinue activities related to the development of CAR-T therapies within the Group, as the current operations were generating losses, the expected benefits are significantly further in the future than originally anticipated, and significant additional financing would have been required.

These activities are carried out entirely by FamiCordTx S.A., a company indirectly controlled by FamiCord AG through its direct subsidiary Polski Bank Komórek Macierzystych Sp. z o.o. (PBKM).

On December 31, 2025, the Group lost control over FamiCordTx S.A. as a result of contractual arrangements entered into in connection with a capital increase and changes in governance rights, including the loss of a majority of votes on the Supervisory Board. As a consequence, the Group concluded that it no longer had the practical ability to direct the relevant activities of FamiCordTx S.A.

On that date, the net assets of FamiCordTx S.A. were derecognised to the value of EUR 1,002 thousand. The loss of control resulted in a loss of EUR 790 thousand, which was recorded as a loss for the fiscal year 2025. In total, the result from discontinued operations recognised in the consolidated statement of profit or loss for 2025 amounted to EUR 1,697 thousand and comprised the loss on loss of control of EUR 790 thousand and the operating loss of FamiCordTx S.A. of EUR 907 thousand.

Accordingly, FamiCordTx S.A. is presented as a discontinued operation in the consolidated income statement. As of December 31, 2025, the retained interest in FamiCordTx S.A. is recognised as an investment accounted for using the equity method in the amount of EUR 98 thousand.

The impact of FamiCordTx S.A. on the Group's results of operations is presented below:

EUR thousand	**2025**	2024
Sales revenues	-	3
Cost of sales	-	-
Gross profit on sales	**-**	**3**
Other income	245	1,198
Marketing and selling expenses	-3	-
Administrative expenses	-480	-807
Other expenses	-618	-1,167
EBIT	**-856**	**-773**
Financial income	1	63
Financial expenses	-52	-
Earnings before taxes	**-907**	**-710**
Result from discontinued operations	**-907**	**-710**

Compared to the figures presented in the 2024 financial statements, a reclassification of costs amounting to EUR 1,167 thousand was made, as a result of the correction of a prior period error related to the misclassification of R&D expenses, with the costs being reclassified from cost of sales to other expenses.

Undiluted and diluted earnings per share from discontinued operations amounted to EUR -0.10 in 2025 (previous year: EUR -0.04).

The net cash flows attributable to FamiCordTx S.A. are as follows:

EUR thousand	**01/01/2025 – 12/31/2025**	01/01/2024 – 12/31/2024
Cash flow from operating activities	-463	-981
Cash flow from investing activities	0	-526
Cash flow from financing activities	0	0
Exchange rate-related change in cash and cash equivalents	9	32
Net change in cash	**-454**	**-1,475**

The carrying amounts of the assets and liabilities of FamiCordTx S.A. as at the date control was lost were as follows:

EUR thousand	**12/31/2025**
Other intangible assets	377
Property, plant and equipment	36
Other financial assets	159
Other non-financial assets	122
Cash and cash equivalents	502
	1,195
Trade payables	-17
Other financial liabilities	-15
Other non-financial liabilities	-161
	-193
Net assets	**1,002**

The Group's investment in FamiCordTx S.A., accounted for using the equity method, is exposed to risks primarily related to the early-stage nature of its activities in the development of CAR-T therapies. These include a high level of uncertainty inherent in research and development projects, dependency on the success of clinical and regulatory processes, and the need for significant funding to continue operations.

The investment is also subject to liquidity risk, as the continuation of FamiCordTx S.A.'s activities may depend on its ability to secure external financing. The Group does not, however, have any obligation to provide financial support to FamiCordTx S.A. beyond the carrying amount of its investment.

The summarised financial information of FamiCordTx S.A. is presented below:

EUR thousand	**2025**
Profit / loss from continuing operations	–
Post-tax profit / loss from discontinued operations	-907
Other comprehensive income	–
Total comprehensive income	-907

4.3 LIST OF SUBSIDIARIES

The Group's subsidiaries as of December 31, 2025 are listed below. Unless otherwise stated, the percentage of shares held corresponds to the voting rights held by the Group.

Name	Seat	**Capital share in % 12/31/2025**	Capital share in % 12/31/2024
Direct investments			
Seracell Pharma GmbH	Rostock, Germany	100	100
Novel Pharma S.L.	Madrid, Spain	100	100
Secuvita S.L.	Madrid, Spain	88	88
Vita 34 Gesellschaft für Zelltransplantate mbH	Vienna, Austria	100	100
Vita 34 ApS	Søborg, Denmark	100	100
Polski Bank Komorek Macierzystych Sp. z o.o.	Warsaw, Poland	100	100
eticur GmbH	Munich, Germany	100	100
Indirect investments			
Cilmes Šūnu Banka, SIA	Riga, Latvia	100	100
KRIO Intezet Zrt.	Budapest, Hungary	100	100
Biogenis S.R.L.	Bucharest, Romania	100	100
Sevibe Cells S.L.	Barcelona, Spain	63	63
Yaşam Bankası Saglık Hizmetleri Iç ve Dış Tıcaret Anonım Şirketi	Ankara, Turkey	100	100
DIAGNOSTICA Bank Komórek Macierzystych Sp. z o.o.	Krakow, Poland	100	100
Cryoprofil S.A.	Warsaw, Poland	100	100
Krionet Kft.	Budapest, Hungary	100	100
FamiCord Suisse S.A.	Lugano, Switzerland	100	100
FamiCordTx S.A.	Warsaw, Poland	75	76
Stemlab, S.A.	Cantanhede, Portugal	100	100
Celvitae Biomédica SL	Madrid, Spain	63	63
NGI-LifeScience and Health International, S.A.	Lisbon, Portugal	100	100
FamiCordon S.A.	Madrid, Spain	63	63
Famicord-Acibadem Kordon Kanı Saglık Hizmetleri A.Ş	Istanbul, Turkey	100	100
Sorgente s.r.l.	Milan, Italy	100	100
Centre Marcel-la Mas, S. L.	Barcelona, Spain	57	57
Smart Cells International Ltd.	London, England	100	100
Smart Cells International Middle East FZ LCC	Dubai, United Arab Emirates	100	100
Smart Cells (Hong Kong) Ltd.	Hong Kong	100	100
FamiCord Slovensko (formely: Rodinná banka perinatálnych a mezenchymálnych buniek s.r.o.)	Bratislava, Slovakia	95	26
Národní centrum pupečníkové krve s.r.o.	Ostrava, Czech Republic	95	26
nOvum spółka z ograniczoną odpowiedzialnością	Warsaw, Poland	100	0

During the reporting year, FamiCord AG acquired 100% of the shares in eticur GmbH, Munich, Germany, from Polski Bank Komórek Macierzystych sp. z o.o., resulting in a change from indirect to direct ownership within the Group. In addition, Polski Bank Komórek Macierzystych sp. z o.o. acquired a further 69% of the shares in each of Rodinná banka perinatálnych a mezenchymálnych buniek s.r.o., Bratislava, Slovakia, and Národní centrum pupečníkové krve s.r.o., Ostrava, Czechia. As a result of these transactions, the Group obtained control over both entities and they have been included in the scope of consolidation and fully consolidated from the acquisition date. In the prior year, both entities were classified as associates and accounted for using the equity method. Furthermore, Polski Bank Komórek Macierzystych sp. z o.o. acquired 100% of the shares in nOvum spółka z ograniczoną odpowiedzialnością, Warsaw, Poland, during the reporting year. Vita 34 Slovakia s.r.o. was liquidated during the reporting year and officially removed from the registry court.

Companies with significant minority interests:

	Shares held by minority shareholders	
%	**12/31/2025**	12/31/2024
Secuvita S.L., Madrid, Spain	12.0	12.0
Sevibe Cells Group, Barcelona, Spain	36.6	36.6

The summarized financial information and cash flows for subsidiaries with material non-controlling interests are as follows:

	Secuvita S.L.		Sevibe Cells Group	
EUR thousand	**2025**	2024	**2025**	2024
Non-current assets	3,572	3,762	4,590	4,659
Current assets	3,757	3,778	1,812	1,566
Non-current liabilities	4,087	4,046	5,817	6,095
Current liabilities	1,534	1,972	1,517	1,006
Net assets	1,708	1,522	-932	-876
Sales revenues	2,075	2,312	5,471	5,750
Profit for the period	185	223	-55	329
Overall result	185	223	-55	240
Result attributable to minority interests	22	13	20	129
Cash flow from operating activities	372	705	314	27
Cash flow from investing activities	91	89	-129	-24
Cash flow from financing activities	-452	-138	-304	-178
Net change in cash and cash equivalents	11	655	-118	-174

Shares in associated companies

The Group's associates as of December 31, 2025, are listed below:

Name	Seat	**Capital share in % 12/31/2025**	Capital share in % 12/31/2024
FamiCordTx	Warsaw, Poland	**75**	76

As of December 31, 2025, the Group has one associate, FamiCordTx, in which the Group holds a 75% ownership interest. Despite this majority interest, FamiCordTx is accounted for as an associate, as the Group lost control over the entity on December 31, 2025 due to contractual arrangements entered into in connection with a capital increase and changes in governance rights, including the loss of a majority of votes on the Supervisory Board. Accordingly, the retained interest is accounted for using the equity method in accordance with IAS 28. The investment accounted for using the equity method is immaterial to the Group as of the reporting date.

Non-consolidated subsidiaries, associated companies and other investments

The following shares in non-consolidated subsidiaries and other investments were also held as of the balance sheet date:

Name	Seat	**Capital share in % 2025**	Capital share in % 2024	Equity in EUR thousand	Annual result in EUR thousand
Non-consolidated associated companies					
Kamieniniu lasteliu bankas UAB "Imunolita"[1, 2]	Vilnius, Lithuania	35	35	-262	92
Non-consolidated investments					
NextCellPharma[3]	Huddinge, Sweden	1	1	4,680	-3,640
Dystrogen Therapeutics	Chicago, USA	8	8	Data unavailable	Data unavailable

1 Waiver of inclusion in the consolidated financial statements due to immateriality
2 Equity and annual result according to the annual financial statements as of December 31, 2018
3 Annual Report 2024/2025 as of December 2025

5. SEGMENT REPORTING

5.1 THE BASICS OF SEGMENTATION

Business segments are reported on in a way that is consistent with the internal reporting to the Group's chief operating decision maker. The Group's net assets, financial position and results of operations are assessed at least as part of a monthly report to the Management Board and used as a starting point for strategic decisions.

Since the merger with PBKM on November 9, 2021, the Group has had two strategic divisions, which represent the Group's reportable segments. Both segments are active in the area of stem cell banking but differ in terms of their organizational and operational structure with separate financial information. The products and services of the two segments correspond to the service portfolios of the two subgroups PBKM and Vita 34. In both segments the focus is on the collection, preparation and cryopreservation of stem cells from umbilical cord blood and tissue. The service portfolio of the subgroup PBKM segment also offers additional services in biobanking, such as the freezing of sperm, the storage of adipose tissue or the isolation of cells from the stored material for better access to medical therapies in the future.

The segmentation reflects the reporting structure implemented in the Group as a whole. Based on this internal reporting system, the Management Board, which is responsible for the success of the various segments and the allocation of resources as the main decision-maker, assesses business activities from various perspectives.

The accounting principles for segment reporting correspond to the principles applied to the consolidated financial statements and are to be understood in the same way as IFRS, as applicable in the EU. Therefore, no reconciliation is required due to differences between internal measurement and measurement in accordance with IFRS.

5.2 RESULTS OF THE SEGMENTS

The earnings position of the segments for the fiscal year 2025 is as follows:

EUR thousand	Subgroup Vita 34	Subgroup PBKM	**Total**	Consolidation	Group
Segment sales revenue	17,973	71,518	**89,491**	-1,318	88,173
Cost of sales	-13,006	-28,670	**-41,676**	530	-41,147
Marketing and selling expenses	-6,961	-19,129	**-26,090**	313	-25,777
Administrative expenses	-6,967	-17,280	**-24,247**	534	-23,713
Depreciation, amortization and impairment	-6,488	-6,790	**-13,278**	0	-13,278
EBITDA	-1,917	12,457	**10,540**	58	10,599
Earnings before taxes	**-8,068**	**3,311**	**-4,757**	**-62**	**-4,819**

The line items Cost of sales and Depreciation, amortization and impairment include goodwill impairments of EUR 3,421 thousand in the Vita 34 segment and EUR 1,586 thousand in the PBKM segment. For further information, please refer to note 7.1.1 Goodwill.

The earnings position of the segments for the fiscal year 2024 is as follows:

EUR thousand	Subgroup Vita 34	Subgroup PBKM restated*	**Total**	Consolidation	Group
Segment sales revenue	18,725	64,613	**83,339**	–1,156	82,184
Cost of sales	–16,886	-27,708*	**-44,594**	953	-43,641
Marketing and selling expenses	–6,676	-17,684*	**–24,360**	208	-24,153
Administrative expenses	–7,445	-14,466*	**–21,911**	372	–21,539
Depreciation, amortization and impairment	–10,348	–7,726	**–18,074**	0	–18,074
EBITDA	–2,975	10,393	**7,418**	1,398	8,815
Earnings before taxes	**–13,232**	**1,665**	**–11,567**	**1,317**	**–10,250**

* Previous year´s presentation adjusted; further details are provided in Note 6.2 Cost of sales and Note 6.5 Administrative expenses

In the previous reporting period, the Group recognized impairment losses in accordance with IAS 36.129. In the Vita 34 segment, these included an impairment of prepayments for intangible assets (EUR 699 thousand), as the related projects are no longer expected to be economically viable, as well as a goodwill impairment at the level of the parent company due to updated cash flow projections reflecting lower than expected business results (EUR 6,613 thousand). In the subgroup PBKM segment, a goodwill impairment was recognized in a subsidiary following lower than expected performance and reduced growth prospects (EUR 2,100 thousand).

The differences between the totals from the two sub-segments and the figures for the Group as a whole are due entirely to the consolidation of income and expenses and the consolidation of capital.

EBITDA for the Group as a whole can be reconciled to earnings before taxes as follows:

EUR thousand	**2025**	2024
EBITDA	10,599	8,815
Depreciation and amortization	-8,271	-9,375
Impairment losses	-5,007	-8,698
Other interest and similar income	1,726	523
Income from other securities and loans classified as financial assets	103	189
Interest and similar expenses	-2,271	-1,847
Share in the result of associated companies	-790	143
Earnings before taxes	**-3,911**	**-10,250**

The EBITDA of a segment is used to assess its earnings power, as the Management Board believes that this is the most relevant information when assessing the results of certain segments in relation to other companies operating in these areas.

Differences between the sum of the two segments and the values reported in the Group in the area of other interest and income result from the capital consolidation of both segments in the Group as a whole.

5.3 INFORMATION ON GEOGRAPHICAL AREAS

The Group generates sales of EUR 24,816 thousand (previous year restated: EUR 20,318 thousand) in Poland, EUR 14,436 thousand (previous year: EUR 15,115 thousand) in Germany and EUR 12,892 thousand (previous year restated: EUR 12,684 thousand) in Switzerland. The remaining sales of EUR 36,029 thousand (previous year: EUR 42,824 thousand) are generated in other countries, each with a share of less than 10% of total sales. Sales are generally allocated based on the company's country of residence.

In 2025, the Group revised the allocation of selected revenue items between geographical areas, resulting in the reallocation of revenues amounting to EUR 3,861 thousand in the comparative data for 2024 from Poland to Switzerland.

The Group's non-current assets break down as follows:

EUR thousand	**2025**	2024
Germany	21,225	21,581
Poland	33,337	33,854
Switzerland	13,737	9,140
Portugal	6,477	8,541
Other foreign countries	36,077	26,187
Group	**110,853**	**99,303**

Non-current assets are allocated according to the location of the individual Group company and are presented excluding financial assets relating to affiliated companies and deferred tax assets.

6. NOTES TO THE INCOME STATEMENT

6.1 SALES REVENUES

The sales revenue reported in the income statement for continuing operations is broken down as follows according to the type of service provided:

EUR thousand	**2025**	2024 restated
Revenue processing/manufacturing	52,862	50,556*
Revenue from storage	28,658	27,153*
Other sales	6,653	4,472
	88,173	**82,181**

The allocation of revenue items marked with * was revised in fiscal year 2025. In particular, revenue amounting to EUR 3,633 thousand was presented under storage revenue (before: processing revenue).

Other sales mainly comprise sales from project business and medical services that are not related to the processing and storage of cell deposits. A breakdown of sales by country is provided in section 5.3.

6.2 COST OF SALES

The cost of sales reported in the income statement includes the following expenses:

EUR thousand	**2025**	2024 restated
Personnel expenses	9,205	8,114
External services	10,719	9,967
Impairment losses	5,007	8,698
Cost of materials	8,119	7,570
Depreciation and amortization	6,095	6,876
Other expenses	2,001	2,415
	41,147	**43,640**

The Company reclassified certain costs previously recognized within cost of sales to marketing and selling expenses (Note 6.4) and administrative expenses (Notes 6.5). The reclassification was made following the implementation and harmonization of systems enabling a more detailed and reliable analysis of cost categories. In prior periods, part of marketing and selling expenses and some administrative expenses had been classified as cost of sales and were therefore restated in accordance with IAS 8. In the prior year, marketing and selling expenses of EUR 12,905 thousand and administrative expenses of EUR 3,817 thousand were incorrectly classified as cost of sales.

The allocation of certain cost items was revised in fiscal year 2025. In particular, rental expenses and repair costs of EUR 682 thousand (prior year: EUR 638 thousand) are presented under purchased services (prior year: other expenses).

The impairment losses recognized in the reporting period include impairments of goodwill allocated to FamiCord AG and Stemlab Group. Further details on the impairment tests performed and the underlying assumptions are provided in Note 7.1.1.

Other expenses mainly include miscellaneous operating costs, insurance expenses, and cost of sales related to consumer market activities and non-related entities, as well as travel, taxes and other minor operating expenses.

6.3 OTHER INCOME

The other income reported in the income statement is made up as follows:

EUR thousand	**2025**	2024
CAR-T license settlement	0	1,395
Government grants	69	141
Miscellaneous other income	1,595	1,211
	1,664	**2,747**

The amount in previous year of EUR 1,395 thousand arose as a result of the conclusion of the "Termination Agreement" between PBKM, FamiCordTx and the US licensor and the settlement of obligations under previous agreement between the companies.

Government grants mainly relate to subsidies for research and development. The grants are settled over time to finance ongoing research work and are paid out in accordance with the relevant contracts. There are no unfulfilled conditions or other uncertainties in connection with the government grants.

Miscellaneous other income mainly includes currency differences and continued salary payments by health insurance funds.

6.4 MARKETING AND SELLING EXPENSES

The marketing and selling expenses reported in the income statement are made up as follows:

EUR thousand	**2025**	2024 restated*
Expenses for marketing measures	9,808	9,970
Personnel expenses	11,116	10,501
Depreciation and amortization	866	824
Other expenses	3,987	2,858
	25,777	**24,153**

* For explanation, see Notes 6.2.

Other expenses mainly include consulting costs of EUR 881 thousand (previous year: EUR 862 thousand), IT and internet costs of EUR 433 thousand (previous year: EUR 392), travel expenses of EUR 400 thousand (previous year: EUR 392 thousand) and car rental expenses of EUR 356 thousand (previous year: EUR 330 thousand).

6.5 ADMINISTRATIVE EXPENSES

The administrative expenses reported in the income statement comprise the following components:

EUR thousand	**2025**	2024 restated*
Personnel expenses	13,991	12,916*
Depreciation and amortization	1,315	1,520*
Legal, consulting and auditing costs	3,292	1,152*
Investor Relations	557	471
Other expenses	3,718	5,480*
	22,873	**21,539**

* For explanation, see Notes 6.2.

Other expenses mainly comprise administrative IT costs amounting to EUR 903 thousand (previous year: EUR 857 thousand), postage and telecommunications expenses amounting to EUR 442 thousand (previous year: EUR 471 thousand), bank and transaction fees amounting to EUR 383 thousand (previous year: EUR 386 thousand) and insurance expenses amounting to EUR 373 thousand (previous year: EUR 377 thousand).

In connection with the IAS 8 correction, research and development expenses of EUR 1,992 thousand in 2024, which had previously been presented within administrative expenses, were reclassified and are now reported under other expenses. The prior-year comparative figures were adjusted accordingly. These reclassifications and adjustments have no effect on profit or loss for the period, EBITDA, EBIT or total equity.

6.6 OTHER EXPENSES

Other expenses were incurred in the amount of EUR 1,667 thousand (previous year: EUR 2,908 thousand). They mainly include research and development expenses of EUR 840 thousand (previous year: EUR 1,992 thousand restated, for explanation see Note 6.5) and losses from the disposal of fixed assets in the amount of EUR 166 thousand (previous year: EUR 239 thousand).

6.7 NET IMPAIRMENT LOSSES ON FINANCIAL AND CONTRACT ASSETS

The net impairment losses on financial and contract assets primarily comprises expected credit losses (ECL) recognised under IFRS 9 on the following categories:

- EUR 613 thousand net expenses relate to trade receivables, reflecting the estimated irrecoverable amounts from customers (previous year: EUR 1,003 thousand net expenses).

- EUR 269 thousand net income pertains to contract assets, representing expected credit losses on unbilled amounts arising from contracts with customers under IFRS 15 (previous year: EUR 41 thousand net expenses).

The remaining balance of EUR 172 thousand net expenses (previous year: EUR 210 thousand net expenses) includes actual write-offs of uncollectible trade receivables during the period, where recovery was deemed unlikely and the outstanding amounts were fully derecognized.

The impairment losses are based on forward-looking ECL models, considering historical default rates, macroeconomic factors, and specific customer risks. Reversals of previously recognized impairments are netted against total losses.

6.8 FINANCIAL INCOME

The financial income reported in the income statement comprises the following components:

EUR thousand	**2025**	2024
Interest income	992	191
Gain on remeasurement of previously held equity interest	727	0
Income from currency translation differences	110	266
Income from loans	0	189
	1,829	**646**

The gain on remeasurement of previously held equity interests relates to business combinations accounted for as step acquisitions. In accordance with IFRS 3, the Group remeasured its previously held equity interests to fair value at the acquisition date, with the resulting gain recognised in financial income. Further details are provided in Note 4.2.1.

Interest income includes income from the compounding of long-term receivables in the amount of EUR 11 thousand (previous year: EUR 15 thousand).

6.9 FINANCIAL EXPENSES

The financial expenses reported in the income statement are made up as follows:

EUR thousand	**2025**	2024
Interest expense for leases	428	483
Interest expense for loans and overdrafts	440	482
Expenses from currency translation differences	653	309
Expenses from discounting	136	166
Other financial expenses	614	406
	2,271	**1,846**

Other financial expenses mainly comprise bank commissions and other miscellaneous financial expenses.

6.10 INCOME TAX EXPENSE/INCOME

The main components of income tax expense for the fiscal years 2025 and 2024 are as follows:

EUR thousand	**2025**	2024
Consolidated income statement		
Actual income taxes		
Actual income tax expense for the fiscal year	438	324
Deferred income taxes		
Deferred taxes on the origination and reversal of temporary differences	409	634
Deferred taxes on tax losses carried forward	1,048	1,091
Income tax expense	**1,895**	**2,049**
Consolidated statement of comprehensive income		
Tax expense from the remeasurement of actuarial gains and losses	0	0
Income taxes recognized in other comprehensive income	**0**	**0**

In recent years, the Group has concluded various agreements within the Group. In doing so, the Group strives to ensure an appropriate tax burden for the Group companies. Due to inconsistent case law in some cases, the agreements concluded nevertheless result in risks that could lead to additional tax burdens in the context of tax audits. The Group came to the conclusion that payments for such risks are not probable and did not recognize an uncertain tax liability.

The reconciliation between the income tax expense and the product of the result for the period and the Group's applicable tax rate for the fiscal years 2025 and 2024 is made up as follows:

EUR thousand	**2025**	2024
Earnings before income taxes	**–3,123**	**–9,539**
Income tax income (+) at the Group's tax rate of 19.6% (2024: 21.8%)	671	2,080
Non-taxable income	539	158
Non-deductible expenses	-2,361	-2,507
Expiry of tax loss carryforwards	-31	-809
Unrecognized deferred tax assets on loss carryforwards	-1,128	-1,055
Recognized losses	200	0
Income taxes for previous years	0	33
Differences in tax rates	215	51
Income tax expense	**-1,895**	**–2,049**

Income taxes include corporate income tax and trade tax for domestic companies as well as comparable income taxes for foreign companies. The income tax rate stated for the Group is the weighted average tax rate based on the earnings before income taxes generated in the various countries. The income taxes for previous years result in particular from completed tax audits and tax assessments for previous years.

The average tax rate in the subgroup PBKM tends to be lower than the tax rate in the subgroup Vita 34. As the absolute earnings before taxes of the subgroup PBKM rose in comparison to the previous year, the weighting results in a decrease in the average tax rate in the Group to 19.6% (previous year: 21.8%).

Deferred income taxes break down as follows as of the reporting date:

	Consolidated balance sheet				Consolidated income statement	
EUR thousand	**12/31/2025**		12/31/2024		**2025**	2024
	DTA	DTL	DTA	DTL		
Deferred taxes on temporary differences						
Intangible assets	4	-3,111	4	-3,099	71	415
Property, plant and equipment	0	-1,121	0	-1,100	-4	-26
Rights of use	0	-1,310	0	-1,418	82	-90
Trade receivables	785	-5	737	-74	108	-221
Other non-current assets	6	-413	0	-427	21	-178
Contract assets	13	-7,729	0	-5,672	-1,609	-1,028
Current assets	323	-1	298	-1	24	-11
Interest-bearing loans	0	-175	0	-163	-6	-174
Contract liabilities	11,371	-1,021	10,458	-1,123	812	690
Leasing liabilities	1,418	0	1,549	0	-101	67
Other debt	680	-21	431	-29	192	-79
Offsetting line	-6,499	6,499	-7,506	7,506		
	8,101	**–8,408**	**5,971**	**–5,601**	**–409**	**–634**
Tax loss carryforwards	**3,488**		**4,684**		**–1,048**	**–1,091**
Deferred tax assets	**11,589**		**10,655**			
Deferred tax liabilities		**–8,408**		**–5,601**		
Deferred income tax expense/income					**–1,457**	**–1,725**

The loss carryforwards of the Group companies developed as follows:

Name	Seat	Income tax rate	**12/31/2025 EUR thousand**	12/31/2024 EUR thousand
FamiCord AG	Germany	32%	14,178	10,582
Polski Bank Komorek Macierzystych Sp. z o.o.	Poland	19%	4,256	7,116
eticur GmbH	Germany	30%	6,048	5,892
Celvitae Biomédica, S.L.	Spain	25%	5,176	5,176
Sevibe Cells S.L.	Spain	25%	4,641	4,552
SmartCells International	Great Britain	19%	1,081	2,689
Secuvita S.L.	Spain	25%	1,155	1,827
FamiCord Suisse S.A.	Switzerland	17%–22%	394	1,304
FamiCord-Acibadem Kordon kanı saglık hizmetleri	Turkey	20%	1,639	701
Sorgente S.R.L.	Italy	24%	925	647
NGI	Portugal	21%	392	393
Stemlab S.A.	Portugal	21%	171	0
Yaşam Bankasi Saglik Hizmetleri Iç ve Diş Ticaret anonim şirketiv	Turkey	20%	1.010	344
FamiCordon S.A.	Spain	25%	283	242
Vita 34 ApS	Denmark	22%	0	237
Center Marcel-la Mas, S.L.	Spain	25%	111	111
Cryoprofil Sp. z oo.	Poland	19%	289	61
Novum	Poland	19%	7	0
Total			**41,758**	**41,874**

As of December 31, 2025, deferred tax assets exceeding deferred tax liabilities of EUR 3,182 thousand (2024: EUR 5,055 thousand) were recognized by Group entities, including the ones that suffered a taxable loss in the prior years. This concerned mainly PBKM, FamiCord Suisse S.A. that achieved a taxable income in 2025 due to improved business performance resulting from an increased number of client contracts and implementation of costs reducing measures. The Group has concluded that the deferred tax assets will be recoverable using the estimated future profits based on the business plans of the entities.

Deferred taxes on tax loss carryforwards of Group companies were capitalized if it can be assumed from the planning that the loss carryforwards will be utilized. No deferred tax assets were recognized for tax loss carryforwards amounting to EUR 28,508 thousand (previous year: EUR 26,911 thousand). Deferred taxes are presented in the balance sheet as entirely non-current. Non-current part in accordance with IAS 1.61 amounts to EUR 9,686 thousand of deferred tax asset balance and EUR 7,940 thousand of deferred tax liability. Current income taxes are entirely current.

Some subsidiaries that only perform a holding function have tax loss carryforwards that are available to the Group for offsetting against future taxable profits of the respective companies. However, no deferred tax assets were recognized for these losses, as these losses may not be used to offset the taxable income of other Group companies and to the extent that they arose at an intermediate holding company, which generally does not generate positive taxable income. These losses can only be used under certain conditions, the fulfillment of which is currently not considered likely. The following table shows the tax loss carryforwards for corporate income tax purposes by year of expiry.

Loss carryforwards for corporate income tax purposes Expiry within:	**12/31/2025** **EUR thousand**	12/31/2024 EUR thousand
1 year	1,673	1,489
2 years	1,836	2,363
3 years	2,378	3,589
4 years	1,057	2,480
5 years	1,578	212
After 5 years	0	0
Unlimited carryforward period	33,237	31,742
Total	**41,759**	**41,874**

Loss carryforwards for corporate income tax purposes for which no deferred taxes were recorded Expiry within:	**12/31/2025** **EUR thousand**	12/31/2024 EUR thousand
1 year	291	253
2 years	648	522
3 years	691	1,250
4 years	1,057	820
5 years	1,578	212
After 5 years	0	0
Unlimited carryforward period	24,243	20,874
Total	**28,508**	**23,931**

6.11 PERSONNEL EXPENSES

The expenses for employee benefits break down as follows:

EUR thousand	**2025**	2024
Wages and salaries	28,196	26,761
Social security contributions	6,060	5,346
Expenses for retirement provision	55	216
	34,311	**32,323**

Personnel expenses include wages and salaries of EUR 456 thousand (prior year: EUR 700 thousand) and social security contributions of EUR 86 thousand (prior year: EUR 91 thousand) attributable to discontinued operations.

Social security contributions to statutory pension insurance are classified as benefits to a defined contribution plan and are therefore recognized in full as an expense.

The annual average number of employees in the Group is broken down as follows:

Quantity	**2025**	2024
Management Board	4	3
Other employees	729	773
	733	**776**

The average number of employees includes employees of FamiCordTx S.A. (Other employees: 15) up to November 2025. As FamiCordTx S.A. was no longer fully consolidated as of December 31, 2025, its employees were not included in the headcount at that date.

7. NOTES TO THE BALANCE SHEET

7.1 ASSETS

7.1.1 Goodwill

Goodwill is allocated to the individual subsidiaries or groups of companies as follows:

EUR thousand	**12/31/2025**	12/31/2024
FamiCord AG	7,697	11,118
Stemlab Group (Stemlab S.A., NGI)	5,670	7,255
Smart Cells Holdings Ltd.	4,332	4,559
Narodni centrum pupecníkove krve s.r.o.	3,343	0
NovBank Komórek Macierzystych Sp.z o.o.	3,171	0
FamiCord Suisse S.A.	2,245	2,228
Sevibe Group (Sevibe Cells S.L., FamiCordon, Centre Marcel-la Mas)	1,553	1,556
eticur GmbH	1,378	1,378
Rodinna banka perinatalnych a mezenchymalnych buni	822	0
Secuvita S.L	592	592
DIAGNOSTICA Bank Komórek Macierzystych Sp. z o.o.	573	567
FamiCord-Acibadem Kordon kanı saglık hizmetleri.	403	553
Longa Vita	448	443
Yaşam Bankasi Saglik Hizmetleri Iç ve Diş Ticaret anonim şirketiv	290	304
Krio Intezet Zrt	119	111
	32,637	**30,664**

The development is as follows:

EUR thousand	**2025**	2024
Acquisition costs as of 1/1	56,565	56,389
Acquisition of subsidiaries	7,249	0
Adjustments in accordance with IAS 29	325	93
Currency differences	-510	83
Acquisition costs as of 12/31	**63,629**	**56,565**
Accumulated impairment losses as of 1/1	25,901	17,195
Impairment losses in the fiscal year	5,007	8,713
Currency differences	84	–7
Accumulated impairment losses as of 12/31	**30,992**	**25,901**
Carrying amount as of 1/1	30,664	39,194
Carrying amount as of 12/31	**32,637**	**30,664**

The Group carried out its annual impairment test as of December 31, 2025, in the fourth quarter of the fiscal year 2025 and independently of this if significant events or changes in circumstances occur that indicate a need for impairment. To identify an indication of impairment, the Group considers the relationship between market capitalization and carrying amount in addition to other factors. The impairment tests for the fiscal year 2025 and 2024 resulted in a recoverable amount below the reported carrying amount for two cash-generating units.

The recoverable amounts of the respective cash-generating units are determined based on a value-in- use calculation using cash flow forecasts updated compared to the previous year, which are based on financial plans prepared by the respective company management for a period of five years. Sixth and seventh year of cash flow projections cover technical convergence phase which is a transition phase into steady phase. Cash flows after the seven-year period are extrapolated using a growth rate of 1% to 2%.

The basic assumptions based on which the company management has prepared its cash flow forecasts for goodwill impairment testing are explained below.

The cash flow estimates cover a detailed planning period of five years and additionally two years of convergence period before switching to perpetuity (present value equivalent terminal value). The detailed operational planning for 2026 approved by the Supervisory Board and the Management Board's five- year plan based on this, in which the management incorporates its medium-term expectations based on estimates of cost and price trends, serve as the basis.

Growth rate – Growth rates are determined by economic and other external factors and their impact on future development.

Discount rates – The discount rates were derived from the data of the companies included in the respective peer group, which reflect the subjective risk of this company. The starting point for deriving the capitalization interest rate is a risk-free interest rate, taking into account a country-specific market risk premium and a company-specific beta factor.

The discount rates used for the cash flow forecasts for the individual cash-generating units in the fiscal year are listed below:

in %	Discount rate before taxes 12/31/2025	Discount rate after taxes 12/31/2025
FamiCord AG	11.0%	7.7%
Yaşam Bankasi Saglik Hizmetleri Iç ve Diş Ticaret anonim şirketiv	33.6%	26.5%
FamiCord-Acibadem Kordon kanı saglık hizmetleri	33.6%	26.5%
Krio Intezet Zrt	14.0%	12.7%
Longa Vita	13.2%	10.7%
Sorgente S.R.L.	13.2%	10.0%
Secuvita S.L.	12.2%	9.1%
Stemlab Group (Stemlab S.A., NGI)	9.9%	8.0%
Sevibe Group (Sevibe Cells S.L., FamiCordon S.A.)	12.2%	9.2%
Smart Cells Holdings Ltd.	12.0%	9.7%
FamiCord Suisse S.A.	6.6%	5.6%
eticur GmbH	11.0%	7.7%
NovBank Komórek Macierzystych Sp.z o.o.	13.2%	10.7%
Narodni centrum pupecníkove krve s.r.o.	15.1%	9.7%
Rodinna banka perinatalnych a mezenchymalnych bun	10.9%	9.3%

The discount rates used in the previous year were as follows:

in %	Discount rate before taxes 12/31/2024	Discount rate after taxes 12/31/2024
FamiCord AG	9.2%	8.0%
Yaşam Bankasi Saglik Hizmetleri Iç ve Diş Ticaret anonim şirketiv	34.1%	25.6%
FamiCord-Acibadem Kordon kanı saglık hizmetleri	34.2%	25.6%
Krio Intezet Zrt	12.8%	11.6%
Longa Vita	9.5%	7.6%
Sorgente S.R.L.	13.9%	10.7%
Secuvita S.L.	11.6%	9.6%
Stemlab Group (Stemlab S.A., NGI)	11.4%	9.0%
Sevibe Group (Sevibe Cells S.L., FamiCordon S.A.)	9.6%	9.6%
Smart Cells Holdings Ltd.	11.5%	9.3%
FamiCord Suisse S.A.	7.7%	7.6%
eticur GmbH	10.1%	8.0%

In the fiscal year 2025, the impairment test led to an impairment of goodwill in the amount of EUR 3,421 thousand for FamiCord AG (subgroup Vita 34 operating segment) and EUR 2,713 thousand for Stemlab Group (subgroup PBKM operating segment). The impairment losses were recognized in the cost of sales in each case (Note 6.2). In all cases, the recoverable amount was below the carrying amount.

Impairment tests for those CGUs have been prepared based on the following parameters: EBIT margin in the fifth year of detailed forecast (2030) for FamiCord AG 1.2% (2.3% in 2024) and for Stemlab Group 0.4% (6.9% in 2024); 2% (2% in 2024) growth rate in terminal period have been assumed for both CGUs.

In the comparative year 2024, the impairment test led to an impairment of goodwill in the amount of EUR 6,613 thousand FamiCord AG (subgroup Vita 34 operating segment) and EUR 2,100 thousand for Stemlab Group (subgroup PBKM operating segment). The impairment losses were recognized in the cost of sales in each case (Note 6.2). In all cases, the recoverable amount was below the carrying amount.

The recoverable amounts of the cash-generating units for which an impairment loss was recognized in the fiscal year or comparative year are as follows:

EUR thousand	**12/31/2025**	12/31/2024
FamiCord AG	375	4,542
Stemlab Group (Stemlab S.A., NGI)	5,195	11,228

The impairment losses recognized in the reporting period for FamiCord AG and the Stemlab Group are primarily attributable to a continued underperformance compared to prior expectations, particularly in new customer business and regionally uneven market developments. In addition, the updated mid-term planning reflects more cautious assumptions regarding future profitability, as evidenced by reduced long-term EBIT margin expectations, as well as persistently challenging market conditions, including low birth rates.

Sensitivity of the assumptions made

As part of a sensitivity analysis for the cash-generating units, a reduction in the planned gross profit margins of the perpetual annuity by one percentage point, an increase in the discount rates (after taxes) by one percentage point and a reduction in the perpetual growth rate by one percentage point were assumed.

For the sensitivity analysis, the management has defined the possible changes to these assumptions based on past experience that could lead to a possible impairment. The calculation was carried out in accordance with IAS 36 on the assumption that these changes would not result in any further parameter changes (ceteris paribus). The values assigned to the key assumptions represent the Management Board's assessment of future developments in the relevant sectors and are based on historical values from primarily internal sources.

Due to impairment losses already recognized, a change in the above parameters of more than one percentage point for Stemlab and FamiCord AG cash-generating units leads directly to an additional impairment requirement. In addition, given the limited headroom as at December 31, 2025, a decrease in the long-term growth rate by 1% or an increase in the long-term WACC by 1% would result in the recognition of additional impairment losses for the Czech cash-generating unit and Smart Cells Holdings Ltd.

The sensitivity analysis carried out for the reporting year shows that changes in the parameters for the cash-generating units specified in the table would lead to the following additional impairments:

EUR thousand	**Impairment requirement in the event of a change in the respective parameter per cash-generating unit as of 12/31/2025 (sensitivity analysis)**		
Parameters	Additional impairment if the EBIT margin 2030 is reduced by 1%	Additional impairment if the long-term growth rate is reduced by 1%	Additional impairment if the long-term WACC increases by 1%
FamiCord AG	-4,464	-1,156	-1,088
Stemlab Group (Stemlab S.A., NGI)	-312	-1,279	-1,616
Narodni centrum pupecníkove krve s.r.o.	-	-34	-180
Smart Cells Holdings Ltd	-	-	-16

EUR thousand	**Impairment requirement in the event of a change in the respective parameter per cash-generating unit as of 12/31/2024 (sensitivity analysis)**		
Parameters	Additional impairment if the EBIT margin 2029 is reduced by 1%	Additional impairment if the long-term growth rate is reduced by 1%	Additional impairment if the long-term WACC increases by 1%
FamiCord AG	-5,481	-3,138	-2,346
Stemlab Group (Stemlab S.A., NGI)	-253	-1,842	-2,188

The Group performed a sensitivity analysis of the key assumptions used to determine the recoverable amount. The assumptions analysed were the discount rate (WACC) and the terminal growth rate. The analysis assessed how much these assumptions would need to change for the estimated value in use of the cash generating units (or groups of cash generating units) to equal their carrying amounts. The results are presented in the table below.

Parameters (EUR thousand)	**Excess of recoverable amount over carrying amount**	**Key assumption**	**Assumed value of the key assumption**	**Change in the key assumption required for recoverable amount to equal carrying**
		Terminal growth rate	2 %	0 p.p.
FamiCord AG	0	WACC	5.7% in terminal growth period and 7.7% in the other periods	0 p.p.
		Terminal growth rate	2%	0 p.p.
Stemlab Group (Stemlab S.A., NGI)	0	WACC	8.21%	0 p.p.
		Terminal growth rate	1%	-1.39 p.p.
Smart Cells Holdings Ltd.	1,105	WACC	9.73%	+0.98 p.p.
		Terminal growth rate	1%	-0.9 p.p.
Narodni centrum pupecníkove krve s.r.o.	351	WACC	9.73%	+063 p.p.

7.1.2 Other intangible assets

Other intangible assets developed as follows:

EUR thousand	Development costs	Patents and licenses	Acquired storage contracts	Customer relationships and brand names	Advance payments made	**Total**
Acquisition costs as of January 1, 2025	**911**	**8,712**	**25,055**	**9,951**	**702**	**45,331**
Additions	243	300	0	0	0	543
Additions from acquisition of subsidiaries	0	27	1,618	920	0	2,565
Disposals	-3	-696	0	0	1	-698
Application of IAS 29	0	85	0	0	0	85
Currency differences	3	-50	11	76	0	41
Acquisition costs as of December 31, 2025	**1,154**	**8,378**	**26,684**	**10,947**	**703**	**47,866**
Accumulated amortization and impairment losses as of January 1, 2025	-889	-7,560	-17,081	-5,552	-699	-31,782
Amortization and impairment losses for the fiscal year	-2	-298	-1,383	-555	0	-2,238
Amortization from acquisition of subsidiaries	0	-21	0	0	0	-21
Disposals	3	245	0	0	0	248
Application of IAS 29	0	-79	0	0	0	-79
Currency differences	0	49	-9	-27	-1	11
Accumulated amortization and impairment losses as of December 31, 2025	**-888**	**-7,664**	**-18,473**	**-6,134**	**-700**	**-33,860**
Carrying amount as of January 1, 2025	22	1,152	7,973	4,399	3	13,549
Carrying amount as of December 31, 2025	**265**	**714**	**8,210**	**4,813**	**3**	**14,006**

Overview of intangible assets as of December 31, 2024:

EUR thousand	Development costs	Patents and licenses	Acquired storage contracts	Customer relationships and brand names	Advance payments made	**Total**
Acquisition costs as of January 1, 2024	1,308	10,084	25,034	9,822	303	46,550
Additions	48	197	0	14	400	659
Disposals	0	–1,701	0	0	0	–1,701
Application of IAS 29	0	109	0	0	0	109
Currency differences	–445	20	21	116	0	–288
Acquisition costs as of December 31, 2024	**911**	**8,709**	**25,055**	**9,952**	**702**	**45,328**
Accumulated amortization and impairment losses as of January 1, 2024	1,076	7,627	15,599	4,962	0	29,264
Amortization and impairment losses for the fiscal year	3	619	1,463	555	699	3,340
Disposals	0	–826	0	0	0	–826
Application of IAS 29	0	131	0	0	0	131
Currency differences	–191	5	20	35	0	–130
Accumulated amortization and impairment lossesas of December 31, 2024	**889**	**7,557**	**17,082**	**5,552**	**699**	**31,779**
Carrying amount as of January 1, 2024	231	2,457	9,435	4,860	303	17,286
Carrying amount as of December 31, 2024	**22**	**1,152**	**7,973**	**4,399**	**3**	**13,549**

The acquired contracts, customer relationships and brand names include the following material assets as of December 31, 2025:

EUR thousand	Book value	Remaining useful life
Acquired storage contracts Seracell	3,952	7 to 12 years
Acquired storage contracts Vita 34 ApS	1,992	7 years
Trademark rights Smart Cells Holding	1,119	6 years
Acquired storage contracts Secuvita	439	1 years
Customer relations Smart Cells Holding	1,261	21 years
Trademark rights Sorgente	423	5 years
Bebecord trademark rights	385	4 years
Customer relations Acibadem	472	19 years
Acquired storage contracts Vivocell	117	1 years
Trademark rights Bebe 4d	133	4 years
Trademark rights eticur GmbH	116	5 years
Acquired storage contracts Smart Cells Holding	95	16 years
Acquired storage contracts Stellacure	10	12 years
Acquired storage contracts Narodni centrum pupecníkove krve s.r.o.	401	25 years
Acquired storage contracts Rodinna banka perinatalnych a mezenchymalnych buni	153	25 years
Acquired storage contracts NovBank Komórek Macierzystych Sp.z o.o.	1,053	23 years
Trademark Narodni centrum pupecníkove krve s.r.o.	790	25 years
Trademark Rodinna banka perinatalnych a mezenchymalnych buni	113	25 years
Total	**13,023**	

7.1.3 Property, plant and equipment

Property, plant and equipment developed as follows in the reporting year:

EUR thousand	Land and buildings, leasehold improvements	Technical equipment	Operating equipment	**Total**
Acquisition costs as of January 1, 2025	**9,831**	**29,811**	**10,696**	**50,339**
Additions	523	3,480	246	4,249
Additions from acquisition of subsidiaries	0	289	375	664
Disposals	-305	-130	-102	-537
Application of IAS 29	0	316	159	475
Transfer	0	226*	0	226
Currency differences	17	-299	-114	-396
Acquisition costs as of December 31, 2025	**10,066**	**33,693**	**11,260**	**55,019**
Accumulated depreciation and impairments as of January 1, 2025	**-4,105**	**-14,092**	**-7,334**	**-25,531**
Depreciation of the fiscal year	-580	-1,480	-828	-2,888
Amortization from acquisition of subsidiaries	0	-174	-351	-525
Disposals	29	202	93	324
Application of IAS 29	0	-241	-164	-405
Currency differences	-15	156	112	253
Accumulated depreciation and impairments as of December 31, 2025	**-4,671**	**-15,629**	**-8,472**	**-28,772**
Carrying amount as of January 1, 2025	5,726	15,720	3,362	24,808
Carrying amount as of December 31, 2025	**5,395**	**18,064**	**2,788**	**26,247**

* Transfer of leased assets to company owned assets.

Property, plant and equipment developed as follows in the previous year:

EUR thousand	Land, buildings, leasehold improvements	Technical installations	Operating equipment	**Total**
Acquisition costs as of January 1, 2024	9,761	27,935	10,124	47,820
Additions	109	1,477	479	2,065
Disposals	0	–532	–174	–706
Transfers	0	253*	0	253
Currency differences	–38	327	87	376
Acquisition costs as of December 31, 2024	**9,831**	**29,811**	**10,696**	**50,339**
Accumulated depreciation and impairment losses as of January 1, 2024	3,499	12,755	6,277	22,531
Depreciation for the fiscal year	568	1,443	958	2,969
Disposals	0	–496	–163	–659
Application of IAS 29	0	260	217	477
Currency differences	38	129	45	211
Accumulated depreciation and impairment losses as of December 31, 2024	**4,105**	**14,091**	**7,334**	**25,529**
Carrying amount as of January 1, 2024	6,262	15,180	3,847	25,288
Carrying amount as of December 31, 2024	**5,726**	**15,720**	**3,362**	**24,808**

* Transfer of leased assets to company owned assets.
There was a transfer of EUR 102 thousand storage tanks and EUR 151 thousand vehicles.

7.1.4 Rights of use

The right-of-use assets from leases developed as shown in the following table:

EUR thousand	Land and buildings	Operating equipment	**Total**
Acquisition costs as of January 1, 2025	**19,418**	**3,622**	**23,040**
Additions	375	720	1,094
Additions from acquisition of subsidiaries	26	0	26
Modification of leases	645	-269	376
Disposals	-458	-183	-641
Transfers	0	-226*	-226
Currency differences	-136	-37	-173
Acquisition costs as of December 31, 2025	**19,870**	**3,627**	**23,497**
Accumulated depreciation and impairment losses as of January 1, 2025	-9,746	-1,717	-11,463
Depreciation for the fiscal year	-2,450	-702	-3,152
Disposals	491	403	894
Currency differences	33	22	55
Accumulated depreciation and impairment losses as of December 31, 2025	**-11,672**	**-1,994**	**-13,666**
Carrying amount as of January 1, 2025	9,672	1,904	11,577
Carrying amount as of December 31, 2025	**8,199**	**1,633**	**9,832**

* Transfer of leased assets to company owned assets.

The right-of-use assets from leases developed as follows in the previous year:

EUR thousand	Land and buildings	Operating equipment	**Total**
Acquisition costs as of January 1, 2024	**18,220**	**3,851**	**22,071**
Additions	777	798	1,575
Modification of leases	1,216	-425	791
Disposals	-921	-282	-1,203
Transfers	0	-253*	-253
Currency differences	126	-67	58
Acquisition costs as of December 31, 2024	**19,418**	**3,622**	**23,041**
Accumulated depreciation and impairment losses as of January 1, 2024	8,141	1,761	-9,902
Depreciation for the fiscal year	2,409	657	3,066
Disposals	-850	-293	-1,144
Currency differences	46	-407	-360
Accumulated depreciation and impairment losses as of December 31, 2024	**9,746**	**1,719**	**11,465**
Carrying amount as of January 1, 2024	10,079	2,090	12,169
Carrying amount as of December 31, 2024	**9,672**	**1,904**	**11,576**

* Transfer of leased assets to company owned assets.
There was a transfer of EUR 102 thousand storage tanks and EUR 151 thousand vehicles.

Leases resulted in the following effects on earnings for the period:

EUR thousand	**2025**	2024
Depreciation of leases	3,151	3,066
Expenses from short-term leases	1,082	808
Expenses from low-value leases	431	828
Interest expense for leases	428	483
Expenses from leases	**5,092**	**5,185**

Total payments for leases in the fiscal year amounted to EUR 4,787 thousand (previous year: EUR 4,878 thousand).

The Group has concluded various lease agreements that include an extension option. The management assesses whether this extension option can be exercised with sufficient certainty.

Some of the Group's lease agreements include options to extend the lease term by up to 2 years. These options were included in the measurement of the lease liability where their exercise was judged to be economically probable (e.g., due to long-term usage intentions or significant switching costs). The weighted average lease term, including probable extensions, is approximately 3 years (previous year: approximately 3 years).

In the current reporting year, no optional periods were excluded from the lease term, as there were no lease contracts for which the exercise of extension options was considered not reasonably certain.

7.1.5 Inventories

Inventories are made up as follows:

EUR thousand	**12/31/2025**	12/31/2024
Raw materials and supplies	2,856	2,715
Work in progress	0	5
Finished products	297	212
	3,153	2,933

In 2025, impairment losses on inventories in the amount of EUR 619 thousand (previous year: EUR 311 thousand) were recognized under cost of sales.

7.1.6 Contract assets

The contract assets developed as follows:

EUR thousand	**2025**	2024
Value as of January 1	21,000	13,012
New acquired companies	54	0
Additions	13,937	12,184
Disposal due to billings	-3,726	–4,594
Net Impairment	-269	41
Currency differences	-520	357
Status as of December 31	**30,476**	**21,000**

The contract assets are made up as follows:

EUR thousand	**12/31/2025**	12/31/2024
Non-current contract assets	25,296	17,275
Current contract assets	5,180	3,726
	30,476	**21,000**

Non-current contract assets include balances from annual payer contracts with terms ranging from two to ten years. The increase in non-current contract assets in the reporting year is mainly attributable to new additions and to a higher proportion of clients opting for annual payer contracts. This development increased the carrying amount of non-current contract assets.

7.1.7 Trade receivables

Trade receivables break down as follows:

EUR thousand	**12/31/2025**	12/31/2024
Non-current trade receivables	219	278
Current trade receivables	15,588	13,698
	15,807	**13,976**

Under prepayment contracts, the customer pays for the storage of the stem cell deposit in advance for a period of 25 to 50 years. However, it is assumed that the benefits of the prepayment option do not constitute a provision of financial resources but rather help the Group to ensure the profitability of its revenue-generating activities. Based on the above assessment, it is estimated that the exemption under IFRS 15.62 (c) applies to the contract type and that there is no significant financing component.

At the same time, trade receivables with a term of more than twelve months are reported separately under non-current assets and discounted using a standard market interest rate.

The value adjustments on trade receivables developed as follows:

EUR thousand	**2025**	2024
Value adjustments as of January 1	4,831	4,015
Additions (expenses for impairment)	613	1,003
Utilization	–115	–213
Reversal	–367	–116
Currency differences	26	7
Changes in the scope of consolidation	276	0
Other	515	135
Status as of December 31	**5,779**	**4,831**

In the fiscal year 2025, expenses for the complete derecognition of trade receivables in the amount of EUR 172 thousand (previous year: EUR 210 thousand) were recognized. All expenses from valuation allowances and derecognition of trade receivables are reported in the Profit and Loss line Net Impairment on financial and contract assets.

Trade receivables are written off (complete derecognition) if there is no reasonable expectation of collecting the receivable. Indicators that suggest that there is no reasonable prospect of collecting the receivable include the failure of a debtor to agree on a repayment plan with FamiCord. The group did not have any financial assets written off that were still subject to enforcement activity.

7.1.8 Other financial assets

Other financial assets are made up as follows:

	12/31/2025		12/31/2024	
EUR thousand	**Total**	Thereof short-term	**Total**	Thereof short-term
Equity Investments	233	0	278	0
Loans to third parties	460	460	526	0
Restricted cash	69	0	77	0
Other	1,425	750	1,648	1,641
	2,187	**1,205**	**2,529**	**1,641**

In the prior year, the Group presented receivables from CryoSave of EUR 816 thousand in the other line item, relating to the past settlement of the loan. A corresponding amount was recognised under other financial liabilities (Note 7.2.9). Both items reflected the possible mutual settlement based on the legal status of the transaction. In 2025, the receivable was offset against the corresponding liability and is therefore no longer presented under other financial assets.

7.1.9 Other non-financial assets

Other non-financial assets are made up as follows:

	12/31/2025		12/31/2024	
EUR thousand	**Total**	Thereof short-term	**Total**	Thereof short-term
Deferred expenses	2,546	1,012	2,601	1,094
Other assets	900	900	654	395
	3,446	**1,911**	**3,255**	**1,489**

The deferred expenses for the storage of cell deposits reported under non-financial assets correspond to the value of the services paid in advance for the storage of cell deposits and other biological materials over a period of between one and 30 years.

7.1.10 Cash and cash equivalents

Cash and cash equivalents break down as follows:

EUR thousand	**12/31/2025**	12/31/2024
Restricted cash	2,639	2,784
Cash and cash equivalents	9,239	14,039
	11,878	**16,823**

In the line restricted cash, the Group presents primarily cash balances held by SCIME that are restricted as security for maintaining the license to operate in the UAE.

7.2 EQUITY AND DEBT

7.2.1 Equity

The **subscribed capital** shows the capital stock of FamiCord AG in accordance with the articles of incorporation and bylaws, pursuant to German stock corporation law. Equity is divided into 17,640,104 (prior year: 17,640,104) no-par value registered common shares, to which a pro rata amount of EUR 1.00 per share is allocated.

The **capital reserve** includes payments made in excess of the share capital and other payments by shareholders as part of capital measures as well as reserves from expired, unutilized share option plans.

The accumulated **losses carried forward** include the cumulated results and the current result for the period.

The Management Board and Supervisory Board of FamiCord AG propose that the result for the period in the annual financial statements of FamiCord AG as of December 31, 2025, shall be carried forward to new account.

Actuarial gains and losses from defined benefit pension plans, gains and losses from financial assets measured at fair value through other comprehensive income and gains and losses from foreign currency translation are reported under **other reserves**.

As in the previous year, the Group held 208,342 **treasury shares** as of the balance sheet date.

Authorized capital

In accordance with Sec. 7 (2) of the Articles of Association of FamiCord AG, there is authorized capital. By resolution of the Annual General Meeting on June 28, 2024, the Management Board is authorized, with the approval of the Supervisory Board, to increase the Company's share capital once or several times by up to a total of EUR 8,820,052 by issuing up to 8,820,052 new no-par value ordinary registered shares against cash or non-cash contributions in the period up to June 27, 2029.

Authorized Capital 2024 was not utilized in the fiscal year 2025.

Conditional capital

The Annual General Meeting held on June 28, 2024, resolved to conditionally increase the share capital by up to EUR 8,820,052.00 through the issuance of up to 8,820,052 registered no-par-value shares (Conditional Capital 2024/I). This serves to grant shares to the holders or creditors of convertible and/or option bonds issued pursuant to the authorization granted by the Annual General Meeting. Conditional Capital 2024/I became effective upon registration of the corresponding amendment to the Articles of Association (Section 7 (3)) in the commercial register of the competent Local Court of Leipzig as of August 29, 2024. The authorization for Conditional Capital 2024 remains valid until June 27, 2029, unless fully utilized or revoked earlier by a shareholders' resolution.

Conditional Capital 2024/I was not utilized in the fiscal year 2025.

7.2.2 Interest-bearing loans

The interest-bearing loans are as follows:

	12/31/2025		12/31/2024	
EUR thousand	**Total**	Thereof short-term	**Total**	Thereof short-term
Liabilities to banks	12,886	1,835	5,720	1,970
	12,886	**1,835**	**5,720**	**1,970**

The loan liabilities are made up as follows:

EUR thousand	Interest rate in %	Maturity	**12/31/2025**	12/31/2024
Credit line FamiCord	6.25	2027	6,000	0
Fixed-rate loan FamiCord	6.25	2027	5,998	4,321
Stemlab, SA loan	EURIBOR + 1.1	2028	278	393
Stemlab, SA loan	EURIBOR + 4.0	2026	200	223
Stemlab, SA loan	EURIBOR + 1.5	2026	167	250
Stemlab, SA loan	EURIBOR + 2.5	2026	118	250
FamiCord Suisse loan	1.50	2027	94	140
Sorgente loan	EURIBOR + 1.75	2027	60	93
Stemlab, Sorgente loan	2.6	2026	19	47
Sorgente loan	2.1	2026	19	45
Stemlab, SA loan	0	2026	14	5
Stemlab, SA loan	EURIBOR + 2.0	2026	11	55
Stemlab, SA loan	0	2026	9	28
SmartCells International loan	2.5	2027	6	18
CMM loan	1.5	2025	0	5
			12,993	**5,873**

The difference of EUR 107 thousand (prior year: EUR 153 thousand) between this list of loan liabilities and the reported value of EUR 12,886 thousand results from adjustments using the effective interest method.

The fixed-rate loan of FamiCord AG in the amount of EUR 5,998 thousand (maximum amount: EUR 7,142 thousand) and the overdraft facility in the amount of EUR 6,000 thousand (credit line of EUR 10,000 thousand) are collateralized as follows:

There is a blanket assignment of the borrower's receivables from deliveries of goods and services against the third-party debtors (EUR 1,913 thousand) beginning with the letters A-Z as well as assignment by way of security of the borrower's fixed assets at the Leipzig site, Perlickstraße 5, together with assignment of the claims from the existing and future damage insurance policies for the collateral.

In addition, there is a security transfer of ownership of the fixed assets of the company at the Leipzig location (EUR 6,390 thousand) and the fixed assets of Seracell Pharma GmbH at the Rostock location (EUR 1,434 thousand).

In addition, the following collateral is provided by other group entities:

There is an unlimited guarantee totaling EUR 18,000 thousand from Polski Bank Komórek Macierzystych Sp. z o. o., Warsaw, as well as a collateral assignment of the fixed assets of Seracell Pharma GmbH at the Rostock site, together with the assignment of claims from existing and future damage insurance policies for the collateral.

Under the agreement, the Group must comply with certain financial covenants.

As of December 31, 2025, the group holds liabilities amounting to EUR 12.0 million, which are subject to specific covenants under a loan agreement.

According to the contractual terms, the group is required to comply with a specific financial ratio (a maximum net leverage ratio of 3.0) at all times. If this condition is not met, the lender could demand immediate repayment of the loan or adjust the loan terms.

As of the reporting date, there were no breaches of the agreed covenants.

In addition, the Group is subject to a ring-fencing arrangement under which the borrower is required to retain its assets within the entity. This restricts, in particular, the transfer of funds and other assets to other Group entities as well as the ability to participate in cash pooling or to distribute dividends.

7.2.3 Other provisions

Other provisions developed as follows:

EUR thousand	**2025**	2024
As of January 1 of the fiscal year	429	405
Additions	372	101
Usage	18	65
Release	47	12
Changes in consolidation scope	14	0
Currency differences	0	0
As of December 31 of the fiscal year	**750**	**429**

The provisions mainly include provisions for therapy cost subsidies in the event that a drug is used, insofar as these subsidies are contractually agreed.

7.2.4 Pension provisions

In 2014, the pension commitment with a former member of the Management Board was revised. Accordingly, the pension commitment valid until then was limited to the entitlements earned up to July 31, 2014. This is a defined benefit pension plan (funded), for which contributions were made to a separately managed pension fund. The amounts included in the financial statements have developed as follows:

EUR thousand	**12/31/2025**	12/31/2024
Present value of the defined benefit obligation	293	311
Fair value of the plan assets	–425	–419
Effects from the recognition cap	132	108
Liability from the defined benefit obligation	**0**	**0**

In accordance with IAS 19.113, the present value of the defined benefit obligation and the fair value of the plan assets are netted. The plan assets include a long-term fund for the fulfillment of employee benefits that precisely covers all promised benefits in terms of their amount and due date. The recognition of plan assets is therefore limited to the present value of the obligations covered.

Development of the present value of the defined benefit obligation:

EUR thousand	**2025**	2024
Present value of the defined benefit obligation as of January 1	311	308
Interest expense	11	11
Revaluations		
Actuarial gains/losses due to changes in financial assumptions	-29	-8
Present value of the defined benefit obligation as of December 31	**293**	**311**

Development of the fair value of plan assets:

EUR thousand	**2025**	2024
Fair value of plan assets as of January 1	419	412
Employer contribution	0	0
Interest income	15	14
Surplus payments	-3	0
Revaluations		
Income from plan assets excluding amounts included in net interest expenses and income	–6	–7
Fair value of plan assets as of December 31	**425**	**419**

The pension obligations as of December 31, 2025, were measured using the Heubeck RICHTTAFELN 2018 G biometric calculation basis in accordance with the projected unit credit method.

The calculation was based on the following assumptions:

in %	**12/31/2025**	12/31/2024
Discount rate	4.2	3.6
Salary trend	0.0	0.0
Pension trend	1.9	1.9

Due to the reinsurance policy taken out, no effects on the obligation from the pension plan or cash outflows by the company are expected in subsequent years.

7.2.5 Deferred benefits

The investment grants and subsidies reported under grants developed as follows:

EUR thousand	**2025**	2024
As of January 1 of the fiscal year	768	848
Additions	0	0
Repayment	–41	–23
Released to income	–69	–59
Currency differences	1	2
As of December 31 of the fiscal year	**659**	**768**
Short-term benefits	83	143
Long-term benefits	576	625
As of December 31 of the fiscal year	**659**	**768**

The grants are amortized on a straight-line basis over the useful life of the subsidized assets.

7.2.6 Repayment obligations

The repayment obligations are fully classified as current and have developed as follows:

EUR thousand	**12/31/2025**	12/31/2024
Repayment liabilities	27,345	27,015
	27,345	**27,015**

The repayment liabilities include customers' repayment claims to which they are entitled if they switch to another contract model or exercise a statutory right of termination before the end of the minimum contractual term.

7.2.7 Contract liabilities

EUR thousand	**12/31/2025**	12/31/2024
Obligation to fulfill concluded storage contracts – long-term	2,449	2,732
Obligation to fulfill concluded storage contracts – short-term	218	223
	2,667	**2,955**
Prepayment for storage – long-term	67,369	62,287
Prepayment for storage – short-term	12,012	9,789
	79,381	**72,076**
	82,048	**75,031**

The obligations to fulfill storage contracts are obligations assumed as part of business combinations for the storage of stem cell deposits over a contract-specific storage period. When they expire, the short-term obligations to fulfill concluded storage contracts will be recognized as income in the fiscal year 2026. The non-current portion of the obligations will be recognized in income from the fiscal year 2027.

The Group´s remaining performance obligations, which are contracted, but not prepaid by the client, amount to EUR 9,138 thousand as of the reporting date (previous year: EUR 7,940 thousand). This obligation recognizes as revenue from the remaining storage services to be provided, which will be fulfilled over the remaining contractual period ranging from one to nine years.

The obligation to fulfill concluded storage contracts developed as follows in the reporting period:

EUR thousand	**2025**	2024
As of January 1 of the fiscal year	2,955	3,231
Prepayments from previous periods included in revenue from storage	–223	–145
Other	–65	–131
As of December 31 of the fiscal year	**2,667**	**2,955**

Prepayments for storage include storage fees received in advance from customers for periods of between one year (short-term) and 50 years (long-term), which are recognized as revenue on a straight-line basis over the storage period.

The item developed as follows in the reporting period:

EUR thousand	**2025**	2024
As of January 1 of the fiscal year	71,957	63,398
Prepayments from previous periods included in revenue from storage	–9,789	–7,063
Prepayments received and accrued in the fiscal year	17,213	15,622
As of December 31 of the fiscal year	**79,381**	**71,957**

7.2.8 Trade accounts payable

Trade payables amount to EUR 6,051 thousand (previous year: EUR 6,478 thousand), are non-interest-bearing and are normally due within 14 to 30 days.

7.2.9 Other financial liabilities

Other financial liabilities are made up as follows:

	12/31/2025		12/31/2024	
EUR thousand	**Total**	Thereof short-term	**Total**	Thereof short-term
CryoSave liability	0	0	816	816
Liabilities for acquired shares	1,851	1,258	0	0
Other	267	267	808	808
	2,118	**1,525**	**1,624**	**1,624**

The amount of EUR 1,851 thousand relates to liabilities for acquired shares and arises primarily from the obligation to pay for shares in Novum that have already been acquired. As a result of the transaction, the Group obtained full control over Novum; however, the purchase price is payable in instalments over an agreed period. Further details regarding the acquisition are described in Note 4.2.1.

In the prior year, the CryoSave liability (EUR 816 thousand) represented the amount recognised in connection with the legal risk relating to the validity of the repayment received for the loan granted to CryoSave. In 2025, this liability was settled against the corresponding claim (note 7.1.8) and is therefore no longer presented under other financial liabilities.

7.2.10 Other non-financial liabilities

Other non-financial liabilities break down as follows:

	12/31/2025		12/31/2024	
EUR thousand	**Total**	Thereof short-term	**Total**	Thereof short-term
Employee and Management Board benefits	2,741	2,741	2,849	2,849
Liabilities from taxes	1,098	1,098	1,177	1,177
Liabilities within the framework of social security	530	530	467	467
Other non-financial liabilities	910	910	148	148
	5,279	**5,279**	**4,641**	**4,641**

Other non-financial liabilities mainly include liabilities for employee and Management Board benefits (such as accrued bonuses and vacation pay), obligations from taxes and for social security contributions.

Other non-financial liabilities also include liabilities for the cash-settled share-based payment of EUR 118 thousand (previous year: EUR 13 thousand). For further information please refer to Note 9.2.

7.2.11 Additional disclosures on financial instruments

The carrying amounts of the financial assets and financial liabilities are shown in the following tables. The fair value of non-current interest-bearing loans is determined using a DCF model. The main input factors are the risk-free interest rates observable on the market and a credit spread specific to FamiCord and dependent on the term. The fair value corresponds to level 3 of the fair value hierarchy. Otherwise, the fair value of the financial assets and other financial liabilities corresponds approximately to the carrying amount.

EUR thousand	**12/31/2025**	12/31/2024
Financial assets		
Financial assets at amortized cost		
Trade receivables	15,807	13,976
Other financial assets	1,885	2,182
Financial assets at fair value through profit or loss		
Other financial assets	233	121
Financial assets at fair value through other comprehensive income		
Other financial assets	158	157
Total financial assets	**18,083**	**16,436**
Financial liabilities		
Financial liabilities at amortized cost		
Interest-bearing loans	12,886	5,720
Trade payables	6,051	6,478
Other financial liabilities	2,118	1,624
	21,055	13,823
Total financial liabilities	**21,055**	**13,823**

Trade receivables, other financial receivables, trade payables and other financial liabilities generally have short residual terms; the values recognized in the balance sheet approximate the fair values.

The fair values of non-current trade receivables with remaining terms of more than one year correspond to the present values of the payments associated with the assets using a standard market interest rate. They are categorized in level 3 of the fair value hierarchy. Financial assets measured at fair value through profit or loss as well as those measured through other comprehensive income are categorized in level 2 of the fair value hierarchy. Fair value of loans granted to third parties presented within other financial assets in the balance sheet (Note 7.1.8) did not differ significantly from the carrying amount as of December 31, 2025.

The net results of financial assets and financial liabilities by measurement category were as follows:

EUR thousand	Financial income	Financial expenses	Impairments	**Total**
2025				
Financial assets at amortized cost	336	0	–1,464	–1,129
Financial assets at fair value through profit or loss	0	–1	0	–1
Financial liabilities at amortized cost	0	–577	0	–577
	336	**–578**	**–1,464**	**–1,706**
2024				
Financial assets at amortized cost	203	0	–1,171	–968
Financial assets at fair value through profit or loss	1	–28	0	–27
Financial liabilities at amortized cost	0	–649	0	–649
	204	**–677**	**–1,171**	**–1,644**

8. NOTES TO THE CASH FLOW STATEMENT

In accordance with IAS 7 “Cash Flow Statements”, the consolidated cash flow statement shows the development of cash flows for the reporting year and the previous year, broken down into cash inflows and outflows from operating, investing and financing activities. Cash flows from operating activities are calculated using the indirect method.

As in the previous year, cash and cash equivalents include cash on hand and bank balances. It corresponds to the balance sheet item “Cash and cash equivalents”.

Changes in liabilities from financing activities
The following table shows the reconciliation of changes in liabilities from financing activities:

EUR thousand	Interest-bearing loans	Leasing liabilities	**Total**
Status on January 1, 2024	**8,466**	**13,110**	**21,576**
Changes affecting payments	–2,742	–3,243	–5,985
Non-cash changes (see below)	–3	2,509	2,506
Other non-cash changes	–1	1,024	1,023
Leasing	0	1,575	1,575
Currency conversion	–2	–90	–92
Status as of December 31, 2024	**5,721**	**12,376**	**18,097**
Changes affecting payments	7,168	–3,274	3,894
Non-cash changes (see below)	–2	1,517	1,515
Other non-cash changes	–3	554	551
Leasing	0	1,137	1,137
Currency conversion	1	-174	-173
Status as of December 31, 2025	**12,887**	**10,619**	**23,506**

9. OTHER INFORMATION

9.1 TRANSACTIONS WITH RELATED COMPANIES AND PERSONS

9.1.1 General information

Subsidiaries, associated companies, key management personnel, as well as persons who exert a significant influence on the financial and business policies of FamiCord are classified as related parties of FamiCord. Furthermore, due to the control situation of Active Ownership Group Ltd., Cyprus, over FamiCord AG, all other companies directly or indirectly controlled by AOC Health GmbH, which are not included in the consolidated financial statements of FamiCord, are also considered related parties.

An overview of the group of companies above FamiCord AG is contained in section 4.

9.1.2 Transactions with members of the Management Board

Transactions with members of the Management Board in the fiscal year arose exclusively from remuneration payments. The following person were appointed to the Management Board in the fiscal year 2025:

Jakub Baran	Chief Executive Officer (CEO)
Thomas Pfaadt	Chief Financial Officer (CFO)
Tomasz Baran	Chief Commercial Officer (CCO) until June 30, 2025 Chief Medical Officer (CMO) since March 22, 2025
Cornelia Wittke-Kothe	Chief Commercial Officer (CCO) since July 1, 2025

The remuneration of the members of the Management Board is as follows:

EUR thousand	**2025**	2024
Short-term benefits (fixed remuneration, short-term variable remuneration components, other remuneration components)	841	927
Share-based payment	104	8
	945	**935**

The amount and structure of Management Board remuneration are determined by the Supervisory Board in accordance with § 87 AktG. In principle, Management Board remuneration consists of (1) fixed basic remuneration, (2) optional performance-related variable remuneration and (3) fringe benefits.

The fixed component is the contractually agreed basic remuneration (EUR 841 thousand; previous year: EUR 529 thousand), which is paid out in twelve equal monthly amounts. The basic remuneration is paid in the amount of EUR 535 thousand (previous year: EUR 358 thousand) by FamiCord AG, EUR 297 thousand (previous year: EUR 161 thousand) by PBKM and EUR 10 thousand (previous year: EUR 10 thousand) by Sevibe.

Since September 1, 2022, the Management Board service contracts have implemented the new Relevant Remuneration System III, which was approved by the Supervisory Board on June 29, 2022. Relevant Remuneration System III has the same remuneration components as Relevant Remuneration System II, which was agreed in the contracts of Mr. Jakub Baran and Mr. Tomasz Baran on March 22, 2022 and in the contract of Mr. Thomas Pfaadt dated August 1, 2024 and in the contract of Ms. Cornelia Wittke-Kothe dated July 1, 2025. All benefits owed under this system were paid in the reporting year and are included in the benefits due in the short term listed above. There are no further claims.

Based on the Management Board service contracts that came into force on September 1, 2022, the members of the Management Board are entitled to short-term variable remuneration (short-term incentive ("STI") linked to specific performance indicators in addition to their fixed remuneration and fringe benefits. The specific performance indicators are (a) adjusted Group EBITDA (IFRS) before bonus, (b) adjusted Group sales (IFRS) and (c) an individual target, which in turn can consist of several components. The adjustments to key performance indicators (a) and (b) are made to eliminate one-off effects. The total target amount is divided into three sub-target amounts (a), (b) and (c) according to the three performance indicators (a), (b) and (c). Between the degrees of target achievement of 80% to 100% and 100% to 120% respectively, the partial target amount payable is calculated by linear interpolation. An incentive bonus is only paid out in total if a target achievement level of at least 80% is determined for each of the two performance indicators (a) and (b).

In addition, a long-term bonus (long-term incentive ("LTI")) geared towards sustainable corporate development was agreed. Sustainability is understood to mean a four-year assessment basis ("LTI bonus period"). The payment of a long-term bonus consists of the following sustainable target components ("sustainability components"):

- Granting of virtual share options to incentivize the increase in the company's share price over the LTI bonus period ("sustainability component 1"). Explanations on this are summarized in section 9.2,

- Fulfillment of targets for the Group's innovation performance over the LTI bonus period ("sustainability component 2").

The target value for sustainability component 2 corresponds to a target achievement of 100%. The lower threshold value is a target achievement of 80% or more, and the target achievement is limited to an upper threshold value of 120%.

In addition, the Supervisory Board of the company may, at its reasonable discretion, grant an additional voluntary discretionary bonus after the end of the respective fiscal year in the event of extraordinary performance by a member of the Management Board for the company. The maximum gross amount for the discretionary bonus is contractually agreed with the respective Management Board member. The Management Board member has no legal entitlement to the discretionary bonus.

In fiscal year 2025, the Group recognized a discretionary bonus accrual of EUR 278 thousand (prior year: EUR 53 thousand).

In addition, the members of the Management Board receive fringe benefits (EUR 88 thousand; previous year: EUR 52 thousand), which mainly consist of benefits for social security contributions and the private use of company cars and are taxed individually by the members of the Management Board.

The obligations recognized in the pension provision relate entirely to former members of the Management Board. There are no pension commitments to members of the Management Board employed in the fiscal year 2025. The disclosures on pension provisions are presented in section 7.2.4.

9.1.3 Transactions with the Supervisory Board

The following persons were appointed to the Supervisory Board in the fiscal year 2025:

Florian Schuhbauer (Member and Chairman until June 25, 2025)	– Partner, Active Ownership Capital S.à.r.l. and Active Ownership Corporation S.à.r.l. (AOC) – Managing Director – Active Ownership Advisors GmbH / Active Ownership Research Germany GmbH
Dr. Peter Greiner (Member and Deputy Chairman until June 25, 2025, since then Chairman)	– Black Walnut Ventures FZCO, Dubai, UAE – Sole Shareholder, General Manager – dawn-bio GmbH, Vienna, Austria – Co-founder, Member of the Management Borad, Managing Director
Dr. Tobias Silberzahn (Member and Deputy Chairman since June 25, 2025)	– Managing Director of TS-Holding and Management GmbH – Managing Director of A Healthier Future GmbH – Supervisory Board Member of Grameen Healthtech Limited – Supervisory Board Member of Movement Health Foundation – Supervisory Board Member of Hedera Dx SA – Supervisory Board Member of Digital Health Associates Private Limited
Frank Köhler	– Co-founder of Aroma Company GmbH – Partner and Managing Director of Aroma Company Köhler & Weckesser GbR – Managing Director of Humiecki & Gräfe GmbH
Dr. Ursula Schütze-Kreilkamp	– Head of Human Resources Group Management KFK, Deutsche Bahn AG – Supervisory Board Member of Avato Consulting AG
Konrad Miterski	– Torpol SA, Member of the Supervisory Board, Chairman of the Audit Committee – Nadwozia Partner SA, Chairman of the Supervisory Board – Synthaverse SA, Member of the Supervisory Board, Member of the Audit Committee
Paul Owsianowski	– Partner, Active Ownership Advisors GmbH

The remuneration system for the Supervisory Board is regulated in Article 18 of the company's Articles of Association and sets out both the abstract and the concrete framework for the remuneration of Supervisory Board members.

Supervisory Board remuneration generally consists of fixed basic remuneration and fringe benefits (liability insurance and expenses). In the fiscal year 2025, payments were made to the Supervisory Board in the amount of EUR 184 thousand (previous year: EUR 197 thousand), which were due in the short term.

9.1.4 Transactions with related parties

No business transactions with related companies were carried out in the fiscal year 2025. In the previous year, expenses of EUR 74 thousand were recognized in connection with Nardus Consulting for the rental of office and laboratory premises on arm's length terms.

As in the previous year, there were no outstanding receivables and liabilities with these related parties as of December 31, 2025.

9.2 SHARE-BASED PAYMENT PROGRAMS

Cash-settled share-based payment programs

Sustainability component 1 of the LTI program consists of a program based on virtual stock options (VSOs) ("VSO program"). A VSO corresponds to a virtual subscription right to a share in the company, i.e. it is not a (genuine) option to acquire shares in the company. However, with the consent of the Management Board member, the Company can also fulfill its obligation to pay out the share price-based remuneration in cash by transferring shares of FamiCord AG, for example from the treasury stock. Since the recipients of the share price-based remuneration can ultimately decide on the form of compensation, it is a compound financial instrument that contains a liability component and an equity component. However, as the recipients would have to waive the right to cash settlement to receive the equity alternative with the same fair value, the entire fai value of the grant is recognized as a liability.

The key points of the VSO program are presented below:

Systematics	Annual issue of a number of VSOs in the first week of October, which are automatically exercised to a certain extent at certain times ("vesting"). Vesting takes place in three steps: – 33% of VSOs after 2 years following issue (holding period), – A further 33% of VSOs after 3 years following issue – and the remaining 34% of VSOs after 4 years following issue.
Term/fulfillment	– Term: 4 years; – Immediate vesting of all outstanding VSOs if no closing auction prices are determined for the company's shares on XETRA for ten consecutive trading days or in the event of a change of control; – payment claim in cash or, at the company's discretion and with the consent of the Management Board member, in shares.
Calculation parameters/payout	– The amount of the remuneration is calculated as the difference between the arithmetic mean of the XETRA closing auction prices of the last 20 trading days (alternatively the last 20 closing auction prices determined) of the month of September in the year of issue (initial value) and in the year of exercise of the VSOs (final value); – Adjustment to take account of dividend payments and capital measures; – Payment is made in the month of December of the year of the respective vesting unless a later payment is required for legal reasons in the case of payment in shares.
Restrictions	– Automatic exercise takes place at the aforementioned times as long as the Management Board member is in office or if the term of office has ended due to (a) reaching an age limit or (b) an important reason in accordance with § 626 BGB from the sphere of the company; – The final value does not have to meet a minimum hurdle compared to the initial value. If the final value is lower than the initial value, no payment is made.
Cap	– Limitation of the final value to three times the initial value.

The number of VSOs to be allocated to each Management Board member (on average per year of the term of the program) is based on the total target remuneration set by the Supervisory Board for the Management Board member, assuming that the internal forecasts for the development of the shares are achieved. Taking into account the provisions of the remuneration system, in particular the maximum remuneration, it is also possible to conclude a further VSO agreement during the term of a VSO agreement.

As the performance of the VSOs is directly linked to the performance of the company's share price and vesting takes place over a total period of four years, the VSO program creates an incentive to positively influence the company's performance over the long term in the interests of shareholders. At the same time, the Management Board member not only participates in a positive development of the company, as a negative development of the share price also has an impact on the amount paid out.

In 2025, a total of 150,000 virtual stock options ("VSOs") were granted to the members of the Management Board. Of these, 100,000 VSOs were granted to Jakub Baran and 25,000 VSOs each to Tomasz Baran and Thomas Pfaadt. The fair value at grant date in 2025 amounted to EUR 220 thousand. In addition, the Supervisory Board resolved to grant 60,000 VSOs to Dr. Cornelia Wittke-Kothe in 2026. As the grant will occur in 2026, these VSOs were not included in the share-based payment expense or in the grant-date fair value of the awards granted in 2025.

No additional VSOs were granted to the members of the Management Board in 2023. In the previous year 2024, a total of 100,000 VSOs were granted to Jakub Baran and Thomas Pfaadt.

In 2022, the members of the Management Board, Jakub Baran and Tomasz Baran, were granted virtual stock options totaling 189,548 units. One option represents a virtual subscription right to one share of the Company and does not constitute an actual option to acquire shares in the Company. The amount of this compensation component is determined based on the difference between the issue price and the market price of FamiCord shares over the four-year exercise period. As of the reporting date, 125,101 of these units had already lapsed.

The provision for the virtual stock option remuneration program as of December 31, 2025 amounts to EUR 118 thousand in total for the years 2022 to 2025 (previous year: EUR 13 thousand).

A provision was recognized as a liability in the amount of the fair value of the share-based payment pro rata temporis in accordance with the period already earned. The models used to value the option plans are based on arbitrage-free valuation according to Black/Scholes. The volatilities are determined based on the monthly closing prices over a historical period of three years.

The parameters used are listed in the following table:

	Unit	**12/31/2025**	12/31/2024
Fair value	EUR	0.27 – 1.98	0.01 – 1.04
Share price on the reporting date	EUR	6.00	4.12
Carrying amount of the obligation	EUR	117,506	13,448
Base price	EUR	4.57 – 8.70	4.57 – 8.70
Risk-free interest	%	2.0 – 2.2	2.0 – 2.3
Annualized volatility	%	45.12	40.82
Runtime	years	1.75 – 3.75	0.75 – 3.75

Reconciliation of outstanding share options:

Number of options	**2025**	2024
Outstanding as of January 1	**226,997**	**189,548**
Expire during the year	62,550	62,551
Exercised during the year	–	–
Committed during the year	150,000	100,000
Outstanding as of December 31	**314,447**	**226,997**
Exercisable as of December 31	**–**	**–**

Sustainability component 2 is measured based on the fulfillment of the targets set by the Supervisory Board for the company's innovation performance (Vitality Index) over the LTI bonus period.

Innovation performance – in the sense of the development of new technologies, products or product features – is a key factor for the company's future economic success and is also easy to measure: the Vitality Index indicates the proportion of sales generated by products that have been launched on the market in the past four years and are technically innovative.

9.3 AUDITORS' FEES AND SERVICES IN ACCORDANCE WITH § 314 HGB

The total fee charged from the auditor PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft in fiscal year 2025 amounts to EUR 606 thousand (previous year: EUR 457 thousand) and relates to auditing services for the statutory audits of the annual and consolidated financial statements of FamiCord AG of EUR 565 thousand (previous year: EUR 373 thousand) and other services of EUR 41 thousand (previous year: EUR 84 thousand). In addition, the Group incurred further fees from companies in the PricewaterhouseCoopers network of in total EUR 239 thousand (previous year: EUR 182 thousand), which relate to auditing services of EUR 225 thousand (previous year: EUR 162 thousand) and tax advisory services of EUR 14 thousand (previous year: EUR 20 thousand).

9.4 EARNINGS PER SHARE

When calculating undiluted/diluted earnings per share, the earnings attributable to the holders of ordinary shares in the parent company are divided by the weighted average number of ordinary shares in circulation during the year.

Undiluted/diluted earnings per share are calculated as follows:

EUR thousand	**2025**	2024
Loss from continuing operations	–5,018	–11,588
Less: portion attributable to non-controlling interests	413	163
Result from continuing operations attributable to shareholders of FamiCord AG	**–4,605**	**–11,425**
Number of shares outstanding (weighted average)	17,431,762	17,431,762
Earnings per share (EUR)	**–0.26**	**–0.66**

Weighted average number of ordinary shares used to calculate undiluted/diluted earnings per share:

	2025	2024
Ordinary shares as of January 1 of the fiscal year	17,640,104	17,640,104
Ordinary shares as of December 31 of the fiscal year	17,640,104	17,640,104
less treasury shares	–208,342	–208,342
Ordinary shares as of December 31 of the fiscal year without treasury shares	17,431,762	17,431,762
Weighted average of ordinary shares for the calculation of undiluted/ diluted earnings per share	17,431,762	17,431,762

9.5 CONTINGENCIES AND OTHER FINANCIAL OBLIGATIONS

As of December 31, 2025, the Group had no obligations to purchase property, plant and equipment and no other obligations (December 31, 2024: none).

9.6 EVENTS AFTER THE REPORTING DATE

Since February 28, 2026, geopolitical tensions in the Middle East have escalated significantly in connection with the conflict involving Iran. Based on current knowledge, no material impact on the consolidated financial statements is currently expected.

In April 2026, Mr. Tomasz Baran's Management Board contract was extended by two years.

Other than the matter described above, there were no further events after the reporting date that had a material impact on the Group's net assets, financial position or results of operations.

Leipzig, April 30, 2026



Jakub Baran
Chief Executive Officer



Thomas Pfaadt
Chief Financial Officer



Dr. Cornelia Wittke-Kothe
Chief Commercial Officer



Tomasz Baran
Chief Medical Officer





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RESPONSIBILITY STATEMENT

To the best of our knowledge, and in accordance with the applicable reporting principles, the annual financial statements and the consolidated financial statements of FamiCord AG give a true and fair view of the net assets, financial position and results of operations of the company and the Group, and the combined management report includes a fair review of the development and performance of the business and the position of the company and the Group, together with a description of the principal opportunities and risks associated with the expected development of the company and the Group.

Leipzig, in April 2026
Management Board of FamiCord AG



Jakub Baran
Chief Executive Officer



Thomas Pfaadt
Chief Financial Officer



Dr. Cornelia Wittke-Kothe
Chief Commercial Officer



Tomasz Baran
Chief Medical Officer

INDEPENDENT AUDITOR'S REPORT

To FamiCord AG, Leipzig

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS AND OF THE GROUP MANAGEMENT REPORT

AUDIT OPINIONS

We have audited the consolidated financial statements of FamiCord AG, Leipzig, and its subsidiaries (the Group), which comprise the consolidated balance sheet as at 31 December 2025, and the consolidated statement of comprehensive income, consolidated statement of profit or loss, consolidated statement of changes in equity and consolidated cash flow statement for the financial year from 1 January to 31 December 2025 and notes to the consolidated financial statements, including material accounting policy information. In addition, we have audited the group management report of FamiCord AG, which is combined with the Company's management report, for the financial year from 1 January to 31 December 2025.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying consolidated financial statements comply, in all material respects, with the IFRS Accounting Standards issued by the International Accounting Standards Board (IASB) (the IFRS Accounting Standards) as adopted by the EU and the additional requirements of German commercial law pursuant to § [Article] 315e Abs. [paragraph] 1 HGB [Handelsgesetzbuch: German Commercial Code] and, in compliance with these requirements, give a true and fair view of the assets, liabilities, and financial position of the Group as at 31 December 2025, and of its financial performance for the financial year from 1 January to 31 December 2025 and

- the accompanying group management report as a whole provides an appropriate view of the Group's position. In all material respects, this group management report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development

Pursuant to § 322 Abs. 3 Satz [sentence] 1 HGB, we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the group management report.

BASIS FOR THE AUDIT OPINIONS

We conducted our audit of the consolidated financial statements and of the group management report in accordance with § 317 HGB and the EU Audit Regulation (No. 537/2014, referred to subsequently as "EU Audit Regulation") in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report" section of our auditor's report. We are independent of the group entities in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. In addition, in accordance with Article 10 (2) point (f) of the EU Audit Regulation, we declare that we have not provided non-audit services prohibited under Article 5 (1) of the EU Audit Regulation. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions on the consolidated financial statements and on the group management report.

KEY AUDIT MATTERS IN THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the financial year from 1 January to 31 December 2025. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our audit opinion thereon; we do not provide a separate audit opinion on these matters.

In our view, the matters of most significance in our audit were as follows:

1. Recoverability of goodwill

2. Accounting for revenue in accordance with IFRS 15

Our presentation of these key audit matters has been structured in each case as follows:

1. Matter and issue

2. Audit approach and findings

3. Reference to further information

Hereinafter we present the key audit matters:

1. RECOVERABILITY OF GOODWILL

1. In the Company's consolidated financial statements goodwill amounting in total to € 32,637 thousand (20.2 % of total assets) is reported under the "Goodwill" balance sheet item. Goodwill is tested for impairment by the Company once a year or when there are indications of impairment to determine any possible need for write-downs. The impairment test is carried out at the level of the cash-generating units or the groups of cash-generating units, respectively, to which the relevant goodwill is allocated. The carrying amount of the relevant cash-generating units, including goodwill, is compared with the corresponding recoverable amount in the context of the impairment test. The recoverable amount is generally determined using the value in use. The present value of the future cash flows from the respective cash-generating unit or group of cash-generating units normally serves as the basis of valuation. Present values are calculated using discounted cash flow models. For this purpose, the adopted medium-term business plan of the Group forms the starting point which is extrapolated based on assumptions about long-term rates of growth. Expectations relating to future market developments and assumptions about the development of macroeconomic factors are also taken into account. The discount rate used is the weighted average cost of capital for the respective of cash-generating unit or group of cash-generating units. The impairment test determined that it was necessary to recognize write-downs amounting to a total of € 5,007 thousand.

   The outcome of this valuation is dependent to a large extent on the estimates made by the executive directors with respect to the future cash inflows from the respective group of cash-generating units, the discount rate used, the rate of growth and other assumptions, and is therefore subject to considerable uncertainty. Against this background and due to the complex nature of the valuation, this matter was of particular significance in the context of our audit.

2. As part of our audit, we assessed the methodology used for the purposes of performing the impairment test, among other things. After matching the future cash inflows used for the calculation against the adopted medium-term business plan of the Group, we assessed the appropriateness of the calculation, in particular by reconciling it with general and sector-specific market expectations. In addition, we assessed the appropriate consideration of the costs of Group functions. In the knowledge that even relatively small changes in the discount rate applied can have a material impact on the value of the entity calculated in this way, we focused our testing in particular on the parameters used to determine the discount rate applied, and assessed the calculation model. In order to reflect the uncertainty inherent in the projections, we evaluated the sensitivity analyses performed by the Company. We verified that the necessary disclosures were made in the notes to the consolidated financial statements relating to cash-generating units or groups of cash-generating units for which a reasonably possible change in an assumption would result in the recoverable amount falling below the carrying amount of the cash-generating units including the allocated goodwill.

   Overall, the valuation parameters and assumptions used by the executive directors are in line with our expectations and are also within the ranges considered by us to be reasonable.

3. The Company's disclosures on impairment testing of goodwill are contained in the summary of significant accounting policies in section "Intangible assets" of chapter 2.4.4, in Significant accounting estimates and judgements in section "Goodwill impairment test" of chapter 3.1 and in section 7.1.1 "Goodwill" of notes to the consolidated financial statements.

2. ACCOUNTING FOR REVENUE IN ACCORDANCE WITH IFRS 15

1. In the consolidated financial statements of FamiCord AG, revenue of € 88,173 thousand is recognised in the consolidated income statement, of which € 52,862 thousand is related to the collection and processing of umbilical cord blood, € 28,658 thousand to its storage and € 6,653 thousand to other revenue. This significant item in terms of its amount is subject to particular risk due to the complexity of the systems necessary for proper recording and allocating and the existence of multiple element agreements.

   Revenue and the corresponding contract liabilities and contract assets are based to a large extent on estimates and assumptions made by the executive directors, particularly with regard to the costs to be included in the course of the "expected cost plus a margin" approach when allocating the transaction price to the performance obligations and with regard to determining the contractual terms to be recognised for the various contract types. Furthermore, the determination of the contract term for some contract constellations with annual cancellation options is dependent on discretionary decisions by the executive directors with regard to the assessment of the existence of significant contractual penalties within the meaning of IFRS 15.11. The proper recording and allocation of revenue is considered to be complex when applying the IFRS 15 accounting standard due to the large number of different contract constellations and manual adjustment entries.

   Against this background, the accounting for revenue was of particular significance in the context of our audit.

2. Taking into account the knowledge that there is an increased risk of misstatements in the financial reporting due to the complexity of the collection and processing of data and the estimates and assumptions to be made with regard to certain individual contractual agreements, we first assessed the processes and controls established by the Group for the recognition of revenue as part of our audit. In doing so, we also assessed the IT systems used for invoicing and the proper recording of transactions up to the recording in the general ledger.

   As part of our audit procedures on a case-by-case basis, we analysed the different characteristics of the various contractual models and assessed whether the performance obligations and their contractual terms were properly identified and whether these services were provided over a certain period of time or at a certain point in time. In this context, we also assessed the appropriateness of the procedures applied, including the cost calculation performed within the Group as the basis for revenue allocation in accordance with the "expected cost plus a margin" approach, and evaluated the estimates and judgements made by the executive directors regarding revenue recognition and revenue allocation.

   In addition, we assessed the evidence on which the revenue is based and the payments received on a test basis. By performing consistent audit procedures as part of the audit of the operating subsidiaries, we ensured that we adequately addressed the inherent audit risk of revenue.

   We were able to satisfy ourselves that the systems, processes and controls in place are appropriate and that the estimates and assumptions made by the executive directors for the recognition of revenue are adequately documented and substantiated.

3. The company's disclosures on revenue in the consolidated financial statements of FamiCord AG are contained in chapter 2.4 "Summary of significant accounting policies" and 3.1 "Significant accounting estimates and judgements" and 6.1 "Revenue" of the notes to the consolidated financial statements.

OTHER INFORMATION

The executive directors are responsible for the other information. The other information comprises

- the statement on corporate governance pursuant to § 289f HGB and § 315d HGB
- the separate non-financial group report to comply with §§ 315b to 315c HGB
- all remaining parts of the annual report– excluding cross-references to external information – with the exception of the audited consolidated financial statements, the audited group management report and our auditor's report

Our audit opinions on the consolidated financial statements and on the group management report do not cover the other information, and consequently we do not express an audit opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the other information mentioned above and, in so doing, to consider whether the other information

- is materially inconsistent with the consolidated financial statements, with the group management report disclosures audited in terms of content or with our knowledge obtained in the audit, or
- otherwise appears to be materially misstated.

RESPONSIBILITIES OF THE EXECUTIVE DIRECTORS AND THE SUPERVISORY BOARD FOR THE CONSOLIDATED FINANCIAL STATEMENTS AND THE GROUP MANAGEMENT REPORT

The executive directors are responsible for the preparation of the consolidated financial statements that comply, in all material respects, with IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB, and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position and financial performance of the Group. In addition, the executive directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud (i.e., fraudulent financial reporting and misappropriation of assets) or error.

In preparing the consolidated financial statements, the executive directors are responsible for assessing the Group's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting unless there is an intention to liquidate the Group or to cease operations, or there is no realistic alternative but to do so.

Furthermore, the executive directors are responsible for the preparation of the group management report that, as a whole, provides an appropriate view of the Group's position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the opportunities and risks of future development. In addition, the executive directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a group management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the group management report.

The supervisory board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the group management report.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS AND OF THE GROUP MANAGEMENT REPORT

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the group management report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our audit opinions on the consolidated financial statements and on the group management report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with § 317 HGB and the EU Audit Regulation and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this group management report.

We exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements and of the group management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our audit opinions. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.

- Obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures (systems) relevant to the audit of the group management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an audit opinion on the effectiveness of the internal control and these arrangements and measures (systems), respectively.

- Evaluate the appropriateness of accounting policies used by the executive directors and the reasonableness of estimates made by the executive directors and related disclosures.

- Conclude on the appropriateness of the executive directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the consolidated financial statements and in the group management report or, if such disclosures are inadequate, to modify our respective audit opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming audit opinions on the consolidated financial statements and on the group management report. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinions.

- Evaluate the consistency of the group management report with the consolidated financial statements, its conformity with German law, and the view of the Group's position it provides.

- Perform audit procedures on the prospective information presented by the executive directors in the group management report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by the executive directors as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate audit opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with the relevant independence requirements, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

OTHER LEGAL AND REGULATORY REQUIREMENTS

REPORT ON THE ASSURANCE ON THE ELECTRONIC RENDERING OF THE CONSOLIDATED FINANCIAL STATEMENTS AND THE GROUP MANAGEMENT REPORT PREPARED FOR PUBLICATION PURPOSES IN ACCORDANCE WITH § 317 ABS. 3A HGB

ASSURANCE OPINION

We have performed assurance work in accordance with § 317 Abs. 3a HGB to obtain reasonable assurance as to whether the rendering of the consolidated financial statements and the group management report (hereinafter the "ESEF documents") contained in the electronic file „FamiCord_KA+LB_ESEF-2025-12-31-1-de.xbri" and prepared for publication purposes complies in all material respects with the requirements of § 328 Abs. 1 HGB for the electronic reporting format ("ESEF format"). In accordance with German legal requirements, this assurance work extends only to the conversion of the information contained in the consolidated financial statements and the group management report into the ESEF format and therefore relates neither to the information contained within these renderings nor to any other information contained in the electronic file identified above.

In our opinion, the rendering of the consolidated financial statements and the group management report contained in the electronic file identified above and prepared for publication purposes complies in all material respects with the requirements of § 328 Abs. 1 HGB for the electronic reporting format. Beyond this assurance opinion and our audit opinion on the accompanying consolidated financial statements and the accompanying group management report for the financial year from 1 January to 31 December 2025 contained in the "Report on the Audit of the Consolidated Financial Statements and on the Group Management Report" above, we do not express any assurance opinion on the information contained within these renderings or on the other information contained in the electronic file identified above.

BASIS FOR THE ASSURANCE OF OPINION

We conducted our assurance work on the rendering of the consolidated financial statements and the group management report contained in the electronic file identified above in accordance with § 317 Abs. 3a HGB and the IDW Assurance Standard: Assurance Work on the Electronic Rendering of Financial Statements and Management Reports, Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB (IDW AsS 410 (06.2022)) and the International Standard on Assurance Engagements 3000 (Revised). Our responsibility in accordance therewith is further described in the "Group Auditor's Responsibilities for the Assurance Work on the ESEF Documents" section. Our audit firm applies the IDW Standard on Quality Management: Requirements for Quality Management in the Audit Firm (IDW QMS 1 (09.2022)).

RESPONSIBILITIES OF THE EXECUTIVE DIRECTORS AND THE SUPERVISORY BOARD FOR THE ESEF DOCUMENTS

The executive directors of the Company are responsible for the preparation of the ESEF documents including the electronic rendering of the consolidated financial statements and the group management report in accordance with § 328 Abs. 1 Satz 4 Nr. [number] 1 HGB and for the tagging of the consolidated financial statements in accordance with § 328 Abs. 1 Satz 4 Nr. 2 HGB.

In addition, the executive directors of the Company are responsible for such internal control as they have considered necessary to enable the preparation of ESEF documents that are free from material non-compliance with the requirements of § 328 Abs. 1 HGB for the electronic reporting format, whether due to fraud or error.

The supervisory board is responsible for overseeing the process for preparing the ESEF documents as part of the financial reporting process.

GROUP AUDITOR'S RESPONSIBILITIES FOR THE ASSURANCE WORK ON THE ESEF DOCUMENTS

Our objective is to obtain reasonable assurance about whether the ESEF documents are free from material non-compliance with the requirements of § 328 Abs. 1 HGB, whether due to fraud or error. We exercise professional judgment and maintain professional skepticism throughout the assurance work. We also:

- Identify and assess the risks of material non-compliance with the requirements of § 328 Abs. 1 HGB, whether due to fraud or error, design and perform assurance procedures responsive to those risks, and obtain assurance evidence that is sufficient and appropriate to provide a basis for our assurance opinion.

- Obtain an understanding of internal control relevant to the assurance work on the ESEF documents in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing an assurance opinion on the effectiveness of these controls.

- Evaluate the technical validity of the ESEF documents, i.e., whether the electronic file containing the ESEF documents meets the requirements of the Delegated Regulation (EU) 2019/815 in the version in force at the date of the consolidated financial statements on the technical specification for this electronic file.

- Evaluate whether the ESEF documents provide an XHTML rendering with content equivalent to the audited consolidated financial statements and to the audited group management report.

- Evaluate whether the tagging of the ESEF documents with Inline XBRL technology (iXBRL) in accordance with the requirements of Articles 4 and 6 of the Delegated Regulation (EU) 2019/815, in the version in force at the date of the consolidated financial statements, enables an appropriate and complete machine-readable XBRL copy of the XHTML rendering.

FURTHER INFORMATION PURSUANT TO ARTICLE 10 OF THE EU AUDIT REGULATION

We were elected as group auditor by the annual general meeting on 25 June 2025. We were engaged by the supervisory board on 24 November 2025. We have been the group auditor of the FamiCord AG, Leipzig, without interruption since the financial year 2021.

We declare that the audit opinions expressed in this auditor's report are consistent with the additional report to the audit committee pursuant to Article 11 of the EU Audit Regulation (long-form audit report).

REFERENCE TO AN OTHER MATTER - USE OF THE AUDITOR'S REPORT

Our auditor's report must always be read together with the audited consolidated financial statements and the audited group management report as well as the assured ESEF documents. The consolidated financial statements and the group management report converted to the ESEF format – including the versions to be filed in the company register – are merely electronic renderings of the audited consolidated financial statements and the audited group management report and do not take their place. In particular, the "Report on the Assurance on the Electronic Rendering of the Consolidated Financial Statements and the Group Management Report Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB" and our assurance opinion contained therein are to be used solely together with the assured ESEF documents made available in electronic form.

NOTE ON SUPPLEMENTARY AUDIT

We issue this auditor's report on the consolidated financial statements and the group management report as well as on the reproduction of the consolidated financial statements and the group management report submitted for audit for the first time, contained in the file „FamiCord_KA+LB_ESEF-2025-12-31-1-de.xbri" and prepared for publication purposes on the basis of our audit, duly completed as at 30 April 2026, and our supplementary audit completed as at 8 May 2026 which related to the initial submission of the ESEF documents.

GERMAN PUBLIC AUDITOR RESPONSIBLE FOR THE ENGAGEMENT

The German Public Auditor responsible for the engagement is Susanne Riedel.

Berlin, 30 April 2026 /
limited to the initial submission of the ESEF documents stated in the "Note on Supplementary Audit" section above:

Berlin, 8 May 2026

PricewaterhouseCoopers GmbH
Wirtschaftsprüfungsgesellschaft

Susanne Riedel	ppa. Dr. Kay Lubitzsch
Wirtschaftsprüferin	Wirtschaftsprüfer
(German Public Auditor)	(German Public Auditor)

FINANCIAL CALENDAR 2026

04/30/2026	Annual Report 2025
05/29/2026	Quarterly Statement (Q1)
06/24/2026	Annual General Meeting
08/28/2026	Half-year financial report (H1)
11/23/2026	Quarterly Statement (Q3)

IMPRINT

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NOTE
In the interests of readability, the annual report does not use the masculine, feminine and diverse (m/f/d) forms of language simultaneously. All references to persons apply equally to all genders.

PUBLICATION
This annual report was published in German and English on April 30, 2026 and is available for download on our Internet site.

FamiCord on the Internet: www.famicord.com

FamiCord
MORE THAN A STEM CELL BANK

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